Week beginning 1 June 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: Peering below the surface.

The Week That Was: AI goes from strength to strength.

Focus on New Zealand: RBNZ creeping towards hikes.

For the week ahead:

Australia: RBA's Bullock and Hauser, Q1 national accounts, house prices and approvals, goods trade.

New Zealand: Building consents, building work, terms of trade.

China: RatingDog PMIs.

Euro area: HICP inflation, producer prices, retails sales, final Q1 GDP estimate.

United States: May labour market report, factory orders, ISM PMIs, job openings.

Information contained in this report current as at 29 May 2026.

Peering below the surface

Luci Ellis
Chief Economist, Westpac Group

- **Headline data can sometimes mislead. One needs to delve into the detail to get the full story. Headline inflation was softer than expected in April, but underlying trends told a different story. Likewise, employment growth was weak in the month, but this was mostly seasonal and hours worked told a different story. Productivity growth is also likely to have been weak in Q1; again, business investment data give reason not to despair about the trend.**
- **The RBA has the knowledge and resources to delve into the detail and not be misled by the surface figures. It is clearly concerned about the possibility that the energy price shock will pass through to other prices at scale, keeping inflation high. New detailed datasets have become available that allow its staff to quantify some important relationships more accurately.**
- **The economy is a complicated thing, though, and it is possible that the RBA's analysis of the outlook is missing some important trends and relationships. Structural change is especially hard to grapple with. Shifts in labour market trends and the consequences of the data centre boom might be being misunderstood, though hopefully not for long.**

Recent data have tended to tell a different story than the headline figures would suggest. Headline inflation was soft in April, but underlying measures were still too high and, if anything, still drifting up. Employment was even weaker than seasonal patterns implied in the month, but the hours worked data told the opposite story. And productivity growth is likely to be reported to have been weak in the March quarter, but this is partly because much data centre investment is in the build phase, and will only add to GDP and productivity later.

These contrasts are all examples of why one can be misled by focusing on a few headline figures. Accurately assessing the state of the economy requires a considered view of the whole picture. There is no substitute for delving into all the data detail.

In doing so, one must also guard against seizing on the data detail that fits your preferred narrative. For example, we remain concerned that pass-through of fuel prices to the prices of other goods and services will be extensive, and we are seeing some evidence of pass-through in homebuilding costs and hospitality already in the April CPI. It is nonetheless also true that pass-through has so far been a bit less than we feared.

The RBA understands the subtleties of Australia's economic data and has the resources to look below the surface properly. It will not jump to rash conclusions based on headline numbers. It will, however, want to take a pause to assess how dominant and lasting these below-the-surface trends will be.

To the extent that we can glean anything from the RBA's latest communications, it is that – like us – they are worried about second-stage pass-through of energy costs. Recent research, which was presented to the May meeting of the Monetary Policy Board and discussed in a subsequent speech by the RBA's chief economist, highlights that pass-through is larger and faster following a large shock than after a small one.

> **"Topline data, on their own, can mislead."**

This is not exactly a new result. The RBA has known that the "Phillips curve" relationship between inflation and labour market slack is nonlinear for about three decades. Their main whole-economy model incorporates this nonlinearity, though it does not seem to be in the model used in the speech to highlight the different behaviour of inflation that it implies. And the linkage of this nonlinear relationship to the size of the shock is an implication of so-called "menu cost" models that has been known to other central banks for at least 20 years, both in theory and in other countries' data, though this link wasn't recognised when the original RBA nonlinearity paper was published.

Quantifying this effect accurately arguably had to wait until the dataset used in the recent research paper became available. The 1990s-era empirical result means it is nonetheless unlikely that the RBA's existing forecasting framework would have entirely missed faster pass-through of larger supply shocks, even if the theory behind it was not fully recognised at the time. But the recent communication does speak to the balance of risks that the RBA perceives.

It is possible, though, that the RBA's current analysis misses some other trends under the surface.

As highlighted by Westpac Economics colleague Ryan Wells' note yesterday, as best as we can tell, official family forecasters' views about the outlook for labour supply have diverged. Commonwealth Treasury shares our view that the underlying trend in the participation rate is up. This is a departure from its longstanding assumption that population ageing shrinks the workforce. As we have been highlighting for a while, the opposite is true in Australia and most other advanced economies.

By contrast, the RBA's forecast is for a flat participation rate this year and a decline next year as job opportunities diminish. The labour demand effect is assumed to dominate.

To be fair, Assistant Governor Hunter's speech did acknowledge that extra labour supply is a possible response to cost-of-living pressures, citing a recent IMF working paper that used Australian data to show this. But they acknowledge it only as a risk, not as their base case. It is also a cyclical factor, not the underlying trend discussed above. Past RBA communication has acknowledged this upward trend, but the latest Statement on Monetary Policy did not mention it. As Ryan commented in his note, the labour demand effect will have to work hard to offset this trend and generate the decline the RBA assumes.

(As an aside, I find it interesting that this paper was released as an IMF Working Paper and not an RBA Research Discussion Paper. Yes, three of the authors are from the IMF, but one is the deputy head of the RBA's Economic Research department and likely the only one authorised to access the detailed tax and Census linked dataset directly. Likewise, it is interesting that the speech cited the paper in the context of cost-of-living pressures, not the – admittedly small at a macro level –positive labour supply response to *monetary policy* that the paper focused on.)

It is also possible that the RBA's forecasting framework has not fully absorbed the implications of the build phase of the AI boom. Capex data released recently shows a huge contribution from data centres and IT investment more broadly – bigger than even our top-of-market expectation. Business investment will be strong, but as Westpac Economics colleague Pat Bustamante points out today, the imported component is very large, especially in the fit-out stage. A fixed view of potential growth in supply capacity will interpret this growth as adding to capacity pressures, even though it is literally building capacity. And like the mining investment boom, the build phase actually drags on measured productivity, as workers labour to build capital stock that is not yet producing anything.

Will a weak outcome for measured labour productivity in Q1 nudge the RBA to become even gloomier about ongoing productivity trends, even though it is likely a temporary lag?

Let's hope the team at the RBA remember to look below the surface.

Forecast changes

- **Following the April monthly CPI release, we have revised the near-term profile for inflation lower. CPI inflation is now expected to reach 4.8%yr in Q2 (–0.1ppt) and peak at 5.0%yr in Q3 (unchanged).**
- **Trimmed mean inflation was revised down 0.1ppt in Q2 and Q3 and is now expected to peak at 4.0%yr in Q4.**
- **These revisions do not change the RBA cash rate outlook, with hikes still expected in August and September.**
- **Following a release of partial indicators this week, our Q1 Australian GDP forecast remains unchanged at 0.5%qtr.**

Cliff Notes: AI goes from strength to strength

Elliot Clarke, Head of International Economics
Ryan Wells, Economist

Australia's main market event this week was the April CPI which came in slightly below consensus on a headline basis (0.4%, 4.2%yr). Volatile, policy-driven components related to travel drove the outcome – the Federal Government's temporary halving of fuel excise and some state governments offering free public transport, while cancelled flights and refunds for holiday travel provided a partial offset. These dynamics were also the main factors behind household spending's April decline.

Trimmed mean inflation meanwhile met expectations (0.3%, 3.4%yr). Pass-through of higher fuel costs is evident in some areas – home-building costs registered its strongest monthly gain since November 2023. However, the pass-through is not unfolding as rapidly as we initially feared. While April's outcome will give the RBA space to pause and assess in June, the risk of a larger and faster pass-through in coming months is material. We believe the RBA will feel compelled to resume raising the cash rate in the second half of the year as these risks crystalise.

In the run-up to Q1 GDP next Wednesday, we also received two partial indicators for investment.

Construction activity rose 3.4% in Q1, pushing annual growth to 6.3%yr. This outsized gain was mostly driven by a large mining infrastructure installation in WA – lumpy completions like these have a much smaller impact on National Accounts estimates which are reported on an accrual basis. Activity was weak elsewhere, residential construction dipping 0.6% despite a solid project pipeline, and public infrastructure works trending lower, down –3.2%.

Private CAPEX subsequently surprised to the upside, surging 6.5% in Q1 to be up 14.6% over the year. Data centres were responsible for almost all the increase: machinery and equipment spending in the information and telecommunications sector almost tripling (+196%) in Q1 alone. It should be noted that the net impact on GDP will be limited given the high import component of the data centre build-out. The second estimate of 2026/27 CAPEX plans provided an upgrade; adjusting for inflation, real investment intentions remained resilient as the Middle East conflict began.

While these headline estimates have their caveats, the underlying detail suggests there is some modest upside risk to Q1 GDP. Our preview will be published later today on Westpac IQ.

This week's offshore data provided little fresh signal and, for the market, paled in significance to perceived progress towards a truce in the Middle East. Intermediated negotiations between the US and Iran continued throughout the week despite several US strikes on Iranian military assets in the Strait, which were perceived to be active threats to shipping and dealt with. The successful transiting of several ships was instead focused upon as evidence to an end to the conflict was near. Having tested the top of 2026's range early last week, circa US$110 per barrel, the price of Brent crude has since fallen to around US$94.

As we go to press, reports suggest a 60-day ceasefire has been agreed to by the US and Iran, but this time it includes a full resumption of shipping through the Strait within a month. The intent is to allow supply of energy and other goods to resume, alleviating stress on the Iranian and global economy, while negotiations continue over Tehran's nuclear program. President Trump still needs to agree to the deal, however. And, further ahead, while November's US mid-term elections will, if necessary, arguably warrant an extension of the ceasefire to year end, the complexity and significance of the nuclear negotiations could see the conflict flare again in 2027. For the foreseeable future, the price of oil and downstream margins are likely to depend not only on the current balance of physical demand and supply, but also a heightened awareness of political risk.

Of this week's US data, releases related to the consumer were most notable. The second estimate for US GDP was revised down from 2.0% annualised to 1.6%, in large part due to weaker consumption growth. At 1.4% annualised, the current consumer pulse is well below the historic trend circa 2.5% and looks to be entrenched – real personal consumption up just 0.1% in April as wage growth failed to keep pace with inflation (0.2%). Housing is also clearly under pressure, S&P Cotality house prices falling for a second consecutive month (-0.2%, +0.8%yr), and new home sales down 6.2% in April after March's gain was halved from 7.4% to 3.4%.

FOMC members prioritising inflation risks is notable given the subdued pulse for housing demand. While market participants have been debating the probability of a fed funds rate hike(s) over the coming year, for activity it is the implications for the long end of the yield curve that matter most. The FOMC may find they do not need to hike, as we currently forecast, because inflation risks and fiscal uncertainty result in a modest uptrend in the US 10-year yield. Since mid-April, the US 10-year has risen as much as 40bps to 4.67% because of these factors. Now at 4.44%, we see it rising to 4.75% by mid-2028.

RBNZ creeping towards hikes

Satish Ranchhod
Senior Economist

It was a big week for policy announcements in the New Zealand economy. On the monetary policy front, the RBNZ kept the OCR on hold at its latest policy meeting, but signalled rate hikes over the coming months. We continue to expect the first hike in September, but a July start could be on the cards depending on the evolution of data. In terms of fiscal policy, the latest Budget included only modest spending increases as the Government tries to ensure its financial position remains on a sustainable path.

Monetary policy tightrope

As expected, the RBNZ held the OCR at 2.25% at its May policy meeting, but it was a close decision. The RBNZ is weighing up how to respond to the complex combination of a sharp oil-related lift in inflation with related downside risks for economic activity. It's not a simple trade-off, and there are genuine uncertainties about how the longer-term inflation outlook will shape up.

Highlighting just how tight that balancing act is, this month's decision went to a vote with members of the RBNZ's Monetary Policy Committee split down the middle. The three external members of the Committee all voted for a hike, noting that earlier interest rate increases could limit the upside risk for inflation expectations and potentially limit the extent that rates need to rise over the longer term.

In contrast, all three internal members of the Committee including the Governor voted for a hold. These members highlighted uncertainty around how the inflation outlook was shaping up given the downside risks for activity, along with related questions about the pass through to longer-term wage and price setting behaviour.

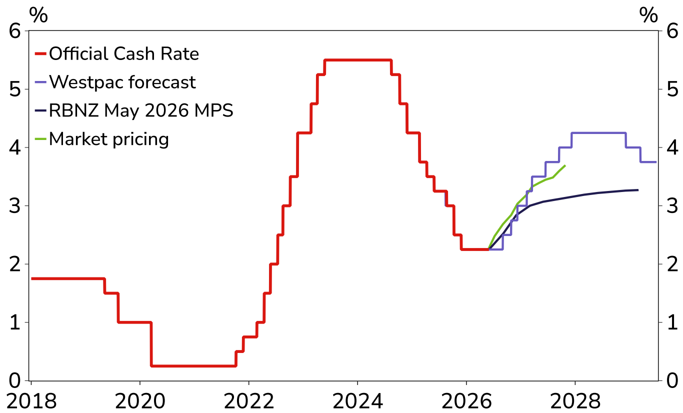
In such circumstances, the Governor has the tie-breaking vote, and that saw the OCR left on hold in May.

But while the OCR was left on hold at the latest meeting, all Committee members agreed that it will likely need to rise over the coming months. That was reflected in the updated OCR profile, with the end of 2026 projection revised up to 2.84% (from 2.38% in the February projections). That's broadly consistent with three rate hikes by the end of this year. The RBNZ also signalled the chance of further rate hikes next year.

The big question is when OCR increases are likely to begin. We continue to expect 25bp rate hikes in September, October and December. However, an earlier start to the hiking cycle in July is a real possibility, with financial markets pricing in a roughly 80% chance of a hike at that time.

Comments from those MPC members who voted for a hold in May have highlighted that the timing of interest rate hikes will be highly dependent on economic conditions over the coming weeks. The RBNZ will be watching economic data closely for signs of pressure on wages and inflation expectations. On this front, the latest confidence surveys for May (released after the RBNZ's meeting) showed modest increases in both household and business confidence after they fell sharply in recent months. At the same time, gauges of inflation expectations and pricing intentions have moderated, but remain at firm levels. Gauges of expected wage growth have also dropped back, and they remain subdued.

RBNZ Official Cash Rate



Source: RBNZ, Macrobond, Westpac Economics

Looking to the next few weeks, there will be further updates on confidence and some activity updates, like card spending. However, we won't get meaningful information on inflation and inflation expectations, GDP or wages until just before the September meeting.

To help fill the data void, the RBNZ is also making use of feedback from businesses. Our own talks with businesses in recent weeks have highlighted widespread cost pressures. However, conditions are mixed across the economy. Rural-linked regions and industries are outperforming. In contrast, businesses chasing the discretionary dollar are doing it tough, and that's limiting their pricing power. On the labour front, slack in the jobs market continues to provide a brake on wage growth even as cost of living pressures mount.

The other key factor is the progress of the war and oil prices. This is a fluid situation, and the RBNZ has noted that even when the geopolitical situation improves, any easing in oil and inflation could be gradual. Nonetheless, developments on this front could be an important consideration on both sides of the debate. We certainly see the risk of a protracted disruption stemming from the conflict.

A further consideration is the potential appointment of a new MPC member, expected in June. The successful candidate may come from outside the RBNZ but will become an internal MPC staff member.

Putting this all together, there's a clear case for the OCR to rise over the coming months. Inflation is set to rise to well over 4% this year. That follows an extended period when prices have been rising rapidly. As a result, there is a clear risk of a damaging creep higher in inflation expectations which could extend the inflation shock.

However, it's not clear that evidence of such 'second round' inflation pressures will be evident by July. Furthermore, we suspect that some of the RBNZ's concerns about the downside risks for activity will be borne out. As a result, we continue to expect rate hikes will begin in September, but it's a close call between the July and September meetings.

Moving closer to the promised land of fiscal balance

The other big news this week was the release of Budget 2026. This was a relatively austere Budget for an election year. While we did see increased spending in areas like health, transport and education, those increases were relatively modest. Looking ahead, as announced prior to the Budget, the operating allowance for new operating spending in the coming fiscal year has been set at a very tight $2.1bn a year (albeit up from an even skinnier $1.3bn in Budget 2025).

Given the deterioration in the near-term economic outlook, the Treasury forecasts an OBEGALx deficit of $11.4bn (2.4% of GDP) in 2026/27, compared to the $10.4bn deficit forecast in the HYEFU.

Further ahead, however, a set of relatively 'tax-rich' economic forecasts and restrained spending growth drive a faster improvement in the operating balance compared to the Treasury's previous HYEFU forecasts. Notably, the OBEGALx is projected to return to a surplus of $2.6bn (0.5% of GDP) in 2028/29, a year earlier than in the HYEFU projections (and a year earlier than we thought). The traditional OBEGAL measure (which doesn't exclude ACC costs) returns to surplus a year later.

The Budget forecasts of core Crown revenue are higher across every year compared to the HYEFU, reflecting a higher level of nominal GDP and hence a larger tax base in dollar terms. These revenue forecasts were broadly in line with what we expected.

The robust nominal growth outlook means that the Treasury sees a relatively "revenue rich" outlook from 2028 onwards.

This has allowed the Government to bring forward by one year when they anticipate a OBEGALx surplus, with correspondingly lower borrowing requirements. The forecast bond programme in 2026/27 is unchanged and reduced by $2 billion a year in 2027/28 onwards.

While the Treasury is expecting an improving outlook for the Government's books, we see a number of risks to this outlook. On expenditure, there will naturally be pressure to spend more in areas like health and aged care. Similarly, we see some downside risk to the Treasury's forecast for GDP growth, especially given the likelihood that interest rates rise faster than they have assumed.

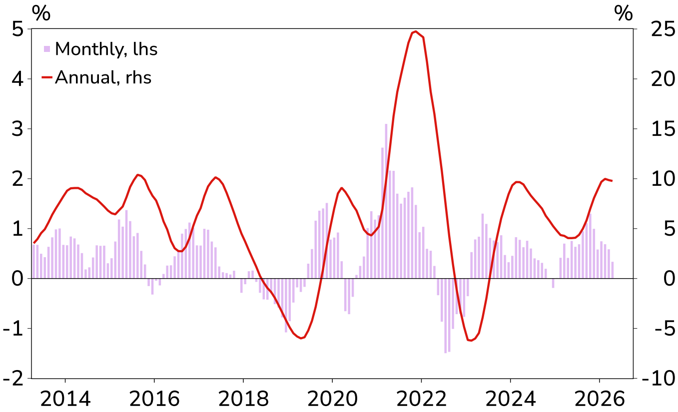
AUS: May Cotality Home Value Index (%mth)

Jun 1, Last: 0.2, Westpac f/c: –0.1

The Cotality home value index rose 0.2% in April - the weakest monthly outcome since January 2025 - following revised gains of 0.4%mth in March and 0.5%mth in February. Annual growth eased to 9.1%yr.

May is expected to see a further slowdown with the daily measure pointing to a slight 0.1% dip for the month as a whole. The detail shows Sydney and Melbourne prices declining at a similar pace as in April and the relatively robust gains in Brisbane, Adelaide and Perth showing a clearer moderation. Prices are expected to see outright declines nationally in coming months as the combined impact of rising interest rates and housing-related tax policy changes announced in the Federal budget come through (see here for a more detailed discussion of the outlook).

Cotality home value index



Source: Cotality Australia, Macrobond, Westpac Economics

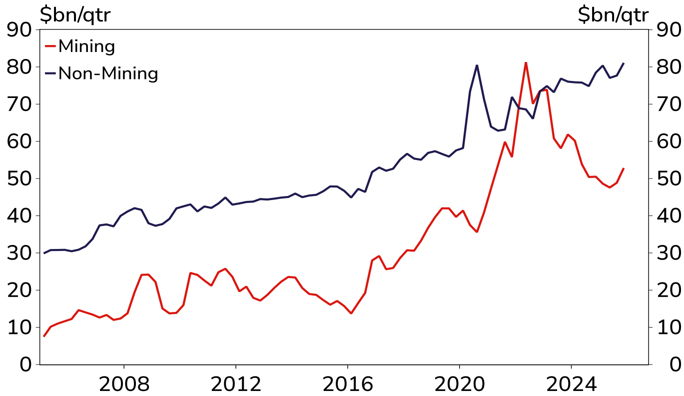
AUS: Q1 2026 Company Profits (%qtr)

Jun 2, Last: 0.0, Westpac f/c: 0.5

Headline company gross operating profits rose 5.8%qtr in the December quarter 2025. The increase was broad-based, with profits rising in all but three industries. The non-mining sector recorded a 4.4%qtr increase in Q4 — the strongest quarterly rise outside of COVID since the December quarter 2016, while mining profits increased a solid 8.1%qtr, lifting year-ended growth to 4.6% — the first year-ended increase since the March quarter 2023.

Growth in company profits is expected to moderate to 0.5%qtr in Q1. Non-mining profit growth is expected to show some resilience in Q1 before the full impacts of the global fuel price shock hit margins in Q2. Mining profits, on the other hand, are expected to have fallen on the back of weaker export earnings. Across iron ore, coal and LNG, export earnings fell almost 6%qtr over Q1.

Company profits



Source: ABS, Macrobond, Westpac Economics

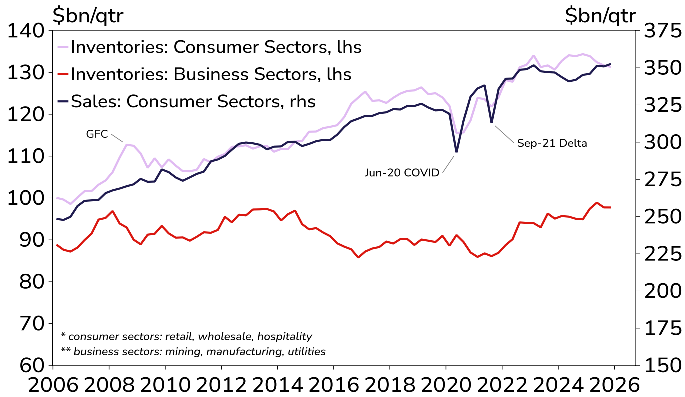
AUS: Q1 Inventories (%qtr)

Jun 2, Last: –0.1, Westpac f/c: –0.1
Market f/c: zero, Range: –0.2 to 0.6

Private non-farm business inventories declined by 0.1% in the December quarter 2025. The mining industry rebuilt some inventories (0.7%qtr), while outside of mining outcomes were mixed. Inventories were run down further in consumer-facing industries, including hospitality (-3.0%qtr) and retail (-0.4%qtr), while inventories in the utilities industry increased 3.7%qtr.

We expects non-farm business inventories declined 0.1%qtr in Q1 2026. We estimate imports of consumption goods fell over the quarter while consumption held steadier, suggesting some of this demand was met by a rundown in inventories. There is also likely to be a rundown of public inventories, including vaccinations, as we approach flu season. Overall, we expect total inventories (non-farm, farm and public) to detract around 0.1ppt from economic growth in Q1 2026.

Inventories



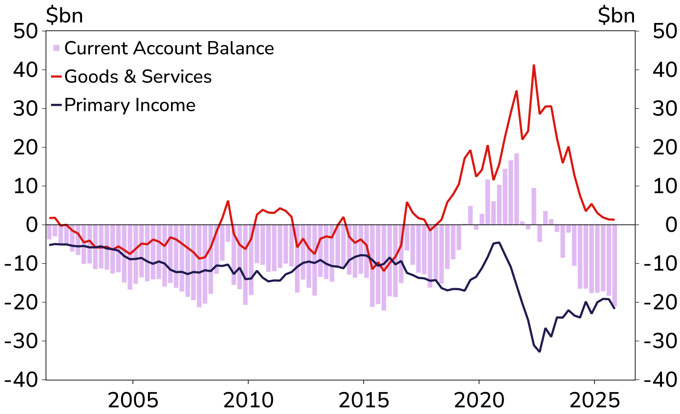
Source: ABS, Macrobond, Westpac Economics

AUS: Q1 Current Account Balance ($bn)

Jun 2, Last: –21.1, Westpac f/c: –24.8
Market f/c: –23.5 Range: –24.8 to –19.7

The current account deficit widened to $21.1bn in Q4, and we expect it to increase further in Q1 to $24.8bn, which would be a new record high. The goods trade surplus narrowed in every quarter of 2025, and we expect another decline in Q1, driven by weaker commodity export earnings and higher imports of data processing equipment. This may be partly offset by an improvement in the services trade balance, but the primary income deficit is also likely to widen, adding to the deterioration in the current account as higher interest rates in Australia lift returns on domestic assets held by foreigners.

Current account balance



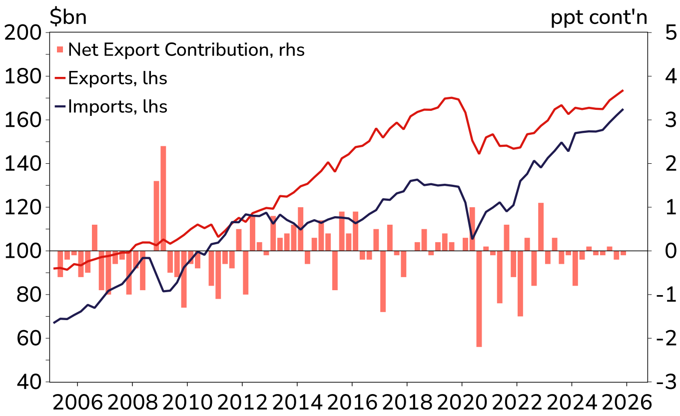
Source: ABS, Macrobond, Westpac Economics

AUS: Q1 Net Exports (ppt cont'n)

Jun 2, Last: -0.1, Westpac f/c: –0.6
Market f/c: –0.6 Range: zero to –0.9

Net exports look to have detracted significantly from GDP growth in Q1 – we expect a negative contribution of –0.6ppt. Weak goods exports seem to be the main driver, despite expected increases in rural goods and gold exports. Iron ore and coal exports look to have fallen significantly, largely due to severe weather disruptions to mining and trade, while other goods exports also appear weak. Import volumes of ADP equipment look to have doubled, driving a very sharp increase in overall capital goods inflows. So, despite expected small decreases in the consumption and intermediate goods categories, overall goods imports look to have risen notably. Falling numbers of international student visa holders and a small decline in short-term visitor arrivals point to downside risks to services exports.

Net exports



Source: ABS, Macrobond, Westpac Economics

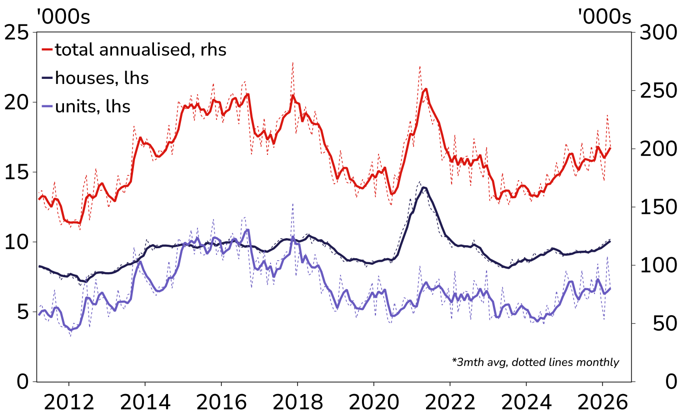
AUS: Apr Dwelling Approvals (%mth)

Jun 2, Last: –10.5, Westpac f/c: –1.5
Market f/c: –1.5 Range: –5.0 to 5.0

Dwelling approvals fell sharply in March, the 10.5% decline partially unwinding an even bigger 31% spike in February. The annual pace eased but at 9%yr remained in solid positive, supported by the large February gain. Volatility, as always, has centred around high rise unit approvals. Other segments have been more settled with detached house approvals showing a firm up-trend that has accelerated since late last year.

The April update is likely to still have some residual noise around high rise approvals with the February spike only partially unwound in March. The non-high rise components will be more revealing with the key question being the extent to which rate rises are starting to impact. On balance, its likely to be a little too early to see these effects. We expect April to show a small further 1.5% decline in total dwelling approvals.

Building approvals



Source: ABS, Macrobond, Westpac Economics

AUS: Q1 GDP

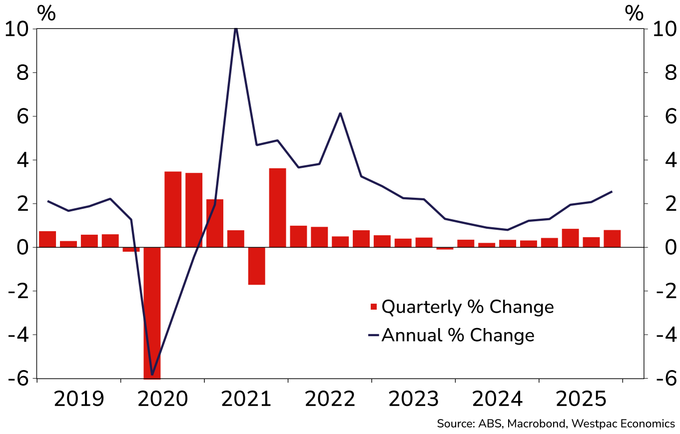
Jun 3, Last: 0.8, Westpac f/c: 0.5
Market f/c: 0.5, Range: 0.2 to 0.8

Growth likely moderated in Q1 2026, with the economy expanding 0.5% in Q1, down from 0.8%qtr in Q4 2025. Significant headwinds from the conflict in the Middle East will only partly be reflected in this quarter's Accounts. We expect these impacts to intensify in Q2 2026, with the possibility of a quarterly contraction.

The big story in this quarter's Accounts will instead be data centres. The Private capex survey showed investment in data centres almost doubled in Q1, with expectations pointing to a further acceleration in FY2027. Some of this will be 'leaked' out via higher imports, but it will still provide a significant support to activity in the Australian economy.

For more, see our full preview here.

Q1 GDP forecast: 0.5%qtr, 2.6%yr



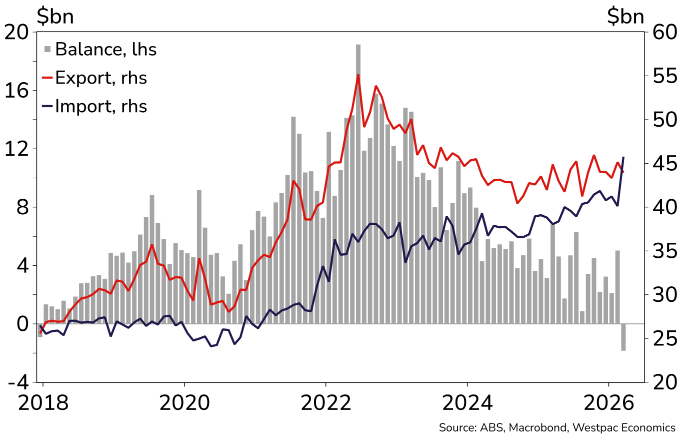
Source: ABS, Macrobond, Westpac Economics

AUS: Apr Goods Trade Balance ($bn)

Jun 4 Last: –1.8, Westpac f/c: 2.6
Mkt f/c: 1.6, Range: -2.5 to 3.0

In March, an unexpected 14.1%mth surge in imports and a 2.7%mth decline in exports saw the headline monthly goods trade balance record its first deficit (–$1.8bn) since late 2017. We expect a recovery in April, with the balance returning to a surplus of $2.6bn. Major commodity exports look to have increased notably after three consecutive monthly declines, pointing to a solid lift in export volumes. With gold prices having moved lower over the month, gold export values are likely to decline. Import flows pose the bigger question. The outlook depends largely on ADP imports linked to data-centre investment. This category effectively tripled in March, and while we expect at least some pullback in April, uncertainty around its path over the coming months and quarters is extremely high.

Goods trade balance



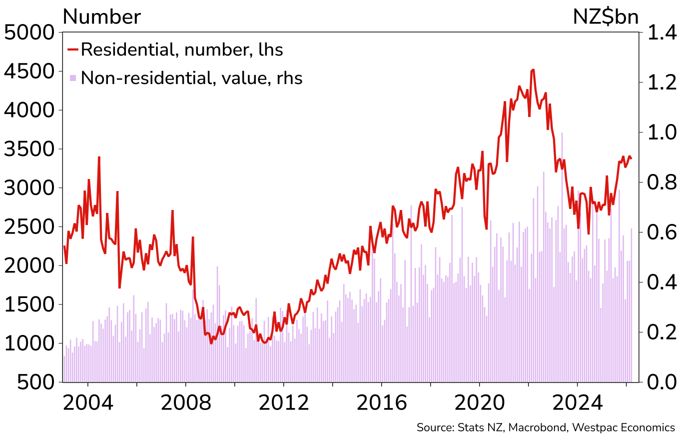
Source: ABS, Macrobond, Westpac Economics

NZ: Apr Building Consents (%mth)

Jun 3, Last: –1.3, Westpac f/c: –5.0

We're forecasting a modest 5% dip in building consents in April. That's related to an expected easing in apartment consents after they took a step higher last month (apartment consents tend to be issued in batches, and can be lumpy on a month-to-month basis). Looking at the longer-term trend, residential consent issuance has taken a step higher over the past year. That's encouraging news for the building sector. However, the softening economic outlook and increased economic uncertainty cast doubt on how long that firmness will be sustained. Those headwinds are also expected to be a drag on the amount of non-residential work that's planned.

Building consents picking up



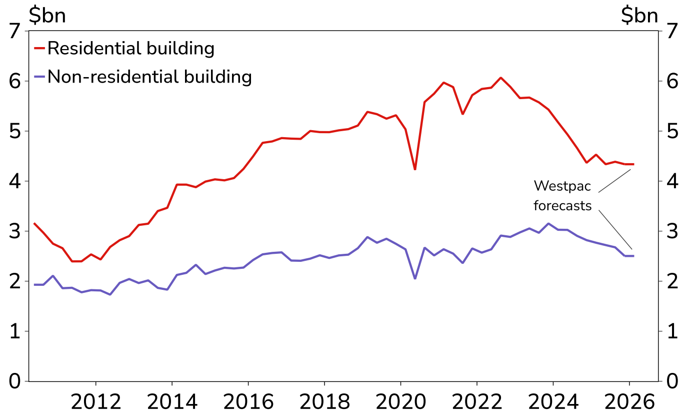
Source: Stats NZ, Macrobond, Westpac Economics

NZ: Q1 Building Work Put in Place (%qtr)

Jun 4, Last: –3.1, Westpac f/c: 1.0

We're expecting a flattening off in building activity in the March quarter. However, trends remain mixed across sectors. Residential construction has found a base over the past year, and with an uptick in the number of new projects being consented, we expect a moderate 1.5% gain in the March quarter. There's more uncertainty around non-residential building, which has been trending lower for several years now in response to softness in economic conditions and ongoing economic uncertainty. After last quarter's sharp 5% drop, we've assumed a modest 0.5% bounce. Nevertheless, the trend remains downwards.

Pipeline of building work continues to run down



Source: Stats NZ, Macrobond, Westpac Economics

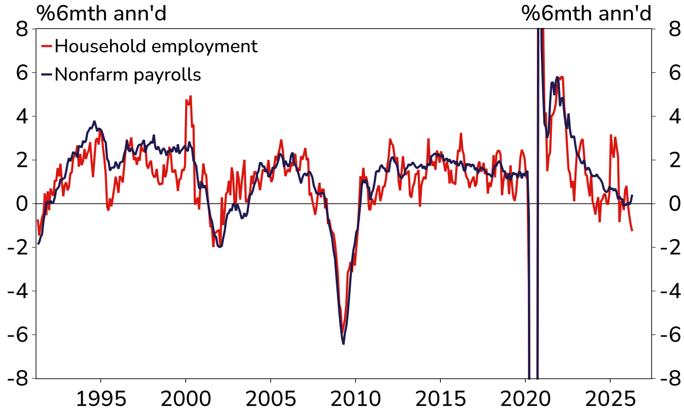
US: May employment report

Jun 5, payrolls Last: 115k, Mkt f/c: 93k, WBC f/c: 85k
Jun 5, U/E rate, Last: 4.3%, Mkt f/c: 4.3%, WBC f/c: 4.3%

Nonfarm payrolls rose 115k in April, keeping the 3-month average consistent with balance between labour demand and supply. The household survey kept downside risks in the picture, however, the unemployment rate unchanged at 4.3% as the participation rate edged down.

In June, another robust gain is expected for payrolls, circa 85k. In coming quarters though, labour demand is likely to diverge across sectors given weakness in consumption and housing but strength in tech-related investment and activity. Wages growth is likely to continue moderating in aggregate, limiting upside for demand-driven inflationary pressures.

Labour demand has stalled ...



Source: BLS, Macrobond, Westpac Economics

What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 01							
Aus	May	Cotality Home Value Index	%mth	0.2	–	–0.1	The daily measure is pointing to a slight dip for the month.
	May	MI Inflation Gauge	%ann	4.3	–	–	Has seen a steady rise since late last year.
	May	ANZ–Indeed Job Ads	%mth	–0.8	–	–	Will offer insight into the state of labour demand.
NZ		King's Birthday	–	–	–	–	Markets closed.
Chn	May	RatingDog Manufacturing PMI	index	52.2	51.3	–	Posted an unexpectedly resilient result in April.
Eur	Apr	Unemployment Rate	%	6.2	6.2	–	Remained low and stable heading into the latest energy shock.
US	May	ISM Manufacturing	index	52.7	53.2	–	Strong demand set to support the index.
World	May	S&P Global Manufacturing PMI	index	–	–	–	Final estimate for Japan, Europe, UK and US.
Tue 02							
Aus		RBA Board Member Speech	–	–	–	–	Ian Harper speaking at CEDA, 10:30am AEST.
	Q1	Current Account Balance	$bn	–21.1	–23.5	–24.8	Falling goods trade balance will drive an increase in deficit.
	Q1	Net Exports Contribution	ppt	–0.1	–0.6	–0.6	A surge in data processing equipment imports.
	Q1	Company Profits	%qtr	5.8	0	0.5	Mining profits expected to fall on the back of weaker exports.
	Q1	Inventories	%qtr	–0.1	0.1	–0.1	Imports and demand balance suggest a rundown.
	Apr	Dwelling Approvals	%mth	–10.5	–1.5	–1.5	Residual noise around high rise approvals.
Eur	May	HICP Inflation	%ann	3.0	3.3	–	Will be closely watched by the ECB as a June hike is debated.
UK		BoE Speak	–	–	–	–	Governor Bailey appearing before House of Lords.
US	Apr	JOLTS Job Openings	000s	6866	6890	–	Has seen minor falls in recent months, though remains stable.
		Fedspeak	–	–	–	–	FOMC members Kashkari and Hammack scheduled to speak.
Wed 03							
Aus	Q1	GDP	%qtr	0.8	0.5	0.5	The big story in Q1 Accounts will be data centres.
NZ	Q1	Terms Of Trade	index	3.7	–1.0	–3.5	Weaker dairy prices in late 2025 flowing through.
	Apr	Building Permits	%mth	–1.3	–	–5.0	Trend still firm for now, but expected to soften.
Chn	May	RatingDog Services PMI	index	52.6	52.2	–	Competitiveness concerns driving providers to reduce charges.
Eur	Apr	PPI	%ann	2.1	–	–	Saw a sharp increase post the US–Iran conflict.
US	Apr	Factory Orders	%mth	1.5	4.3	–	Recent strength driven by capital goods.
	May	ISM Services	index	53.6	53.7	–	Has cooled in recent months while remaining elevated.
	Jun	Federal Reserve's Beige Book	–	–	–	–	Update on economic conditions across the regions.
World	May	S&P Global Services PMI	index	–	–	–	Final estimate for Japan, Europe, UK and US.
Thu 04							
Aus	Apr	Goods Trade Balance	$bn	–1.8	1.6	2.6	Return back to a surplus expected.
		RBA Governor Bullock	–	–	–	–	Senate testimony with Assist' Governor Kent, 3:00pm AEST.
NZ	Q1	Volume of Building Work	%qtr	–3.1	1.5	1.0	Res stabilising. Non–res weak but could see a small bounce.
	May	ANZ Commodity Prices	%mth	–0.8	–	0.5	Aluminium up strongly, other prices mixed.
Eur	Apr	Retail Sales	%mth	–0.1	–	–	Remains low with consumer confidence having taken a hit.
US		Initial Jobless Claims	000s	215	–	–	Have been relatively stable.
		Fedspeak	–	–	–	–	FOMC member Daly.
Fri 05							
Aus		RBA Deputy Governor Hauser	–	–	–	–	Fireside chat at Sky News Economic Summit, 2:35pm AEST.
Jpn	Apr	Household Spending	%ann	–2.9	–	–	Consumption remains weak despite continued wages growth.
Eur	Q1	GDP	%qtr	0.1	0.1	–	Final estimate.
US	May	Nonfarm Payrolls	000s	115	93	85	Growth likely to continue at a solid pace.
	May	Average Hourly Earnings	%mth	0.2	0.3	–	Inflation likely to challenge any real earning growth.
	May	Unemployment Rate	%	4.3	4.3	4.3	Has remained stable, although masked by falling participation.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (29 May)	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
Cash	4.35	4.35	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.46	4.55	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.47	4.75	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.47	4.75	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	4.83	5.00	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	39	65	65	60	55	50	40	30	20	15
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.44	4.35	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75
New Zealand										
Cash	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25
90 Day Bill	2.63	2.50	2.95	3.40	3.75	4.00	4.25	4.45	4.45	4.45
2 Year Swap	3.57	3.75	4.05	4.30	4.40	4.40	4.40	4.35	4.30	4.25
10 Year Bond	4.71	4.85	4.95	5.00	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	27	50	55	55	55	55	50	45	40	35

Exchange rate forecasts

	Latest (29 May)	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
AUD/USD	0.7165	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5961	0.59	0.59	0.62	0.64	0.66	0.67	0.67	0.67	0.67
USD/JPY	159.30	157	156	154	152	150	148	146	144	142
EUR/USD	1.1642	1.18	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3440	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.7705	6.80	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.2020	1.22	1.22	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026				2027		Calendar years			
% change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2025	2026f	2027f	2028f
GDP %qtr	0.5	0.8	0.5	0.2	0.1	0.2	0.3	0.4	–	–	–	–
%yr end	2.1	2.6	2.6	1.9	1.6	1.0	0.9	1.1	2.6	1.0	1.6	2.8
Unemployment rate % *	4.3	4.3	4.2	4.4	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.0	3.4
Headline CPI %qtr	1.3	0.6	1.4	1.4	1.6	0.5	0.6	0.6	–	–	–	–
%yr end	3.2	3.6	4.1	4.8	5.0	4.9	4.2	3.4	3.6	4.9	2.6	2.2
Trimmed Mean CPI %qtr	1.0	0.9	0.8	1.0	1.1	1.0	0.8	0.7	–	–	–	–
%yr end	3.0	3.4	3.4	3.8	3.9	4.0	4.0	3.7	3.4	4.0	3.0	2.4

* Quarter–average.

New Zealand economic forecasts

	2025		2026				2027		Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2025	2026f	2027f	2028f
GDP %qtr	0.9	f0.2	0.8	–0.3	0.4	0.6	1.1	0.6	–	–	–	–
Annual avg change	–0.6	0.2	0.6	1.2	1.3	1.3	1.6	1.8	0.2	1.3	2.7	3.4
Unemployment rate %	5.3	5.4	5.3	5.4	5.5	5.6	5.5	5.3	5.4	5.6	4.9	4.4
CPI %qtr	1.0	0.6	0.9	1.8	1.2	0.4	0.5	0.0	–	–	–	–
Annual change	3.0	3.1	3.1	4.4	4.5	4.4	4.0	2.1	3.1	4.4	1.6	2.1

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Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ

westpaciq.com.au

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April CPI – undershoots on volatiles

#inflation #australia #rba #economicbulletinsaustralia #inflation

By Neha Sharma
Economist, Westpac

16:45 May 27 2026

Share

Monthly April CPI 0.4%mth/4.2%yr, Trimmed Mean 0.3%mth/3.4%yr.

- April CPI rose 0.4%mth (4.2%yr), undershooting our expectations, with the weakness concentrated in volatile and policy-affected components such as transport; in seasonally adjusted terms, CPI fell –0.1%mth.

- Underlying inflation was more persistent, with trimmed mean at 0.3%mth, up 3.4%yr from 3.3% in March. Pass-through from higher fuel costs to freight-exposed components remains limited for now, partly dampened by policy. But early signs are emerging in housing and select services.
- While the headline figure was a (welcome) downside surprise, it was not a view-changing one. We continue to expect that second-round effects will be larger and faster than normal, with inflation pressures building throughout Q2 and peaking in Q3.

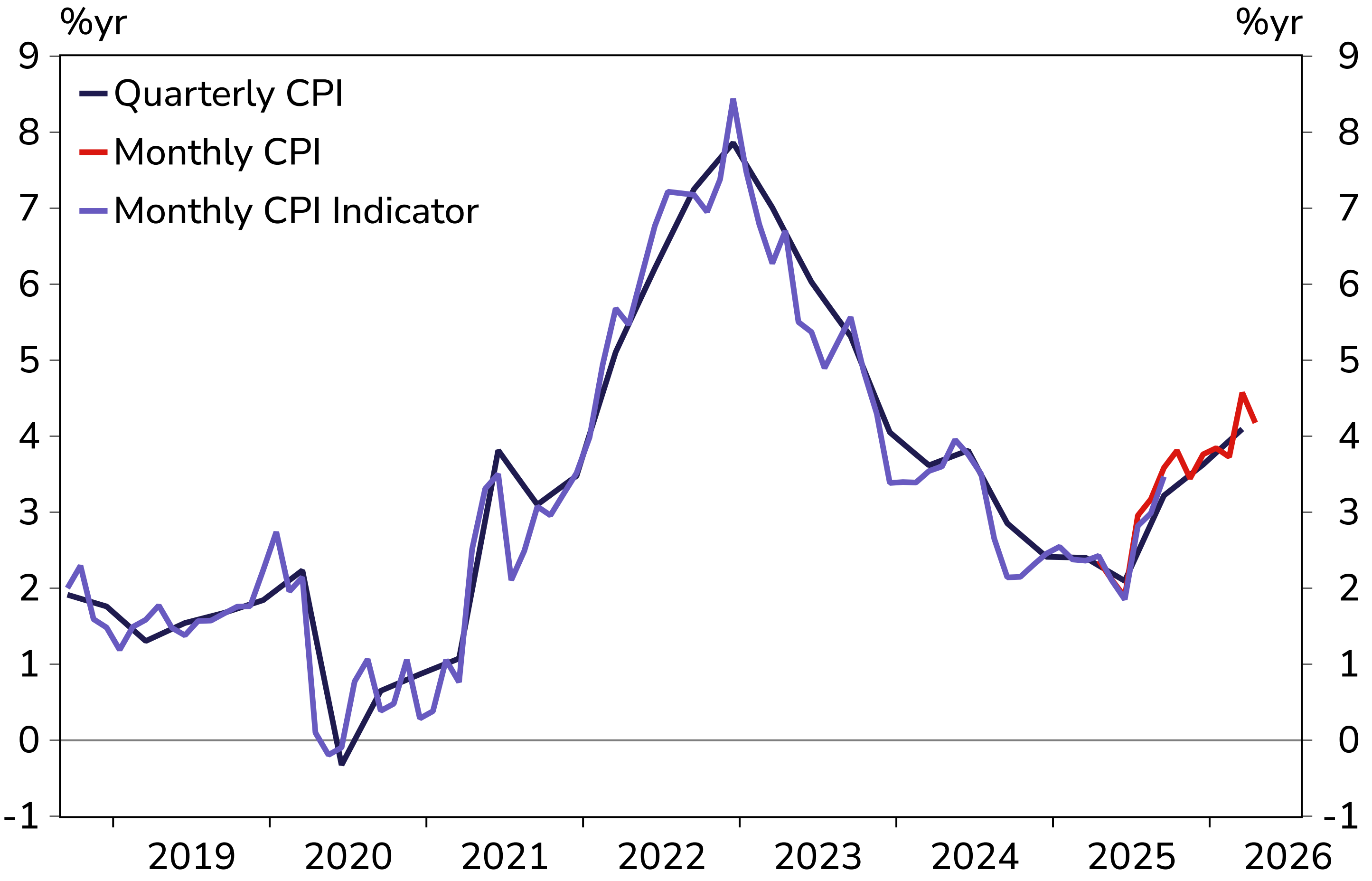
The April CPI rose 0.4%mth to be up 4.2%yr. This represents a moderation from the 4.6%yr pace recorded in March and came in below Westpac's near-cast of 0.9%mth/4.8%yr and market expectations of 4.4%yr. April is normally a seasonally strong month; the seasonally adjusted figure recorded a fall (–0.1%mth), compared with our nowcast of 0.3%mth.

Much of the miss was concentrated in volatile or policy-affected items that do not speak to the pass-through of energy prices and other supply effects stemming from the conflict in the Middle East.

The largest contributors to growth in the month were holiday travel & accommodation, which rose 5.5% in the month due to strong demand over the Easter holiday, this added +0.3ppts, while medical & hospital services added +0.2ppts. These were partly offset by transport, which fell –2.7% in the month detracting –0.3ppts due to the halving of the fuel excise and the free public transport in Vic and Tas. Still transport costs were up 6.6% higher than a year ago with retail petrol and diesel up 21.5%yr and 63.6%yr respectively. Overall, we had expected a more pronounced lift in holiday travel in April with transport to only detract a little more than 0.1ppt.

The monthly trimmed mean (TM) rose 0.3%mth, against our expectations for a 0.4%mth lift. The annual pace lifted slightly to 3.4%yr from 3.3%yr in the prior month, while the six-month annualised paced continued to ease, down to 3.2% from 3.8% in December.

Headline inflation



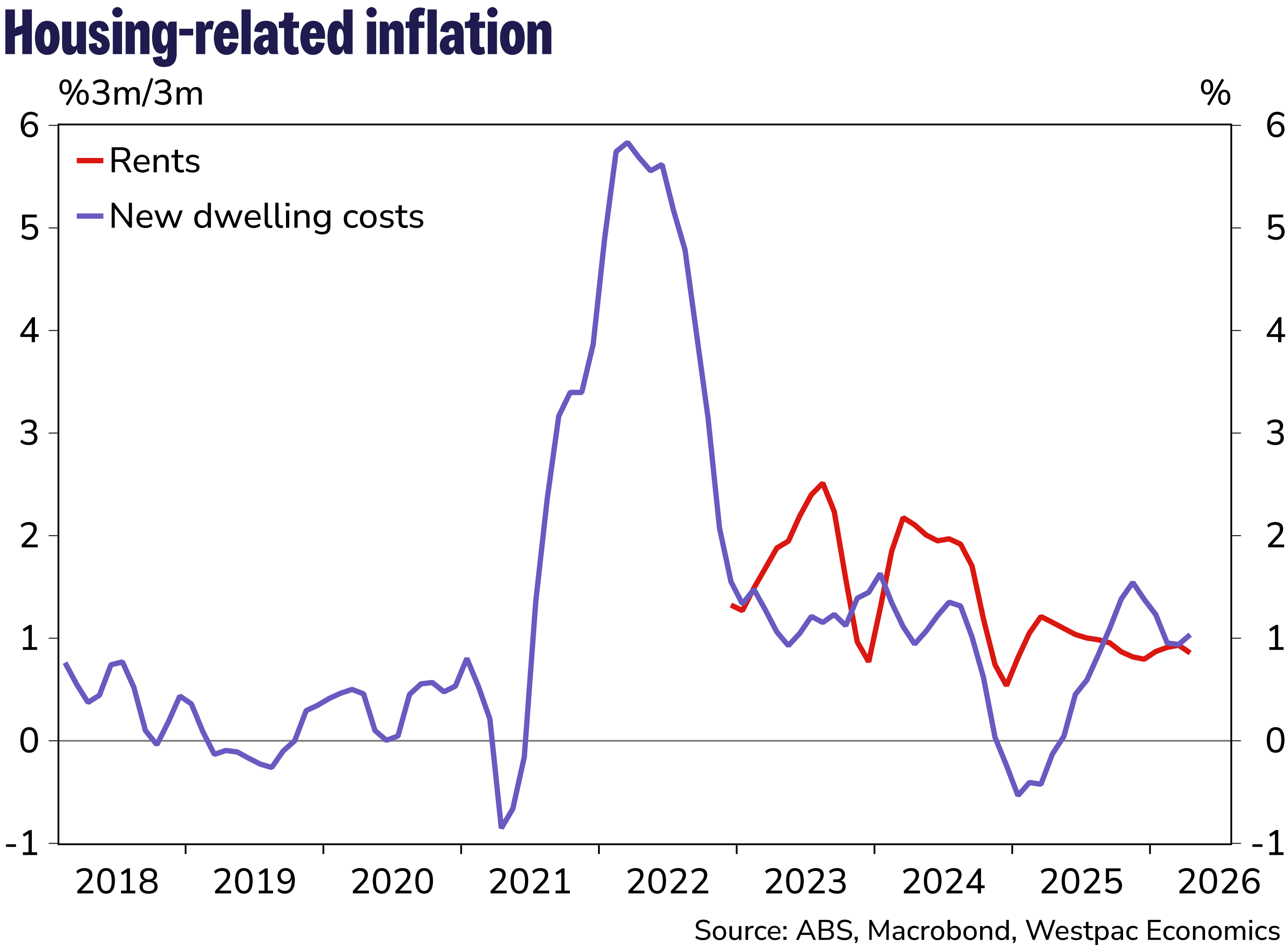
Source: ABS, Macrobond, Westpac Economics

With the Middle East conflict pushing up energy prices and other energy intensive commodities from late February, the April print offers the first real window into whether those cost increases are flowing through to the broader basket beyond the immediate impact to the automotive fuel category seen last month (note all figures below are in seasonally adjusted terms).

While we had expected higher fuel prices to feed through to freight-exposed components, policy measures – including the halving of the fuel excise and removal of the heavy vehicle road user charge – are delaying these second-round effects. With these measures set to end in July, some pass-through may still lie ahead. Moreover, the new fuel recovery measure that allows transport operators to recoup higher fuel costs will see freight prices increase, particularly among more freight intensive industries such as wholesale trade, agriculture and manufacturing leading to some spillovers across supply chains and more broadly into consumer prices.

While we expect these be more evident in the months ahead, there were emerging signs of second-round effects of higher commodity prices in April. Home-building was the clearest example. New dwelling purchases was the key upside surprise in month, rising 0.7%mth, this was the strongest monthly lift since November 2023. The ABS noted project home builders have raised base prices to pass-through fuel surcharges and higher materials costs. We had also flagged in our preview that price increase notifications by trade materials suppliers had surged in April and May. We have seen some moderation since then but overall, it remains elevated and suggests there may be more pressures to come. Dwelling repair costs also showed a solid increase in April, at 0.4%mth it was the largest since last October.

Ongoing above-target inflation is also seen in other fuel-exposed categories such as takeaway food and postal services. The latter recorded a 3.9%mth lift following a 3.4%mth lift in March.



We expect inflation pressures to build through Q2 and materialise in Q3, with headline and trimmed mean inflation peaking at 5.0%yr and 4.0%yr respectively. Indeed, several surveys point to further upside pressure. The NAB business survey has shown a strong lift in upstream costs that is now beginning to flow into selling prices. There have also been additional price increases announced by construction trade suppliers since our preview last Friday.

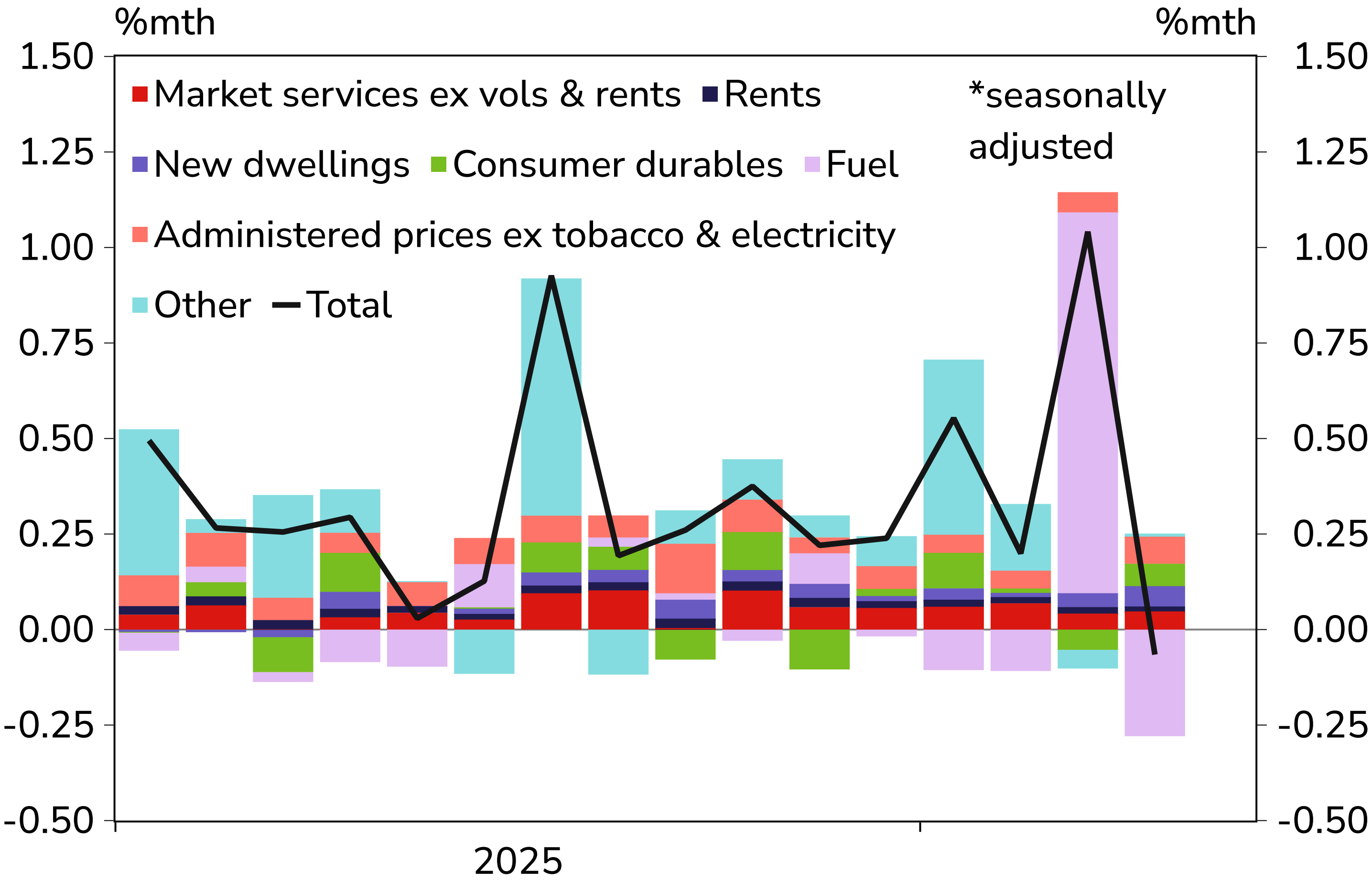
By contrast, the ABS' reintroduced business conditions survey suggests a more muted response so far, with many firms reporting that they have absorbed fuel-related cost pressures and only a small share lifting prices. However, this is likely only an early read, as the survey focuses on direct responses to fuel prices or availability, meaning downstream firms may not yet be adjusting. In addition, multiple responses can be selected, so firms may be both absorbing some costs and passing others through.

Overall, while the headline figure was a (welcome) downside surprise, it was not a view-changing one. As the RBA has also highlighted in recent research, pass-through of higher energy and regulatory costs to other prices is likely to be larger and faster than normal given the size of the shock. Today's data showed some signs of this pattern, just not as much as we feared. We also think the RBA will mostly look through the apparent weakness in April labour force data, alert to the same unusual seasonality that we noted last week.

Some other key details surrounding our forecasts in the month (non-seasonally adjusted):

- Food was notably softer at 0.1%mth against our 0.7% near-cast. Fruit & vegetables was the major miss within food, rising just 0.7% vs our 3.5% forecast. This was due to a –2.2% fall in fruit prices against our expectation of a 4.6% lift.
- Clothing & footwear rose 3.9%mth, below our 4.6% forecast with the annual pace running at 5.9%yr and above the RBA's target since mid-2025. This is largely driven by accessories which are running at 17.0%yr.
- Health was an upside surprise, up 2.6%mth against our 1.9%mth near-cast. Medical & hospital services rose 3.5% vs our 2.7% forecast, with medical & hospital services the key driver at 3.5% vs 2.7% following the 4.4% rise in health insurance effecting April – the largest since 2017.
- Rents were inline with our expectation for a 0.2%mth lift. The ABS noted that the usual biannual indexation of Commonwealth Rent Assistance which occurred in late-March continued to soften the increase in rents this month.

Contribution to monthly CPI inflation



Source: ABS, Macrobond, Westpac Economics

CPI Item	Qtr CPI Mar-26 % qtr	Monthly CPI Feb-26 % mth	Monthly CPI Mar-26 % mth	Monthly CPI Apr-26 % mth	WBC fcs Apr-26 % mth
Food	1.0	-0.1	0.7	0.1	0.7
of which, bread & cereals	0.4	-1.2	0.3	-0.3	0.1
of which, meat & seafood	1.3	0.5	0.5	-0.3	-0.2
of which, dairy & related products	0.3	-0.6	0.8	-0.2	1.0
of which, fruit & vegetables	1.7	0.0	2.6	0.7	3.5
of which, food products nec	1.1	-1.1	0.1	0.2	0.9
of which, non-alcohol beverages	1.3	0.7	1.1	-0.7	-0.8
Alcohol & tobacco	1.3	0.2	0.8	-0.5	0.0
of which, Alcohol	1.4	0.1	0.7	-1.0	-0.4
of which, Tobacco	1.1	0.4	1.1	0.7	1.0
Clothing & footwear	2.3	2.6	-1.9	3.9	4.6
of which, garments	1.6	2.9	-2.5	4.8	5.7
Housing	2.9	0.3	0.2	0.2	0.2
of which, Rents	0.9	0.4	0.2	0.2	0.2
of which, House purchases	0.9	0.1	0.5	0.7	0.4
of which, Electricity	21.9	1.0	0.0	-0.9	0.0
of which, Gas & other fuels	1.0	-0.1	0.0	-0.6	-0.6
H/hold contents & services	-0.3	3.9	0.3	0.3	0.8
Health	2.2	0.1	-0.2	2.6	1.9
Transportation	2.0	-0.7	9.2	-2.7	-1.1
of which, auto fuel	5.2	-3.4	32.8	-7.0	-4.2
Communication	0.0	0.2	0.5	0.4	0.4
Recreation	-1.3	-3.0	-0.7	2.6	4.0
of which, holiday travel	-3.8	-6.3	-1.4	5.5	7.6
Education	3.0	4.5	0.0	0.0	0.0
Financial & insurance services	1.0	0.1	0.8	0.1	0.2
CPI: All groups %qtr/%mth	**1.4**	**0.0**	**1.1**	**0.4**	**0.9**

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27 May 2026

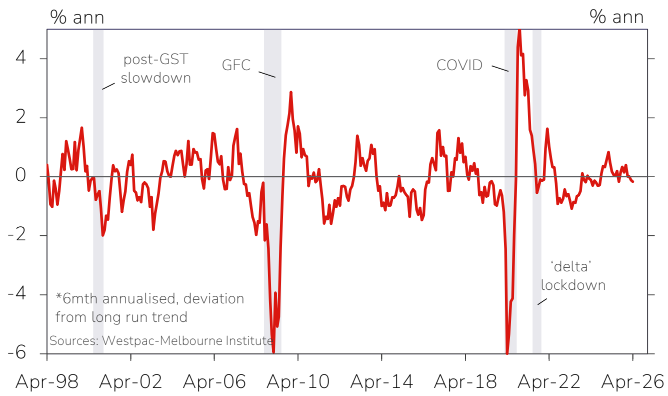
WESTPAC-MI LEADING INDEX BULLETIN

Latest insights into economic momentum

Key points

- Leading Index growth rate weakens to –0.17%.
- First back-to-back below-trend reads since late 2024.
- Sentiment, financial market indicators weak, 'real economy' indicators firm.
- Full impact of interest rate and fuel price shocks still emerging.

Westpac-MI Leading Index



Leading Index showing clearer loss of momentum

Matthew Hassan
Head of Australian Macro-Forecasting

The six-month annualised growth rate in the Westpac–Melbourne Institute Leading Index, which indicates the likely pace of economic activity relative to trend three to nine months into the future, declined to –0.17% in April from –0.11% in March.

The Australian economy is showing clearer signs of a loss of momentum. The April Index read points to a return to below-trend growth that is likely to carry through the second half of 2026 and into early 2027. While the pulse is still not overly weak, the soft signal is becoming more persistent with this marking the first back-to-back below trend read since late 2024.

The last six months has now seen the Leading Index growth rate swing from +0.15% in November to –0.17% currently, a 0.32ppt deterioration. Almost all of this has come from a sharp weakening in consumer sentiment. After hitting a four-year high late last year, the Westpac–Melbourne Institute Consumer Expectations Index has since slumped 20%. This one component has gone from adding slightly to the Index growth rate to a 0.28ppt drag, the reversal accounting for 0.31ppts of the shift in the headline growth rate.

Net moves in other components have almost entirely offset each other over that same period. The detail shows bigger drags from financial market components have been offset by more positive signals from 'real economy' indicators. A narrowing yield spread, softer sharemarket and mixed performance for commodity prices (measured in AUD terms) have pared back the Index growth rates by similar amounts, taking 0.24ppts off the headline growth rate on a combined basis. Across the 'real economy' components, solid growth in total hours worked and gains in US industrial production have more than offset a softer tone around dwelling approvals, the three components adding 0.26ppts to the overall growth rate on a combined basis.

While the momentum shift is becoming clearer, the growth pulse is still not particularly weak. At –0.17%, the Leading Index growth rate is negative but only signalling a marginally below-trend rate of expansion. The Index growth rate dropped below –1% during the 2022-24 downturn with cycle lows typically below –1.5%. It's likely to take some time yet before the full negative impacts from the spike in fuel costs and higher interest rates become apparent. Westpac expects the associated growth slowdown to be material but not quite as large as the major shocks and cycles that have impacted the economy in the past.

The Westpac-Melbourne Institute Leading Index of Economic Activity is designed to assist in identifying turning points in the economy. The index combines variables that reflect different aspects of the economy into a single index that generally produces a more reliable cyclical indicator than any single component taken individually. The Leading Index of Economic Activity provides advance information on the state of the economy and gives early warnings of cyclical turning points.

The Reserve Bank Monetary Policy Board next meets on June 15–16. Having raised rates at its previous three meetings, the Board is likely to pause in mid-June to assess the impact of the energy price shock and the significant monetary tightening. The latest Leading Index update suggests growth momentum is slowing but, so far, not overly weak. However, the more pressing concerns are around inflation with the impact from higher energy costs coming at a time that underlying inflation is already running above the RBA's 2-3% target. This means the Board is likely to have little time to catch its breath with further rate hikes expected in subsequent meetings.

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

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27 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets were mixed as optimism around a permanent US–Iran deal was offset by renewed military action described by the US as 'defensive', underscoring the fragility of the ceasefire.

Equity markets were mixed, with US stocks rising to fresh highs on US–Iran deal optimism, while Europe underperformed, Asia was mixed and the ASX 200 declined.

US bond markets rallied, with yields falling across the curve as Middle East optimism capped oil price gains.

The USD weakened modestly, with the AUD also declining against the greenback, though proving more resilient on crosses.

Commodity markets were driven by shifting Middle East headlines, with Brent rising, WTI falling, gold declining on higher rate expectations amid renewed military action, and iron ore reversing recent gains as weaker fundamentals returned to focus.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.6	0.0%
AUD/USD	0.7169	-0.1%
AUD/JPY	114.19	0.2%
AUD/GBP	0.5331	0.3%
AUD/NZD	1.2281	0.5%
AUD/EUR	0.6162	0.0%
AUD/CNH	4.8629	-0.1%
AUD/SGD	0.9159	0.0%
AUD/HKD	5.6170	-0.1%
AUD/CAD	0.9900	0.0%
EUR/USD	1.1630	-0.1%
USD/JPY	159.30	0.2%
USD Index	99.15	-0.1%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.50	0.00
180 day BBSY	4.81	0.02
1 year swap	4.64	0.04
2 year swap	4.62	0.05
3 year swap	4.58	0.05
4 year swap	4.59	0.07
5 year swap	4.61	0.07
6 year swap	4.64	0.07
7 year swap	4.69	0.07
8 year swap	4.74	0.07
9 year swap	4.78	0.07
10 year swap	4.82	0.07

Equities	Close	Change
S&P/ASX 200	8,658	-0.4%
S&P 500	7,519	0.6%
Japan Nikkei	64,996	-0.2%
Hang Seng	25,599	0.0%
Euro Stoxx 50	6,064	-1.2%
UK FTSE100	10,491	0.2%
VIX Index	17.01	2.5%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.55	0.03
10 year bond	4.91	0.03
United States		
3-month T Bill	3.58	0.00
2 year bond	4.03	-0.09
10 year bond	4.48	-0.07
Other (10 year yields)		
Germany	2.98	0.03
Japan	2.73	0.02
UK	4.88	-0.02

Commodities	Current	Change
CRB Index	388.33	-1.1%
Gold	4507.88	-1.4%
Copper	13668	1.1%
Oil (WTI futures)	93.63	-3.1%
Coal (coking)	243.50	-1.4%
Coal (thermal)	142.80	2.1%
Iron Ore	105.10	-1.6%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	4.94	0.01
3 yr bond	4.57	0.01
3 mth bill rate	4.50	0.02
SPI 200	8,674	-0.1%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets were mixed overnight as optimism around a permanent deal to end US–Iran hostilities was offset by reports that US and Israeli jets conducted strikes on Iranian missile launch sites and vessels attempting to place mines in the Strait of Hormuz. US Central Command described the strikes as defensive, while Israeli Prime Minister Benjamin Netanyahu said Israel would intensify operations against Iran backed Hezbollah in Lebanon. These developments underscore the fragility of the ceasefire, while US Secretary of State Marco Rubio reiterated that President Trump would either secure a good deal or no deal at all.

- Equity markets were mixed across regions. In the US, stocks rebounded following the US Memorial Day holiday, with the S&P 500 rising 0.6% to a fresh high on optimism around a potential US–Iran agreement, led by gains in chipmakers. The NASDAQ gained 1.2%, while the Dow Jones underperformed, falling -0.2%.
- European markets were less convinced by the durability of a peace deal, with the Euro Stoxx 50 declining -1.2%. The FTSE 100 was more resilient, rising 0.2% to record its sixth consecutive daily gain. Asian markets were also mixed, with the KOSPI outperforming, up 2.6%, while the Hang Seng was flat and the Nikkei 225 fell -0.2%. Locally, the ASX 200 declined -0.4% as Middle East optimism faded.
- US bond markets rallied as Middle East optimism capped oil price gains, with the yield curve steepening. The 2 year yield fell 9bps and the 10 year declined 7bps. Futures markets are now pricing the first Fed rate hike by March 2027.
- Australian government bond yields rose across the curve following reports of US and Israeli strikes on Iranian assets. The 3 year and 10 year yields both increased 3bps, with swap markets pricing one full rate hike by November, taking the implied terminal cash rate for year end to 4.62%.
- FX markets saw modest USD weakness, with the DXY down -0.1%. The euro (-0.1%), sterling (-0.4%) and yen (-0.2%) all declined against the greenback, while the Australian dollar also eased -0.1% to 0.7169. The AUD performed better on crosses, although was little changed against the euro.
- Commodity markets were driven by shifting headlines out of the Middle East. Brent rose 3.6% to US$99.6/bbl, while Dated Brent remained at a premium at US$104/bbl, and WTI declined -3.1%. Gold fell -1.4% as renewed tensions lifted expectations for higher policy rates. Iron ore declined -1.6%, reversing the prior days gains alongside coking coal following a coal mine blast in China's Shanxi province, with weaker underlying fundamentals returning to focus.

Today's key data and events

Time	Event	Exp	Prev
10:30	AU Westpac-MI Leading Index Apr	-	-0.1%
11:30	AU Monthly CPI Indicator Apr	4.4%	4.6%
11:30	AU Construction Work Done Q1	0.8%	-0.1%
11:30	CN Industrial Profits Apr	-	15.8%
12:00	NZ RBNZ Policy Decision 27/05/2026	2.2%	2.2%
0:00	US Richmond Fed May	4pts	3pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The Conference Board Consumer Sentiment Survey suggested that US consumers became more pessimistic this month, breaking the trend of improving sentiment seen since the start of the year. The headline index eased from 93.8 to 93.1, leaving it below both its long-term average of 95.1 and last year's average of 96.1. Consumers' assessment of current economic conditions deteriorated slightly, though it remained well above historical norms, while the expectations index rose by one point to a five-month high. Assessment of labour market conditions also softened slightly from the prior month but remained broadly in line with recent readings.

New data from the regional Feds suggested some stabilisation in US economic momentum following the hit to activity from the Middle East war and higher energy prices. **The Chicago Fed Activity Index** – a composite measure based on 85 monthly indicators tracking US economic growth relative to trend – rose from -0.15 in March to 0.14 in April, driven by a rebound in production. In contrast, the personal consumption and housing, and labour market components were somewhat weaker. Meanwhile, **the Dallas Fed Manufacturing Outlook Index**, a survey of Texas business executives, returned to positive territory in May after two negative readings in March and April. The index rose to 0.4, its highest level in ten months and broadly consistent with its long-term average. The survey also pointed to rising underlying inflationary pressures, with prices paid for raw materials increasing to their highest level in eight months.

The latest March readings for the US house price indices again underscored the fragility of the housing market amid elevated interest rates and an uncertain economic outlook. The **FHFA House Price Index** rose just 0.1%mth, reversing a decline of the same magnitude in February, while the **S&P Cotality CS 20-City Index** fell for a second consecutive month, declining 0.2%mth. On a year-ended growth basis, the two indices rose 1.7%yr and 0.8%yr, respectively. For the FHFA measure, this marked the slowest annual growth pace since 2012.

Local Data

There was no top tier economic data to report.

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

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27 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets were mixed as optimism around a permanent US–Iran deal was offset by renewed military action described by the US as 'defensive', underscoring the fragility of the ceasefire.

Equity markets were mixed, with US stocks rising to fresh highs on US–Iran deal optimism, while Europe underperformed, Asia was mixed and the ASX 200 declined.

US bond markets rallied, with yields falling across the curve as Middle East optimism capped oil price gains.

The USD weakened modestly, with the AUD also declining against the greenback, though proving more resilient on crosses.

Commodity markets were driven by shifting Middle East headlines, with Brent rising, WTI falling, gold declining on higher rate expectations amid renewed military action, and iron ore reversing recent gains as weaker fundamentals returned to focus.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.6	0.0%
AUD/USD	0.7169	-0.1%
AUD/JPY	114.19	0.2%
AUD/GBP	0.5331	0.3%
AUD/NZD	1.2281	0.5%
AUD/EUR	0.6162	0.0%
AUD/CNH	4.8629	-0.1%
AUD/SGD	0.9159	0.0%
AUD/HKD	5.6170	-0.1%
AUD/CAD	0.9900	0.0%
EUR/USD	1.1630	-0.1%
USD/JPY	159.30	0.2%
USD Index	99.15	-0.1%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.50	0.00
180 day BBSY	4.81	0.02
1 year swap	4.64	0.04
2 year swap	4.62	0.05
3 year swap	4.58	0.05
4 year swap	4.59	0.07
5 year swap	4.61	0.07
6 year swap	4.64	0.07
7 year swap	4.69	0.07
8 year swap	4.74	0.07
9 year swap	4.78	0.07
10 year swap	4.82	0.07

Equities	Close	Change
S&P/ASX 200	8,658	-0.4%
S&P 500	7,519	0.6%
Japan Nikkei	64,996	-0.2%
Hang Seng	25,599	0.0%
Euro Stoxx 50	6,064	-1.2%
UK FTSE100	10,491	0.2%
VIX Index	17.01	2.5%

Commodities	Current	Change
CRB Index	388.33	-1.1%
Gold	4507.88	-1.4%
Copper	13668	1.1%
Oil (WTI futures)	93.63	-3.1%
Coal (coking)	243.50	-1.4%
Coal (thermal)	142.80	2.1%
Iron Ore	105.10	-1.6%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.55	0.03
10 year bond	4.91	0.03
United States		
3-month T Bill	3.58	0.00
2 year bond	4.03	-0.09
10 year bond	4.48	-0.07
Other (10 year yields)		
Germany	2.98	0.03
Japan	2.73	0.02
UK	4.88	-0.02

Sydney Futures Exchange	Current	Change
10 yr bond	4.94	0.01
3 yr bond	4.57	0.01
3 mth bill rate	4.50	0.02
SPI 200	8,674	-0.1%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets were mixed overnight as optimism around a permanent deal to end US–Iran hostilities was offset by reports that US and Israeli jets conducted strikes on Iranian missile launch sites and vessels attempting to place mines in the Strait of Hormuz. US Central Command described the strikes as defensive, while Israeli Prime Minister Benjamin Netanyahu said Israel would intensify operations against Iran backed Hezbollah in Lebanon. These developments underscore the fragility of the ceasefire, while US Secretary of State Marco Rubio reiterated that President Trump would either secure a good deal or no deal at all.

- Equity markets were mixed across regions. In the US, stocks rebounded following the US Memorial Day holiday, with the S&P 500 rising 0.6% to a fresh high on optimism around a potential US–Iran agreement, led by gains in chipmakers. The NASDAQ gained 1.2%, while the Dow Jones underperformed, falling -0.2%.
- European markets were less convinced by the durability of a peace deal, with the Euro Stoxx 50 declining -1.2%. The FTSE 100 was more resilient, rising 0.2% to record its sixth consecutive daily gain. Asian markets were also mixed, with the KOSPI outperforming, up 2.6%, while the Hang Seng was flat and the Nikkei 225 fell -0.2%. Locally, the ASX 200 declined -0.4% as Middle East optimism faded.
- US bond markets rallied as Middle East optimism capped oil price gains, with the yield curve steepening. The 2 year yield fell 9bps and the 10 year declined 7bps. Futures markets are now pricing the first Fed rate hike by March 2027.
- Australian government bond yields rose across the curve following reports of US and Israeli strikes on Iranian assets. The 3 year and 10 year yields both increased 3bps, with swap markets pricing one full rate hike by November, taking the implied terminal cash rate for year end to 4.62%.
- FX markets saw modest USD weakness, with the DXY down -0.1%. The euro (-0.1%), sterling (-0.4%) and yen (-0.2%) all declined against the greenback, while the Australian dollar also eased -0.1% to 0.7169. The AUD performed better on crosses, although was little changed against the euro.
- Commodity markets were driven by shifting headlines out of the Middle East. Brent rose 3.6% to US$99.6/bbl, while Dated Brent remained at a premium at US$104/bbl, and WTI declined -3.1%. Gold fell -1.4% as renewed tensions lifted expectations for higher policy rates. Iron ore declined -1.6%, reversing the prior days gains alongside coking coal following a coal mine blast in China's Shanxi province, with weaker underlying fundamentals returning to focus.

Today's key data and events

Time	Event	Exp	Prev
10:30	AU Westpac-MI Leading Index Apr	-	-0.1%
11:30	AU Monthly CPI Indicator Apr	4.4%	4.6%
11:30	AU Construction Work Done Q1	0.8%	-0.1%
11:30	CN Industrial Profits Apr	-	15.8%
12:00	NZ RBNZ Policy Decision 27/05/2026	2.2%	2.2%
0:00	US Richmond Fed May	4pts	3pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The Conference Board Consumer Sentiment Survey suggested that US consumers became more pessimistic this month, breaking the trend of improving sentiment seen since the start of the year. The headline index eased from 93.8 to 93.1, leaving it below both its long-term average of 95.1 and last year's average of 96.1. Consumers' assessment of current economic conditions deteriorated slightly, though it remained well above historical norms, while the expectations index rose by one point to a five-month high. Assessment of labour market conditions also softened slightly from the prior month but remained broadly in line with recent readings.

New data from the regional Feds suggested some stabilisation in US economic momentum following the hit to activity from the Middle East war and higher energy prices. **The Chicago Fed Activity Index** – a composite measure based on 85 monthly indicators tracking US economic growth relative to trend – rose from -0.15 in March to 0.14 in April, driven by a rebound in production. In contrast, the personal consumption and housing, and labour market components were somewhat weaker. Meanwhile, **the Dallas Fed Manufacturing Outlook Index**, a survey of Texas business executives, returned to positive territory in May after two negative readings in March and April. The index rose to 0.4, its highest level in ten months and broadly consistent with its long-term average. The survey also pointed to rising underlying inflationary pressures, with prices paid for raw materials increasing to their highest level in eight months.

The latest March readings for the US house price indices again underscored the fragility of the housing market amid elevated interest rates and an uncertain economic outlook. The **FHFA House Price Index** rose just 0.1%mth, reversing a decline of the same magnitude in February, while the **S&P Cotality CS 20-City Index** fell for a second consecutive month, declining 0.2%mth. On a year-ended growth basis, the two indices rose 1.7%yr and 0.8%yr, respectively. For the FHFA measure, this marked the slowest annual growth pace since 2012.

Local Data

There was no top tier economic data to report.

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

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What fiscal can learn from monetary

#australia #luciellis #interestrates #fiscalpolicy

By Luci Ellis
Chief Economist Westpac Group, Westpac

13:40 May 22 2026

Share

Perennial proposals on tax reform mostly take a micro view, but with careful design, the fiscal system can be a macro management tool.

- Much post-Budget focus is on who wins, who loses, and the micro-level incentives they face. Macroeconomic perspectives are mostly downplayed, partly out of a belief that fiscal policy is not suited for management of the business cycle.

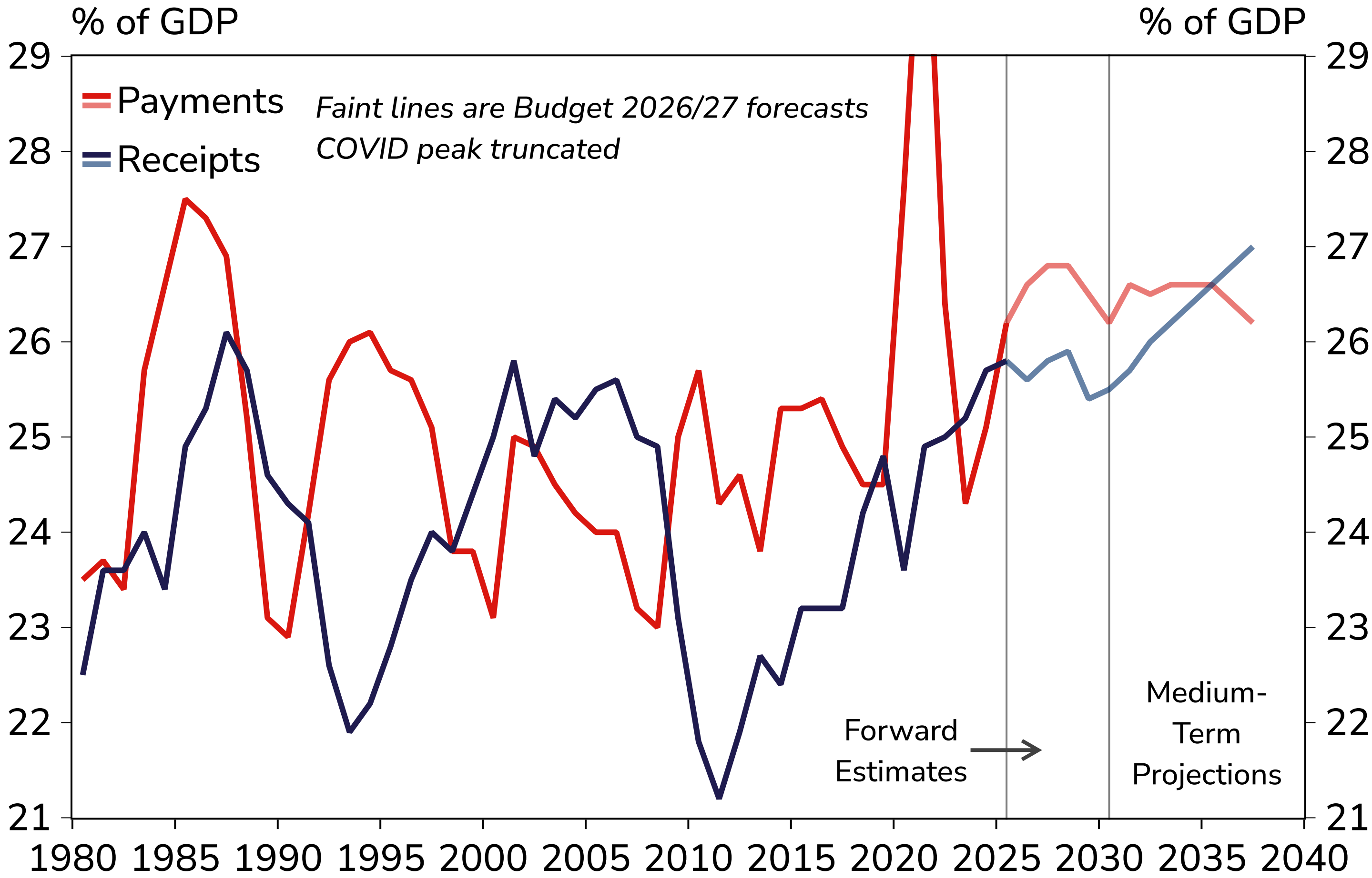
- Even taking the allocation of responsibilities – monetary policy for the business cycle and fiscal policy for microeconomic incentives – as given, fiscal policy can learn from monetary policy.
- One example is the way institutional arrangements were designed to reduce the 'time-inconsistency problem' in monetary policy, the temptation to boost demand and inflation to lower unemployment. A similar problem applies to fiscal policy. Projections of future outcomes assume that bracket creep will boost tax revenue to a degree that no government will actually go through with when the time comes.
- Indexation of tax brackets can be viewed as a kind of commitment device to reduce this inconsistency. Care must be taken, however, to ensure that the countercyclical features of a progressive tax system are not lost. This points to another lesson from monetary policy: there are benefits to some degree of automation.

This year's budget, with its focus on intergenerational distribution, will have significant effects on property and other asset markets, as well as on how many families manage their affairs. Even once they move beyond a pure winners-versus-losers framing, though, proponents of the changes and detractors alike are mostly thinking about fiscal policy like microeconomists. The emphasis is on efficiency and incentives across different activities and asset classes. Only rarely are macroeconomic perspectives, like the role of the fiscal system in managing the economic cycle, the focus.

The micro perspective stems from a deep-seated belief that fiscal policy cannot be used effectively to manage the macroeconomic cycle. Even though payments and other fiscal actions can affect demand immediately, the decision-making process is too slow, and prone to being politicised. And with many moving parts, a budget can be directed to other objectives. Best leave the macro side to monetary policy, goes the thinking. It has much faster decision-making cycles, and you can dedicate one instrument to one job.

Even if you take this allocation of responsibilities as given, though, there is plenty that fiscal policy can learn from monetary policy. One example is evident in the medium-term projections beyond the four-year 'forward estimates' horizon of the budget. These projections show a comforting upward trend in tax revenue as a share of GDP that closes the current deficit out in the 2030s. This is because the projections take current policy as given – including the tax brackets, which are fixed in dollar terms. There are some revenue measures as well, including the tax changes announced in last week's federal budget, but it is mostly bracket creep.

Federal Budget: Payments & Receipts



Source: Australian Department of the Treasury, Macrobond, Westpac Economics

The reality is that, by the time we get to the 2030s, future governments will have given some of that bracket creep back. They always do. The alternative is an ever-rising share of household income going to tax. This inconsistency between forecasts based on known policy and the outcomes that are likely to actually occur once we get there is analogous to the ‘time-inconsistency problem’ that is well known to analysts of monetary policy.

The ‘inconsistency’ is that monetary policymakers will always be tempted to ‘cheat’ on an inflation target, choosing a bit more inflation in the near term to get a bit less unemployment. Without some suitable institutional constraints, a central bank therefore cannot credibly commit to keep future inflation at the desired rate. Resolving this inconsistency is one of the reasons why independence of the central bank is seen as so important.

So too with fiscal policy. A government can project to close a fiscal deficit using the increasing revenue from bracket creep. But when the day comes, the temptation to moderate an ever-increasing tax burden is too great. Just as central banks cannot credibly pre-commit to hit inflation targets without independence, accountability or some contractual arrangement, governments cannot credibly commit to improving their finances via future bracket creep. (To be clear, budget deficits of the order of 1% of GDP are not a big deal in the scheme of things, especially compared with most other major economies.

But if your ostensible aim is to eliminate that deficit eventually, projections that assume full bracket creep are not credible indications that you will get there.)

Proposals to index tax brackets in some way can been seen in this context as a kind of pre-commitment device, much like independence and inflation targets are for monetary policy. Instead of giving periodic tax cuts but pretending you will not, bracket indexation legislates the unwind of bracket creep in a more mechanical way. It also avoids the risk that the usual decision and implementation lags end up seeing ad-hoc bracket adjustments arrive when the economy is hot and tax cuts are least needed.

Of course, medium-term projections formulated on this basis will look more alarming than the recent run of budget papers. The gap is more appearance than substance, however. Perhaps, though, this will bring forward the hard conversations about the appropriate size of government and the share of government spending in GDP. This share took a noticeable step up in the late 2010s and again since the pandemic. Bracket creep enabled this expansion in government payments without needing to raise taxes explicitly.

Plans to rein in NDIS spending should help avoid a further ramp-up in payments and the fiscal sustainability issues that would ensue. As we noted on Budget night, though, executing on these plans is crucial but far from assured.

This points to another lesson that fiscal policy can learn from monetary policy: that while a hard-and-fast policy rule is too rigid and too simplistic, there are benefits to some degree of automaticity, of counter-cyclicality by design. A progressive tax system like Australia's embeds countercyclicality. When the economy is growing quickly, incomes rise. More of people's income is then taxed at their top marginal rate and more people get pushed into higher tax brackets. This raises the share of income going to tax. As long as the revenue windfall is not automatically recycled as higher government spending, this effect dampens demand automatically. Targeted welfare systems help on this front, too. For the record, Australia's system is widely regarded as more targeted than most developed countries' systems.

Indexation of tax brackets, like periodic tax cuts, reduces the drag from bracket creep but can lose that countercyclical feature depending on how it is implemented. For this reason, we have previously argued that fixed indexation at 2.5% – the mid-point of the RBA's inflation target – is in most cases preferable to CPI indexation. (This point also applies to calculation of capital gains tax, administered prices and some payments as well as income tax brackets.) That way, when the economy is strong and inflation is high, the tax system still leans against inflation somewhat. The central bank does not have to shoulder the burden of macroeconomic management alone.

The political nature of fiscal policy means there will always be some level of 'consistency problem'. But careful design, including automation of some settings, can help address this. That in turn means fiscal policy can be more usefully used as a macroeconomic management tool, without risking the credibility of its medium-term sustainability.

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Cliff Notes: consumers wonder what's next

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By Elliot Clarke, Illiana Jain & Ryan Wells

11:34 May 22 2026

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Key insights from the week that was.

In Australia this week, the Westpac-MI Consumer Sentiment Index clawed back only a quarter of April's collapse, rising 3.5% to 83.0. This leaves sentiment at a deeply pessimistic level, reminiscent of the scars inflicted by the post-pandemic cost-of-living shock. The halving of fuel excise provided some relief in May, facilitating an improvement in views around family finances – the 'last 12 months' and 'next 12 months' sub-indices rising 9.0% and 10.7% respectively. However, a third consecutive cash rate increase left 85% of consumers bracing for further increases in mortgage rates over the coming year. Adding in the uncertainty created by the seemingly open-ended Middle East conflict and anxiety over the tax changes proposed in the Budget, it is not surprising views on the economic outlook for one and five years hence sit at a combined three-and-a-half year low.

April's labour force survey also points to an imminent slowing in economic momentum. Employment fell 18.6k, abruptly halting the uptrend that commenced early this year. The participation rate nudged 0.1ppt lower to 66.7%, but the unemployment rate still rose 0.2ppts to 4.5%, the highest reading since the 'delta' COVID-19 outbreak of late-2021. Some of the surprise can be explained by 'abnormal' seasonality around Easter and noise in youth outcomes, but genuine weakness is also evident just as the shocks associated with the Middle East conflict and 2026's rate increases reverberate through the wider economy.

Aware of the volatility of labour data, like us the RBA will probably expect some degree of payback next month. This week's data will give the RBA cause to pause in June. But we continue to expect them to raise the cash rate in August and September as energy costs are passed through and given their desire to keep inflation expectations anchored. The cash rate is then likely to remain on hold until 2028, when a return to near-target inflation will allow a reversal of this year's rate hikes.

In the US, the minutes of the April FOMC meeting primarily focused on the outlook for inflation. There was a lengthy discussion of potential upside risks to inflation, with the Middle East conflict's direct and indirect effect on prices, US tariffs and the strength of AI infrastructure investment all commented on. In contrast, participants were sanguine on the labour market, assessing there to be balance between labour demand and supply and limited downside risks. GDP growth was also expected to be solid this year, the staff forecasting momentum to hold just above trend. On policy, members indicated that, if they see evidence of disinflation being back on track or the labour market weakening, easing could be considered. A "majority of participants highlighted, however, that some policy firming would likely become appropriate if inflation were to continue to run persistently above 2 percent".

Over in Europe, Euro Area CPI inflation met expectations in April, prices rising 1.0% in the month, lifting annual inflation from 2.6%yr to 3.0%yr. Core inflation was elevated in the month, but remained close to the 2.0%yr medium-term target on an annual basis. Gains were broad-based across the different categories, but transport contributed the most. UK annual CPI inflation meanwhile moderated from 3.3%yr in March to 2.8%yr in April as prices rose 0.7% in the month. The deceleration in inflation came from several discretionary goods categories including clothing and furniture. Core CPI inflation rose 2.5%yr in the month, down from 3.1%yr in March. Comments from Bank of England Governor Bailey noted the monetary policy committee has time to assess the impacts of the war, having already effectively tightened by removing the expectations of a cut set at the start of the year.

Also in the UK, employment rose by 148k over the three months to March while the unemployment rate eased to 5.0% for the same period. While on the surface this may paint a rosy picture, signs of labour market softening are starting to emerge. The unemployment rate for March rose to 5.5% and the number of payrolled employees fell 100k in April. Wages growth excluding volatile bonuses moderated from to 3.4%yr from 3.6%yr previously and, for the private sector only, underlying wage growth is a considerably more modest 3.0%yr.

Turning to Asia, China's partial indicators for April again highlighted a need for stimulus. Retail sales growth slowed sharply to 0.2%yr in April from 1.7%yr in March, a post-pandemic low, as reduced government subsidies weighed heavily on car and household appliance sales. Fixed asset investment fell 1.6%ytd driven by the private sector. Having improved in recent months, the decline in property investment accelerated again in April to -13.7%ytd. Industrial production growth also slowed from 5.7%yr to 4.1%yr in April, suggesting supply disruptions related to the Middle East are beginning to be felt. This is a risk for the entire Asian region for both activity and inflation, and a particular challenge for policy makers coming at a time of surging strength in tech-related production and investment.

Closing with the Middle East conflict. Iran has said the latest proposal from the US partly bridges the gap between the two sides, but comments from Supreme Leader Khamenei about keeping Tehran's uranium stockpile and a dispute over tolls in the Strait of Hormuz suggests a deal remains some way off. President Trump also said he opposes efforts by Iran and Oman to establish some form of permanent toll system for the Strait of Hormuz: "We want it open, we want it free, we don't want tolls".

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The USD weakened modestly, with the AUD also declining against the greenback, though proving more resilient on crosses.

Commodity markets were driven by shifting Middle East headlines, with Brent rising, WTI falling, gold declining on higher rate expectations amid renewed military action, and iron ore reversing recent gains as weaker fundamentals returned to focus.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.6	0.0%
AUD/USD	0.7169	-0.1%
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USD Index	99.15	-0.1%

AUS Interest Rate Swaps	Last	Change
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Equities	Close	Change
S&P/ASX 200	8,658	-0.4%
S&P 500	7,519	0.6%
Japan Nikkei	64,996	-0.2%
Hang Seng	25,599	0.0%
Euro Stoxx 50	6,064	-1.2%
UK FTSE100	10,491	0.2%
VIX Index	17.01	2.5%

Commodities	Current	Change
CRB Index	388.33	-1.1%
Gold	4507.88	-1.4%
Copper	13668	1.1%
Oil (WTI futures)	93.63	-3.1%
Coal (coking)	243.50	-1.4%
Coal (thermal)	142.80	2.1%
Iron Ore	105.10	-1.6%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.55	0.03
10 year bond	4.91	0.03
United States		
3-month T Bill	3.58	0.00
2 year bond	4.03	-0.09
10 year bond	4.48	-0.07
Other (10 year yields)		
Germany	2.98	0.03
Japan	2.73	0.02
UK	4.88	-0.02

Sydney Futures Exchange	Current	Change
10 yr bond	4.94	0.01
3 yr bond	4.57	0.01
3 mth bill rate	4.50	0.02
SPI 200	8,674	-0.1%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets were mixed overnight as optimism around a permanent deal to end US–Iran hostilities was offset by reports that US and Israeli jets conducted strikes on Iranian missile launch sites and vessels attempting to place mines in the Strait of Hormuz. US Central Command described the strikes as defensive, while Israeli Prime Minister Benjamin Netanyahu said Israel would intensify operations against Iran backed Hezbollah in Lebanon. These developments underscore the fragility of the ceasefire, while US Secretary of State Marco Rubio reiterated that President Trump would either secure a good deal or no deal at all.

- Equity markets were mixed across regions. In the US, stocks rebounded following the US Memorial Day holiday, with the S&P 500 rising 0.6% to a fresh high on optimism around a potential US–Iran agreement, led by gains in chipmakers. The NASDAQ gained 1.2%, while the Dow Jones underperformed, falling -0.2%.
- European markets were less convinced by the durability of a peace deal, with the Euro Stoxx 50 declining -1.2%. The FTSE 100 was more resilient, rising 0.2% to record its sixth consecutive daily gain. Asian markets were also mixed, with the KOSPI outperforming, up 2.6%, while the Hang Seng was flat and the Nikkei 225 fell -0.2%. Locally, the ASX 200 declined -0.4% as Middle East optimism faded.
- US bond markets rallied as Middle East optimism capped oil price gains, with the yield curve steepening. The 2 year yield fell 9bps and the 10 year declined 7bps. Futures markets are now pricing the first Fed rate hike by March 2027.
- Australian government bond yields rose across the curve following reports of US and Israeli strikes on Iranian assets. The 3 year and 10 year yields both increased 3bps, with swap markets pricing one full rate hike by November, taking the implied terminal cash rate for year end to 4.62%.
- FX markets saw modest USD weakness, with the DXY down -0.1%. The euro (-0.1%), sterling (-0.4%) and yen (-0.2%) all declined against the greenback, while the Australian dollar also eased -0.1% to 0.7169. The AUD performed better on crosses, although was little changed against the euro.
- Commodity markets were driven by shifting headlines out of the Middle East. Brent rose 3.6% to US$99.6/bbl, while Dated Brent remained at a premium at US$104/bbl, and WTI declined -3.1%. Gold fell -1.4% as renewed tensions lifted expectations for higher policy rates. Iron ore declined -1.6%, reversing the prior days gains alongside coking coal following a coal mine blast in China's Shanxi province, with weaker underlying fundamentals returning to focus.

Today's key data and events

Time	Event	Exp	Prev
10:30	AU Westpac-MI Leading Index Apr	-	-0.1%
11:30	AU Monthly CPI Indicator Apr	4.4%	4.6%
11:30	AU Construction Work Done Q1	0.8%	-0.1%
11:30	CN Industrial Profits Apr	-	15.8%
12:00	NZ RBNZ Policy Decision 27/05/2026	2.2%	2.2%
0:00	US Richmond Fed May	4pts	3pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The Conference Board Consumer Sentiment Survey suggested that US consumers became more pessimistic this month, breaking the trend of improving sentiment seen since the start of the year. The headline index eased from 93.8 to 93.1, leaving it below both its long-term average of 95.1 and last year's average of 96.1. Consumers' assessment of current economic conditions deteriorated slightly, though it remained well above historical norms, while the expectations index rose by one point to a five-month high. Assessment of labour market conditions also softened slightly from the prior month but remained broadly in line with recent readings.

New data from the regional Feds suggested some stabilisation in US economic momentum following the hit to activity from the Middle East war and higher energy prices. **The Chicago Fed Activity Index** – a composite measure based on 85 monthly indicators tracking US economic growth relative to trend – rose from -0.15 in March to 0.14 in April, driven by a rebound in production. In contrast, the personal consumption and housing, and labour market components were somewhat weaker. Meanwhile, **the Dallas Fed Manufacturing Outlook Index**, a survey of Texas business executives, returned to positive territory in May after two negative readings in March and April. The index rose to 0.4, its highest level in ten months and broadly consistent with its long-term average. The survey also pointed to rising underlying inflationary pressures, with prices paid for raw materials increasing to their highest level in eight months.

The latest March readings for the US house price indices again underscored the fragility of the housing market amid elevated interest rates and an uncertain economic outlook. The **FHFA House Price Index** rose just 0.1%mth, reversing a decline of the same magnitude in February, while the **S&P Cotality CS 20-City Index** fell for a second consecutive month, declining 0.2%mth. On a year-ended growth basis, the two indices rose 1.7%yr and 0.8%yr, respectively. For the FHFA measure, this marked the slowest annual growth pace since 2012.

Local Data

There was no top tier economic data to report.

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ
westpaciq.com.au

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Japan Nikkei	64,996	-0.2%
Hang Seng	25,599	0.0%
Euro Stoxx 50	6,064	-1.2%
UK FTSE100	10,491	0.2%
VIX Index	17.01	2.5%

Commodities	Current	Change
CRB Index	388.33	-1.1%
Gold	4507.88	-1.4%
Copper	13668	1.1%
Oil (WTI futures)	93.63	-3.1%
Coal (coking)	243.50	-1.4%
Coal (thermal)	142.80	2.1%
Iron Ore	105.10	-1.6%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.55	0.03
10 year bond	4.91	0.03
United States		
3-month T Bill	3.58	0.00
2 year bond	4.03	-0.09
10 year bond	4.48	-0.07
Other (10 year yields)		
Germany	2.98	0.03
Japan	2.73	0.02
UK	4.88	-0.02

Sydney Futures Exchange	Current	Change
10 yr bond	4.94	0.01
3 yr bond	4.57	0.01
3 mth bill rate	4.50	0.02
SPI 200	8,674	-0.1%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets were mixed overnight as optimism around a permanent deal to end US–Iran hostilities was offset by reports that US and Israeli jets conducted strikes on Iranian missile launch sites and vessels attempting to place mines in the Strait of Hormuz. US Central Command described the strikes as defensive, while Israeli Prime Minister Benjamin Netanyahu said Israel would intensify operations against Iran backed Hezbollah in Lebanon. These developments underscore the fragility of the ceasefire, while US Secretary of State Marco Rubio reiterated that President Trump would either secure a good deal or no deal at all.

- Equity markets were mixed across regions. In the US, stocks rebounded following the US Memorial Day holiday, with the S&P 500 rising 0.6% to a fresh high on optimism around a potential US–Iran agreement, led by gains in chipmakers. The NASDAQ gained 1.2%, while the Dow Jones underperformed, falling -0.2%.
- European markets were less convinced by the durability of a peace deal, with the Euro Stoxx 50 declining -1.2%. The FTSE 100 was more resilient, rising 0.2% to record its sixth consecutive daily gain. Asian markets were also mixed, with the KOSPI outperforming, up 2.6%, while the Hang Seng was flat and the Nikkei 225 fell -0.2%. Locally, the ASX 200 declined -0.4% as Middle East optimism faded.
- US bond markets rallied as Middle East optimism capped oil price gains, with the yield curve steepening. The 2 year yield fell 9bps and the 10 year declined 7bps. Futures markets are now pricing the first Fed rate hike by March 2027.
- Australian government bond yields rose across the curve following reports of US and Israeli strikes on Iranian assets. The 3 year and 10 year yields both increased 3bps, with swap markets pricing one full rate hike by November, taking the implied terminal cash rate for year end to 4.62%.
- FX markets saw modest USD weakness, with the DXY down -0.1%. The euro (-0.1%), sterling (-0.4%) and yen (-0.2%) all declined against the greenback, while the Australian dollar also eased -0.1% to 0.7169. The AUD performed better on crosses, although was little changed against the euro.
- Commodity markets were driven by shifting headlines out of the Middle East. Brent rose 3.6% to US$99.6/bbl, while Dated Brent remained at a premium at US$104/bbl, and WTI declined -3.1%. Gold fell -1.4% as renewed tensions lifted expectations for higher policy rates. Iron ore declined -1.6%, reversing the prior days gains alongside coking coal following a coal mine blast in China's Shanxi province, with weaker underlying fundamentals returning to focus.

Today's key data and events

Time	Event	Exp	Prev
10:30	AU Westpac-MI Leading Index Apr	-	-0.1%
11:30	AU Monthly CPI Indicator Apr	4.4%	4.6%
11:30	AU Construction Work Done Q1	0.8%	-0.1%
11:30	CN Industrial Profits Apr	-	15.8%
12:00	NZ RBNZ Policy Decision 27/05/2026	2.2%	2.2%
0:00	US Richmond Fed May	4pts	3pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The Conference Board Consumer Sentiment Survey suggested that US consumers became more pessimistic this month, breaking the trend of improving sentiment seen since the start of the year. The headline index eased from 93.8 to 93.1, leaving it below both its long-term average of 95.1 and last year's average of 96.1. Consumers' assessment of current economic conditions deteriorated slightly, though it remained well above historical norms, while the expectations index rose by one point to a five-month high. Assessment of labour market conditions also softened slightly from the prior month but remained broadly in line with recent readings.

New data from the regional Feds suggested some stabilisation in US economic momentum following the hit to activity from the Middle East war and higher energy prices. **The Chicago Fed Activity Index** – a composite measure based on 85 monthly indicators tracking US economic growth relative to trend – rose from -0.15 in March to 0.14 in April, driven by a rebound in production. In contrast, the personal consumption and housing, and labour market components were somewhat weaker. Meanwhile, **the Dallas Fed Manufacturing Outlook Index**, a survey of Texas business executives, returned to positive territory in May after two negative readings in March and April. The index rose to 0.4, its highest level in ten months and broadly consistent with its long-term average. The survey also pointed to rising underlying inflationary pressures, with prices paid for raw materials increasing to their highest level in eight months.

The latest March readings for the US house price indices again underscored the fragility of the housing market amid elevated interest rates and an uncertain economic outlook. The **FHFA House Price Index** rose just 0.1%mth, reversing a decline of the same magnitude in February, while the **S&P Cotality CS 20-City Index** fell for a second consecutive month, declining 0.2%mth. On a year-ended growth basis, the two indices rose 1.7%yr and 0.8%yr, respectively. For the FHFA measure, this marked the slowest annual growth pace since 2012.

Local Data

There was no top tier economic data to report.

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

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Cliff Notes: AI goes from strength to strength

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Elliot Clarke & Ryan Wells

11:00 May 29 2026

Share

Key insights from the week that was.

Australia's main market event this week was the April CPI which came in slightly below consensus on a headline basis (0.4%, 4.2%yr). Volatile, policy-driven components related to travel drove the outcome – the Federal Government's temporary halving of fuel excise and some state governments offering free public transport, while cancelled flights and refunds for holiday travel provided a partial offset. These dynamics were also the main factors behind household spending's April decline.

Trimmed mean inflation meanwhile met expectations (0.3%, 3.4%yr). Pass-through of higher fuel costs is evident in some areas – home-building costs registered its strongest monthly gain since November 2023. However, the pass-through is not unfolding as rapidly as we initially feared. While April's outcome will give the RBA space to pause and assess in June, the risk of a larger and faster pass-through in coming months is material. We believe the RBA will feel compelled to resume raising the cash rate in the second half of the year as these risks crystalise.

In the run-up to Q1 GDP next Wednesday, we also received two partial indicators for investment.

Construction activity rose 3.4% in Q1, pushing annual growth to 6.3%yr. This outsized gain was mostly driven by a large mining infrastructure installation in WA – lumpy completions like these have a much smaller impact on National Accounts estimates which are reported on an accrual basis. Activity was weak elsewhere, residential construction dipping 0.6% despite a solid project pipeline, and public infrastructure works trending lower, down –3.2%.

Private CAPEX subsequently surprised to the upside, surging 6.5% in Q1 to be up 14.6% over the year. Data centres were responsible for almost all the increase: machinery and equipment spending in the information and telecommunications sector almost tripling (+196%) in Q1 alone. It should be noted that the net impact on GDP will be limited given the high import component of the data centre build-out. The second estimate of 2026/27 CAPEX plans provided an upgrade; adjusting for inflation, real investment intentions remained resilient as the Middle East conflict began.

While these headline estimates have their caveats, the underlying detail suggests there is some modest upside risk to Q1 GDP. Our preview will be published later today on Westpac IQ.

This week's offshore data provided little fresh signal and, for the market, paled in significance to perceived progress towards a truce in the Middle East. Intermediated negotiations between the US and Iran continued throughout the week despite several US strikes on Iranian military assets in the Strait, which were perceived to be active threats to shipping and dealt with. The successful transiting of several ships was instead focused upon as evidence to an end to the conflict was near. Having tested the top of 2026's range early last week, circa US$110 per barrel, the price of Brent crude has since fallen to around US$94.

As we go to press, reports suggest a 60-day ceasefire has been agreed to by the US and Iran, but this time it includes a full resumption of shipping through the Strait within a month. The intent is to allow supply of energy and other goods to resume, alleviating stress on the Iranian and global economy, while negotiations continue over Tehran's nuclear program. President Trump still needs to agree to the deal, however. And, further ahead, while November's US mid-term elections will, if necessary, arguably warrant an extension of the ceasefire to year end, the complexity and significance of the nuclear negotiations could see the conflict flare again in 2027. For the foreseeable future, the price of oil and downstream margins are likely to depend not only on the current balance of physical demand and supply, but also a heightened awareness of political risk.

Of this week's US data, releases related to the consumer were most notable. The second estimate for

US GDP was revised down from 2.0% annualised to 1.6%, in large part due to weaker consumption growth. At 1.4% annualised, the current consumer pulse is well below the historic trend circa 2.5% and looks to be entrenched – real personal consumption up just 0.1% in April as wage growth failed to keep pace with inflation (0.2%). Housing is also clearly under pressure, S&P Cotality house prices falling for a second consecutive month (-0.2%, +0.8%yr), and new home sales down 6.2% in April after March's gain was halved from 7.4% to 3.4%.

FOMC members prioritising inflation risks is notable given the subdued pulse for housing demand. While market participants have been debating the probability of a fed funds rate hike(s) over the coming year, for activity it is the implications for the long end of the yield curve that matter most. The FOMC may find they do not need to hike, as we currently forecast, because inflation risks and fiscal uncertainty result in a modest uptrend in the US 10-year yield. Since mid-April, the US 10-year has risen as much as 40bps to 4.67% because of these factors. Now at 4.44%, we see it rising to 4.75% by mid-2028.

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27 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets were mixed as optimism around a permanent US–Iran deal was offset by renewed military action described by the US as 'defensive', underscoring the fragility of the ceasefire.

Equity markets were mixed, with US stocks rising to fresh highs on US–Iran deal optimism, while Europe underperformed, Asia was mixed and the ASX 200 declined.

US bond markets rallied, with yields falling across the curve as Middle East optimism capped oil price gains.

The USD weakened modestly, with the AUD also declining against the greenback, though proving more resilient on crosses.

Commodity markets were driven by shifting Middle East headlines, with Brent rising, WTI falling, gold declining on higher rate expectations amid renewed military action, and iron ore reversing recent gains as weaker fundamentals returned to focus.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.6	0.0%
AUD/USD	0.7169	-0.1%
AUD/JPY	114.19	0.2%
AUD/GBP	0.5331	0.3%
AUD/NZD	1.2281	0.5%
AUD/EUR	0.6162	0.0%
AUD/CNH	4.8629	-0.1%
AUD/SGD	0.9159	0.0%
AUD/HKD	5.6170	-0.1%
AUD/CAD	0.9900	0.0%
EUR/USD	1.1630	-0.1%
USD/JPY	159.30	0.2%
USD Index	99.15	-0.1%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.50	0.00
180 day BBSY	4.81	0.02
1 year swap	4.64	0.04
2 year swap	4.62	0.05
3 year swap	4.58	0.05
4 year swap	4.59	0.07
5 year swap	4.61	0.07
6 year swap	4.64	0.07
7 year swap	4.69	0.07
8 year swap	4.74	0.07
9 year swap	4.78	0.07
10 year swap	4.82	0.07

Equities	Close	Change
S&P/ASX 200	8,658	-0.4%
S&P 500	7,519	0.6%
Japan Nikkei	64,996	-0.2%
Hang Seng	25,599	0.0%
Euro Stoxx 50	6,064	-1.2%
UK FTSE100	10,491	0.2%
VIX Index	17.01	2.5%

Commodities	Current	Change
CRB Index	388.33	-1.1%
Gold	4507.88	-1.4%
Copper	13668	1.1%
Oil (WTI futures)	93.63	-3.1%
Coal (coking)	243.50	-1.4%
Coal (thermal)	142.80	2.1%
Iron Ore	105.10	-1.6%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.55	0.03
10 year bond	4.91	0.03
United States		
3-month T Bill	3.58	0.00
2 year bond	4.03	-0.09
10 year bond	4.48	-0.07
Other (10 year yields)		
Germany	2.98	0.03
Japan	2.73	0.02
UK	4.88	-0.02

Sydney Futures Exchange	Current	Change
10 yr bond	4.94	0.01
3 yr bond	4.57	0.01
3 mth bill rate	4.50	0.02
SPI 200	8,674	-0.1%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets were mixed overnight as optimism around a permanent deal to end US–Iran hostilities was offset by reports that US and Israeli jets conducted strikes on Iranian missile launch sites and vessels attempting to place mines in the Strait of Hormuz. US Central Command described the strikes as defensive, while Israeli Prime Minister Benjamin Netanyahu said Israel would intensify operations against Iran backed Hezbollah in Lebanon. These developments underscore the fragility of the ceasefire, while US Secretary of State Marco Rubio reiterated that President Trump would either secure a good deal or no deal at all.

- Equity markets were mixed across regions. In the US, stocks rebounded following the US Memorial Day holiday, with the S&P 500 rising 0.6% to a fresh high on optimism around a potential US–Iran agreement, led by gains in chipmakers. The NASDAQ gained 1.2%, while the Dow Jones underperformed, falling -0.2%.
- European markets were less convinced by the durability of a peace deal, with the Euro Stoxx 50 declining -1.2%. The FTSE 100 was more resilient, rising 0.2% to record its sixth consecutive daily gain. Asian markets were also mixed, with the KOSPI outperforming, up 2.6%, while the Hang Seng was flat and the Nikkei 225 fell -0.2%. Locally, the ASX 200 declined -0.4% as Middle East optimism faded.
- US bond markets rallied as Middle East optimism capped oil price gains, with the yield curve steepening. The 2 year yield fell 9bps and the 10 year declined 7bps. Futures markets are now pricing the first Fed rate hike by March 2027.
- Australian government bond yields rose across the curve following reports of US and Israeli strikes on Iranian assets. The 3 year and 10 year yields both increased 3bps, with swap markets pricing one full rate hike by November, taking the implied terminal cash rate for year end to 4.62%.
- FX markets saw modest USD weakness, with the DXY down -0.1%. The euro (-0.1%), sterling (-0.4%) and yen (-0.2%) all declined against the greenback, while the Australian dollar also eased -0.1% to 0.7169. The AUD performed better on crosses, although was little changed against the euro.
- Commodity markets were driven by shifting headlines out of the Middle East. Brent rose 3.6% to US$99.6/bbl, while Dated Brent remained at a premium at US$104/bbl, and WTI declined -3.1%. Gold fell -1.4% as renewed tensions lifted expectations for higher policy rates. Iron ore declined -1.6%, reversing the prior days gains alongside coking coal following a coal mine blast in China's Shanxi province, with weaker underlying fundamentals returning to focus.

Today's key data and events

Time	Event	Exp	Prev
10:30	AU Westpac-MI Leading Index Apr	-	-0.1%
11:30	AU Monthly CPI Indicator Apr	4.4%	4.6%
11:30	AU Construction Work Done Q1	0.8%	-0.1%
11:30	CN Industrial Profits Apr	-	15.8%
12:00	NZ RBNZ Policy Decision 27/05/2026	2.2%	2.2%
0:00	US Richmond Fed May	4pts	3pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The Conference Board Consumer Sentiment Survey suggested that US consumers became more pessimistic this month, breaking the trend of improving sentiment seen since the start of the year. The headline index eased from 93.8 to 93.1, leaving it below both its long-term average of 95.1 and last year's average of 96.1. Consumers' assessment of current economic conditions deteriorated slightly, though it remained well above historical norms, while the expectations index rose by one point to a five-month high. Assessment of labour market conditions also softened slightly from the prior month but remained broadly in line with recent readings.

New data from the regional Feds suggested some stabilisation in US economic momentum following the hit to activity from the Middle East war and higher energy prices. **The Chicago Fed Activity Index** – a composite measure based on 85 monthly indicators tracking US economic growth relative to trend – rose from -0.15 in March to 0.14 in April, driven by a rebound in production. In contrast, the personal consumption and housing, and labour market components were somewhat weaker. Meanwhile, **the Dallas Fed Manufacturing Outlook Index**, a survey of Texas business executives, returned to positive territory in May after two negative readings in March and April. The index rose to 0.4, its highest level in ten months and broadly consistent with its long-term average. The survey also pointed to rising underlying inflationary pressures, with prices paid for raw materials increasing to their highest level in eight months.

The latest March readings for the US house price indices again underscored the fragility of the housing market amid elevated interest rates and an uncertain economic outlook. The **FHFA House Price Index** rose just 0.1%mth, reversing a decline of the same magnitude in February, while the **S&P Cotality CS 20-City Index** fell for a second consecutive month, declining 0.2%mth. On a year-ended growth basis, the two indices rose 1.7%yr and 0.8%yr, respectively. For the FHFA measure, this marked the slowest annual growth pace since 2012.

Local Data

There was no top tier economic data to report.

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

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Mining masks weakening construction, sharpening the RBA trade-off

#australia #construction

By Pat Bustamante
Senior Economist, Westpac

15:23 May 27 2026

Share

Construction activity grew a strong 3.4% over the March quarter 2026, to be 6.3% higher in year-ended terms.

Construction activity grew a strong 3.4% over the March quarter 2026, to be 6.3% higher in year-ended terms. This was stronger than the gain of 1.0%qtr expected by Westpac Economics and 0.8%qtr expected by the market.

However, the headline figure was inflated by the installation of a floating production unit for the Scarborough Energy Project in WA. Importantly, this investment would have already largely been reflected in National Accounts mining investment outcomes as progress payments were made. Construction work done is recorded on a different value of work done/installed basis and is therefore lumpier than business investment.

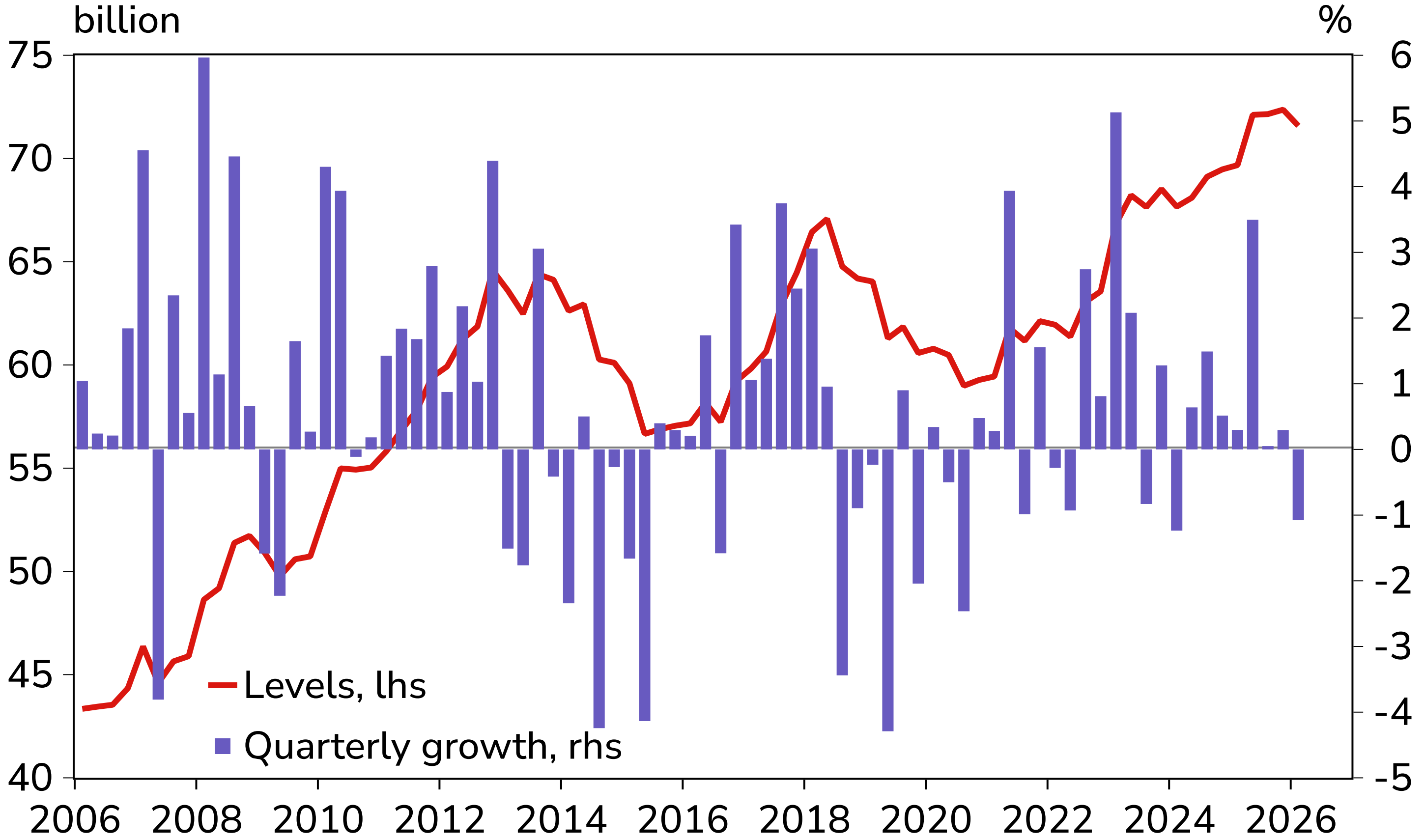
Outside of this, construction work done disappointed, falling around 1.0%qtr. The big surprise was the 0.6%qtr fall in residential construction over the quarter, with public infrastructure work also continuing to slide, down 3.2%qtr in Q1 2026 and almost 6.0%yr.

Despite the fall in residential construction, construction cost pressures accelerated over the quarter. This underscores the RBA's difficult balancing act and the worsening trade-off between inflation and real activity given the global supply shock. Last week's Westpac-Now final estimate for Q1 2026 suggests that this trade-off will widen further in Q2 2026.

As we anticipated, this was offset by a 2.5%qtr increase in non-residential building, which was most likely driven by construction of data centre structures.

Underlying construction work done

Excludes WA Engineering construction. Chain Volume, $bn.



Source: ABS, Macrobond, Westpac Economics

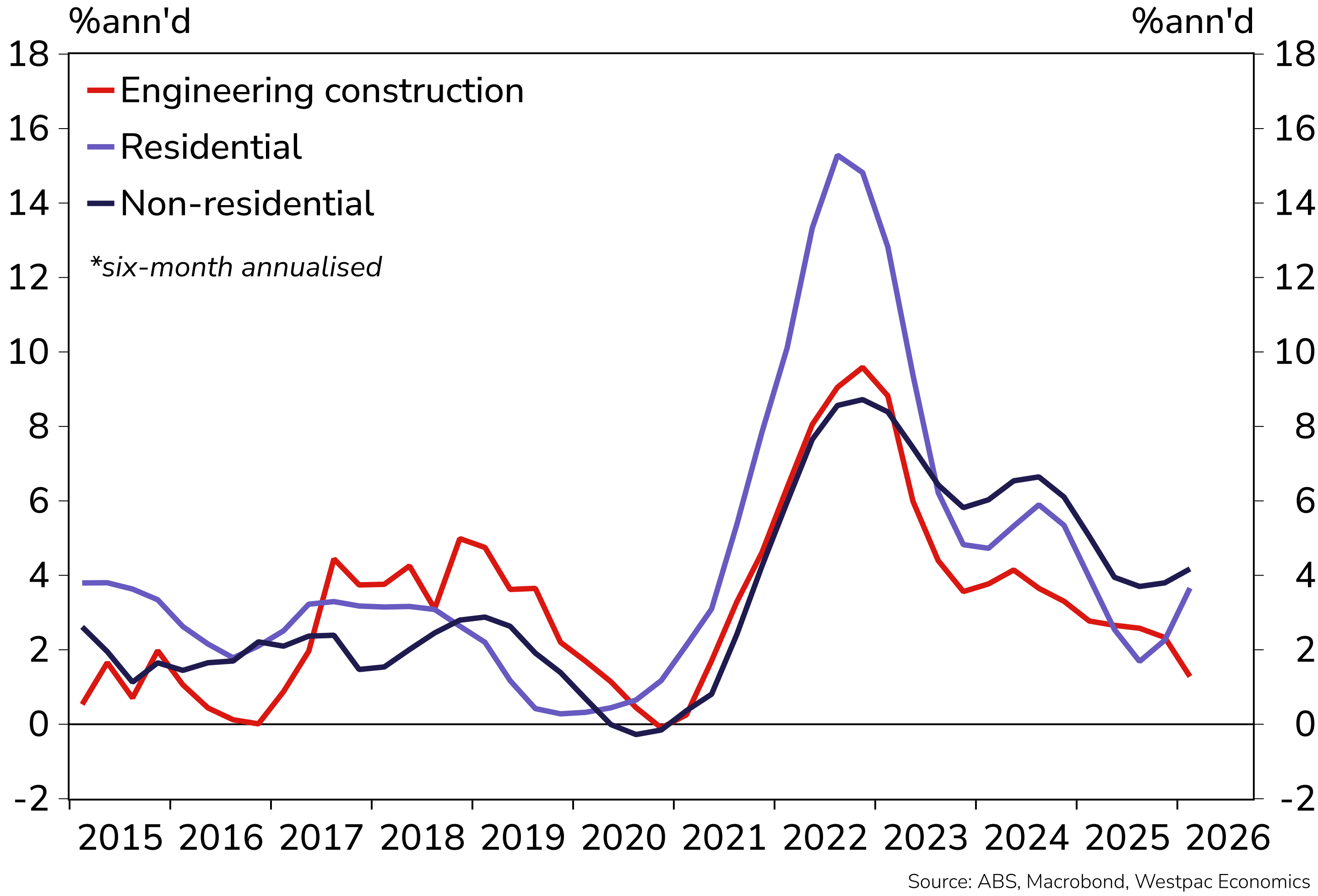
What does this mean for the National Accounts?

Today's release is the first of a set of partials which will feed into next week's March quarter 2026 National Accounts. **While the headline numbers suggest upside risks for the Q1 GDP outcome, this is not the case.** If anything, today's numbers alone point to weaker growth. Today's construction work data is recorded on a value of work done/installed basis. This means capital expenditure on machinery, equipment and structures is allocated to the quarter in which the capital items are ready for use. On the other hand, the National Accounts are based on 'progress payments', where the value of the investment is recorded incrementally as the project progresses, not just when the project is complete.

What about inflationary pressures?

Cost pressures picked up to be above the pre-pandemic decade average, with residential and non-residential deflators up 3.7% and 4.2% in six-month annualised terms, respectively. This is consistent with the April 2026 CPI data, which shows clearer evidence of pass-through of upstream costs for home building activity, notwithstanding the pull in activity we saw over the quarter. Engineering construction costs are growing at around pre-pandemic rates, consistent with the significant pullback in public infrastructure works.

Costs pressures increase as supply expands



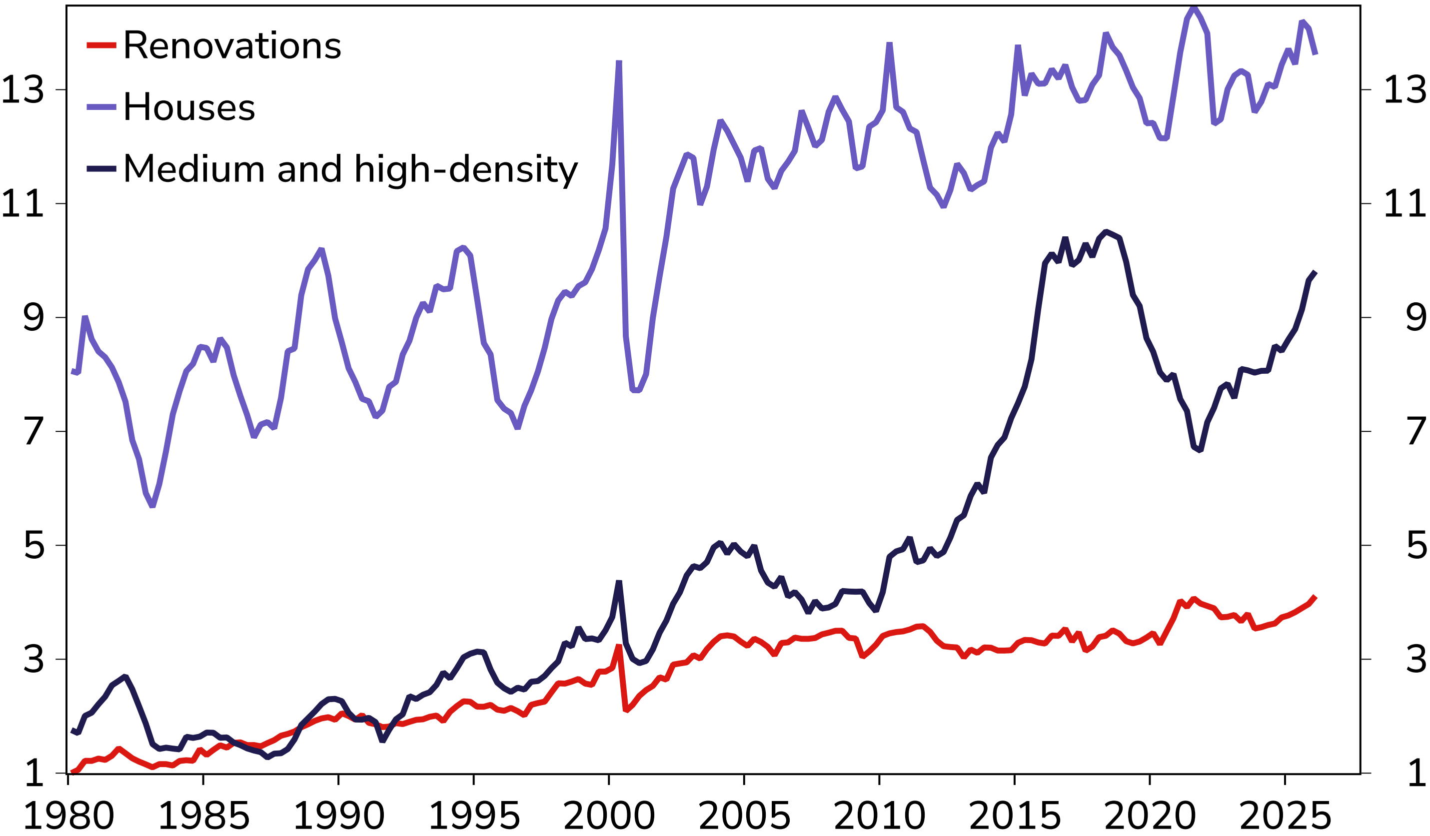
The detail

The big surprise was the 0.6%qtr fall in **residential construction** over the quarter, driven by a 1.3%qtr decline in the construction of new dwellings. New dwelling construction was 5.0% higher over the year to Q1 2026, down from 8.7%yr in Q4 2025, indicating that the expansion in residential construction is starting to fade.

On the other hand, renovation activity grew a strong 3.7%qtr, to be a solid 9.4% higher in year-ended terms, returning to levels seen after the pandemic when the HomeBuilder program supported renovation activity.

Residential construction unexpectedly declined

Chain Volume, $bn



Source: ABS, Macrobond, Westpac Economics

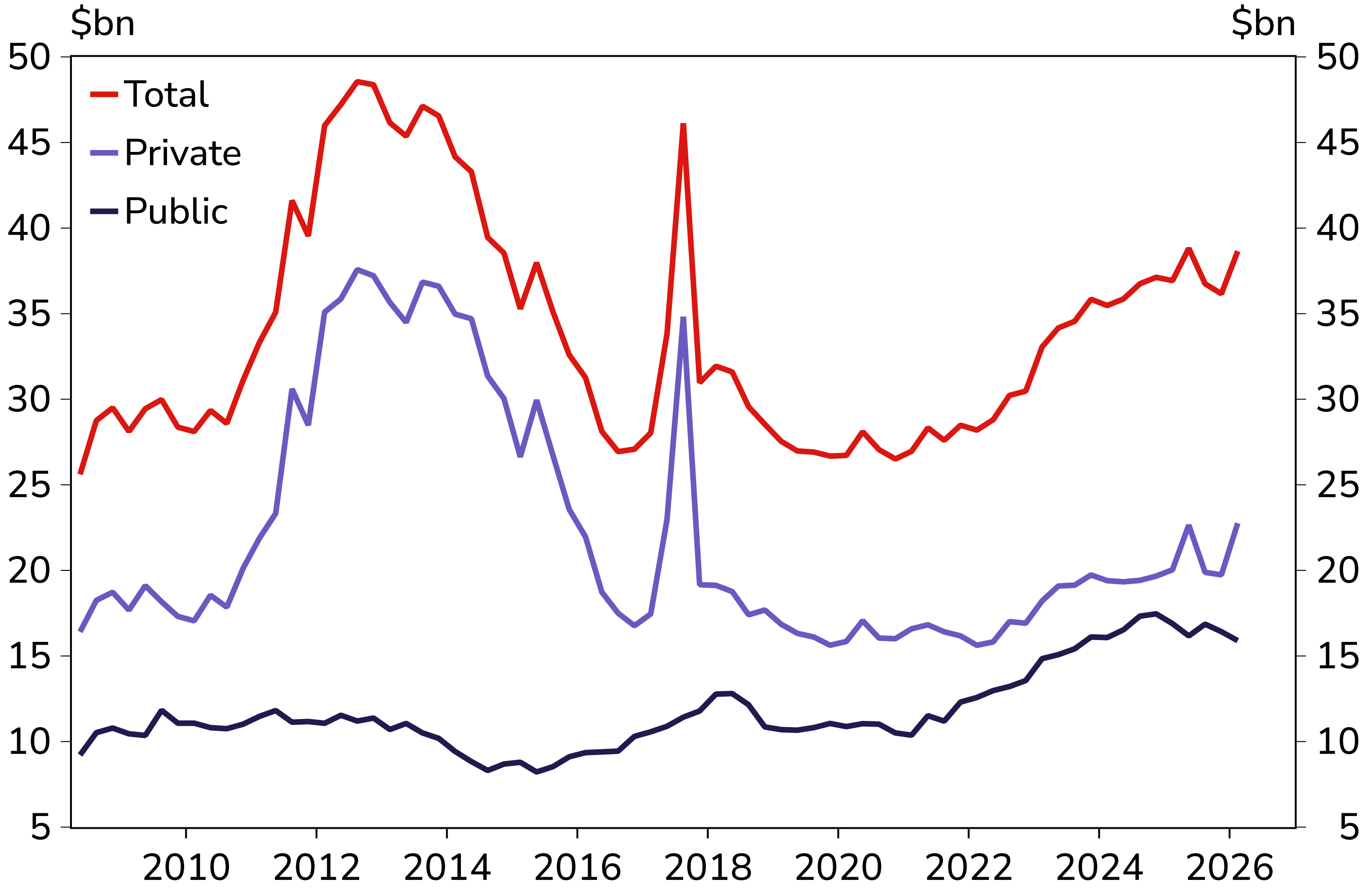
Engineering construction (EC) grew 6.9%qtr in Q1 2026, to be 4.7% higher in year-ended terms. Looking through the mining-related spike, the dynamic was very different: EC declined 3.5%qtr in Q1 2026, to be 4.6% lower in year-ended terms.

As we foreshadowed in this month's Market Outlook, the public infrastructure pipeline has passed its peak as the transport mega projects along the east coast of Australia (particularly in Victoria) are finalised. Consistent with this, public infrastructure work continued to slide, down 3.2%qtr in Q1 2026 and almost 6.0%yr.

After adjusting for mining-related volatility, private EC work grew almost 2.0%qtr and 7.3%yr. Private work on electricity generation and distribution (which is dominated by renewable energy projects such as wind and solar) remains elevated, notwithstanding the fall in public activity.

The near-term private engineering construction pipeline looks full of potential, driven by structural industries related to renewables and the data centre roll-out across the country. However, constraints related to the provision of utility services and connecting infrastructure present a risk.

Public infrastructure continues to slide

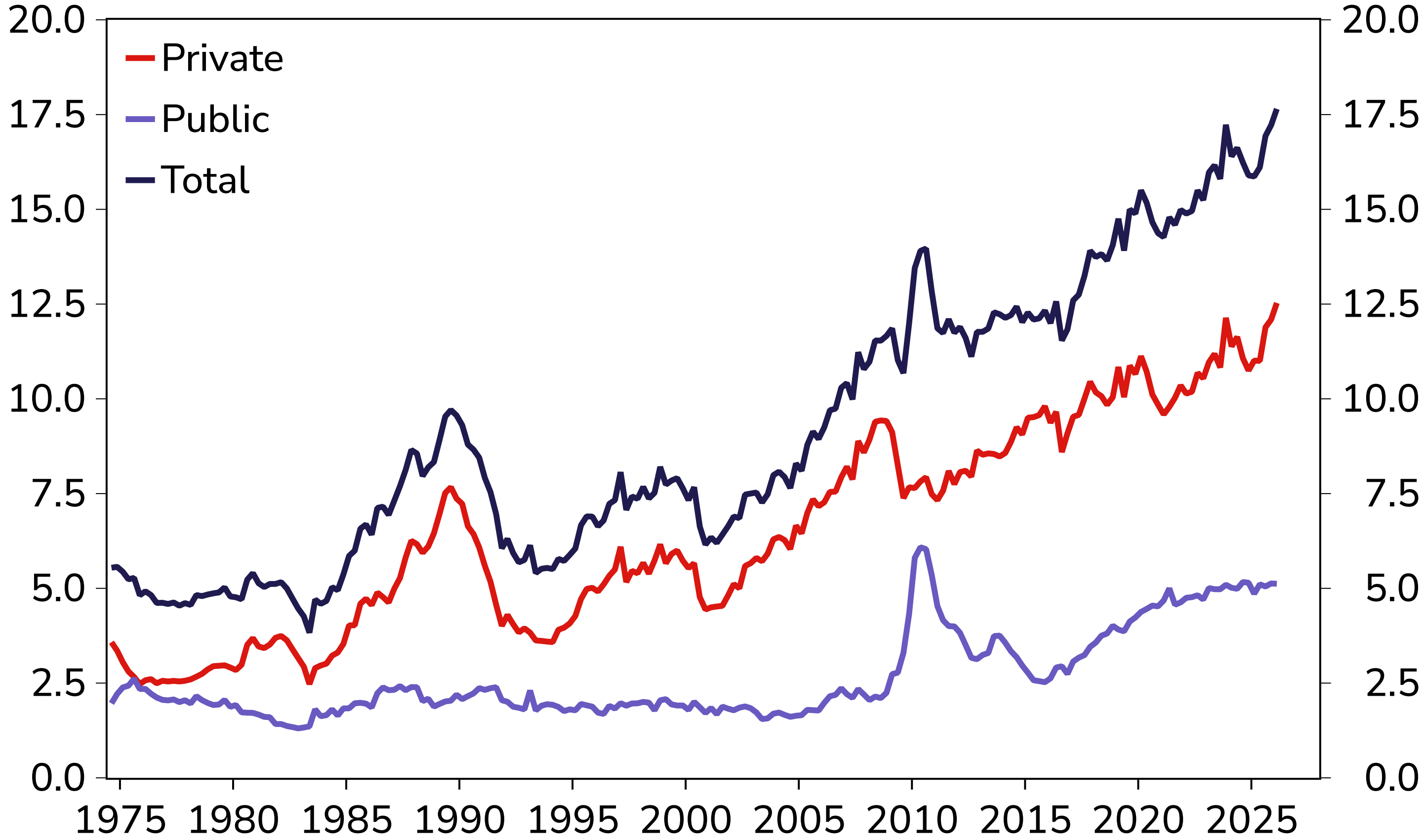


Source: ABS, Macrobond, Westpac Economics

Non-residential building construction grew 2.5%qtr, to be 11.2% higher in year-ended terms. Growth in private activity rose 3.6%qtr, to be 13.8% higher in annual terms, more than offsetting a 0.2%qtr fall in public activity.

Non-Residential Construction Work Done

Chain Volume, $bn

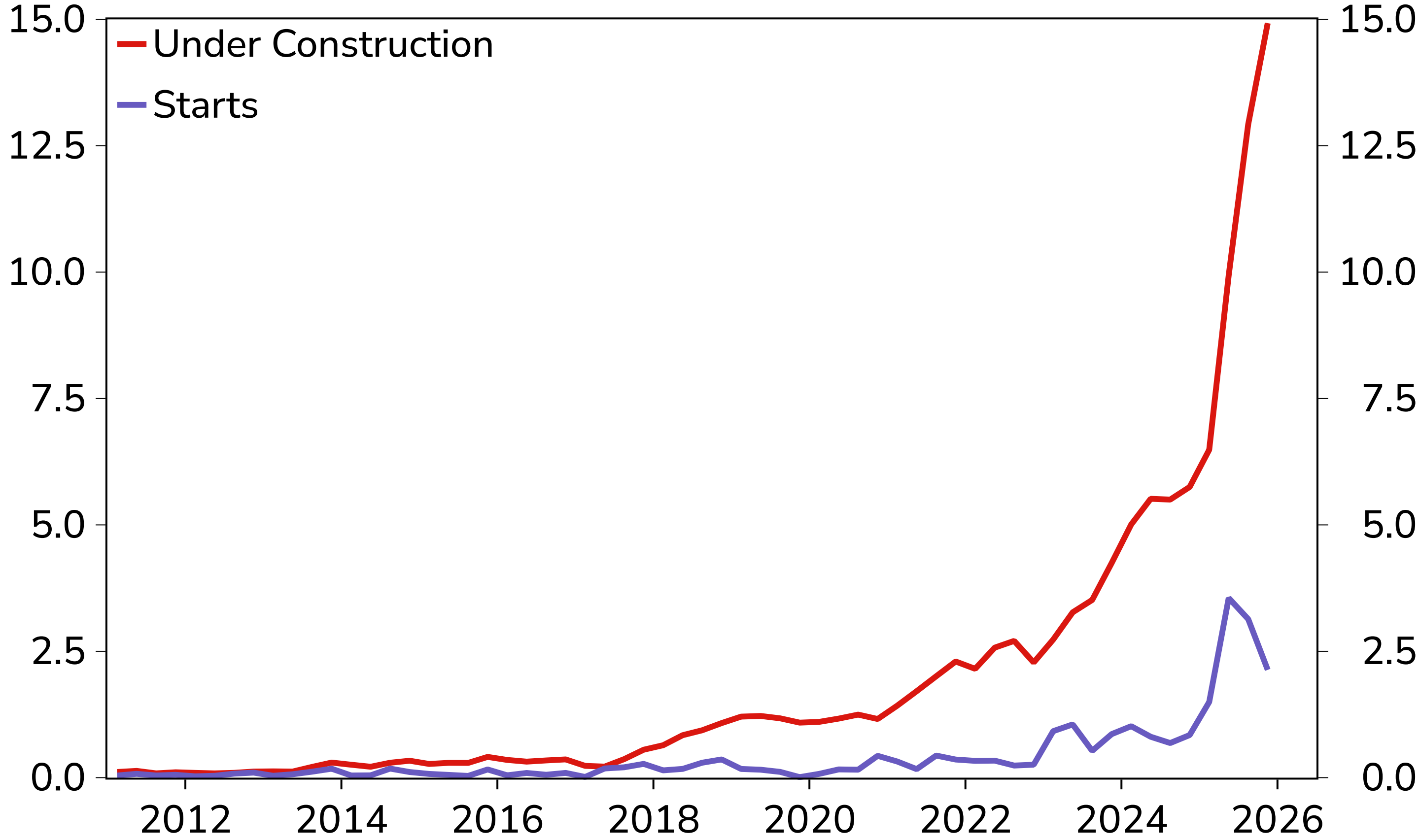


Source: ABS, Macrobond, Westpac Economics

While it is unclear which projects are driving the increase, there was a large spike in the commencement of data centres (commercial building n.e.c) in the second half of 2025, which has likely supported activity this quarter and will continue to do so going forward.

Other commercial buildings continues to grow

Values, $bn.



Source: ABS, Macrobond, Westpac Economics

State detail

Construction work done was mixed across the states in the March quarter 2026. Western Australia (+30.6%qtr), Tasmania (+5.5%qtr) and Queensland (+2.1%qtr) recorded increases, while all other states and territories saw declines.

New South Wales (-0.7%qtr) and South Australia (-1.0%qtr) recorded modest falls, while Victoria saw a sharper decline (-5.0%qtr). The ACT (-10.3%qtr) and Northern Territory (-13.3%qtr) also contracted over the quarter.

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Housing forecast update

#housing #australia #inflation #federalbudget #construction #lending

By Matthew Hassan , Luci Ellis & Mantas Vanagas

16:10 May 26 2026

Share

Tax changes announced in the Federal budget on May 12 are expected to significantly affect Australia's housing markets.

- The changes to capital gains tax and negative gearing remove the relative attractiveness of new investment in housing. 'Grandfathering' for existing investors limits near-term impacts while an exemption for new investments in newly built dwellings will make this a more attractive option for investors.

- Combined with recent and expected interest rate increases, the changes are expected to see a 34% fall in new investor activity near-term with the mix skewing towards newly built dwellings. Total housing market turnover is in turn expected to decline 20%. Dwelling price growth is now expected to stall flat on average across the major capital cities for calendar 2026.
- The main risk near-term is of a more significant 'air pocket' for markets with the potential for sharper price movements as the slowdown in turnover combines with uncertainty about tax changes and higher interest rates. This risk is mitigated somewhat by grandfathering provisions and positive price expectations
- Over the medium to longer term, the changes are expected to see more muted price cycles, a small, gradual lift in rental yields, a modest lift in new dwelling construction and a gradual shift towards 'landlordism' – where the provision of market rental housing is increasingly by individuals and businesses for whom this is their primary source of income.

Generational change

This year's Federal budget included significant changes to tax policy that will have a material impact on Australia's housing markets over the short, medium and long term.

As set out in our budget note, the main changes are:

- **Capital gains tax (CGT)**: from July 2027, the discount applied to future capital gains on investments will move from a flat 50% to cumulative inflation over the holding period. The taxable component will continue to be taxed at marginal rates but with a new minimum rate of 30% being applied.
- **Negative gearing**: from budget night, net losses on new residential property investments will not be able to be deducted from other (non-property) income, such as wages. Net losses will still be able to be deducted from rental income, including from other rental properties, with any resulting losses also able to be carried forward to future tax years.
- **Minimum tax rate on trusts**: from July 2028, there will also be a new 30% minimum tax rate applied to discretionary trusts and similar vehicles.

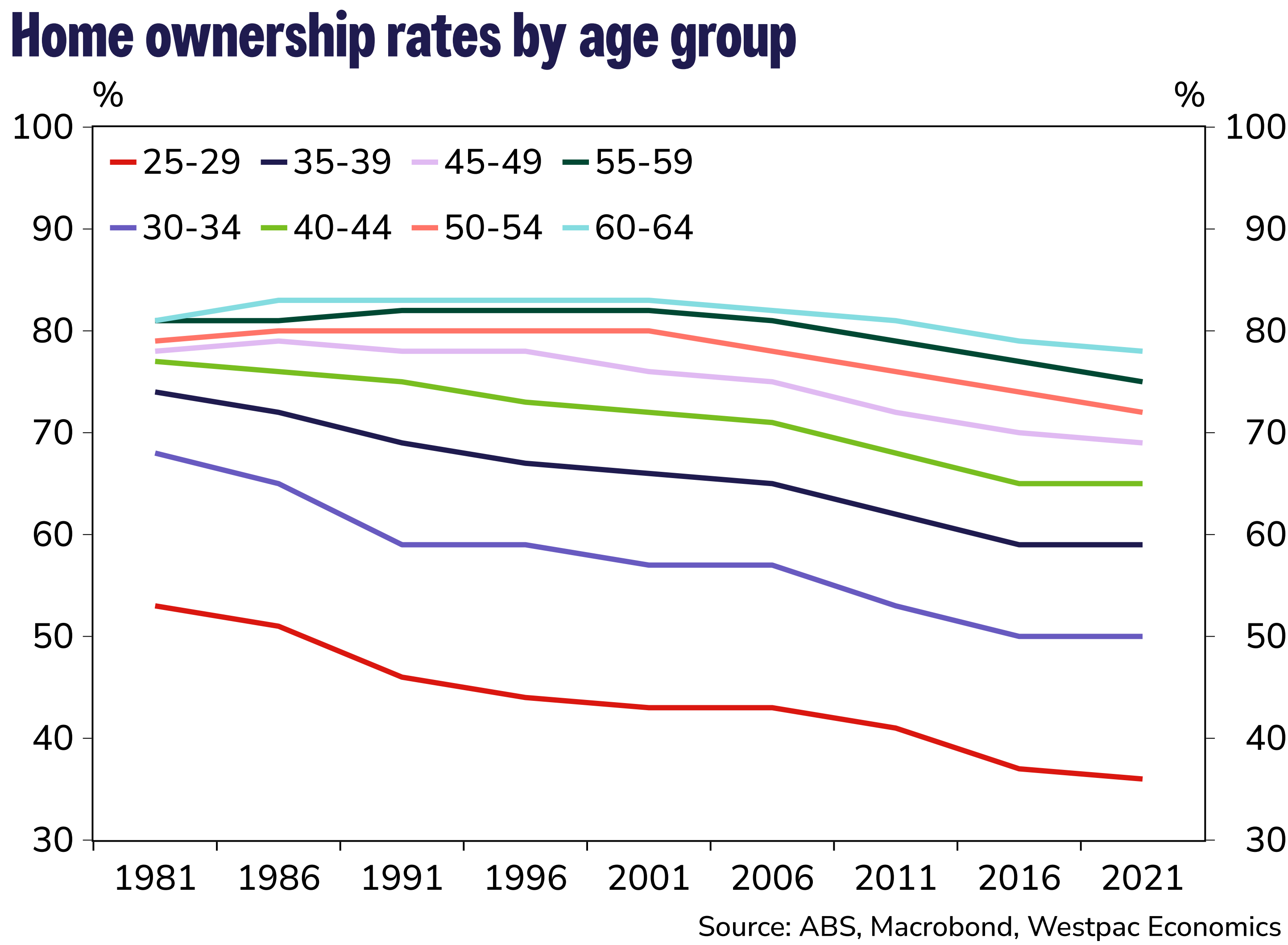
The reforms include some important exemptions:

- **Grandfathering**: negative gearing will continue to be available for investments that were made prior to budget night. Capital gains on existing investments up to July 2027 will also continue to receive a 50% discount.
- **Newly built dwellings**: new investments in newly built dwellings will still be able to be negatively geared and will have an option for capital gains to be discounted by either 50% or cumulative inflation.

In terms of new investment in existing dwellings, the changes unwind the 50% CGT discount that was introduced in 1999 while the changes to negative gearing remove a treatment that was introduced in 1936 (with limits briefly in place in 1985–87).

Behavioural impacts

The overarching goal is to shift the balance from house purchase as a pathway to wealth-creation back towards home ownership. As the budget notes, house price growth has been more than double the growth in average full-time earnings since 1999. Even allowing for a rising incidence of 'dual-income' households, the deterioration in affordability is have a clear detrimental effect on the rate of home ownership which, amongst 25–34 year olds, has declined from 50% to 43% over the last 20 years (reflecting both an outright decline in lifetime home ownership and delays in first home purchase, the average first home buyer now in their mid-30s).

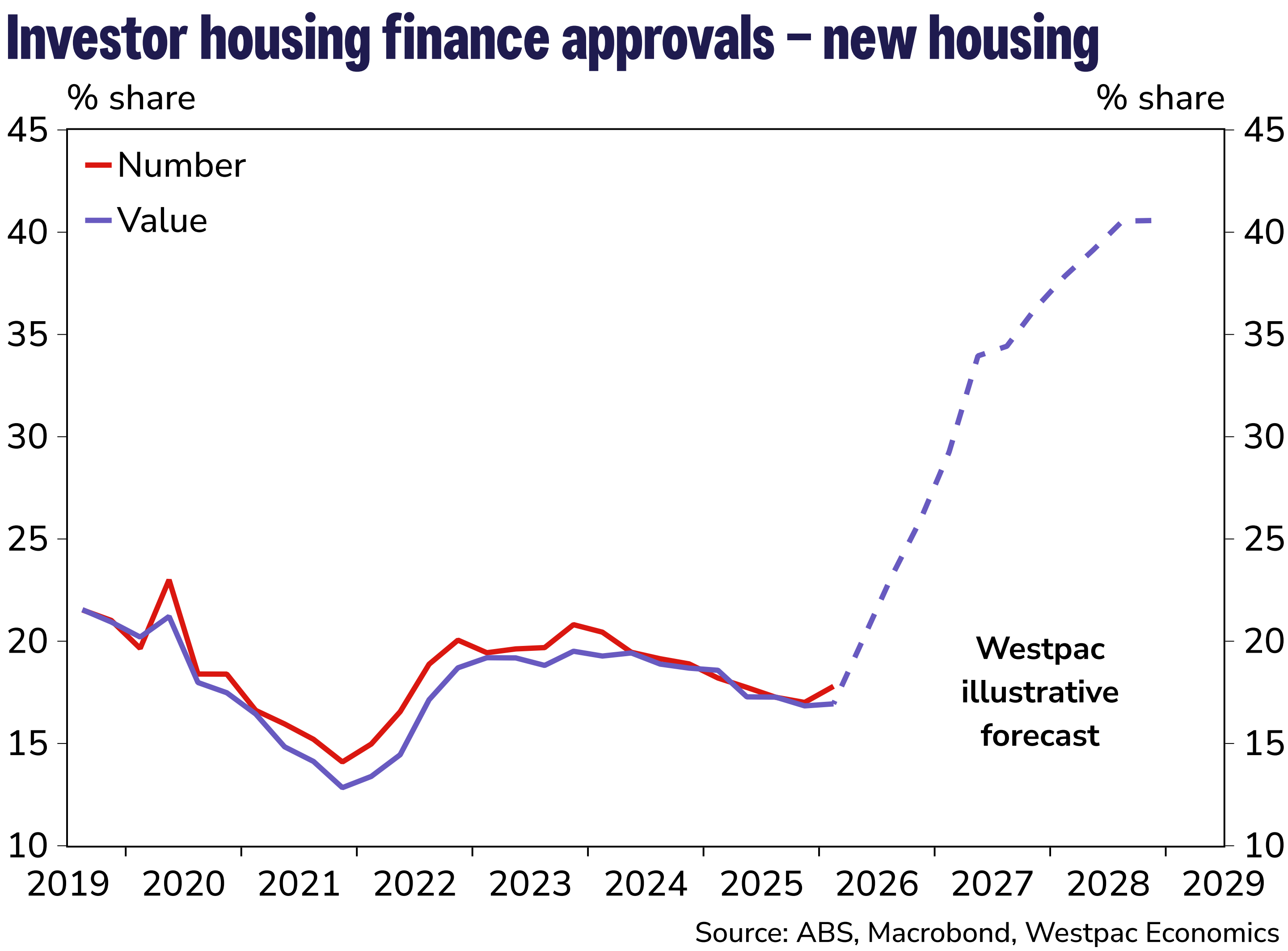


Treasury states that the reforms "will help level the playing field for first home buyers, preserve the gains investors have made, and support investment in new housing supply."

The primary effect is to reduce the relative attractiveness of new leveraged investment. The previous negative gearing treatment allowed the cost of these investments to be deducted at high marginal tax rates while the 50% CGT discount meant returns were taxed preferentially. Note that inflation indexation means CGT is still discounted – in some cases by more than under the previous regime. When capital gains are less than double the cumulative rise in inflation over the holding period, the indexation treatment is slightly more favourable than the 50% discount. Indeed, moderate or steady capital gains are taxed more or less the same. However, large 'jackpot' gains are treated very differently with the 50% discount a much bigger concession than inflation adjustment. The 50% discount also tends to favour long-held assets. However, it is the removal of negative gearing that is the more material change for most investors. Treasury estimates that about a third of negatively geared rental properties receive an outright tax subsidy over the life of the asset – i.e. total tax deductions are larger than tax paid.

The grandfathering of changes strongly **encourages current holders of leveraged investments that are negatively geared to retain these assets in a negatively geared way for as long as possible**. As such, current holders are likely to both retain these assets and seek to maximise tax benefits, e.g. by carrying higher levels of debt against the asset. Note that it is unclear whether the grandfathering will continue to apply if these assets are transferred (e.g. as part of an inheritance or bequest). Note that the same incentives apply to new investors in newly built dwellings which will also be eligible for the negative gearing tax treatment.

More generally, the carve out for new means **investment in newly built dwellings will be significantly more attractive compared to investment in existing dwellings**. Currently, 18% of new investor finance approvals are for the construction or purchase of newly built dwellings. About half of property investors are negatively geared, implying this is an important consideration for about half of all investor purchases (i.e. around 110k a year over the last year).



While there are other important considerations for buyers considering new vs existing – including cost, delivery risk and capital gain expectations – it is likely that at least some prospective investors will switch. The implication is that sharply lower investor activity will also skew more heavily towards new, the share potentially rising towards 40–50% of new investor loans.

Lastly, the new minimum tax rate on CGT **reduces the tax advantage of realising capital gains when income is low**. Capital gains tax is applied upon realisation, i.e. sale of the asset, with the taxable portion added to income in the year and taxed at an individual's marginal tax rate. As such, there has been a strong incentive for individuals to realise gains in years when their incomes, and therefore their marginal tax rates, are low, e.g. when they are retired or between jobs. The new minimum tax rate of 30% reduces this incentive. Treasury figures show the average marginal tax rate on capital gains over the last 13 years was 25%, and 7ppts lower than the individual's average marginal tax rates over the 15 years prior.

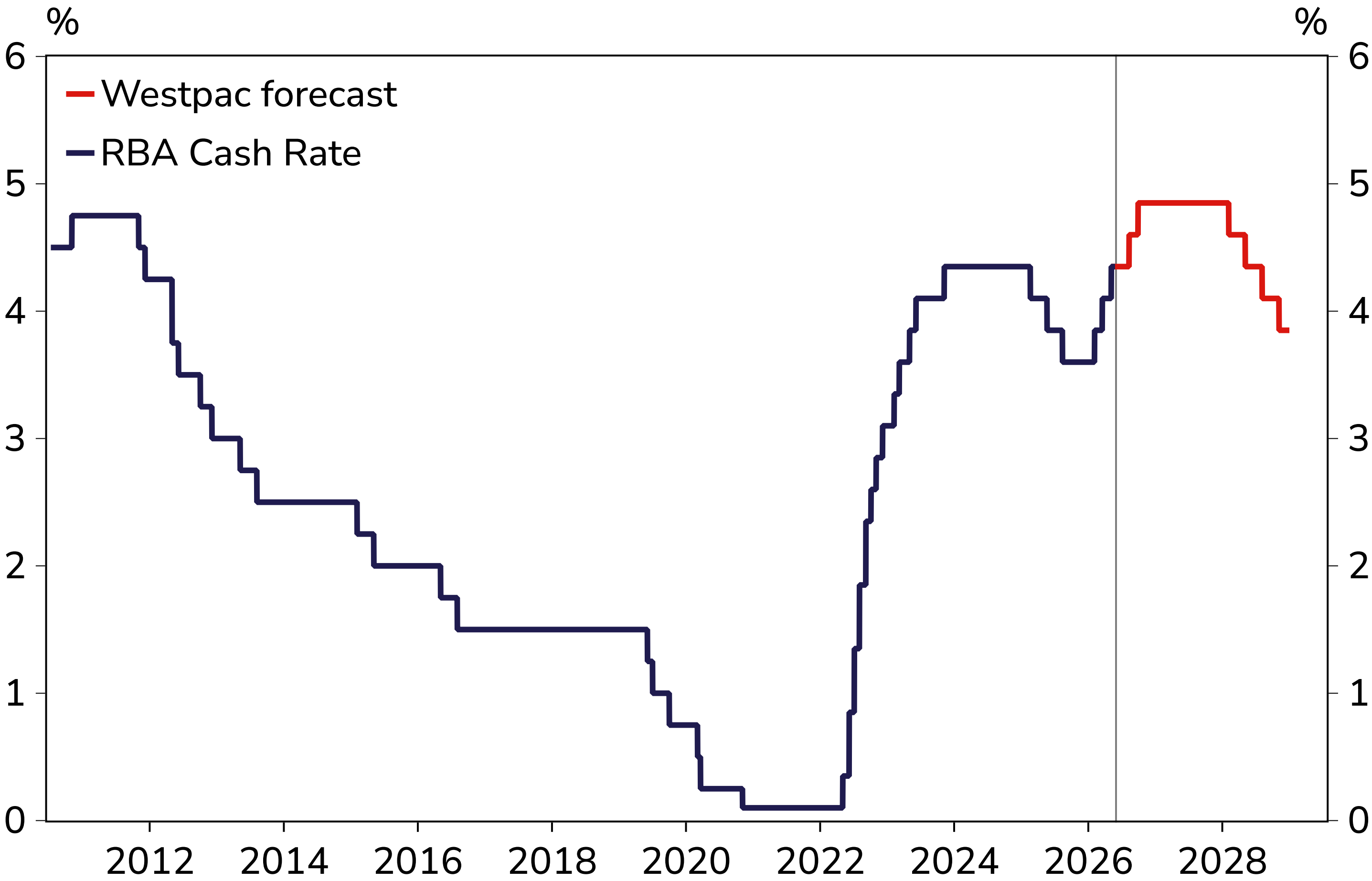
Current settings have the tax-free threshold at $18.2k with the lowest 16% rate applying up to $45k where the next 30% rate cuts in. The introduction of a 30% minimum rate raises the rate on up to $45k of any taxable capital gain an individual records – equating to $9.2k. The behavioural consequences here are a little harder to discern. The minimum rate is still below the 37% and 45% marginal rates, so sellers can still reduce tax by realising gains in low income years, but the size of the potential benefit is not as large.

Wider backdrop

The wider housing market context is important to assessing how these changes will impact. Here, there are three key elements:

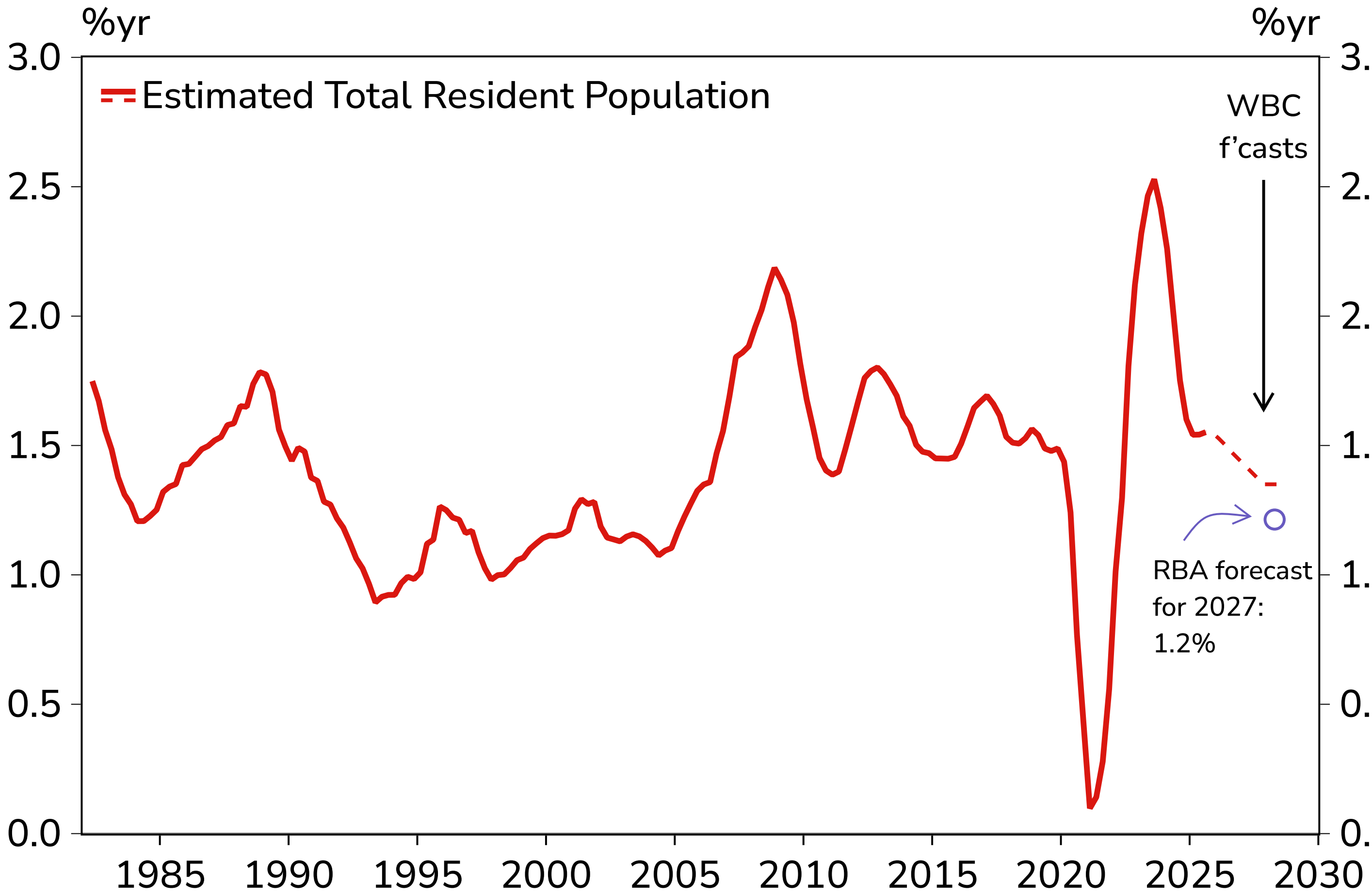
- **Rising interest rates**. The RBA's three 25bp increases in February, March and May have taken official interest rates back to the restrictive levels that were prevailing through 2023–24. These moves already appear to be weighing on activity and prices in some markets. With inflation risks still elevated, we expect two more 25bp interest rate increases from the RBA in coming months.
- **Tight supply**. Despite some cooling in demand, most of Australia's housing markets continue to see tight supply with conditions extremely tight in several capital cities. Rental vacancy rates have been holding around historical lows since mid-2023 and are below 1% in Brisbane, Adelaide and Perth. On-market supply has also been low with total listings across the major capital cities dropping to just two months of sales late last year, a 20yr low. Again, Brisbane, Adelaide and Perth stand out as having particularly tight on-market supply compared to history.
- **Robust population-driven growth in physical demand**. The underlying physical demand for housing, which relates back to population growth and household formation rates, has been relative solid in recent years and is expected to sustain at its recent pace. Population growth has been robust, holding at 1.5%yr. This was a key factor in the market's resilience through the 2022–24 interest rate tightening cycle, with an initial price correction in 2022 followed by a surprisingly strong rebound in 2023 and 2024.

RBA cash rate



Source: RBA, Macrobond, Westpac Economics

Total and Working-age Civilian Population Growth



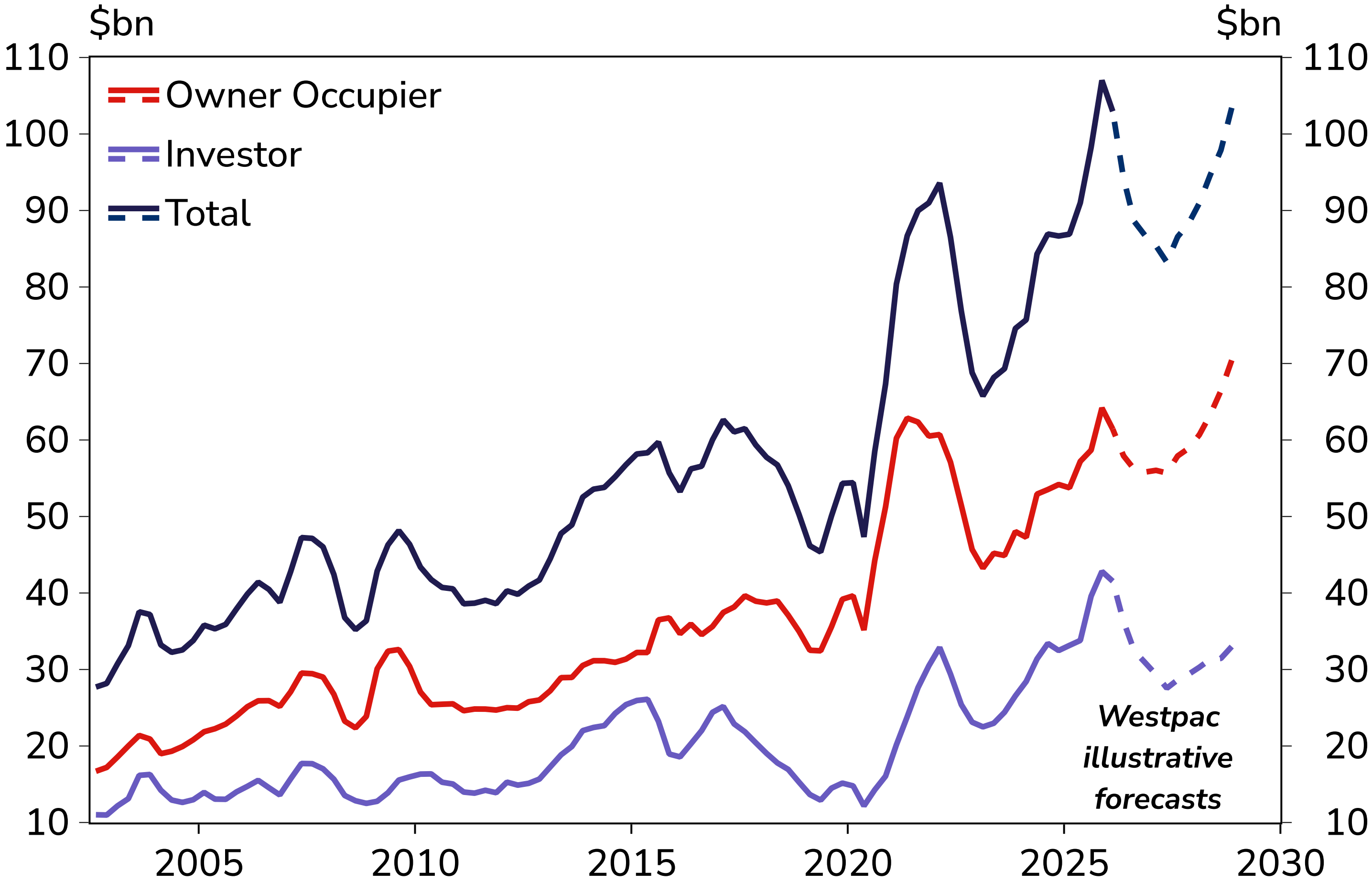
Source: ABS, Macrobond, Westpac Economics

Bottom line

On balance, Westpac expects the combination of higher interest rates and tax changes to result in:

- **A 34% fall in new investor activity** with the mix skewing more towards newly built dwellings. The fall is expected to see growth in the total value of outstanding investor credit slow from around 9.5%yr at the moment to below 7%yr at the end of this year and around 4.0%yr at the end of 2027 (noting that there will be mixed impacts on investor loan repayments with an incentive for existing investors to refrain from selling but also to hold more debt against these properties through refinancing and/or repaying loans more slowly). The share of newly built dwellings is expected to rise from 20% to around 40%, rising in absolute terms despite the fall in total investor activity.
- **A 20% decline in total dwelling turnover** – led by the slowdown in investor demand, and, on the supply side, few investor properties being sold. The interest rate tightening is also expected to drive a material slowing in owner-occupier activity.
- **A stalling in dwelling price growth, which is now expected end flat for 2026 across the major capital cities** – Sydney and Melbourne are expected to see outright declines (–3% and –4%) with growth remaining positive but slowing more abruptly in Brisbane (9%), Perth (13%) and Adelaide (7%). Note that this implies a modest 2% decline nationally over the second half of the year, with prices having risen 2% over the year to date.

New housing finance



Source: ABS, Macrobond, Westpac Economics

Dwelling price forecasts

	avg*	2023	2024	2025	2026f	2027f
Sydney	4.9	11.3	2.8	6.2	-3	2
Melbourne	3.4	4.2	-2.0	5.1	-4	5
Brisbane	7.8	13.5	11.4	14.7	9	3
Perth	6.8	16.2	18.4	16.7	13	5
Adelaide	7.5	8.8	13.6	8.3	7	4
Australia	6.9	-1.8	0.6	7.4	1	3

* last 10yrs Source: CoreLogic, Westpac Economics

Medium to longer term shifts

Beyond 2026, other trends are likely to emerge over the next 2–3 years, including:

- **A gradual firming in average rental yields** as markets move to 'equalise' the change in after-tax investment returns. The shift implies some combination of lower prices and higher rents compared to baseline. Our indicative estimates suggest a 0.5ppt rise in average gross rental yields requires variations in both of around 3–7ppts.
- **A gradual rise in dwelling approvals** as more investor activity is directed towards newly built dwellings. The scale here is highly uncertain as it depends not only how much investor activity switches but also on how well the residential building sector can meet this shift in demand and how much 'crowding out' of owner occupier demand for newly built dwellings occurs. Notably, Treasury's modelling of the tax changes points to lower rather than higher construction, presumably with the downward adjustment to dwelling prices a key factor discouraging building activity. It is unclear how well this modelling captures the 'carve out' for newly built dwellings. With essentially no information available on the elasticity of substitution between existing and new dwellings for investors, this may simply have been too hard to model at all. Near-term, some additional headwinds are also in the mix – aside from higher interest rates and uncertainty there is also a significant lift in construction costs that is affecting both the starting price point of new dwellings and the perceived risks about their final

delivery and cost. Nonetheless our sense is that this aspect of the tax changes has been under-estimated and that the changes will drive an eventual lift in new dwelling construction, in the order of 15–30k pa.

- **Higher housing-related inflation in the transition**. At the margin, the gradual increase in rental yields and switch in investor demand from existing to newly-built dwellings could see slightly firmer inflation in rents and home purchase costs (the latter reflecting the cost of the structure component of newly built dwellings). The cost of existing dwellings is not in scope for CPI.

The extent of both of these changes rests heavily on how investors respond to the tax changes, especially on how much purchases shift from existing to newly built dwellings. If the shift is small, there is likely to be a bigger lift in rental yields and a smaller boost to new dwelling construction. If the shift is large, rental yields will tend to be lower and the lift in approvals bigger.

Over longer horizons, the policy changes are likely to lead to more fundamental, structural changes in the housing market, includingThe reforms include some important exemptions, including:

- **Increased 'landlordism'** – it will still be possible to negatively gear within a property portfolio, i.e. to offset net rental losses on one property against the rent and capital gains from other rental properties. This implies that owners of multiple rental properties will be able to spread their losses across their whole portfolio, while owners of one or two properties will only be able to carry losses forward. Over time, it is possible that ownership of rental properties becomes more concentrated among specialists in this business, whether as individual landlords or corporate and institutional ownership.
- **Changing composition of rental housing stock**. Holding periods will lengthen for properties that remain eligible for the previous negative gearing treatment (grandfathered and new purchases of newly built properties). This will also reduce the churn renters experience when owners sell, potentially improving renters' security of tenure. The share of new-build in the rental stock will also rise, likely meaning that apartments and new detached houses in greenfields subdivisions will make up a higher share of the rental stock over time (relative to detached houses and dwellings in established areas). Detached homes in established suburbs may become relatively scarcer even if grandfathered properties are held for longer on average. These changes imply relative price shifts, but probably not for the market overall.
- **More muted price cycles**. Investor activity is typically more cyclical than the owner-occupier segment. As different tax treatments encourage longer holding periods, we expect that this difference will moderate. This implies that demand for housing more broadly could be less cyclical, and price cycles smaller. This also suggests that asset price channels could become less important parts of monetary policy transmission, though this depends on whether the behaviour of the (expanded) owner-occupier sector also changes.

Risks and uncertainties

There are many uncertainties around these changes and their impacts.

The changes have yet to be legislated. The government is due to present the main changes to Parliament on May 28. It has a majority in the House of Representatives but will need the support from other parties to pass legislation through the Senate. In practice that means it will need to support from the Greens.

There is some risk of housing markets encountering an ‘air pocket’ short term. Lower turnover and uncertainty about the impacts of the tax policy changes mean we could see sharper price movements, particularly with the RBA also expected to raise interest rates further in the second half of the year. This risk is mitigated somewhat by grandfathering provisions (which mean there is unlikely to be significant selling by existing investors) and positive price expectations, which initial post-budget surveys suggest remain well-anchored (see here).

Low investor interest in ‘newly built’ dwellings could also see a bigger fall in investor activity and more muted impact on new dwelling constructions. particularly given high building costs and uncertainties around delivery.

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27 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets were mixed as optimism around a permanent US–Iran deal was offset by renewed military action described by the US as 'defensive', underscoring the fragility of the ceasefire.

Equity markets were mixed, with US stocks rising to fresh highs on US–Iran deal optimism, while Europe underperformed, Asia was mixed and the ASX 200 declined.

US bond markets rallied, with yields falling across the curve as Middle East optimism capped oil price gains.

The USD weakened modestly, with the AUD also declining against the greenback, though proving more resilient on crosses.

Commodity markets were driven by shifting Middle East headlines, with Brent rising, WTI falling, gold declining on higher rate expectations amid renewed military action, and iron ore reversing recent gains as weaker fundamentals returned to focus.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.6	0.0%
AUD/USD	0.7169	-0.1%
AUD/JPY	114.19	0.2%
AUD/GBP	0.5331	0.3%
AUD/NZD	1.2281	0.5%
AUD/EUR	0.6162	0.0%
AUD/CNH	4.8629	-0.1%
AUD/SGD	0.9159	0.0%
AUD/HKD	5.6170	-0.1%
AUD/CAD	0.9900	0.0%
EUR/USD	1.1630	-0.1%
USD/JPY	159.30	0.2%
USD Index	99.15	-0.1%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.50	0.00
180 day BBSY	4.81	0.02
1 year swap	4.64	0.04
2 year swap	4.62	0.05
3 year swap	4.58	0.05
4 year swap	4.59	0.07
5 year swap	4.61	0.07
6 year swap	4.64	0.07
7 year swap	4.69	0.07
8 year swap	4.74	0.07
9 year swap	4.78	0.07
10 year swap	4.82	0.07

Equities	Close	Change
S&P/ASX 200	8,658	-0.4%
S&P 500	7,519	0.6%
Japan Nikkei	64,996	-0.2%
Hang Seng	25,599	0.0%
Euro Stoxx 50	6,064	-1.2%
UK FTSE100	10,491	0.2%
VIX Index	17.01	2.5%

Commodities	Current	Change
CRB Index	388.33	-1.1%
Gold	4507.88	-1.4%
Copper	13668	1.1%
Oil (WTI futures)	93.63	-3.1%
Coal (coking)	243.50	-1.4%
Coal (thermal)	142.80	2.1%
Iron Ore	105.10	-1.6%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.55	0.03
10 year bond	4.91	0.03
United States		
3-month T Bill	3.58	0.00
2 year bond	4.03	-0.09
10 year bond	4.48	-0.07
Other (10 year yields)		
Germany	2.98	0.03
Japan	2.73	0.02
UK	4.88	-0.02

Sydney Futures Exchange	Current	Change
10 yr bond	4.94	0.01
3 yr bond	4.57	0.01
3 mth bill rate	4.50	0.02
SPI 200	8,674	-0.1%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets were mixed overnight as optimism around a permanent deal to end US–Iran hostilities was offset by reports that US and Israeli jets conducted strikes on Iranian missile launch sites and vessels attempting to place mines in the Strait of Hormuz. US Central Command described the strikes as defensive, while Israeli Prime Minister Benjamin Netanyahu said Israel would intensify operations against Iran backed Hezbollah in Lebanon. These developments underscore the fragility of the ceasefire, while US Secretary of State Marco Rubio reiterated that President Trump would either secure a good deal or no deal at all.

- Equity markets were mixed across regions. In the US, stocks rebounded following the US Memorial Day holiday, with the S&P 500 rising 0.6% to a fresh high on optimism around a potential US–Iran agreement, led by gains in chipmakers. The NASDAQ gained 1.2%, while the Dow Jones underperformed, falling -0.2%.
- European markets were less convinced by the durability of a peace deal, with the Euro Stoxx 50 declining -1.2%. The FTSE 100 was more resilient, rising 0.2% to record its sixth consecutive daily gain. Asian markets were also mixed, with the KOSPI outperforming, up 2.6%, while the Hang Seng was flat and the Nikkei 225 fell -0.2%. Locally, the ASX 200 declined -0.4% as Middle East optimism faded.
- US bond markets rallied as Middle East optimism capped oil price gains, with the yield curve steepening. The 2 year yield fell 9bps and the 10 year declined 7bps. Futures markets are now pricing the first Fed rate hike by March 2027.
- Australian government bond yields rose across the curve following reports of US and Israeli strikes on Iranian assets. The 3 year and 10 year yields both increased 3bps, with swap markets pricing one full rate hike by November, taking the implied terminal cash rate for year end to 4.62%.
- FX markets saw modest USD weakness, with the DXY down -0.1%. The euro (-0.1%), sterling (-0.4%) and yen (-0.2%) all declined against the greenback, while the Australian dollar also eased -0.1% to 0.7169. The AUD performed better on crosses, although was little changed against the euro.
- Commodity markets were driven by shifting headlines out of the Middle East. Brent rose 3.6% to US$99.6/bbl, while Dated Brent remained at a premium at US$104/bbl, and WTI declined -3.1%. Gold fell -1.4% as renewed tensions lifted expectations for higher policy rates. Iron ore declined -1.6%, reversing the prior days gains alongside coking coal following a coal mine blast in China's Shanxi province, with weaker underlying fundamentals returning to focus.

Today's key data and events

Time	Event	Exp	Prev
10:30	AU Westpac-MI Leading Index Apr	-	-0.1%
11:30	AU Monthly CPI Indicator Apr	4.4%	4.6%
11:30	AU Construction Work Done Q1	0.8%	-0.1%
11:30	CN Industrial Profits Apr	-	15.8%
12:00	NZ RBNZ Policy Decision 27/05/2026	2.2%	2.2%
0:00	US Richmond Fed May	4pts	3pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The Conference Board Consumer Sentiment Survey suggested that US consumers became more pessimistic this month, breaking the trend of improving sentiment seen since the start of the year. The headline index eased from 93.8 to 93.1, leaving it below both its long-term average of 95.1 and last year's average of 96.1. Consumers' assessment of current economic conditions deteriorated slightly, though it remained well above historical norms, while the expectations index rose by one point to a five-month high. Assessment of labour market conditions also softened slightly from the prior month but remained broadly in line with recent readings.

New data from the regional Feds suggested some stabilisation in US economic momentum following the hit to activity from the Middle East war and higher energy prices. **The Chicago Fed Activity Index** – a composite measure based on 85 monthly indicators tracking US economic growth relative to trend – rose from -0.15 in March to 0.14 in April, driven by a rebound in production. In contrast, the personal consumption and housing, and labour market components were somewhat weaker. Meanwhile, **the Dallas Fed Manufacturing Outlook Index**, a survey of Texas business executives, returned to positive territory in May after two negative readings in March and April. The index rose to 0.4, its highest level in ten months and broadly consistent with its long-term average. The survey also pointed to rising underlying inflationary pressures, with prices paid for raw materials increasing to their highest level in eight months.

The latest March readings for the US house price indices again underscored the fragility of the housing market amid elevated interest rates and an uncertain economic outlook. The **FHFA House Price Index** rose just 0.1%mth, reversing a decline of the same magnitude in February, while the **S&P Cotality CS 20-City Index** fell for a second consecutive month, declining 0.2%mth. On a year-ended growth basis, the two indices rose 1.7%yr and 0.8%yr, respectively. For the FHFA measure, this marked the slowest annual growth pace since 2012.

Local Data

There was no top tier economic data to report.

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

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22 May 2026

APRIL CPI PREVIEW AND ANALYSIS

Broader inflation impulse not far behind

Key points

- Headline CPI is expected to rise 0.9%mth in April, taking the annual pace to 4.8%yr.
- Key contributors to the monthly rise include holiday-travel and clothing & footwear. Transport is expected to detract owing to the halving in the fuel excise and free public transport in some states.
- The monthly trimmed mean estimate is 0.4%mth, with the annual pace lifting to 3.5%yr. It is expected to peak at 4.0%yr in October.
- In March, the impact of the Middle East conflict on prices was limited beyond fuel. However, there are signs of emerging pass-through – including business surveys, construction material price notifications and anecdotal evidence of fuel surcharges by food outlets – meaning the April CPI will be closely watched for evidence that cost pressures are broadening.

Breakdown: Jun Quarter CPI & Apr Monthly CPI

	Jun	Feb	Mar	Apr
	Qtr fcs	Mth	Mth	Mth fcs
Item	% qtr	% mth	% mth	% mth
Food	**1.6**	**–0.1**	**0.7**	**0.7**
of which, bread & cereals	–0.3	–1.2	0.3	0.1
of which, meat & seafood	0.8	0.5	0.5	–0.2
of which, dairy & related prod.	1.7	-0.6	0.8	1.0
of which, fruit & vegetables	7.3	0.0	2.6	3.5
of which, food products nec	0.8	–1.1	0.1	0.9
of which, non–alcohol bev.	1.4	0.7	1.1	–0.8
Alcohol & tobacco	**1.0**	**0.2**	**0.8**	**0.0**
of which, alcohol	0.6	0.1	0.7	–0.4
of which, tobacco	1.9	0.4	1.1	1.0
Clothing & footwear	**2.5**	**2.6**	**–1.9**	**4.6**
of which, garments	3.1	2.9	–2.5	5.7
Housing	**0.7**	**0.3**	**0.2**	**0.2**
of which, rents	0.9	0.4	0.2	0.2
of which, house purchases	1.1	0.1	0.5	0.4
of which, electricity	0.3	1.0	0.0	0.0
of which, gas & other fuels	–0.5	–0.1	0.0	–0.6
H/hold contents & services	**0.6**	**3.9**	**0.3**	**0.8**
Health	**1.7**	**0.1**	**–0.2**	**1.9**
Transportation	**3.9**	**–0.7**	**9.2**	**–1.1**
of which, auto fuel	12.1	–3.4	32.8	–4.2
Communication	**0.6**	**0.2**	**0.5**	**0.4**
Recreation	**1.7**	**–3.0**	**–0.7**	**4.0**
of which, holiday travel	2.9	–6.3	–1.4	7.6
Education	**0.5**	**4.5**	**0.0**	**0.0**
Financial & insurance services	**1.1**	**0.1**	**0.8**	**0.2**
CPI: All groups	**1.5**	**0.0**	**1.1**	**0.9**

Sources: ABS, Westpac Banking Corporation

Pass-through signals build – will it show up in the CPI?

Neha Sharma
Economist

Initial price shock limited to fuel ...

The March monthly CPI provided only an early read on any inflationary impulse from escalations in the Middle East. Headline CPI rose 1.1%mth to 4.6%yr, while the monthly trimmed mean (TM) increased 0.3%mth, leaving the annual pace steady since December at 3.3%yr. With the oil shock emerging in late February and fuel prices rising sharply in early March, the timing suggests the March outcome was too early to capture any broad-based pass-through beyond the immediate channels.

Fuel was unsurprisingly the key transmission channel, with auto fuel prices rising 32.8%mth and contributing 1ppt to the monthly headline print. Outside of fuel, pass-through was more limited and uneven, with only scattered increases in categories more exposed to upstream cost pressures, including dwelling construction (0.5%mth), vehicle repairs (0.4%mth) and communication (0.5%mth) (see here).

Several categories that would typically be exposed to spillovers showed no pre-emptive price adjustments. Holiday travel prices declined (–1.4%mth). This may also reflect timing effects, with most tickets purchased in advance but only recorded in the CPI in the month the trip is undertaken. Other tradables components were also softer, including household appliances and clothing & footwear.

The Governor's commentary following the May meeting characterised the cumulative interest rate rises as addressing the pressures existing before the conflict. Measures that better reflect these pressures, such as the TM and domestic market services, have seen some easing in momentum since last year. The six-month annualised pace of the TM slowed from 3.7% in December to 3.3% in March, while domestic market services eased from 5.2% to 3.7%. Both measures remain elevated but the moderation suggests that underlying pressures were beginning to ease prior to the energy shock.

... second-round pass-through not far off

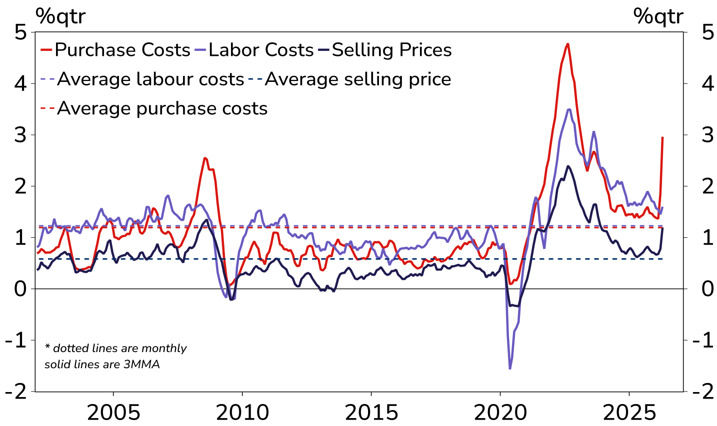
The Monetary Policy Board has signalled it now has scope to assess how the conflict evolves, but we suspect that second-round pass-through may already be underway and will likely proceed more quickly than assumed in the RBA's latest forecasts. The April NAB Business Survey showed a further intensification in cost pressures, with purchase cost growth matching last month's record and lifting the quarterly pace to 4.5%qtr. Selling prices also saw its sharpest increase since July 2022, suggesting a broader pass-through is beginning to emerge (see here).

Breakdown Monthly CPI Indicator

	Jan	Feb	Mar	Apr
	Mth	Mth	Mth	Mth fcs
Item	**%yr**	**%yr**	**%yr**	**%yr**
Food	**3.1**	**3.1**	**3.1**	**3.4**
of which, bread & cereals	1.0	1.0	0.6	1.0
of which, meat & seafood	4.5	4.5	4.8	5.2
of which, dairy prod.	2.7	2.7	2.5	3.5
of which, fruit & vegetables	1.9	1.9	1.8	3.0
of which, food products	3.1	3.1	2.9	2.9
of which, non–alcohol bev.	2.0	2.0	2.2	2.0
Alcohol & tobacco	**4.3**	**4.3**	**4.4**	**4.8**
of which, alcohol	1.4	1.4	1.7	2.2
of which, tobacco	11.5	11.5	11.2	11.1
Clothing & footwear	**5.0**	**5.0**	**7.1**	**6.7**
of which, garments	3.2	3.2	4.3	4.1
Housing	**7.2**	**7.2**	**6.5**	**6.3**
of which, rents	3.8	3.8	3.7	3.5
of which, house purchases	3.7	3.7	4.5	4.3
of which, electricity	37.0	37.0	25.4	23.6
of which, gas & other fuels	5.5	5.5	5.7	5.7
H/hold contents & services	**1.3**	**1.3**	**1.4**	**1.7**
Health	**3.2**	**3.2**	**3.0**	**3.3**
Transportation	**–0.2**	**–0.2**	**8.9**	**8.4**
of which, auto fuel	–7.2	–7.2	24.2	22.2
Communication	**0.8**	**0.8**	**1.4**	**1.6**
Recreation	**4.1**	**4.1**	**2.8**	**3.9**
of which, holiday travel	5.3	5.3	2.2	3.7
Education	**4.8**	**4.8**	**4.8**	**4.8**
Financial & insurance	**2.4**	**2.4**	**2.8**	**3.1**
CPI: All groups	**3.7**	**3.7**	**4.6**	**4.8**

Sources: ABS, Westpac Banking Corporation

Business survey: Costs and Prices



Source: NAB, ABS, Macrobond, Westpac Economics

Additionally, diesel prices continued to rise across both retail (+17.5%mth) and wholesale (+7.7%mth) markets in April, with only modest falls seen in May so far. Given diesel's role across freight, construction and production, the recent increases are more likely to transmit through supply chains, increasing the risk of more persistent second-round inflationary effects. The reduction in the heavy vehicle road user charge should help to ease some pressure, however.

There is a risk that the extent of cost pass-through proves more limited if deeply pessimistic consumer sentiment causes a pullback in spending. Our internal card data is already pointing to some softening, particularly across discretionary goods and services.

April is seasonally stronger

Turning to April, we expect a 0.9%mth increase in the headline CPI, equivalent to a 0.3%mth rise in seasonally adjusted terms. This represents a step-up from the 0.7%mth increase last April, lifting the annual pace to 4.8%yr.

The largest contributors to the monthly print are recreation & culture (+0.5ppts) and clothing & footwear (+0.2ppts), with health and food each contributing just over +0.1ppt, while transport is expected to detract –0.1ppt.

We estimate a 0.4%mth rise in the monthly TM, lifting the annual pace to 3.5%yr. Looking ahead, the TM is expected to rise 0.3%mth in both May and June and 0.4%mth in July, with annual TM inflation peaking at 4.0%yr in October.

Key details

Food prices will likely see another 0.7%mth increase in April, owing to a 3.5%mth lift in fruit & vegetables. We also expect a 0.3%mth increase in meals out & takeaway. There has been anecdotal evidence of some food outlets introducing a fuel surcharge with the Australian Restaurant and Cafe Association also endorsing venues to introduce a temporary 5% surcharge.

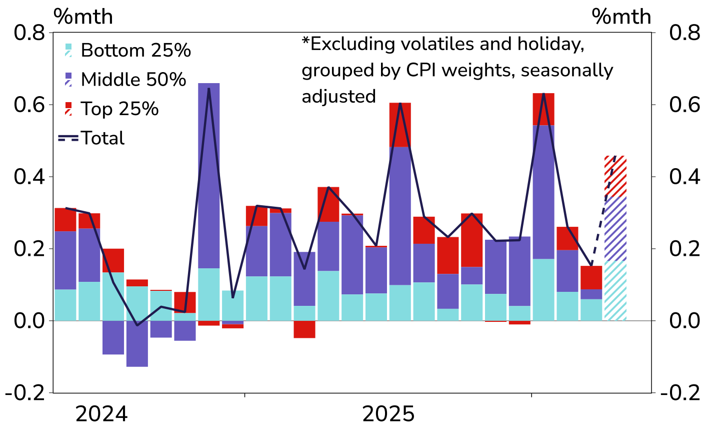
Recreation & culture is expected to rise 4.0%mth, reflecting a lift in holiday travel & accommodation (7.3%mth), though pricing may continue to reflect pre-conflict conditions and poses a downside risk.

Clothing & footwear is expected to rise 4.6%mth, with garments up 5.7%mth and footwear up 4.0%mth.

Housing inflation is expected to rise 0.2%mth.

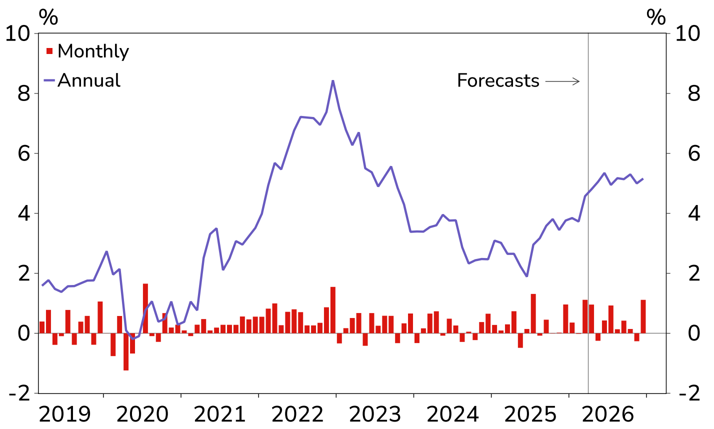
- We pencil in a 0.2%mth increase in rents in April. While this remains modest, advertised rent growth has been trending higher since late last year and should begin to feed through to CPI rents in the coming months.
- New dwelling costs are expected to rise 0.4%mth/4.3%yr, broadly in line with the average pace over the past year, with annual growth projected to peak at 4.9%yr in June 2026 as upstream materials costs continue to pass through. Tradelink data shows an average price change notification of 16% in

Contribution to growth by fuel exposure



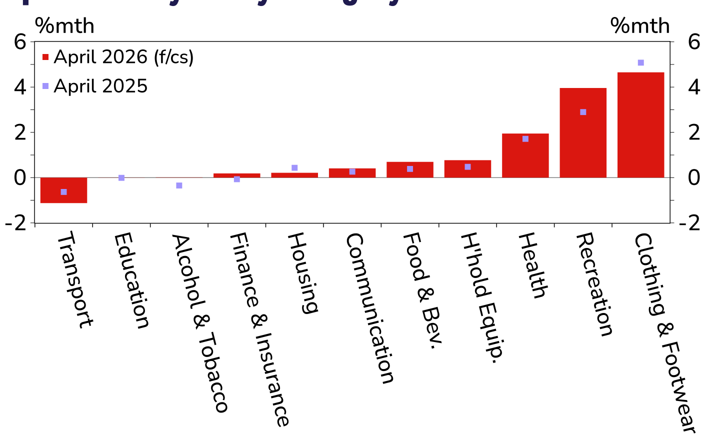
Source: ABS, Macrobond, Westpac Economics

Headline inflation with forecasts



Source: ABS, Macrobond, Westpac Economics

April monthly CPI by category



Source: ABS, Macrobond, Westpac Economics

April, the largest in the series' six-year history, with notified average increases rising to 17% in May before easing to around 7% in the three months following.

- Electricity prices are expected to be flat in April. Government subsidy programs have ended, and no new energy bill relief was announced in either the Federal Budget or recent state budgets.

Health is expected to rise 1.9%mth. This is driven by a 2.7%mth (0.8%mth seasonally adjusted) increase in medical and hospital services, reflecting the 4.41% increase in private health insurance premiums taking effect from April – the largest approved rise since 2017.

Transport is expected to fall –1.1%mth, following a 9.2%mth increase in March.

- Auto fuel prices likely fell –4.2%mth, reflecting the temporary halving of the fuel excise from 1 April, which saw average petrol pump prices decline by around –8.4%mth (~20c/l). With no extensions announced, this will reverse from July.

- Urban transport fares are expected to decline –1.5%mth following the introduction of free public transport in some states. Victoria initially announced one month of free public transport in April, later extended to end-May, with half-price fares to follow through to end-January 2027, while Tasmania has introduced free bus and ferry services through to July 2027.

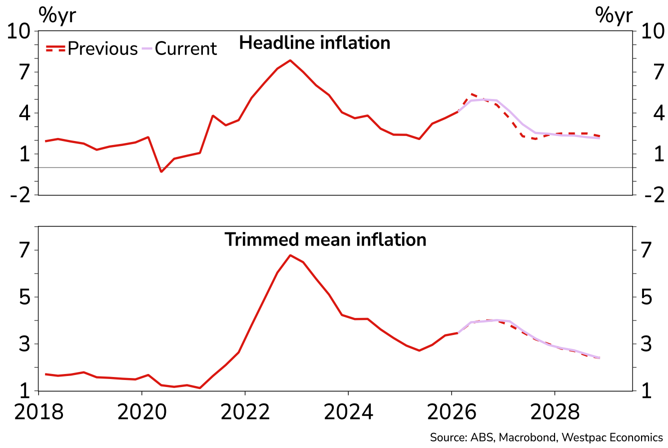
- These declines are partly offset by increases in vehicle repair & maintenance (0.5%mth) and motor vehicles (0.3%mth).

Tweaks to the quarterly profile

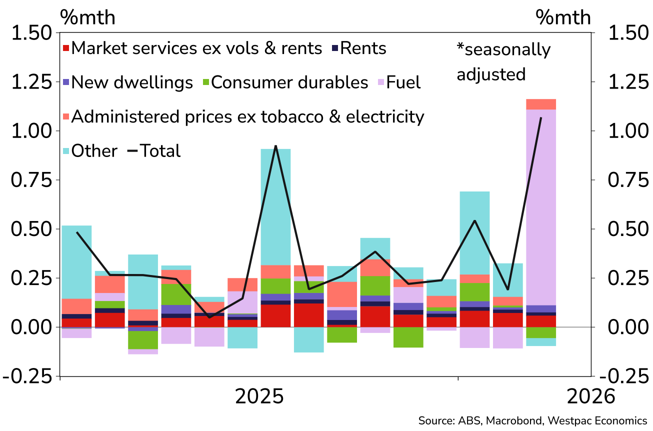
We revised our assumptions surrounding the Middle East conflict in our May Market Outlook. Brent oil is now expected to average $US125/bbl in Q2. This has resulted in the changes to our quarterly inflation profile reported in Market Outlook. Headline inflation is now expected to peak lower at 5.0%yr in Q3 2026, but prove more persistent, ending the year at 4.9%yr (+0.3ppts) and reaching 2.5%yr (+0.1ppt) by end-2027.

Changes to the quarterly TM profile have been more modest, with a 1.1%qtr/3.9%yr rise expected in Q2 before easing gradually to 3.6%yr (+0.1ppt) by mid-next year.

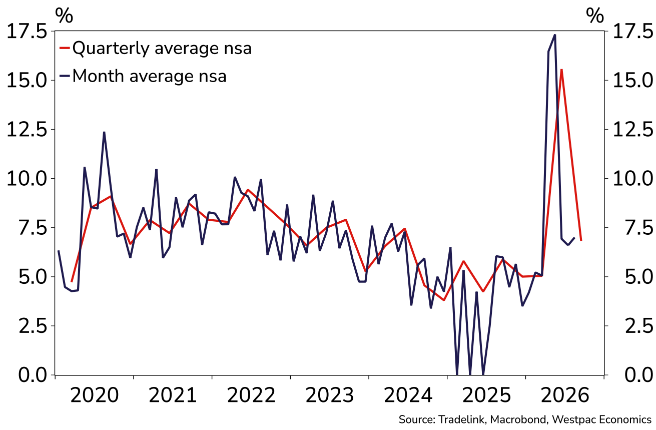
Quarterly forecast revisions



Contribution to monthly CPI inflation



Tradelink - average price change notifications



Monthly inflation profile

		Apr–26	May–26	Jun–26	Jul-26	Aug-26	Sep-26	Oct-26	Nov-26	Dec-26
CPI	Index	103.4	103.2	103.6	104.6	104.7	105.1	105.3	105.0	106.2
	(%mth)	0.9	–0.3	0.4	0.9	0.1	0.4	0.1	–0.3	1.1
	(%yr)	4.8	5.0	5.3	4.9	5.2	5.1	5.3	5.0	5.2
Trimmed mean	(%mth)	0.4	0.3	0.3	0.4	0.4	0.2	0.4	0.1	0.3
	(%yr)	3.5	3.7	3.8	3.8	3.9	3.8	4.0	3.8	3.8
	(6mth ann'd)	3.5	3.7	3.9	4.1	4.5	4.4	4.4	3.9	3.8

Source: ABS, Westpac Economics.

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ

westpaciq.com.au

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27 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets were mixed as optimism around a permanent US–Iran deal was offset by renewed military action described by the US as 'defensive', underscoring the fragility of the ceasefire.

Equity markets were mixed, with US stocks rising to fresh highs on US–Iran deal optimism, while Europe underperformed, Asia was mixed and the ASX 200 declined.

US bond markets rallied, with yields falling across the curve as Middle East optimism capped oil price gains.

The USD weakened modestly, with the AUD also declining against the greenback, though proving more resilient on crosses.

Commodity markets were driven by shifting Middle East headlines, with Brent rising, WTI falling, gold declining on higher rate expectations amid renewed military action, and iron ore reversing recent gains as weaker fundamentals returned to focus.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.6	0.0%
AUD/USD	0.7169	-0.1%
AUD/JPY	114.19	0.2%
AUD/GBP	0.5331	0.3%
AUD/NZD	1.2281	0.5%
AUD/EUR	0.6162	0.0%
AUD/CNH	4.8629	-0.1%
AUD/SGD	0.9159	0.0%
AUD/HKD	5.6170	-0.1%
AUD/CAD	0.9900	0.0%
EUR/USD	1.1630	-0.1%
USD/JPY	159.30	0.2%
USD Index	99.15	-0.1%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.50	0.00
180 day BBSY	4.81	0.02
1 year swap	4.64	0.04
2 year swap	4.62	0.05
3 year swap	4.58	0.05
4 year swap	4.59	0.07
5 year swap	4.61	0.07
6 year swap	4.64	0.07
7 year swap	4.69	0.07
8 year swap	4.74	0.07
9 year swap	4.78	0.07
10 year swap	4.82	0.07

Equities	Close	Change
S&P/ASX 200	8,658	-0.4%
S&P 500	7,519	0.6%
Japan Nikkei	64,996	-0.2%
Hang Seng	25,599	0.0%
Euro Stoxx 50	6,064	-1.2%
UK FTSE100	10,491	0.2%
VIX Index	17.01	2.5%

Commodities	Current	Change
CRB Index	388.33	-1.1%
Gold	4507.88	-1.4%
Copper	13668	1.1%
Oil (WTI futures)	93.63	-3.1%
Coal (coking)	243.50	-1.4%
Coal (thermal)	142.80	2.1%
Iron Ore	105.10	-1.6%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.55	0.03
10 year bond	4.91	0.03
United States		
3-month T Bill	3.58	0.00
2 year bond	4.03	-0.09
10 year bond	4.48	-0.07
Other (10 year yields)		
Germany	2.98	0.03
Japan	2.73	0.02
UK	4.88	-0.02

Sydney Futures Exchange	Current	Change
10 yr bond	4.94	0.01
3 yr bond	4.57	0.01
3 mth bill rate	4.50	0.02
SPI 200	8,674	-0.1%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets were mixed overnight as optimism around a permanent deal to end US–Iran hostilities was offset by reports that US and Israeli jets conducted strikes on Iranian missile launch sites and vessels attempting to place mines in the Strait of Hormuz. US Central Command described the strikes as defensive, while Israeli Prime Minister Benjamin Netanyahu said Israel would intensify operations against Iran backed Hezbollah in Lebanon. These developments underscore the fragility of the ceasefire, while US Secretary of State Marco Rubio reiterated that President Trump would either secure a good deal or no deal at all.

- Equity markets were mixed across regions. In the US, stocks rebounded following the US Memorial Day holiday, with the S&P 500 rising 0.6% to a fresh high on optimism around a potential US–Iran agreement, led by gains in chipmakers. The NASDAQ gained 1.2%, while the Dow Jones underperformed, falling -0.2%.
- European markets were less convinced by the durability of a peace deal, with the Euro Stoxx 50 declining -1.2%. The FTSE 100 was more resilient, rising 0.2% to record its sixth consecutive daily gain. Asian markets were also mixed, with the KOSPI outperforming, up 2.6%, while the Hang Seng was flat and the Nikkei 225 fell -0.2%. Locally, the ASX 200 declined -0.4% as Middle East optimism faded.
- US bond markets rallied as Middle East optimism capped oil price gains, with the yield curve steepening. The 2 year yield fell 9bps and the 10 year declined 7bps. Futures markets are now pricing the first Fed rate hike by March 2027.
- Australian government bond yields rose across the curve following reports of US and Israeli strikes on Iranian assets. The 3 year and 10 year yields both increased 3bps, with swap markets pricing one full rate hike by November, taking the implied terminal cash rate for year end to 4.62%.
- FX markets saw modest USD weakness, with the DXY down -0.1%. The euro (-0.1%), sterling (-0.4%) and yen (-0.2%) all declined against the greenback, while the Australian dollar also eased -0.1% to 0.7169. The AUD performed better on crosses, although was little changed against the euro.
- Commodity markets were driven by shifting headlines out of the Middle East. Brent rose 3.6% to US$99.6/bbl, while Dated Brent remained at a premium at US$104/bbl, and WTI declined -3.1%. Gold fell -1.4% as renewed tensions lifted expectations for higher policy rates. Iron ore declined -1.6%, reversing the prior days gains alongside coking coal following a coal mine blast in China's Shanxi province, with weaker underlying fundamentals returning to focus.

Today's key data and events

Time	Event	Exp	Prev
10:30	AU Westpac-MI Leading Index Apr	-	-0.1%
11:30	AU Monthly CPI Indicator Apr	4.4%	4.6%
11:30	AU Construction Work Done Q1	0.8%	-0.1%
11:30	CN Industrial Profits Apr	-	15.8%
12:00	NZ RBNZ Policy Decision 27/05/2026	2.2%	2.2%
0:00	US Richmond Fed May	4pts	3pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The Conference Board Consumer Sentiment Survey suggested that US consumers became more pessimistic this month, breaking the trend of improving sentiment seen since the start of the year. The headline index eased from 93.8 to 93.1, leaving it below both its long-term average of 95.1 and last year's average of 96.1. Consumers' assessment of current economic conditions deteriorated slightly, though it remained well above historical norms, while the expectations index rose by one point to a five-month high. Assessment of labour market conditions also softened slightly from the prior month but remained broadly in line with recent readings.

New data from the regional Feds suggested some stabilisation in US economic momentum following the hit to activity from the Middle East war and higher energy prices. **The Chicago Fed Activity Index** – a composite measure based on 85 monthly indicators tracking US economic growth relative to trend – rose from -0.15 in March to 0.14 in April, driven by a rebound in production. In contrast, the personal consumption and housing, and labour market components were somewhat weaker. Meanwhile, **the Dallas Fed Manufacturing Outlook Index**, a survey of Texas business executives, returned to positive territory in May after two negative readings in March and April. The index rose to 0.4, its highest level in ten months and broadly consistent with its long-term average. The survey also pointed to rising underlying inflationary pressures, with prices paid for raw materials increasing to their highest level in eight months.

The latest March readings for the US house price indices again underscored the fragility of the housing market amid elevated interest rates and an uncertain economic outlook. The **FHFA House Price Index** rose just 0.1%mth, reversing a decline of the same magnitude in February, while the **S&P Cotality CS 20-City Index** fell for a second consecutive month, declining 0.2%mth. On a year-ended growth basis, the two indices rose 1.7%yr and 0.8%yr, respectively. For the FHFA measure, this marked the slowest annual growth pace since 2012.

Local Data

There was no top tier economic data to report.

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ

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27 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets were mixed as optimism around a permanent US–Iran deal was offset by renewed military action described by the US as 'defensive', underscoring the fragility of the ceasefire.

Equity markets were mixed, with US stocks rising to fresh highs on US–Iran deal optimism, while Europe underperformed, Asia was mixed and the ASX 200 declined.

US bond markets rallied, with yields falling across the curve as Middle East optimism capped oil price gains.

The USD weakened modestly, with the AUD also declining against the greenback, though proving more resilient on crosses.

Commodity markets were driven by shifting Middle East headlines, with Brent rising, WTI falling, gold declining on higher rate expectations amid renewed military action, and iron ore reversing recent gains as weaker fundamentals returned to focus.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.6	0.0%
AUD/USD	0.7169	-0.1%
AUD/JPY	114.19	0.2%
AUD/GBP	0.5331	0.3%
AUD/NZD	1.2281	0.5%
AUD/EUR	0.6162	0.0%
AUD/CNH	4.8629	-0.1%
AUD/SGD	0.9159	0.0%
AUD/HKD	5.6170	-0.1%
AUD/CAD	0.9900	0.0%
EUR/USD	1.1630	-0.1%
USD/JPY	159.30	0.2%
USD Index	99.15	-0.1%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.50	0.00
180 day BBSY	4.81	0.02
1 year swap	4.64	0.04
2 year swap	4.62	0.05
3 year swap	4.58	0.05
4 year swap	4.59	0.07
5 year swap	4.61	0.07
6 year swap	4.64	0.07
7 year swap	4.69	0.07
8 year swap	4.74	0.07
9 year swap	4.78	0.07
10 year swap	4.82	0.07

Equities	Close	Change
S&P/ASX 200	8,658	-0.4%
S&P 500	7,519	0.6%
Japan Nikkei	64,996	-0.2%
Hang Seng	25,599	0.0%
Euro Stoxx 50	6,064	-1.2%
UK FTSE100	10,491	0.2%
VIX Index	17.01	2.5%

Commodities	Current	Change
CRB Index	388.33	-1.1%
Gold	4507.88	-1.4%
Copper	13668	1.1%
Oil (WTI futures)	93.63	-3.1%
Coal (coking)	243.50	-1.4%
Coal (thermal)	142.80	2.1%
Iron Ore	105.10	-1.6%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.55	0.03
10 year bond	4.91	0.03
United States		
3-month T Bill	3.58	0.00
2 year bond	4.03	-0.09
10 year bond	4.48	-0.07
Other (10 year yields)		
Germany	2.98	0.03
Japan	2.73	0.02
UK	4.88	-0.02

Sydney Futures Exchange	Current	Change
10 yr bond	4.94	0.01
3 yr bond	4.57	0.01
3 mth bill rate	4.50	0.02
SPI 200	8,674	-0.1%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets were mixed overnight as optimism around a permanent deal to end US–Iran hostilities was offset by reports that US and Israeli jets conducted strikes on Iranian missile launch sites and vessels attempting to place mines in the Strait of Hormuz. US Central Command described the strikes as defensive, while Israeli Prime Minister Benjamin Netanyahu said Israel would intensify operations against Iran backed Hezbollah in Lebanon. These developments underscore the fragility of the ceasefire, while US Secretary of State Marco Rubio reiterated that President Trump would either secure a good deal or no deal at all.

- Equity markets were mixed across regions. In the US, stocks rebounded following the US Memorial Day holiday, with the S&P 500 rising 0.6% to a fresh high on optimism around a potential US–Iran agreement, led by gains in chipmakers. The NASDAQ gained 1.2%, while the Dow Jones underperformed, falling -0.2%.
- European markets were less convinced by the durability of a peace deal, with the Euro Stoxx 50 declining -1.2%. The FTSE 100 was more resilient, rising 0.2% to record its sixth consecutive daily gain. Asian markets were also mixed, with the KOSPI outperforming, up 2.6%, while the Hang Seng was flat and the Nikkei 225 fell -0.2%. Locally, the ASX 200 declined -0.4% as Middle East optimism faded.
- US bond markets rallied as Middle East optimism capped oil price gains, with the yield curve steepening. The 2 year yield fell 9bps and the 10 year declined 7bps. Futures markets are now pricing the first Fed rate hike by March 2027.
- Australian government bond yields rose across the curve following reports of US and Israeli strikes on Iranian assets. The 3 year and 10 year yields both increased 3bps, with swap markets pricing one full rate hike by November, taking the implied terminal cash rate for year end to 4.62%.
- FX markets saw modest USD weakness, with the DXY down -0.1%. The euro (-0.1%), sterling (-0.4%) and yen (-0.2%) all declined against the greenback, while the Australian dollar also eased -0.1% to 0.7169. The AUD performed better on crosses, although was little changed against the euro.
- Commodity markets were driven by shifting headlines out of the Middle East. Brent rose 3.6% to US$99.6/bbl, while Dated Brent remained at a premium at US$104/bbl, and WTI declined -3.1%. Gold fell -1.4% as renewed tensions lifted expectations for higher policy rates. Iron ore declined -1.6%, reversing the prior days gains alongside coking coal following a coal mine blast in China's Shanxi province, with weaker underlying fundamentals returning to focus.

Today's key data and events

Time	Event	Exp	Prev
10:30	AU Westpac-MI Leading Index Apr	-	-0.1%
11:30	AU Monthly CPI Indicator Apr	4.4%	4.6%
11:30	AU Construction Work Done Q1	0.8%	-0.1%
11:30	CN Industrial Profits Apr	-	15.8%
12:00	NZ RBNZ Policy Decision 27/05/2026	2.2%	2.2%
0:00	US Richmond Fed May	4pts	3pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The Conference Board Consumer Sentiment Survey suggested that US consumers became more pessimistic this month, breaking the trend of improving sentiment seen since the start of the year. The headline index eased from 93.8 to 93.1, leaving it below both its long-term average of 95.1 and last year's average of 96.1. Consumers' assessment of current economic conditions deteriorated slightly, though it remained well above historical norms, while the expectations index rose by one point to a five-month high. Assessment of labour market conditions also softened slightly from the prior month but remained broadly in line with recent readings.

New data from the regional Feds suggested some stabilisation in US economic momentum following the hit to activity from the Middle East war and higher energy prices. **The Chicago Fed Activity Index** – a composite measure based on 85 monthly indicators tracking US economic growth relative to trend – rose from -0.15 in March to 0.14 in April, driven by a rebound in production. In contrast, the personal consumption and housing, and labour market components were somewhat weaker. Meanwhile, **the Dallas Fed Manufacturing Outlook Index**, a survey of Texas business executives, returned to positive territory in May after two negative readings in March and April. The index rose to 0.4, its highest level in ten months and broadly consistent with its long-term average. The survey also pointed to rising underlying inflationary pressures, with prices paid for raw materials increasing to their highest level in eight months.

The latest March readings for the US house price indices again underscored the fragility of the housing market amid elevated interest rates and an uncertain economic outlook. The **FHFA House Price Index** rose just 0.1%mth, reversing a decline of the same magnitude in February, while the **S&P Cotality CS 20-City Index** fell for a second consecutive month, declining 0.2%mth. On a year-ended growth basis, the two indices rose 1.7%yr and 0.8%yr, respectively. For the FHFA measure, this marked the slowest annual growth pace since 2012.

Local Data

There was no top tier economic data to report.

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

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29 May 2026

AUSTRALIAN GDP: A PREVIEW BULLETIN

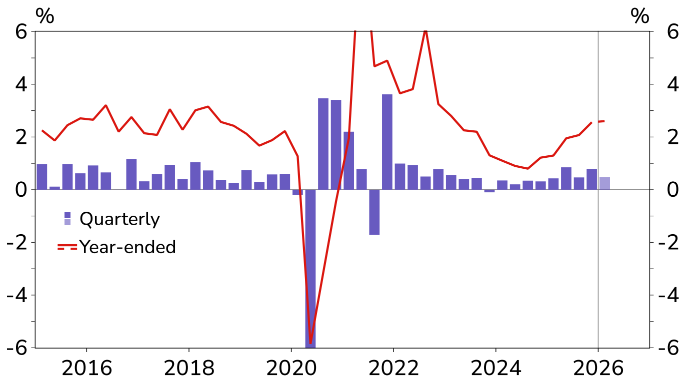
Growth moderates Q1 GDP f/c: 0.5%qtr, 2.6%yr
Business investment surges 6.0%qtr and 10.3%yr

Key points

- Growth likely moderated in Q1 2026, with the economy expanding 0.5% in Q1, down from 0.8%qtr in Q4 2025. Significant headwinds from the conflict in the Middle East will only partly be reflected in this quarter's Accounts. We expect these impacts to intensify in Q2 2026, with the possibility of a quarterly contraction which, if it were to occur, would be the first quarterly decline since the GFC (excluding COVID).
- The big story in this quarter's Accounts will instead be data centres. The Private capex survey showed investment in data centres almost doubled in Q1, with expectations pointing to a further acceleration in FY2027. This will see new business investment grow at its strongest rate since the mining investment boom of the 2000s. Some of this will be 'leaked' out via higher imports, but as we show it will still provide a significant support to activity in the Australian economy.

Real GDP Growth

Axis truncated for covid.



Source: ABS, Macrobond, Westpac Economics

- We are also likely to see labour productivity fall 0.3%qtr in Q1. This will concern the RBA but is not overly surprising given the temporary supply shock around energy and the productivity drag that typically comes during the initial stages of an investment surge (when resources are being put towards constructing projects that are not yet productive).

Energy shocks & rate hikes collide with a data centre boom

Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

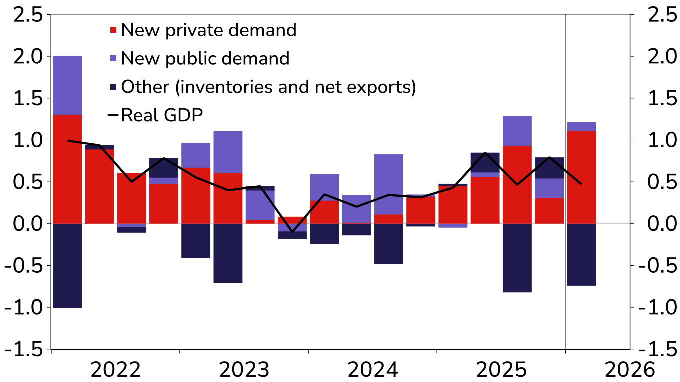
We expect the March quarter 2026 National Accounts to show that Australia's economy expanded 0.5% over Q1 and 2.6% in year-ended terms. Last year's upswing is running into significant headwinds from an RBA tightening and the conflict in the Middle East. Household incomes are being squeezed again by a familiar trio: elevated inflation, bracket creep and higher interest rates. However, the full effects are more likely to show through in Q2 and the second half of 2026.

Meanwhile, the Q1 update will feature another important emerging theme. As we noted in last week's "Economic Weekly" publication, investment in data centres will play a big role in this quarter's National Accounts. This investment has been ramping up since the pandemic. The build-out has now accelerated and is becoming more prominent at a time when other GDP components, which are more sensitive to interest rate increases, are slowing (household consumption) or going backwards (construction of new dwellings).

The National Accounts are likely to show that new business investment accelerated a whopping 6.0%qtr and 10.3%yr – the strongest quarterly growth since the start of 2012, when the second wave of the mining investment boom was topping out. Investment in machinery & equipment is likely to have grown by close to 13.0%qtr, the strongest rate since the December quarter 2009 when the government introduced temporary tax incentives in response to the GFC. The driver this time around is the ramp-up in data centre related equipment spend. As a result, we expect new private demand to grow a very strong 1.6%qtr and 4.2%yr in Q1, comfortably outpacing growth in new public demand (0.4%qtr and 2.7%yr).

Real GDP Growth

% Contribution to quarterly growth by component



Source: ABS, Macrobond, Westpac Economics

However, in our research piece on the impact of investment in data centres on the economy, we show that this investment is import-intensive, particularly during the 'high-tech' equipment fit-out phase. As a result, we expect a large share of the capex spending on equipment to be 'leaked' through higher imports. Indeed, preliminary trade data for the quarter suggests capital import volumes grew a strong 8.0%qtr over Q1. Despite this leakage, we show that data centre investment still has significant broader 'spillover' impacts on GDP and employment as structures are built and equipment is transported, fitted and installed, and that this economic boost tends to be front-loaded.

Outside of investment, growth in demand looks to have slowed. Our Westpac-Now Final Estimate for Q1 2026 shows that last year's cyclical upswing started to fade even before the conflict in the Middle East, pointing to a moderation in growth over the March quarter (0.4%qtr in Q1 2026 from 0.8% in Q4 2025) and the potential of a negative quarter in Q2 2026, as household incomes continue to be squeezed.

Data centres overshadow weaker partials

Partial indicators paint a mixed picture. The construction work done release showed new dwelling construction went backwards over Q1, falling 1.3%qtr. This fall will be offset by an increase in renovation activity in next week's Accounts. Public infrastructure activity also declined over the quarter, falling 3.2%qtr and almost 6.0%yr as transport and energy projects are completed.

This weakness was offset by investment in data centres. Construction of new buildings grew a healthy 2.5%qtr to be 11.2% higher in year-ended terms. This is likely driven by the construction of building and structures required to house data centres, given the large spike in data centre commencements we saw in the second half of 2025. These tend to be 'high-spec' builds with strict controls on temperature and humidity, requiring high volumes of energy and water supply, with a very low tolerance for outages.

Data centres dominated the private capex release. Private capex increased 6.5%qtr and 14.6%yr in the March quarter 2026, the largest quarterly increase since the height of the mining boom in 2012. It was led by a 96.1%qtr surge in investment by the information and telecommunications industry in data centres equipment and structures. Importantly, this wasn't a one off – capex nominal expectations suggest investment growth in this industry will be stronger over FY2027 than in FY2026.

Consumer spending: Resilience in Q1, rollover in Q2

Much of the softness in Q1 centres on the consumer, with last year's lift in momentum fading. Real incomes are again being squeezed by a combination of higher prices (+1.4%qtr), higher interest rates (25bp rate hikes in February, March and May) and bracket creep. That said, the impacts here are likely to show through more clearly in Q2.

The fuel price spike only began in the last month of Q1 with our data suggesting consumers drew down on savings initially to maintain spending (with a significant pull-forward in fuel demand as well). Similarly, interest rate rises typically impact consumer cash flows with a 1–2 month lag. On top of this, there is likely to be a significant technical boost to electricity spend in Q1 associated with the roll-off of government rebates, which produces a rise in 'out of pocket' spend by consumers.

On balance, we expect real consumption to post a 0.6%qtr rise in Q1 but to stall and be flat in Q2. Consumer sentiment fell heavily in April to deeply pessimistic levels. The high-frequency data point to a complex mix of forces at work (including, for instance, the significant decline in fuel prices in April following the temporary halving in fuel excise tax). The timeliest signals from our **Westpac–DataX Card Tracker** suggest spending momentum slowed more materially through Q2.

GDP makeup

Domestic demand detail is expected to include: consumer spending +0.6%qtr and +2.5%yr, housing investment +0.6%qtr and +3.4%yr, new business investment +6.0%qtr and +10.3%yr, and new public demand +0.4%qtr and +2.7%yr.

Combined, the external sector and changes in the stock of inventories are expected to detract around 0.7ppts from growth in real GDP in the March quarter 2026 on a combined basis.

Real GDP Growth Forecasts (%qtr)

	Q3 2025	Q4 2025	Q1 2026 pre partials	Q1 2026
Consumption	0.5	0.3	0.6	0.6
Dwellings	2.0	0.6	1.4	0.6
Business investment	3.8	0.5	0.9	6.0
Private demand (new)	1.3	0.4	0.7	1.6
Public demand (new)	1.3	0.8	0.8	0.4
Domestic demand	**1.3**	**0.5**	**0.8**	**1.2**
Inventories *	–0.5	0.4	–0.2	–0.1
Imports	2.0	1.8	1.0	2.3
Exports	1.4	1.4	0.4	–0.4
Net exports *	–0.1	–0.1	–0.1	–0.6
GDP	**0.5**	**0.8**	**0.5**	**0.5**

*Contribution to quarterly growth in GDP

Productivity to soften during data centre investment phase

Our nowcast suggests labour productivity will go backwards this quarter, unwinding some of the gains made last year when productivity advanced 1.0%yr.

If the economy expanded 0.5%qtr in Q1 and hours worked increased 0.8%qtr (a touch softer than the Labour Force Survey result, consistent with recent variation between the two sources), labour productivity will likely print a fall of around 0.3%qtr but remain 0.6% higher in year-ended terms.

Here data centres will likely be having some impact. During the investment phase of the build-out, productivity is likely to be somewhat softer. This is something we observed during the mining investment boom of the 2000s–early 2010s and might have been a feature during the more recent transport infrastructure booms in NSW and Victoria.

During the build phase of these cycles, a rising share of the economy's resources is going towards building structures, fit-outs and linking to networks for projects that are not yet productive/operational. Importantly, the investment is laying the foundations for strong productivity growth in the future, in this case when AI and other advanced technologies are fully adopted by businesses and households.

But just as we saw during the mining investment boom, productivity will be soft until this investment rolls into its production phase.

The detail

Household consumption (+0.6%qtr, +2.5%yr): While this is a pick-up on the soft 0.3%qtr recorded in Q4 2025, this mostly relates to the effects of electricity rebates. The squeeze from higher inflation, interest rates and bracket creep are again weighing on disposable incomes, and this is expected to show through more clearly in Q2 2026 and beyond.

Dwelling investment (0.6%qtr, 3.4%yr): Home building activity likely disappointed in Q1, with the partial showing that the construction of new dwellings declined 1.3%qtr after expanding 6.0%yr in 2025. Dwelling construction has been something of a bright spot over the last year. However, this expansion looks to be moderating as existing capacity constraints in the industry, combined with high input costs, weigh on activity. The cost issue is likely to become more pronounced as effects from the conflict in the Middle East flow through. Based on partials, we expect the construction of new dwellings to have fallen (–1.3%qtr) offset by a pick-up in renovations (+3.7%qtr) over Q1.

New business investment (6.0%qtr, 10.3%yr): New business investment is expected to have accelerated a whopping 6.0%qtr and 10.3%yr – the strongest quarterly growth since the March quarter 2012. Investment in machinery & equipment is likely to have grown by close to 13.0%qtr, the strongest rate since the December quarter 2009, driven by data centre related equipment. Partials also suggest that new engineering construction and the construction of new buildings (particularly related to data centres) expanded over the quarter. This momentum is likely to continue given the record high new building construction pipeline and capex expectations, which point to an acceleration in capex growth.

Public demand (0.4%qtr and 2.7%yr): The partials show that public infrastructure work done declined 3.2%qtr and almost 6.0%yr, as transport and energy projects are completed. There is still a decent pipeline of projects to work through, which should see investment remain elevated, but no longer contribute to growth. We expect public consumption to continue expanding on the back of growing programs such as the NDIS and cost-of-living support rolled out by the Federal and State governments.

Net exports (–0.6ppts qtr, –0.8ppts yr): Net exports look to have detracted significantly from GDP growth in Q1; we expect a negative contribution of –0.6ppts. Weak goods exports are the main driver, despite expected increases in rural goods and gold exports. Iron ore and coal exports appear to have fallen significantly, largely due to severe weather disruptions to mining and trade, while other goods exports also look weak. Meanwhile, import volumes of ADP and other data centre related equipment appear to have doubled, driving a very sharp increase in overall capital goods inflows. So, despite expected small decreases in consumption and intermediate goods categories, overall goods imports look to have risen notably. Falling numbers of international student visa holders and a small decline in short-term visitor arrivals point to downside risks to services exports.

Total inventories (–0.1ppts qtr, –0.2ppts yr): We estimate imports of consumption goods declined over the quarter while consumption held steady, suggesting some of this demand was met by a run-down in inventories. There is also likely to be a run-down of public inventories, including vaccinations, as we approach flu season.

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ

westpaciq.com.au

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29 May 2026

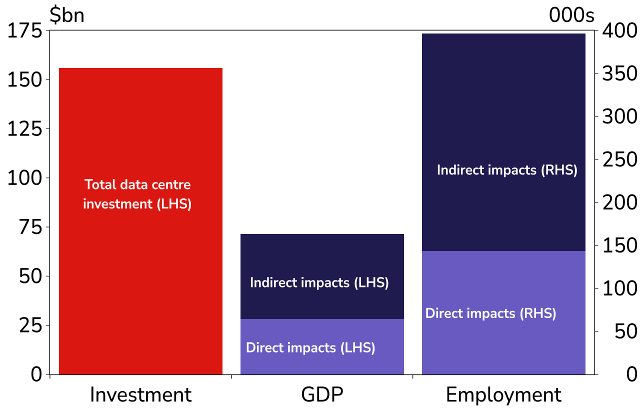
POWERING THE AI ECONOMY: AUSTRALIA'S $155BN DATA CENTRE BOOM

Front-loaded boost to activity, followed by future productivity

Key points

- AI and technological advances will reshape the world; delivering this shift requires record levels of investment in data centres, both globally and in Australia.
- We estimate Australia's data centre investment pipeline will exceed $155bn (or 5.6% of one year's GDP). However, heavy reliance on imported high-tech equipment means the net domestic GDP impact (allowing for import leakages) is about half of that. This is still significant, with a net GDP boost of around $75bn, worth 2.8% of GDP, and temporarily supporting a total of around 400k jobs as this investment rolls out.
- It also means the net GDP impacts from 'spillovers' or 'data centre–related activity' are likely to be larger than the direct effects (with roughly a 60:40 ratio).
- The bulk of the GDP boost will also be front-loaded, driven by the construction of buildings and structures. The equipment fit-out phase is far more import-intensive, limiting domestic gains, before domestic activity picks up again as operators invest in intangibles such as systems integration and design.
- Alongside the potential $200bn energy transition investment pipeline (see here), Australia is seeing an investment surge, with the total pipeline approaching 13% of GDP. This reinforces our view that the neutral interest rate will be structurally higher than in the pre-pandemic period and that the recent period of soft productivity growth is only temporary.

Economic impacts of investment in data centres



Source: ABS, Macrobond, Westpac Economics

The AI Surge is Real

Pat Bustamante
Senior Economist

AI and the tech advances of the past decade are already reshaping the way we interact and work. We can see this in the statistics, which show that data usage has grown exponentially over the past decade. In 2019, estimates suggest the global consumption/creation of data amounted to around 41 zettabytes. This has grown to over 180 zettabytes in 2025 (see here)[1].

Widespread adoption of emerging technologies by businesses and households, especially AI, will likely speed up this trend. As such, data centres that help meet this growing demand have become a priority, and we are seeing an unprecedented scale-up in global investment in data centres. Some estimates have global spending on data centres increasing to around US$7 trillion by 2030, one of the largest build-outs in modern history (see here).

Australia is emerging as an attractive destination for global capital, supported by abundant land, growing access to renewable energy sources, and privileged access to Nvidia AI chips. Indeed, Australia was the second-largest investment destination for data centres globally in 2024, with US$6.7 billion in capital investment, trailing only the US (see here).

This raises an important question: what does the data centre pipeline mean for the wider Australian economy? Despite the potential scale of investment, there has been limited work assessing and quantifying its macroeconomic impact, something we do in this research piece.

Australia Emerges as a Key Investment Hub

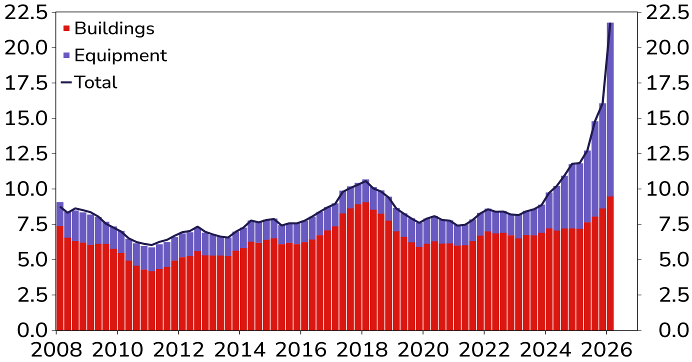
While the technology is new, the economic dynamics are familiar, with three distinct phases to the data centre investment boom – the technological advancement, investment, and production phases. In the investment phase, data centres will be designed, financed, and built. Once the investments have been made, the production phase begins, where operational data centres and widespread adoption of technology will drive higher productivity across the economy.

Australia is firmly in the investment phase. We have seen investment increase significantly in data centres, with capital expenditure within the information, media and telecommunications (ITC) industry (driven by investment in data centres) rising from a previous peak of $10.5bn over the year to Q1 2018 to more than $22bn over the year to Q1 2026. Even more remarkable, investment in machinery and equipment in the ITC industry has risen from $1.7bn over the year to Q1 2018 to $12.3bn over the year to Q1 2026—a more than seven-fold increase.

[1] To put it into perspective, a zettabyte is one sextillion bytes, roughly 300 times the total stock of global information storage capacity in 1986. At 180 zettabytes in 2025 alone, this amounts to around 60 thousand times the total global information storage capacity in 1986, in one year.

Information Media & Telecommunications CAPEX

$bn, Volumes, Rolling annual sum.

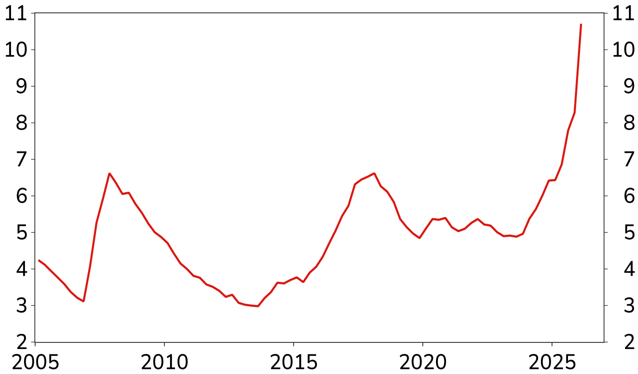


Source: ABS, Macrobond, Westpac Economics

This has seen the ITC industry's capex share rise from around 5% of total capex before the pandemic to a record high of more than 11% today, more than doubling in just six years.

Information Media & Telecommunications CAPEX

% of total capex, values.

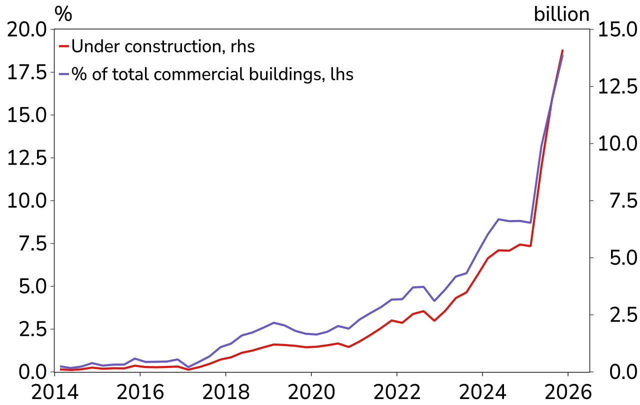


Source: ABS, Macrobond, Westpac Economics

But this is just the start, and we expect this expansion to continue. The value of data centres under construction (included in other commercial buildings n.e.c.) is running at around $15bn - a record high, both in level and as a share of the total commercial building pipeline. This will support further construction and investment in the near term.

In addition, nominal capex expectations point to another year of strong growth over FY2027 (a record 75% increase in year average terms), a touch stronger than the FY2026 expectation (around 70% in year average terms).

Other Commercial Buildings



Source: ABS, Macrobond, Westpac Economics

A $155bn Buildout

Australia is entering a significant build out phase in data centre capacity to meet rising domestic and regional demand. While estimates vary, the Clean Energy Finance Corporation (CEFC) projection of around 3.2GW of operational capacity by 2035 sits comfortably within a broader range of around 2.5 to 5.0GW over the decade. This implies a material scaling from current levels around 0.3GW in 2025. Using industry-based cost estimates (see here), scaling to this level of capacity suggests total investment of over $140bn, once broader delivery and professional services costs are incorporated.

The CEFC also highlights the growing energy challenge. **Data centre demand could rise from around 1% of grid electricity consumption today to around 8–11% by 2035.** Without additional supply, this could place significant upward pressure on electricity prices, with wholesale prices rising by around 20–25% in key states. They suggest a more balanced pathway would require around 3.2GW of new renewable generation and 1.9GW of battery storage. We estimate this would add more than $15bn in investment, before any major network augmentation. **This is $15bn over and above the existing $90bn in electricity generation investments committed to or already under construction.**

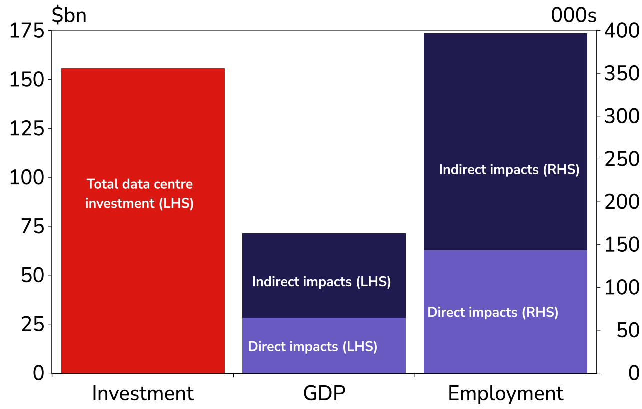
Taken together, this points to an unprecedented data centre investment pipeline in excess of $155bn (or around 5.6% of GDP) once the associated energy build out is included.

From Build to Boost: How Data Centres Impact the Economy

Here we focus on the economic impacts of the investment phase, with the production phase left to future work. Using structural relationships derived from input–output tables, we identify and estimate the net GDP and employment impacts of data centre investment on the Australian economy.

As discussed, much of the high tech equipment used to fit out data centres is imported and therefore does not contribute to domestic value added during the investment phase. Input–output tables indicate that some components are almost entirely sourced from overseas rather than produced in Australia. Given the high import intensity, we find that the investment phase provides a meaningful but more moderate, boost to domestic GDP and employment.

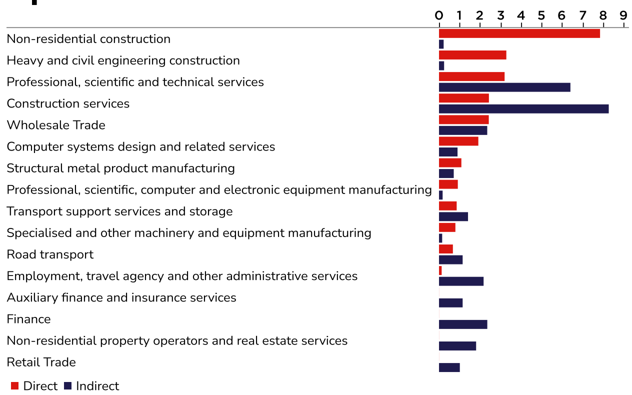
Economic impacts of investment in data centres



Source: ABS, Macrobond, Westpac Economics

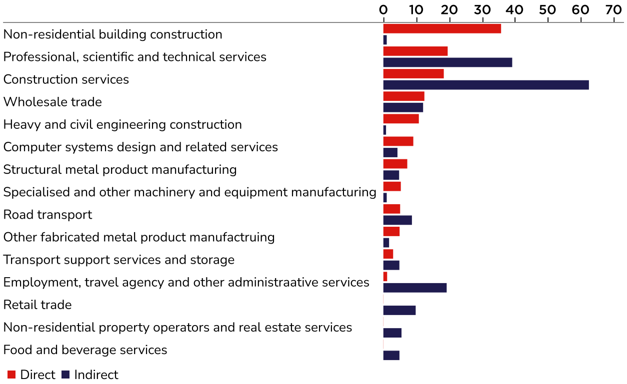
This framework allows us to capture not only the 'direct impact of data centre activity' (construction, engineering, professional services), but also the broader spillovers or 'data centre-related activity' across the domestic supply chain. These spillovers are concentrated in professional services, construction services, wholesale trade, transport and administrative support.

Contributions to net GDP boost ($bn)
Top ten industries



Source: Macrobond, Westpac Economics

Temporary employment boost ('000)
Top ten industries



Source: Macrobond, Westpac Economics

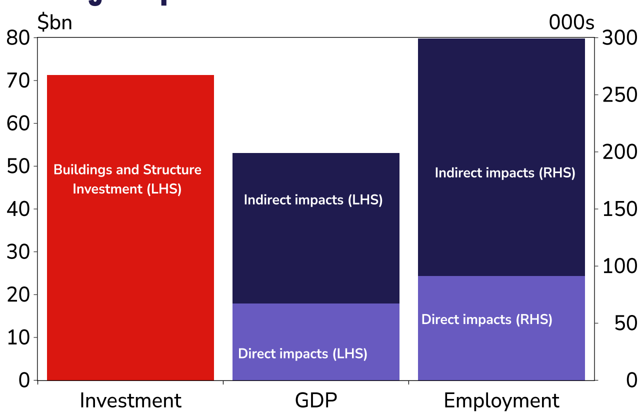
Breaking Down the Pipeline: Construction vs Equipment vs Intangibles

Investment in data centres is not homogeneous. Firstly, infrastructure and structures are required to house the high-tech equipment. These tend to be 'high-spec' builds with strict controls on temperature and humidity, requiring high volumes of energy and water supply, with a very low tolerance for outages. Secondly, structures need to be fitted out and equipped with "high-tech" equipment required to operate the data centres, including servers, mainframes, and cooling systems. Finally, there is investment in intangibles required to run data centre equipment, including software, systems integration, and design.

Industry benchmarks and project-level intelligence suggest a broadly consistent cost split across the pipeline, with construction accounting for around 35–45%, machinery and equipment around 50–60%, and intangibles a small residual of roughly 3–7%. Applied to our estimate of the data centre investment pipeline, this implies a $55–70bn boost in construction activity, $70–90bn in equipment (particularly electrical and cooling systems), and $5–10bn in intangibles.

These investment components have very different economic footprints. Construction tends to have large domestic spillovers. **As such, the bulk of the GDP boost will be front loaded, driven by construction of buildings and supporting infrastructure.**

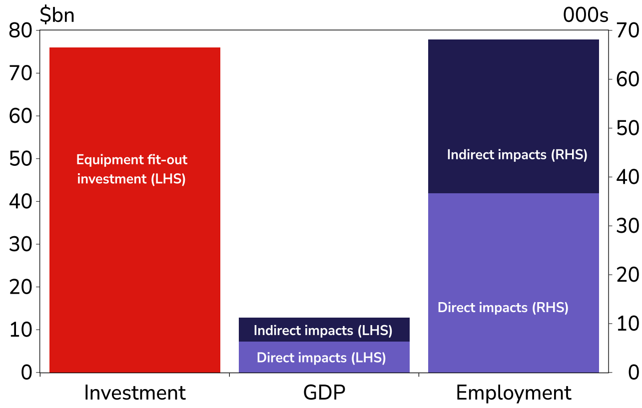
Building component of total investment



Source: ABS, Macrobond, Westpac Economics

Machinery and equipment (the fit out component) deliver a smaller domestic impact due to high import content but nonetheless generate domestic activity.

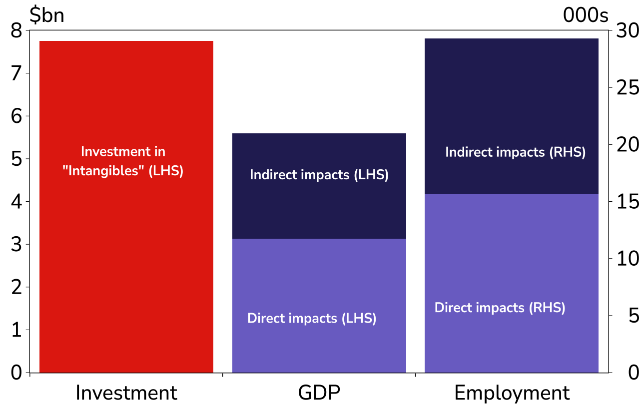
Equipment fit-out component of total investment



Source: ABS, Macrobond, Westpac Economics

Intangibles support relatively strong domestic GDP, driven by high value-added sectors such as telecommunications, systems design and data processing, but this is more drawn out.

"Intangibles" component of total investment



Source: ABS, Macrobond, Westpac Economics

A Boom by Another Name

Demand for data has increased exponentially. This will only ramp up as there is widespread adoption of AI and emerging technologies by households and businesses.

The digital infrastructure needs to be in place to facilitate this, with data centres playing a critical role. Our analysis, which is the first of its kind for the Australian economy, shows that the data centre investment pipeline is unprecedented and will have significant implications for GDP and employment, notwithstanding the large import penetration of high-tech equipment.

Combined with the potential renewables pipeline, which amounts to around $200bn of actual and possible projects, it is clear Australia is in the midst of a structural changing period of capital deepening.

This is consistent with our view that the structure of rates will remain higher than the pre-pandemic period going forward. It is also consistent with our view that, for a number of reasons, productivity growth has been temporarily subdued but will pick up. It is only when data centres are in place, facilitating widespread adoption of AI and emerging technologies, that we will see the real payoffs for productivity growth. The economic impacts during the production phase will be the focus of a forthcoming note.

Bottom line

Australia is entering a new investment surge. A $155bn data centre pipeline, rising to around $360bn when combined with the energy transition. Import leakages mean the domestic GDP uplift is closer to half the headline spend, but the impact remains material: a front loaded boost to growth, concentrated in construction and amplified by broad economy wide spillovers. Crucially, this is just phase one. The larger payoff, via stronger productivity, comes later, during the ‘production phase’ as data centres enable widespread AI adoption.

Caveats

This analysis is based on the 2023–24 input–output tables and does not capture dynamic responses to changes in demand or prices, potential crowding out effects, or investment constraints related to energy and water supply. It should be interpreted as a comparative static exercise, assessing the impact of a shock under the assumption that industry and institutional linkages remain broadly unchanged. This approach is consistent with analysis used by Treasury in assessing the economic impacts of the mining investment boom.

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ

westpaciq.com.au

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Datacentres hyperscale capex growth

#australia #construction

By Pat Bustamante & Luka Belobrajdic

16:15 May 28 2026

Share

Private capex surprised on the upside, rising 6.5%qtr and 14.6%yr in the March quarter 2026. Machinery and equipment led the jump, driven by a 196%qtr surge in information and telecommunications, while buildings and structures were weaker.

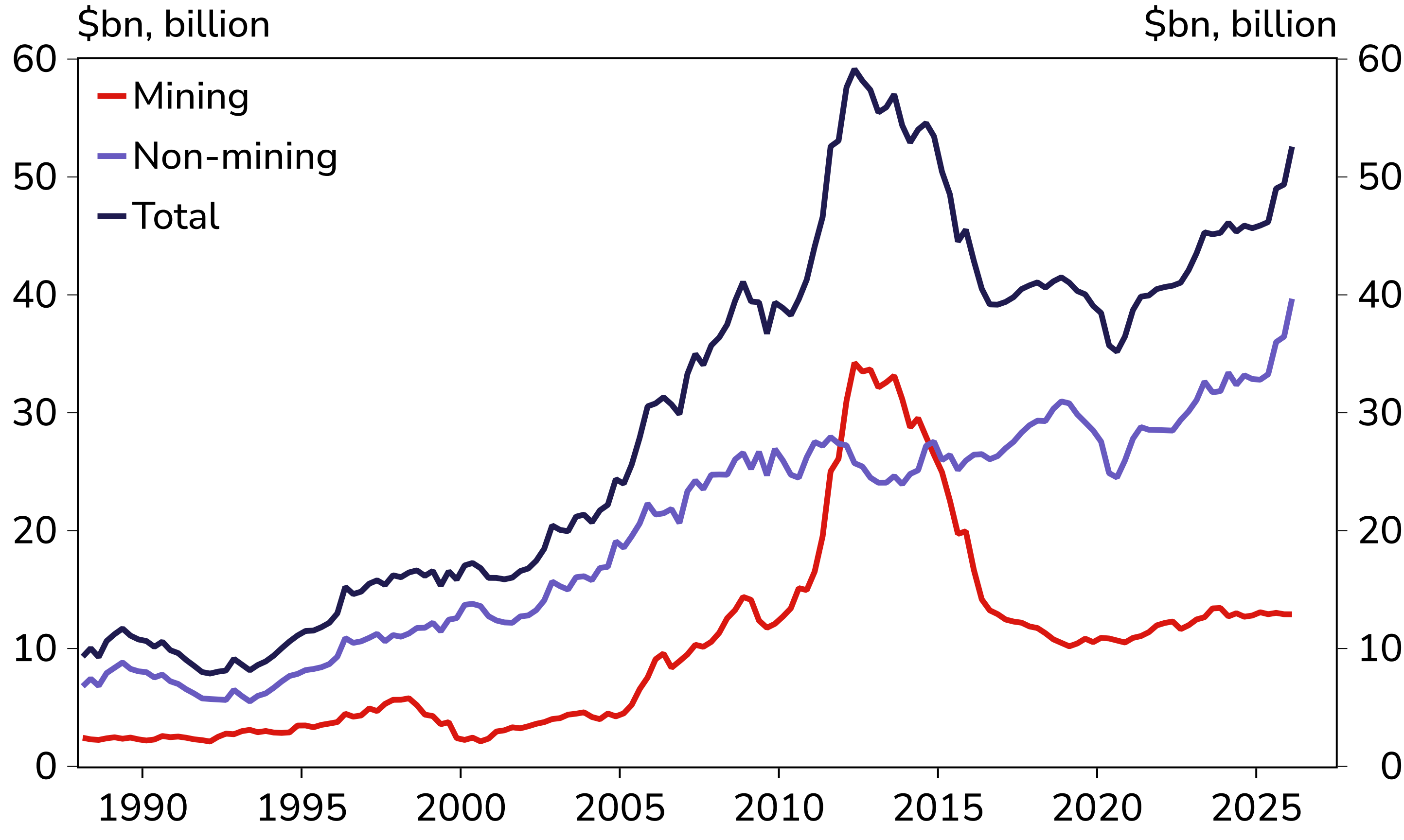
Private capex surprised on the upside, rising 6.5%qtr and 14.6%yr in the March quarter 2026, the largest quarterly increase since the height of the mining boom in 2012. Despite our view that data centres would lead a strong result in the quarter, today's outcome exceeded even our top of the range expectation for a 4.0%qtr rise, with market consensus far more subdued at 1.0%qtr.

The sharp increase was driven by machinery and equipment, which rose 18%qtr. This was the strongest quarterly growth since the December quarter 1992 – even stronger than what we saw during the mining investment boom of the 2000s. It was led by a 196%qtr surge in information and telecommunications. Excluding this industry, M&E rose a more modest 1.2%qtr. By contrast, buildings and structures were a drag on the headline, falling 3.8%qtr, with data-centre construction providing some offset.

Looking ahead, capex plans suggest some moderation in the June quarter but still point to strong outcomes for FY2026. In real terms, this implies growth of around 10.7%yr for the full year. The second estimate for FY2027 also points to a further step-up in investment.

Capital Expenditure

By industry



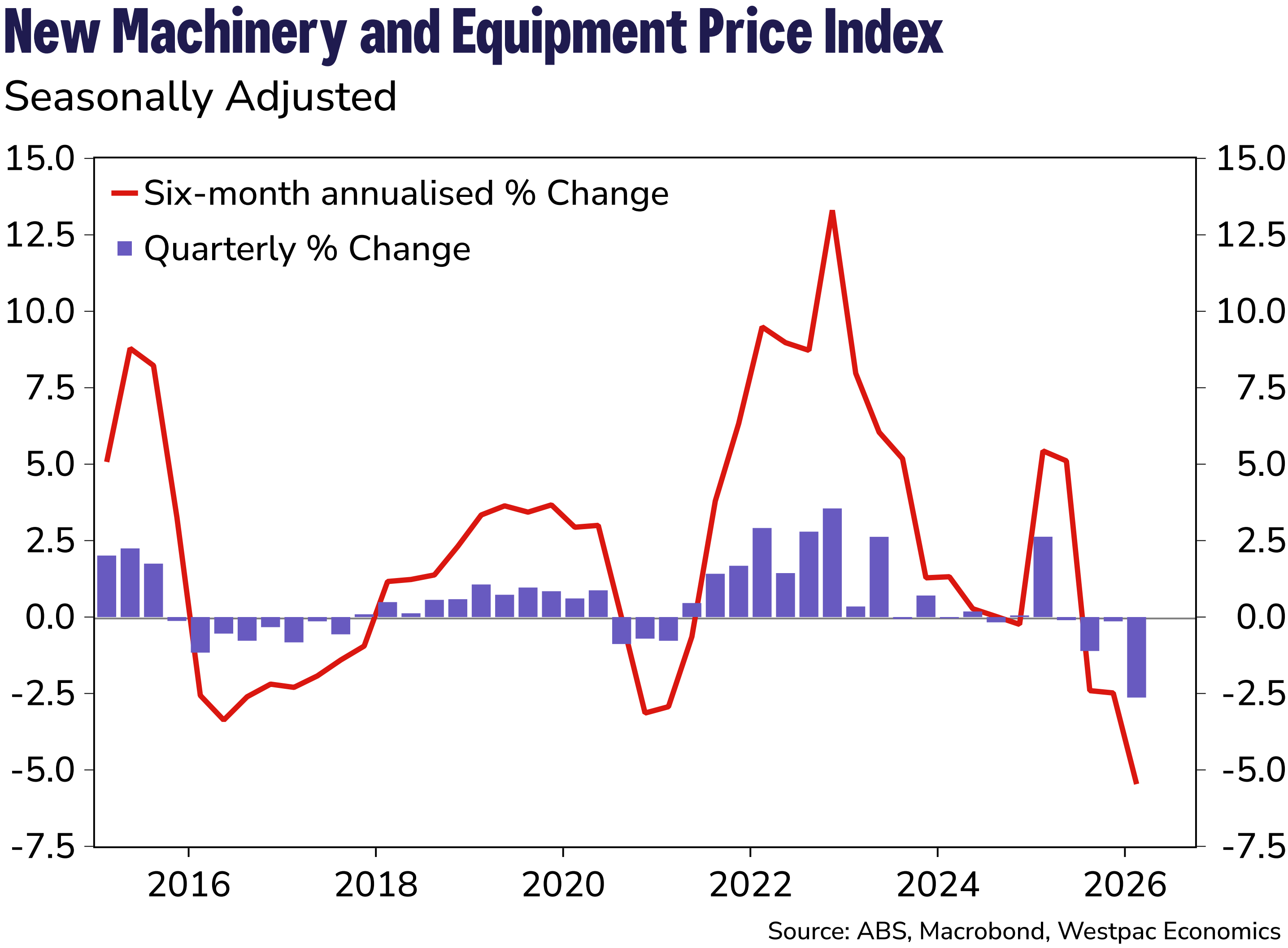
Source: ABS, Macrobond, Westpac Economics

What does this mean for next week's National Accounts?

Capex data today, alongside yesterday's construction work done release, point to a modest upside risk to our Q1 2026 GDP nowcast (full update tomorrow). However, the stronger capex pulse should translate only partially into GDP, with a significant share leaking abroad. Trade data collaborates this with capital imports increasing around 7.0%qtr in Q1 (and almost 8.0%qtr when aircrafts are excluded).

What about inflationary pressures?

Capex price pressures have eased materially. The machinery deflator has declined for a fourth consecutive quarter, marking a full year of retreat, with a 5.5% fall in six-month annualised terms. This likely reflects the import-intensive nature of data-centre investment—evidenced by a 94%qtr rise in ADP equipment imports—alongside an appreciation in the Australian dollar during Q1 2026. This disinflationary impulse should help contain cost pressures for businesses and support ongoing investment.



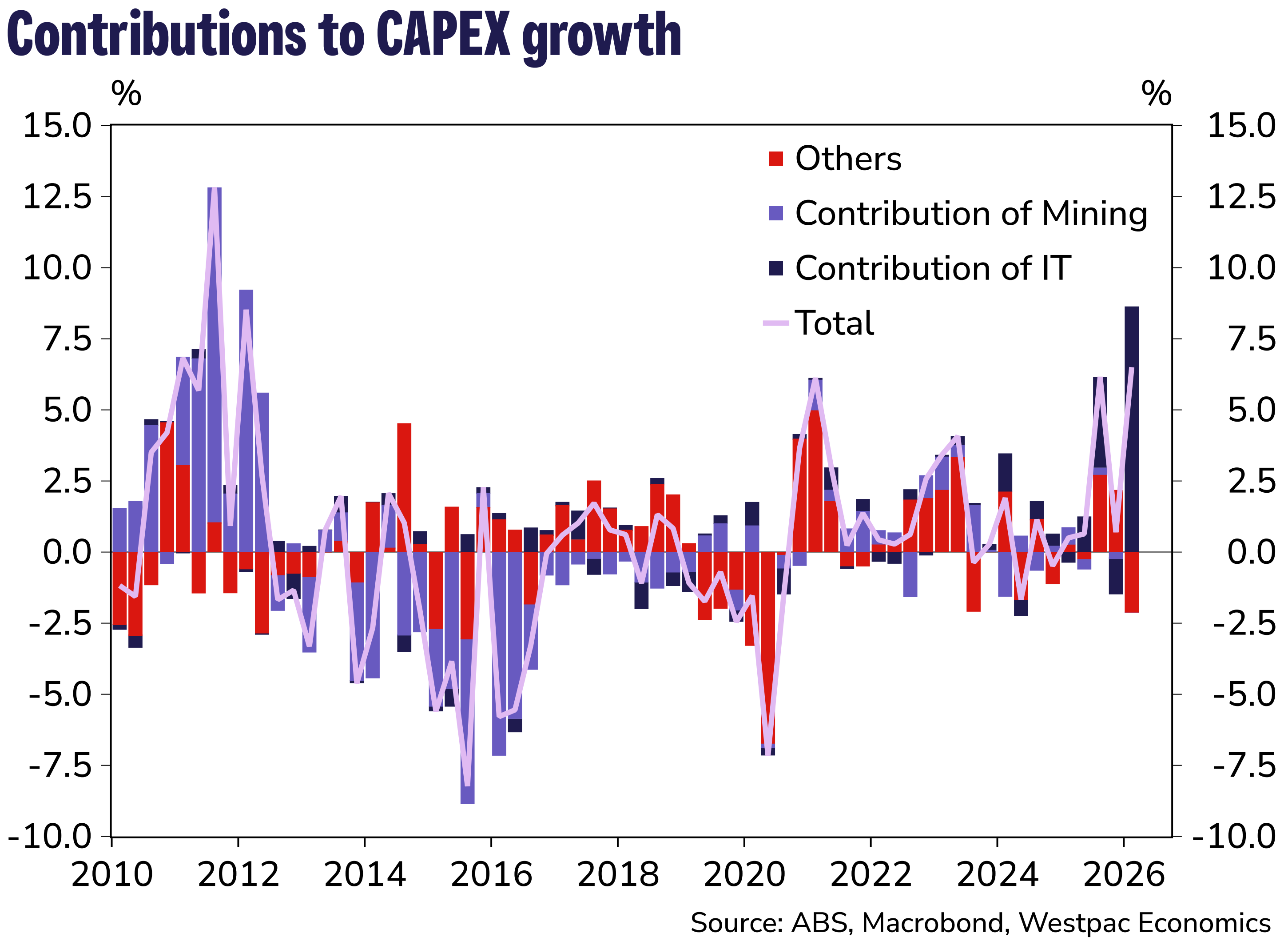
Industry detail

Mining capex was broadly flat in the quarter, with a 7.2% rise in machinery and equipment offset by a 2.9% decline in buildings and structures. Non-mining capex rose strongly, increasing 8.8%qtr and 20.9%yr—the largest year-ended increase since Q3 2005. This was driven by a 20.1%qtr rise in machinery and equipment, while buildings and structures declined 4.3%qtr.

As we were expecting, information and telecommunications was the clear standout, rising 96.1%qtr. Leading indicators—particularly strong ADP equipment imports and commercial building approvals—had pointed to a large increase. This outcome is the strongest since March 2007 and cements the sector as the second largest by capex ($8.7bn), behind mining ($12.9bn). While buildings and structures rose 12.6%qtr, the surge was overwhelmingly driven by machinery and equipment, which rose 196%qtr, leaving M&E more than double the value of buildings and structures investment. The scale-up in data-centre investment is increasingly reminiscent of the early-2010s mining boom, with the sector contributing more to overall capex growth than all other industries combined. While current investment is concentrated in import-intensive equipment—with relatively limited immediate domestic GDP impact—this is likely to shift as projects transition to the production phase.

Elsewhere, retail trade recorded a strong 12.2%qtr increase, with buildings and structures up 17.8%qtr and machinery and equipment rising 9.8%qtr. This marks a second consecutive quarterly rise, pointing to a lift alongside the cyclical upswing we saw in 2025, although the sustainability of this momentum remains uncertain given weak consumer sentiment.

Electricity, gas, water and waste declined 8.4%qtr, following a 12%qtr rise previously, with the ABS noting a series of large projects reached completion over the quarter. Both buildings and structures (-8.5%qtr) and machinery and equipment (-7.0%qtr) contributed to the decline. Despite this, the sector is expected to be supported over coming quarters by the energy transition and increased infrastructure demand linked to data-centre expansion.



Capex spending plans

Alongside the capex data, the ABS also publishes businesses spending plans for this financial year, which allows us to assess how the capex spending is likely to evolve over the coming quarters. Usually, those plans tend to have a bias, with companies first estimates usually erring on the side of caution. Over time, business tend to revise their plans higher. We apply a methodology, that takes historical ratios of plans to actuals alongside business conditions which allows us to derive a more realistic capex estimate in the year ahead.

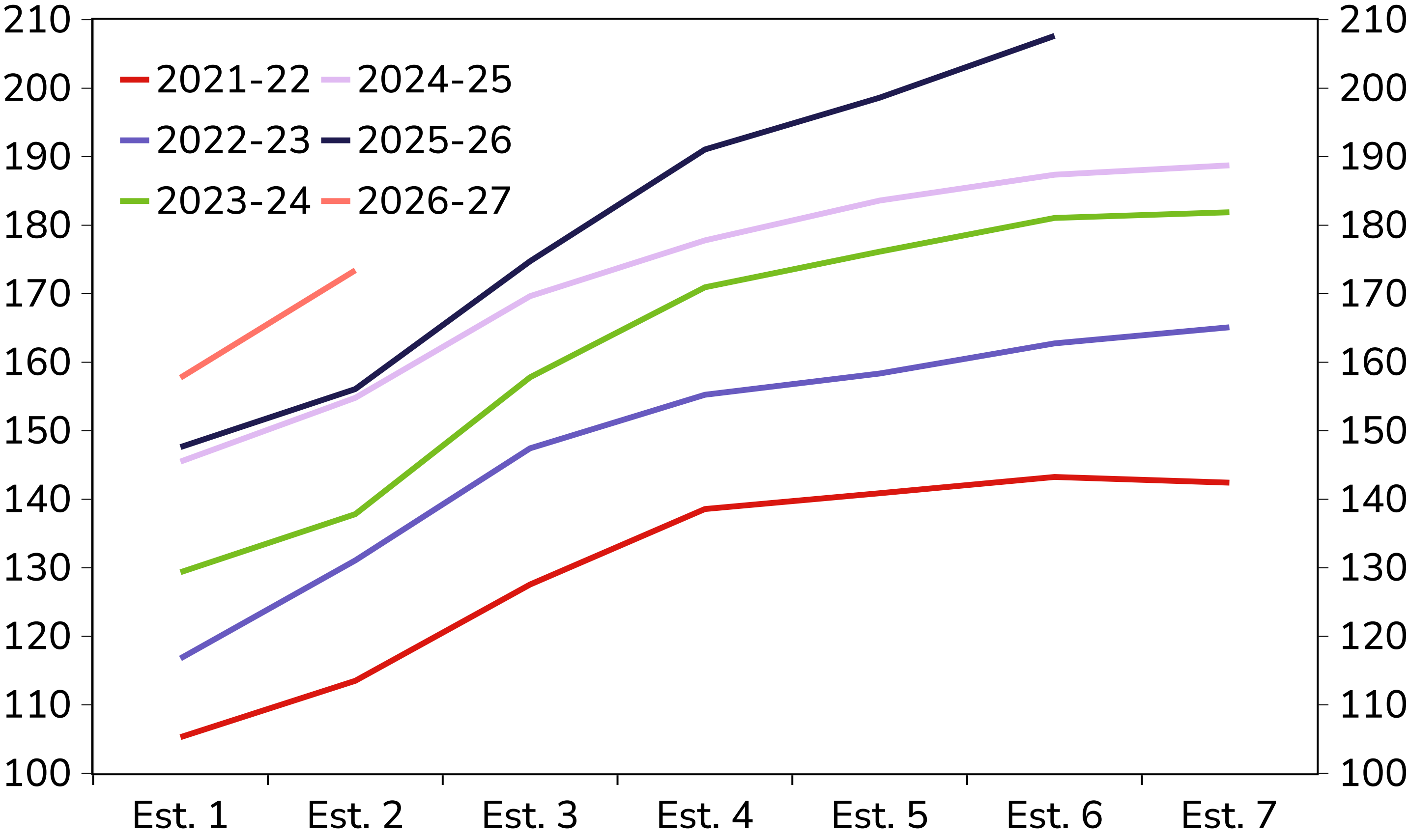
Estimate 6 for FY2026 came in at $208bn, above our expectation of $204bn, and pointing to continued resilience despite weaker business confidence. This represents an 11.2% increase on a year ago and a 4.5% upward revision from Estimate 5. Based on the historical profile of estimates, this implies nominal capex of around $210bn for FY2026, an 11.2%yr increase.

Estimate 2 for FY2027 came in at $173bn, an 11% increase over the equivalent estimate a year ago. This result is a clear step-up from 0.8% growth of the equivalent estimate for FY26, and suggests firms expect investment momentum to be sustained.

Price effects are playing a diminishing role. The capex deflator fell 0.7%yr, signalling a marked easing in inflationary pressures. This reflects strong imports of ADP equipment alongside the appreciation in the Australian dollar in Q1 2026, which has weighed on machinery and equipment prices. We expect the deflator to remain soft through the remainder of the financial year, with full-year average growth of 0.5%yr. Combined with nominal growth of 11.2%yr, this implies real capex growth of around 10.7%yr – the strongest result since FY2012, and a notable upward revision from our previous expectation of 7.1%.

Capex Spending Plans

Value, $bn



Source: ABS, Macrobond, Westpac Economics

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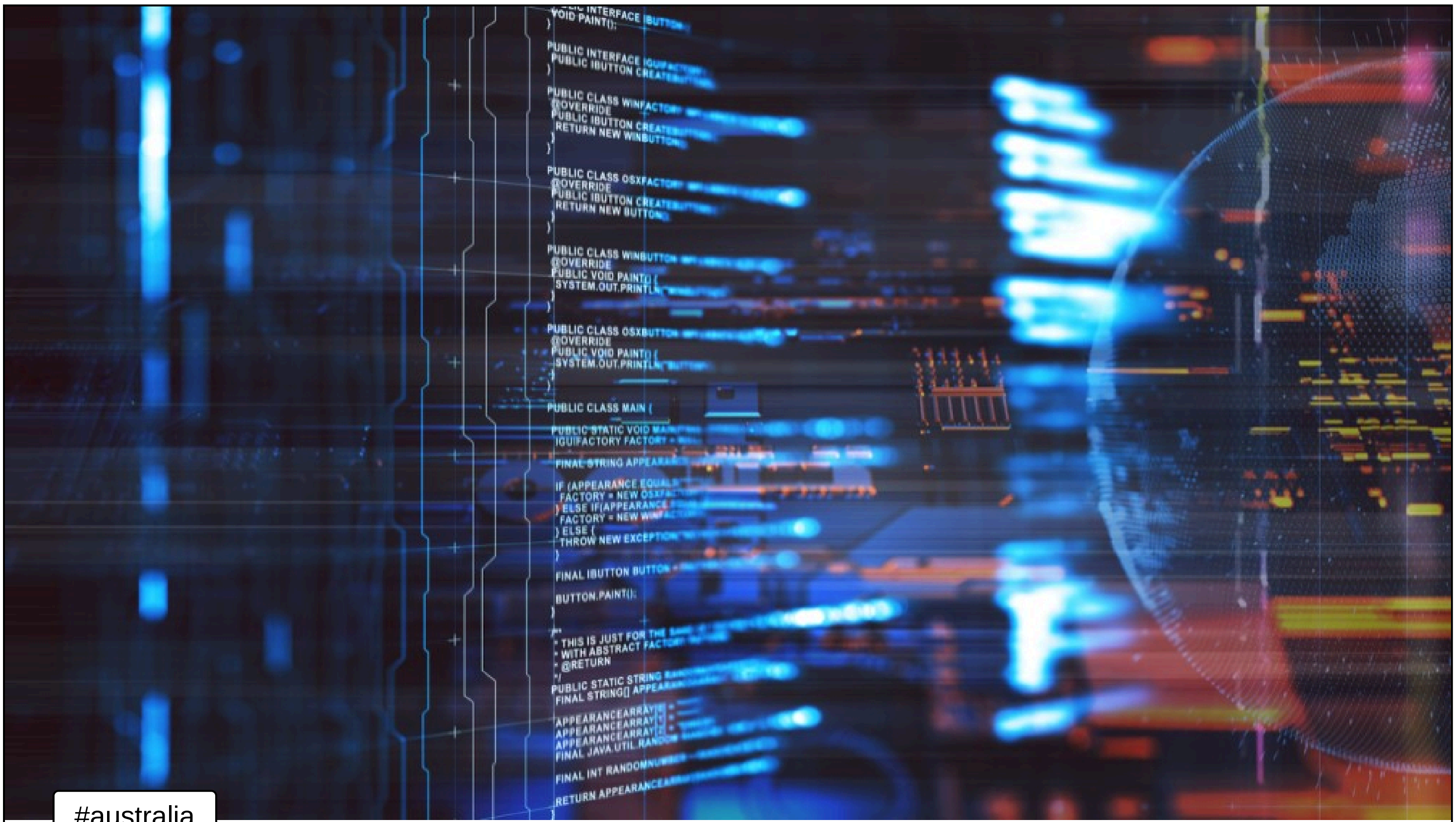

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27 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets were mixed as optimism around a permanent US–Iran deal was offset by renewed military action described by the US as ‘defensive’, underscoring the fragility of the ceasefire.

Equity markets were mixed, with US stocks rising to fresh highs on US–Iran deal optimism, while Europe underperformed, Asia was mixed and the ASX 200 declined.

US bond markets rallied, with yields falling across the curve as Middle East optimism capped oil price gains.

The USD weakened modestly, with the AUD also declining against the greenback, though proving more resilient on crosses.

Commodity markets were driven by shifting Middle East headlines, with Brent rising, WTI falling, gold declining on higher rate expectations amid renewed military action, and iron ore reversing recent gains as weaker fundamentals returned to focus.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.6	0.0%
AUD/USD	0.7169	-0.1%
AUD/JPY	114.19	0.2%
AUD/GBP	0.5331	0.3%
AUD/NZD	1.2281	0.5%
AUD/EUR	0.6162	0.0%
AUD/CNH	4.8629	-0.1%
AUD/SGD	0.9159	0.0%
AUD/HKD	5.6170	-0.1%
AUD/CAD	0.9900	0.0%
EUR/USD	1.1630	-0.1%
USD/JPY	159.30	0.2%
USD Index	99.15	-0.1%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.50	0.00
180 day BBSY	4.81	0.02
1 year swap	4.64	0.04
2 year swap	4.62	0.05
3 year swap	4.58	0.05
4 year swap	4.59	0.07
5 year swap	4.61	0.07
6 year swap	4.64	0.07
7 year swap	4.69	0.07
8 year swap	4.74	0.07
9 year swap	4.78	0.07
10 year swap	4.82	0.07

Equities	Close	Change
S&P/ASX 200	8,658	-0.4%
S&P 500	7,519	0.6%
Japan Nikkei	64,996	-0.2%
Hang Seng	25,599	0.0%
Euro Stoxx 50	6,064	-1.2%
UK FTSE100	10,491	0.2%
VIX Index	17.01	2.5%

Commodities	Current	Change
CRB Index	388.33	-1.1%
Gold	4507.88	-1.4%
Copper	13668	1.1%
Oil (WTI futures)	93.63	-3.1%
Coal (coking)	243.50	-1.4%
Coal (thermal)	142.80	2.1%
Iron Ore	105.10	-1.6%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.55	0.03
10 year bond	4.91	0.03
United States		
3-month T Bill	3.58	0.00
2 year bond	4.03	-0.09
10 year bond	4.48	-0.07
Other (10 year yields)		
Germany	2.98	0.03
Japan	2.73	0.02
UK	4.88	-0.02

Sydney Futures Exchange	Current	Change
10 yr bond	4.94	0.01
3 yr bond	4.57	0.01
3 mth bill rate	4.50	0.02
SPI 200	8,674	-0.1%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets were mixed overnight as optimism around a permanent deal to end US–Iran hostilities was offset by reports that US and Israeli jets conducted strikes on Iranian missile launch sites and vessels attempting to place mines in the Strait of Hormuz. US Central Command described the strikes as defensive, while Israeli Prime Minister Benjamin Netanyahu said Israel would intensify operations against Iran backed Hezbollah in Lebanon. These developments underscore the fragility of the ceasefire, while US Secretary of State Marco Rubio reiterated that President Trump would either secure a good deal or no deal at all.

- Equity markets were mixed across regions. In the US, stocks rebounded following the US Memorial Day holiday, with the S&P 500 rising 0.6% to a fresh high on optimism around a potential US–Iran agreement, led by gains in chipmakers. The NASDAQ gained 1.2%, while the Dow Jones underperformed, falling -0.2%.
- European markets were less convinced by the durability of a peace deal, with the Euro Stoxx 50 declining -1.2%. The FTSE 100 was more resilient, rising 0.2% to record its sixth consecutive daily gain. Asian markets were also mixed, with the KOSPI outperforming, up 2.6%, while the Hang Seng was flat and the Nikkei 225 fell -0.2%. Locally, the ASX 200 declined -0.4% as Middle East optimism faded.
- US bond markets rallied as Middle East optimism capped oil price gains, with the yield curve steepening. The 2 year yield fell 9bps and the 10 year declined 7bps. Futures markets are now pricing the first Fed rate hike by March 2027.
- Australian government bond yields rose across the curve following reports of US and Israeli strikes on Iranian assets. The 3 year and 10 year yields both increased 3bps, with swap markets pricing one full rate hike by November, taking the implied terminal cash rate for year end to 4.62%.
- FX markets saw modest USD weakness, with the DXY down -0.1%. The euro (-0.1%), sterling (-0.4%) and yen (-0.2%) all declined against the greenback, while the Australian dollar also eased -0.1% to 0.7169. The AUD performed better on crosses, although was little changed against the euro.
- Commodity markets were driven by shifting headlines out of the Middle East. Brent rose 3.6% to US$99.6/bbl, while Dated Brent remained at a premium at US$104/bbl, and WTI declined -3.1%. Gold fell -1.4% as renewed tensions lifted expectations for higher policy rates. Iron ore declined -1.6%, reversing the prior days gains alongside coking coal following a coal mine blast in China's Shanxi province, with weaker underlying fundamentals returning to focus.

Today's key data and events

Time	Event	Exp	Prev
10:30	AU Westpac-MI Leading Index Apr	-	-0.1%
11:30	AU Monthly CPI Indicator Apr	4.4%	4.6%
11:30	AU Construction Work Done Q1	0.8%	-0.1%
11:30	CN Industrial Profits Apr	-	15.8%
12:00	NZ RBNZ Policy Decision 27/05/2026	2.2%	2.2%
0:00	US Richmond Fed May	4pts	3pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The Conference Board Consumer Sentiment Survey suggested that US consumers became more pessimistic this month, breaking the trend of improving sentiment seen since the start of the year. The headline index eased from 93.8 to 93.1, leaving it below both its long-term average of 95.1 and last year's average of 96.1. Consumers' assessment of current economic conditions deteriorated slightly, though it remained well above historical norms, while the expectations index rose by one point to a five-month high. Assessment of labour market conditions also softened slightly from the prior month but remained broadly in line with recent readings.

New data from the regional Feds suggested some stabilisation in US economic momentum following the hit to activity from the Middle East war and higher energy prices. **The Chicago Fed Activity Index** – a composite measure based on 85 monthly indicators tracking US economic growth relative to trend – rose from -0.15 in March to 0.14 in April, driven by a rebound in production. In contrast, the personal consumption and housing, and labour market components were somewhat weaker. Meanwhile, **the Dallas Fed Manufacturing Outlook Index**, a survey of Texas business executives, returned to positive territory in May after two negative readings in March and April. The index rose to 0.4, its highest level in ten months and broadly consistent with its long-term average. The survey also pointed to rising underlying inflationary pressures, with prices paid for raw materials increasing to their highest level in eight months.

The latest March readings for the US house price indices again underscored the fragility of the housing market amid elevated interest rates and an uncertain economic outlook. The **FHFA House Price Index** rose just 0.1%mth, reversing a decline of the same magnitude in February, while the **S&P Cotality CS 20-City Index** fell for a second consecutive month, declining 0.2%mth. On a year-ended growth basis, the two indices rose 1.7%yr and 0.8%yr, respectively. For the FHFA measure, this marked the slowest annual growth pace since 2012.

Local Data

There was no top tier economic data to report.

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

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First impressions – April CPI

#inflation #australia #rba #economicbulletinsaustralia #inflation

By Neha Sharma, Sian Fenner & Luci Ellis

12:29 May 27 2026

Share

The April CPI rose 0.4%mth to be up 4.2%yr.

The April CPI rose 0.4%mth to be up 4.2%yr. This represents a moderation from the 4.6%yr pace recorded in March and came in below Westpac's near-cast of 0.9%mth/4.8%yr and market expectations of 4.4%yr. April is normally a seasonally strong month; the seasonally adjusted figure recorded a fall (–0.1%mth), compared with our nowcast of 0.3%mth. Much of the miss was concentrated in volatile or policy-affected items that do not speak to the pass-through of energy prices and other supply effects stemming from the conflict in the Middle East.

The miss to the downside was from:

- a sharper-than-expected decline in transport (–2.7%mth vs our –1.1% near-cast, subtracting 0.3ppts)
- a softer international travel result (+3.4%mth vs +9.7%mth).
- a fall in fruit prices also contributed to the weakness (-2.2%mth vs +4.6%mth)
- a softer rise in clothing & footwear prices (3.9%mth vs 4.7%mth).

On the upside:

- health was firmer than expected (+2.6%mth vs +1.9%mth), contributing 0.2ppts.
- new dwelling purchase prices picked-up further in April, rising 0.7%mth above our expectations for a 0.4%mth lift. This was the largest increase since November 2023.
- rents were broadly on par with last month's increase and our expectations (0.2%mth).

The monthly Trimmed Mean rose 0.3%mth, slighter softer than our expectations for a 0.4%mth lift. Nevertheless, the annual pace lifted slightly to 3.4%yr from 3.3%yr in prior month. The six-month annualised paced continued to ease, down to 3.2% from 3.8% in December.

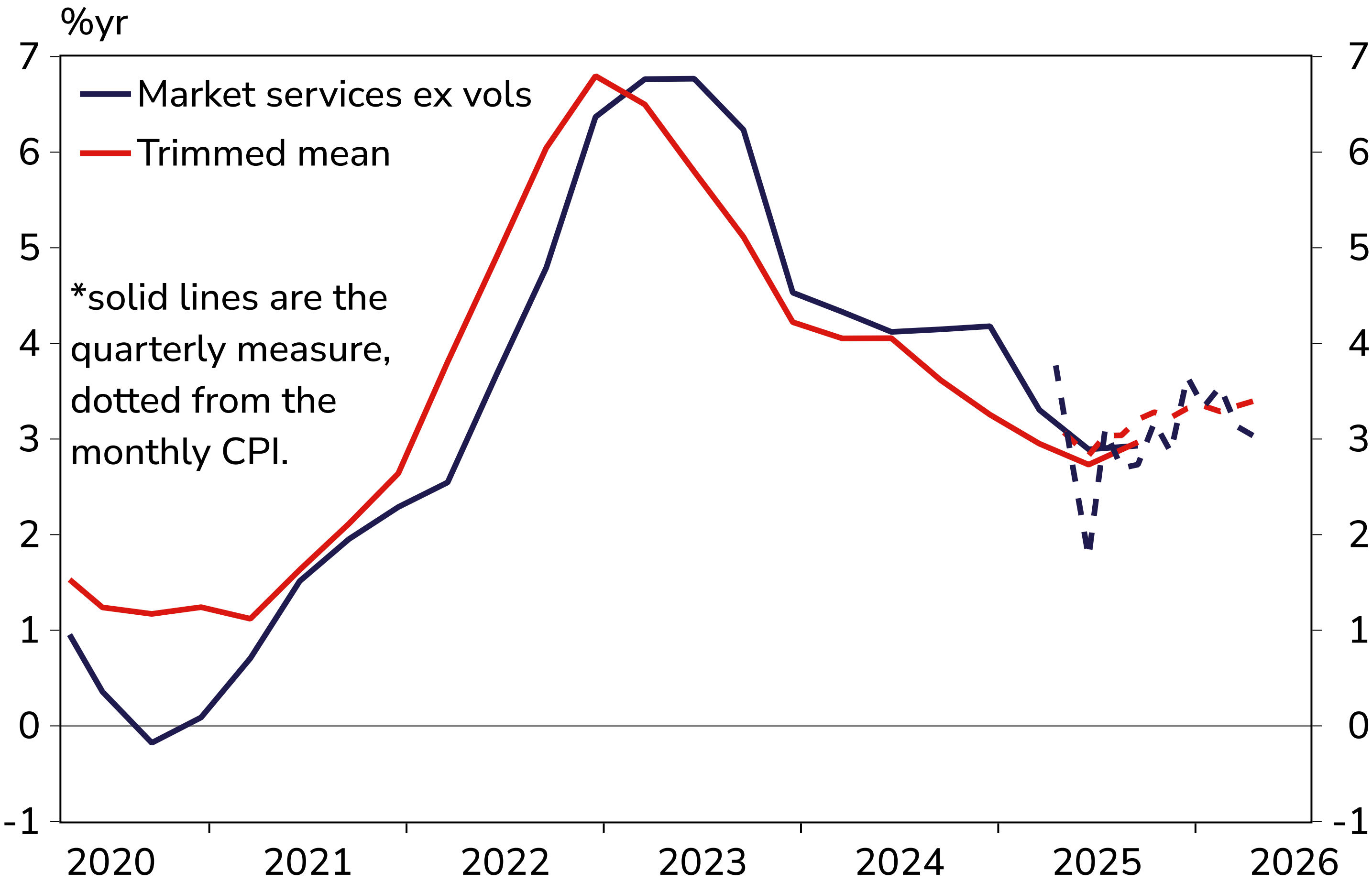
While the headline April CPI was softer than expected, underlying inflation pressures are still building. The April data show clearer evidence of emerging pass-through of upstream costs. Home-building is the most obvious example, but ongoing above-target inflation in categories such as takeaway food and restaurant meals are also consistent with pass-through building.

The lift in upstream costs flowing into selling prices is also evident in the NAB business survey and ABS business indicators. Further construction trade price increases and the new fuel recovery rule for transport operators will add to near-term cost pressures. Consequently, we still expect Trimmed Mean inflation to rise to around 4% over the coming quarters.

While the headline figure was a (welcome) downside surprise, it was not a view-changing one.

As the RBA has also highlighted in recent research, pass-through of higher energy and regulatory costs to other prices is likely to be larger and faster than normal given the size of the shock. Today's data showed some signs of this pattern, just not as much as we feared. We also think the RBA will mostly look through the apparent weakness in April labour force data, alert to the same unusual seasonality that we noted last week.

Monthly CPI



Source: ABS, Macrobond, Westpac Economics

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22 May 2026

WESTPAC NOWCAST Q1 2026: FINAL ESTIMATE

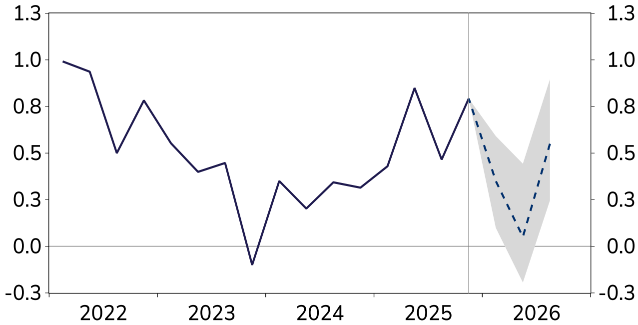
Upswing is over, growth is stalling, downside risks are building

Key points

- Westpac-Now points to GDP growth of around 0.4%qtr in Q1 2026 (range: 0.3–0.55%qtr), well below the Westpac-Now second estimate of 0.6%qtr and the 0.8%qtr outcome recorded in Q4 2025.
- The Westpac Monthly Activity Index has now fallen over the three consecutive months to the end of April 2026. The Index has recorded its sharpest quarterly decline since May 2023 (or in almost three years).
- The drop has been large enough to take the Index back to levels last seen in the first quarter of 2025, when the RBA began cutting the cash rate. This suggests Australia's cyclical upswing has come to an end. Growth looks to have lapsed back to the sluggish gains seen over late 2024 and early 2025.
- Our framework points to growth stalling to just 0.1%qtr in Q2 2026, with a 'negative quarter' well within standard confidence intervals. The longer the Middle East conflict persists, alongside other sources of uncertainty, the greater the risk of a contraction in Q2.

Quarterly GDP Growth*

Quarterly % growth.



Source: ABS, Macrobond, Westpac Economics

*Dotted line shows Westpac-Now central estimates. Quarter ahead (or Q1 2026) relies on the actual Westpac monthly activity index to April 2026. Beyond the quarter ahead, estimates rely on projections of the Westpac monthly activity index generated using internal model dynamics. Confidence intervals reflect empirical out of sample forecasting errors.

- The RBA may view this as a 'necessary evil' to bring demand and supply back into balance. However, a sharper-than-expected slowdown worsens the trade-offs for inflation control, especially in light of the upside risks to inflation from the rapid pass-through of energy prices that is already evident. Westpac-Now's central projection has year-ended growth slowing to 1.6%yr in Q2 2026, below the RBA's expectation of 1.9%yr.

Sudden Stall: Growth Slows, Negative Quarter in Sight

Pat Bustamante
Senior Economist

In November 2025, we introduced Westpac-Now ([Westpac Nowcast (Westpac-Now): The Upswing Accelerates | Westpac IQ]), a real-time measure of current activity in the Australian economy. Westpac-Now draws on more than 60 high frequency economic and financial variables, using advanced statistical techniques to provide a timely pulse check on economic momentum. It is the first Australian model to incorporate internal banking data, enhancing its predictive power.

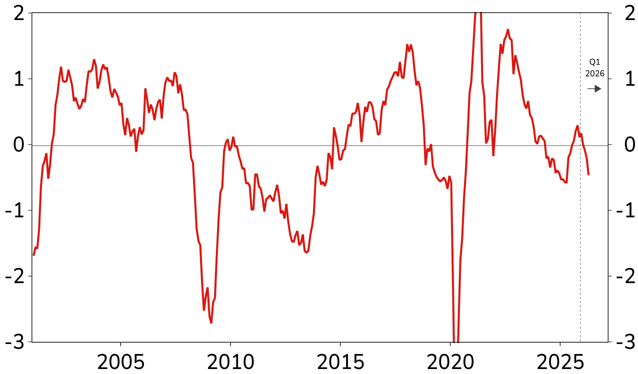
This note provides the final estimate of GDP growth for the March quarter 2026, using domestic and international data released up to and including the April Labour Force Survey (released 21 May 2026). Future updates will be published monthly (see Appendix A for the release schedule).

Westpac Monthly Activity Index: Broad-Based Softening Pushes Activity Lower

The Westpac Monthly Activity Index has now fallen over the three consecutive months to the end of April 2026. The Index has recorded its sharpest three-month decline since May 2023 – nearly three years ago.

Westpac Monthly Activity Index

Index. Axis truncated for covid.



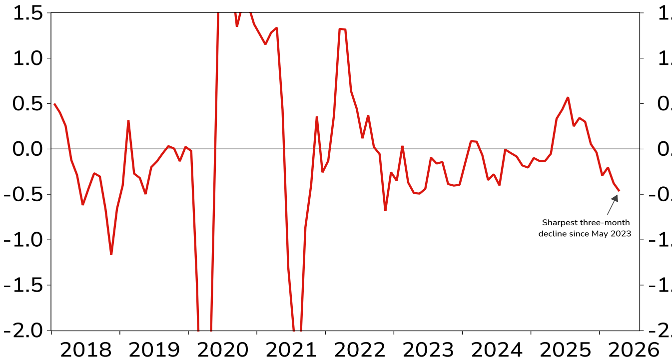
Source: ABS, Macrobond, Westpac Economics

It is becoming increasingly clear that higher interest rates, elevated inflation, and the conflict in the Middle East are combining to weigh on confidence and activity across the Australian economy. The index is now back to levels last seen in Q1 2025, when the RBA was cutting rates as inflation eased.

The initial decline in the Index was driven by sharp falls in both consumer and business confidence. This month's data suggests the weakness is broadening. Labour market indicators (including job ads), business conditions and confidence, and the external sector are now corroborating the earlier deterioration in sentiment.

Westpac Monthly Activity Index

Rolling quarterly change in the Index. Axis truncated for covid.



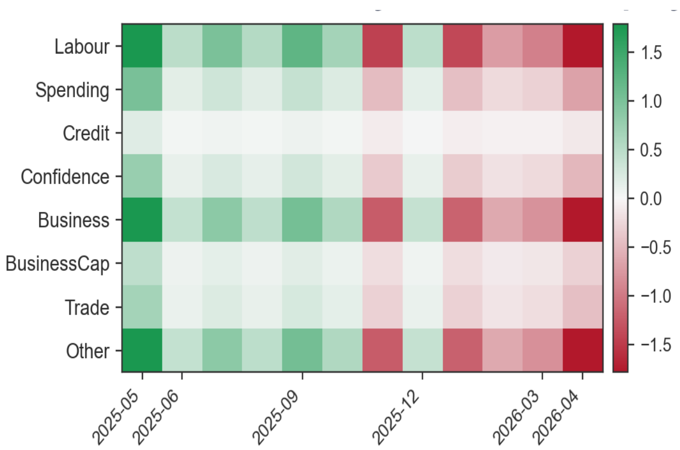
Source: SEEK Australia, ANZ-Indeed, Macrobond, Westpac Economics

In other words, what began as a confidence shock is now feeding through to a wider range of high-frequency indicators, driving a more pronounced fall in our monthly activity index.

This is clearly illustrated in our heatmap, which shows that a broader set of indicators is now weighing on activity – particularly within the labour market.

Our indicator heatmap decomposes changes in the Monthly Activity Index into group-level contributions, allowing us to assess which components drove the decline over 2026. For ease of interpretation, indicators are grouped into broad categories (see Appendix for the full set). For example, the labour market category includes both official ABS Labour Force Survey outcomes and more timely, survey-based measures of labour demand and job advertisements.

The Common Activity Factor Heatmap by Groups



Westpac-Now: Growth to Stall, Negative Quarter in Sight

Recall that Westpac-Now is a refined indicator that combines our Monthly Activity Index with advanced econometric techniques to generate estimates of GDP growth. As previously noted, the fit is not expected to be exact. Measured GDP includes components that are not well captured by high-frequency activity indicators, such as imputed rents for owner-occupiers, public and business inventories, and depreciation.

To bridge monthly and quarterly data, we employ a MIDAS framework, allowing us to combine mixed-frequency inputs and incorporate partial information for the current quarter when producing GDP forecasts.

Based on current model estimates, Westpac-Now final estimate for Q1 2026 points to GDP growth of 0.4%qtr (range: 0.3–0.55%qtr), well below the second estimate of 0.6%qtr and the 0.8%qtr outcome recorded in Q4 2025.

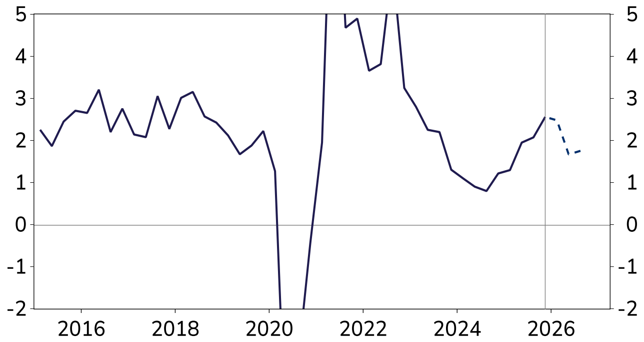
Looking ahead, model dynamics, together with the April reading for the Monthly Activity Index (the first month of Q2), suggest growth will hit a wall, slowing to just 0.1%qtr in Q2, with a ‘negative quarter’ well within standard confidence intervals. In our view, the longer the Middle East conflict persists, alongside other sources of uncertainty, the greater the risk of a contraction in Q2 2026.

While the RBA may view this as a ‘necessary evil’ to bring demand and supply back into balance, a sharper-than-expected slowdown would worsen the trade-offs for inflation control. A 0.4%qtr outcome followed by a flat Q2 would see year-ended growth slow to 1.6%yr to Q2, below the RBA’s expectation of 1.9%yr.

Beyond Q2, the framework suggests growth could recover to around 0.5%qtr. However, these projections remain tentative, given their reliance on projected inputs rather than realised data. In addition, heightened uncertainty, particularly around the Middle East conflict, means the risks around these forward estimates are larger than usual.

Westpac-Now Estimates and Projections*

Year-ended % growth. Axis truncated for covid.



Source: ABS, Macrobond, Westpac Economics

*Dotted line show Westpac-Now central estimates. Quarter ahead (or Q1 2026) relies on actual Westpac-MAI to April 2026. Beyond the quarter ahead, estimates rely on projections of the Westpac-MAI generated using internal model dynamics.

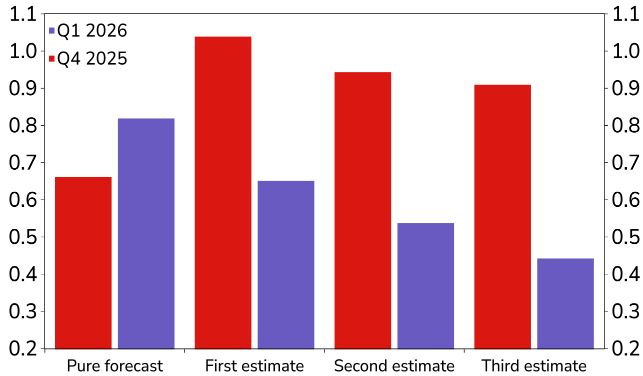
March Quarter Data Signal a Moderation in Growth

Data released through the March quarter point to a clear moderation in growth from the previous quarter. As these releases are incorporated, our nowcast estimates Q1 growth at 0.4%qtr. This compares with a 0.8%qtr ‘pure forecast’ estimate based only on data available up to December 2025.

The pattern of softer estimates as in-quarter data are added marks a notable shift from Q4 2025. In that quarter, the nowcast remained above the ‘pure forecast’ as additional data were incorporated, pointing to upside momentum. By contrast, the Q1 2026 profile suggests incoming data have consistently surprised to the downside, pulling growth estimates lower as the quarter progressed.

Evolution of Westpac-Now

Within quarter changes to Westpac-Now, quarterly % change



Source: ABS, Macrobond, Westpac Economics

Note that there is greater than usual uncertainty around the monthly activity estimate amid heightened inflationary pressures. Faster price growth can cause nominal indicators, such as consumer spending, to rise strongly even though ‘real’, inflation adjusted spending may be soft. The inclusion of ‘real’ indicators, such as employment and banking transaction volumes, helps manage some of this uncertainty but it remains higher than usual given above average inflationary pressures.

Bottom line

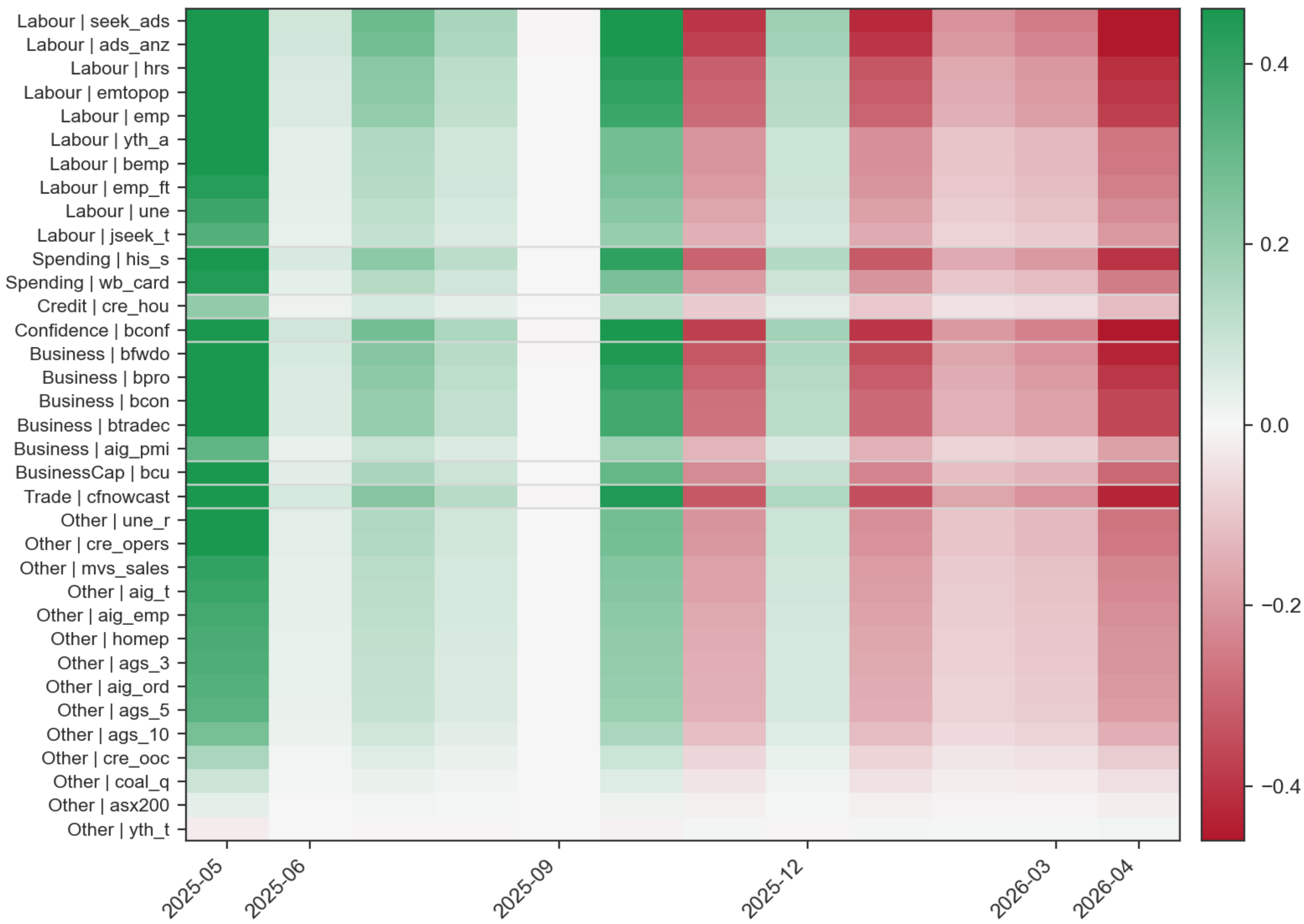
Growth has stalled more abruptly than expected, with momentum now clearly reversing. Westpac-Now points to a weak 0.4%qtr in Q1 2026 and a near-stagnant Q2, with a contraction well within range. The sharp pullback in activity, now back to early 2025 levels, signals that the cyclical upswing has fully unwound. As weakness broadens from confidence into labour market and hard activity indicators, the risk is that this slowdown becomes more entrenched, shifting risks to the downside and away from inflation.

Appendix A: Westpac-Now Release Schedule (2026)

Going forward, Westpac Now will be published on the Friday following each ABS Labour Force Survey (LFS) release, at 11:30am AEDT/AEST (Canberra time). Each release incorporates the latest labour market data alongside other high frequency indicators and provides an updated nowcast for quarterly GDP growth. As the quarter progresses, each update should be interpreted as a progressively more complete estimate of that quarter's economic performance.

Release date (Friday)	LFS reference month	Quarter focus	Interpretation
19 June 2026	May 2026	Q2 2026 – first estimate	Initial assessment of Q2 momentum
17 July 2026	June 2026	Q2 2026 – second estimate	Refined Q2 signal as activity data accumulate
21 August 2026	July 2026	Q2 2026 – final estimate	Near complete read on Q2 activity
18 September 2026	August 2026	Q3 2026 – first estimate	Initial assessment of Q3 momentum
16 October 2026	September 2026	Q3 2026 – second estimate	Refined Q3 signal as activity data accumulate
20 November 2026	October 2026	Q3 2026 – final estimate	Near complete read on Q3 activity
18 December 2026	November 2026	Q4 2026 – first estimate	Initial assessment of Q4 momentum

Appendix B: The common activity factor heatmap by indicators



Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ

westpaciq.com.au

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27 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets were mixed as optimism around a permanent US–Iran deal was offset by renewed military action described by the US as 'defensive', underscoring the fragility of the ceasefire.

Equity markets were mixed, with US stocks rising to fresh highs on US–Iran deal optimism, while Europe underperformed, Asia was mixed and the ASX 200 declined.

US bond markets rallied, with yields falling across the curve as Middle East optimism capped oil price gains.

The USD weakened modestly, with the AUD also declining against the greenback, though proving more resilient on crosses.

Commodity markets were driven by shifting Middle East headlines, with Brent rising, WTI falling, gold declining on higher rate expectations amid renewed military action, and iron ore reversing recent gains as weaker fundamentals returned to focus.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.6	0.0%
AUD/USD	0.7169	-0.1%
AUD/JPY	114.19	0.2%
AUD/GBP	0.5331	0.3%
AUD/NZD	1.2281	0.5%
AUD/EUR	0.6162	0.0%
AUD/CNH	4.8629	-0.1%
AUD/SGD	0.9159	0.0%
AUD/HKD	5.6170	-0.1%
AUD/CAD	0.9900	0.0%
EUR/USD	1.1630	-0.1%
USD/JPY	159.30	0.2%
USD Index	99.15	-0.1%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.50	0.00
180 day BBSY	4.81	0.02
1 year swap	4.64	0.04
2 year swap	4.62	0.05
3 year swap	4.58	0.05
4 year swap	4.59	0.07
5 year swap	4.61	0.07
6 year swap	4.64	0.07
7 year swap	4.69	0.07
8 year swap	4.74	0.07
9 year swap	4.78	0.07
10 year swap	4.82	0.07

Equities	Close	Change
S&P/ASX 200	8,658	-0.4%
S&P 500	7,519	0.6%
Japan Nikkei	64,996	-0.2%
Hang Seng	25,599	0.0%
Euro Stoxx 50	6,064	-1.2%
UK FTSE100	10,491	0.2%
VIX Index	17.01	2.5%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.55	0.03
10 year bond	4.91	0.03
United States		
3-month T Bill	3.58	0.00
2 year bond	4.03	-0.09
10 year bond	4.48	-0.07
Other (10 year yields)		
Germany	2.98	0.03
Japan	2.73	0.02
UK	4.88	-0.02

Commodities	Current	Change
CRB Index	388.33	-1.1%
Gold	4507.88	-1.4%
Copper	13668	1.1%
Oil (WTI futures)	93.63	-3.1%
Coal (coking)	243.50	-1.4%
Coal (thermal)	142.80	2.1%
Iron Ore	105.10	-1.6%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	4.94	0.01
3 yr bond	4.57	0.01
3 mth bill rate	4.50	0.02
SPI 200	8,674	-0.1%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets were mixed overnight as optimism around a permanent deal to end US–Iran hostilities was offset by reports that US and Israeli jets conducted strikes on Iranian missile launch sites and vessels attempting to place mines in the Strait of Hormuz. US Central Command described the strikes as defensive, while Israeli Prime Minister Benjamin Netanyahu said Israel would intensify operations against Iran backed Hezbollah in Lebanon. These developments underscore the fragility of the ceasefire, while US Secretary of State Marco Rubio reiterated that President Trump would either secure a good deal or no deal at all.

- Equity markets were mixed across regions. In the US, stocks rebounded following the US Memorial Day holiday, with the S&P 500 rising 0.6% to a fresh high on optimism around a potential US–Iran agreement, led by gains in chipmakers. The NASDAQ gained 1.2%, while the Dow Jones underperformed, falling -0.2%.
- European markets were less convinced by the durability of a peace deal, with the Euro Stoxx 50 declining -1.2%. The FTSE 100 was more resilient, rising 0.2% to record its sixth consecutive daily gain. Asian markets were also mixed, with the KOSPI outperforming, up 2.6%, while the Hang Seng was flat and the Nikkei 225 fell -0.2%. Locally, the ASX 200 declined -0.4% as Middle East optimism faded.
- US bond markets rallied as Middle East optimism capped oil price gains, with the yield curve steepening. The 2 year yield fell 9bps and the 10 year declined 7bps. Futures markets are now pricing the first Fed rate hike by March 2027.
- Australian government bond yields rose across the curve following reports of US and Israeli strikes on Iranian assets. The 3 year and 10 year yields both increased 3bps, with swap markets pricing one full rate hike by November, taking the implied terminal cash rate for year end to 4.62%.
- FX markets saw modest USD weakness, with the DXY down -0.1%. The euro (-0.1%), sterling (-0.4%) and yen (-0.2%) all declined against the greenback, while the Australian dollar also eased -0.1% to 0.7169. The AUD performed better on crosses, although was little changed against the euro.
- Commodity markets were driven by shifting headlines out of the Middle East. Brent rose 3.6% to US$99.6/bbl, while Dated Brent remained at a premium at US$104/bbl, and WTI declined -3.1%. Gold fell -1.4% as renewed tensions lifted expectations for higher policy rates. Iron ore declined -1.6%, reversing the prior days gains alongside coking coal following a coal mine blast in China's Shanxi province, with weaker underlying fundamentals returning to focus.

Today's key data and events

Time	Event	Exp	Prev
10:30	AU Westpac-MI Leading Index Apr	-	-0.1%
11:30	AU Monthly CPI Indicator Apr	4.4%	4.6%
11:30	AU Construction Work Done Q1	0.8%	-0.1%
11:30	CN Industrial Profits Apr	-	15.8%
12:00	NZ RBNZ Policy Decision 27/05/2026	2.2%	2.2%
0:00	US Richmond Fed May	4pts	3pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The Conference Board Consumer Sentiment Survey suggested that US consumers became more pessimistic this month, breaking the trend of improving sentiment seen since the start of the year. The headline index eased from 93.8 to 93.1, leaving it below both its long-term average of 95.1 and last year's average of 96.1. Consumers' assessment of current economic conditions deteriorated slightly, though it remained well above historical norms, while the expectations index rose by one point to a five-month high. Assessment of labour market conditions also softened slightly from the prior month but remained broadly in line with recent readings.

New data from the regional Feds suggested some stabilisation in US economic momentum following the hit to activity from the Middle East war and higher energy prices. **The Chicago Fed Activity Index** – a composite measure based on 85 monthly indicators tracking US economic growth relative to trend – rose from -0.15 in March to 0.14 in April, driven by a rebound in production. In contrast, the personal consumption and housing, and labour market components were somewhat weaker. Meanwhile, **the Dallas Fed Manufacturing Outlook Index**, a survey of Texas business executives, returned to positive territory in May after two negative readings in March and April. The index rose to 0.4, its highest level in ten months and broadly consistent with its long-term average. The survey also pointed to rising underlying inflationary pressures, with prices paid for raw materials increasing to their highest level in eight months.

The latest March readings for the US house price indices again underscored the fragility of the housing market amid elevated interest rates and an uncertain economic outlook. The **FHFA House Price Index** rose just 0.1%mth, reversing a decline of the same magnitude in February, while the **S&P Cotality CS 20-City Index** fell for a second consecutive month, declining 0.2%mth. On a year-ended growth basis, the two indices rose 1.7%yr and 0.8%yr, respectively. For the FHFA measure, this marked the slowest annual growth pace since 2012.

Local Data

There was no top tier economic data to report.

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

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27 May 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets were mixed as optimism around a permanent US–Iran deal was offset by renewed military action described by the US as 'defensive', underscoring the fragility of the ceasefire.

Equity markets were mixed, with US stocks rising to fresh highs on US–Iran deal optimism, while Europe underperformed, Asia was mixed and the ASX 200 declined.

US bond markets rallied, with yields falling across the curve as Middle East optimism capped oil price gains.

The USD weakened modestly, with the AUD also declining against the greenback, though proving more resilient on crosses.

Commodity markets were driven by shifting Middle East headlines, with Brent rising, WTI falling, gold declining on higher rate expectations amid renewed military action, and iron ore reversing recent gains as weaker fundamentals returned to focus.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.6	0.0%
AUD/USD	0.7169	-0.1%
AUD/JPY	114.19	0.2%
AUD/GBP	0.5331	0.3%
AUD/NZD	1.2281	0.5%
AUD/EUR	0.6162	0.0%
AUD/CNH	4.8629	-0.1%
AUD/SGD	0.9159	0.0%
AUD/HKD	5.6170	-0.1%
AUD/CAD	0.9900	0.0%
EUR/USD	1.1630	-0.1%
USD/JPY	159.30	0.2%
USD Index	99.15	-0.1%

Equities	Close	Change
S&P/ASX 200	8,658	-0.4%
S&P 500	7,519	0.6%
Japan Nikkei	64,996	-0.2%
Hang Seng	25,599	0.0%
Euro Stoxx 50	6,064	-1.2%
UK FTSE100	10,491	0.2%
VIX Index	17.01	2.5%

Commodities	Current	Change
CRB Index	388.33	-1.1%
Gold	4507.88	-1.4%
Copper	13668	1.1%
Oil (WTI futures)	93.63	-3.1%
Coal (coking)	243.50	-1.4%
Coal (thermal)	142.80	2.1%
Iron Ore	105.10	-1.6%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.50	0.00
180 day BBSY	4.81	0.02
1 year swap	4.64	0.04
2 year swap	4.62	0.05
3 year swap	4.58	0.05
4 year swap	4.59	0.07
5 year swap	4.61	0.07
6 year swap	4.64	0.07
7 year swap	4.69	0.07
8 year swap	4.74	0.07
9 year swap	4.78	0.07
10 year swap	4.82	0.07

Government Bond Yields	Close	Change
Australia		
3 year bond	4.55	0.03
10 year bond	4.91	0.03
United States		
3-month T Bill	3.58	0.00
2 year bond	4.03	-0.09
10 year bond	4.48	-0.07
Other (10 year yields)		
Germany	2.98	0.03
Japan	2.73	0.02
UK	4.88	-0.02

Sydney Futures Exchange	Current	Change
10 yr bond	4.94	0.01
3 yr bond	4.57	0.01
3 mth bill rate	4.50	0.02
SPI 200	8,674	-0.1%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Luka Belobrajdic
Economist, Westpac Group
P: +61 403 657 603
E: luka.belobrajdic@westpac.com.au

Financial Markets

Markets were mixed overnight as optimism around a permanent deal to end US–Iran hostilities was offset by reports that US and Israeli jets conducted strikes on Iranian missile launch sites and vessels attempting to place mines in the Strait of Hormuz. US Central Command described the strikes as defensive, while Israeli Prime Minister Benjamin Netanyahu said Israel would intensify operations against Iran backed Hezbollah in Lebanon. These developments underscore the fragility of the ceasefire, while US Secretary of State Marco Rubio reiterated that President Trump would either secure a good deal or no deal at all.

- Equity markets were mixed across regions. In the US, stocks rebounded following the US Memorial Day holiday, with the S&P 500 rising 0.6% to a fresh high on optimism around a potential US–Iran agreement, led by gains in chipmakers. The NASDAQ gained 1.2%, while the Dow Jones underperformed, falling -0.2%.
- European markets were less convinced by the durability of a peace deal, with the Euro Stoxx 50 declining -1.2%. The FTSE 100 was more resilient, rising 0.2% to record its sixth consecutive daily gain. Asian markets were also mixed, with the KOSPI outperforming, up 2.6%, while the Hang Seng was flat and the Nikkei 225 fell -0.2%. Locally, the ASX 200 declined -0.4% as Middle East optimism faded.
- US bond markets rallied as Middle East optimism capped oil price gains, with the yield curve steepening. The 2 year yield fell 9bps and the 10 year declined 7bps. Futures markets are now pricing the first Fed rate hike by March 2027.
- Australian government bond yields rose across the curve following reports of US and Israeli strikes on Iranian assets. The 3 year and 10 year yields both increased 3bps, with swap markets pricing one full rate hike by November, taking the implied terminal cash rate for year end to 4.62%.
- FX markets saw modest USD weakness, with the DXY down -0.1%. The euro (-0.1%), sterling (-0.4%) and yen (-0.2%) all declined against the greenback, while the Australian dollar also eased -0.1% to 0.7169. The AUD performed better on crosses, although was little changed against the euro.
- Commodity markets were driven by shifting headlines out of the Middle East. Brent rose 3.6% to US$99.6/bbl, while Dated Brent remained at a premium at US$104/bbl, and WTI declined -3.1%. Gold fell -1.4% as renewed tensions lifted expectations for higher policy rates. Iron ore declined -1.6%, reversing the prior days gains alongside coking coal following a coal mine blast in China's Shanxi province, with weaker underlying fundamentals returning to focus.

Today's key data and events

Time	Event	Exp	Prev
10:30	AU Westpac-MI Leading Index Apr	-	-0.1%
11:30	AU Monthly CPI Indicator Apr	4.4%	4.6%
11:30	AU Construction Work Done Q1	0.8%	-0.1%
11:30	CN Industrial Profits Apr	-	15.8%
12:00	NZ RBNZ Policy Decision 27/05/2026	2.2%	2.2%
0:00	US Richmond Fed May	4pts	3pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The Conference Board Consumer Sentiment Survey suggested that US consumers became more pessimistic this month, breaking the trend of improving sentiment seen since the start of the year. The headline index eased from 93.8 to 93.1, leaving it below both its long-term average of 95.1 and last year's average of 96.1. Consumers' assessment of current economic conditions deteriorated slightly, though it remained well above historical norms, while the expectations index rose by one point to a five-month high. Assessment of labour market conditions also softened slightly from the prior month but remained broadly in line with recent readings.

New data from the regional Feds suggested some stabilisation in US economic momentum following the hit to activity from the Middle East war and higher energy prices. **The Chicago Fed Activity Index** – a composite measure based on 85 monthly indicators tracking US economic growth relative to trend – rose from -0.15 in March to 0.14 in April, driven by a rebound in production. In contrast, the personal consumption and housing, and labour market components were somewhat weaker. Meanwhile, **the Dallas Fed Manufacturing Outlook Index**, a survey of Texas business executives, returned to positive territory in May after two negative readings in March and April. The index rose to 0.4, its highest level in ten months and broadly consistent with its long-term average. The survey also pointed to rising underlying inflationary pressures, with prices paid for raw materials increasing to their highest level in eight months.

The latest March readings for the US house price indices again underscored the fragility of the housing market amid elevated interest rates and an uncertain economic outlook. The **FHFA House Price Index** rose just 0.1%mth, reversing a decline of the same magnitude in February, while the **S&P Cotality CS 20-City Index** fell for a second consecutive month, declining 0.2%mth. On a year-ended growth basis, the two indices rose 1.7%yr and 0.8%yr, respectively. For the FHFA measure, this marked the slowest annual growth pace since 2012.

Local Data

There was no top tier economic data to report.

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Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
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Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ
westpaciq.com.au

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Cliff Notes: beyond the horizon

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Elliot Clarke, Illiana Jain & Ryan Wells

13:05 May 15 2026

Share

Key insights from the week that was.

The 2026/27 Federal Budget was the main event in Australia this week. Our bulletin provides a detailed view of the Government's fiscal position, policy measures and economic expectations over the forward estimates. Compared to the projections from MYEFO, the budget bottom line has improved owing to commodity price windfalls, with the deficit now expected to hold steady around 1.0% of GDP. Larger improvements in the Government's finances are anticipated in the outer years as the Government's major saving measures deliver. Of particular note is the clamp-down on NDIS spending announced in April, which is expected to relieve budget pressure from payment cost inflation and help keep Federal net debt low versus other OECD countries.

The tax reform proposed in the Budget was also consequential and broad-based, impacting negative gearing, the capital gains tax discount and discretionary trusts. Our conversation with Chief Economist Luci Ellis explores these proposed changes and the other key measures for households. Budget night also saw a number of initiatives put forward for business and SMEs, alongside a range of reforms that should help foster productivity growth in the long run. While meaningful, these measures are not expected to materially add or detract from the fiscal impulse over the next couple of years, thereby having little impact on the RBA's policy calculus.

Our Q1 Westpac-DataX Consumer Panel meanwhile showed that consumers are having to reduce savings and discretionary consumption to absorb the spike in fuel and electricity prices (the latter now due to the roll-off of government rebates). Mortgage holders are well placed in aggregate to weather the shock from the Middle East and interest rate rises; but the distribution of buffers is varied, leaving some more exposed. Wages growth remains robust and is only slowing gradually, offering support to consumer demand without posing an immediate threat to inflation. That said, the pass-through of non-labour input cost inflation was a key message in this week's NAB business survey, giving the RBA cause to remain cautious of inflation's potential persistence.

Last Friday in the US, nonfarm payrolls beat expectations, rising 115k in April with only a small -16k revision to the previous two months. This left the three-month average at 48k, consistent with labour demand and supply being in balance. The unemployment rate remained steady at 4.3% as the participation rate edged down 0.1ppts. On a multi-month view, the labour market can be characterised as a 'low hire, low fire' environment, a sentiment echoed by FOMC member Schmid this week. This backdrop should result in moderate wage growth over the coming year.

The April CPI then came in as expected at 0.6%, 3.8%yr. The headline outcome reflected a further 5.4% gain for gasoline prices after March's 21.2% surge. An outsized 0.6% increase in the shelter component was also observed, reportedly biased up by a delayed sample reset following the government shutdown late last year. Abstracting from these two effects, underlying inflation was modest in the month. Energy was also a major contributor to import prices in April, up 1.9% (0.7% ex-petroleum) to be 4.2% higher over the year. Seeing as the US is an energy product exporter, export prices have also strengthened of late, up 3.3% in April to be up 8.8%yr. US consumers look to be weathering the surge in energy prices well so far, headline and control group retail sales up 0.5% in April, a solid gain. Tax refunds have supported spending of late, and established households continue to benefit from fixed interest rates and wealth gains.

China's price data was also stronger than expected in April because of energy prices. Consumer inflation lifted to 1.2%yr, while producer prices were up 2.8%yr. Producer price gains were concentrated in the most energy-intensive sectors such as metals, while sectors more vulnerable to excess capacity saw price declines. While recent data has been encouraging for China's deflationary cycle, it is worth noting that it's the supply-side driving the outcomes, not demand. Further fiscal support will be required to sustainably lift China out of deflation.

Of course, the main event in China this week was not a data release but instead the meeting between President Xi and President Trump. While limited in terms of the detail, the outcomes were productive. The US has reportedly agreed to reduce its controls over China's access to technology; and in return, China will buy more commodities from the US. A "Board of Trade" is also to be set up to allow trade disputes to be resolved through bilateral negotiation. President Trump also reportedly emphasised the need for China to help bring the conflict in the Middle East to an end and re-open the Strait of Hormuz. Whether progress is seen on that front is an open question. President XI has been invited to Washington in September to continue in-person discussions.

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AGRI BITES

Still in a good place.

29 May 2026

CONTENTS AND AUTHOR

Paul Clark, Industry Economist

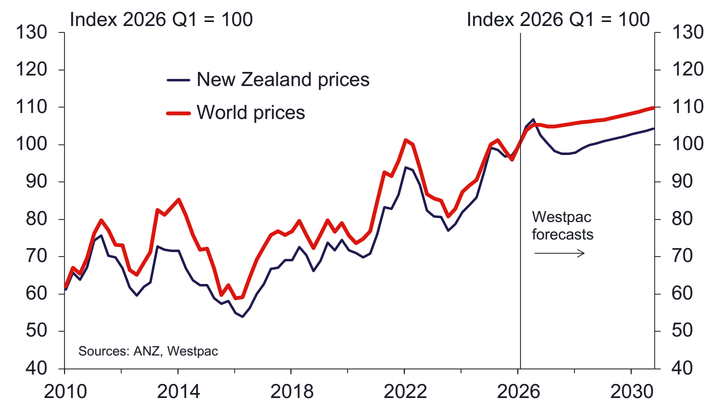
+64 9 336 5656 | +64 21 713 704
paul.clark@westpac.co.nz

SUMMARY

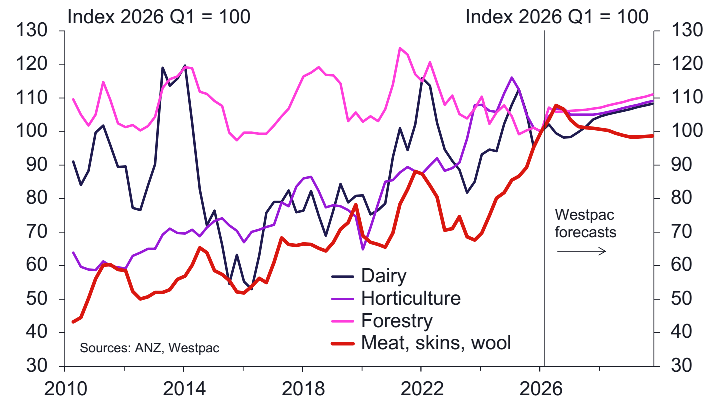
Despite uncertainties, agricultural export prices to edge higher.

- The impact of the Iran conflict is likely to be supportive of prices in the near term, with the key issue being whether or not associated higher input costs can be passed on. The evidence to date is mixed. And should hostilities persist, these prices could soften as product is diverted away from the Middle East into markets that are already well supplied.
- We have recently lifted our farmgate milk price forecast for the 2026/27 season by 30c to $9.50/kg, noting that the range of uncertainty is particularly wide at this stage. We maintain our estimate of $9.80/kg for the 2025/26 season, which is slightly above the midpoint of Fonterra's forecast range.
- We expect beef and lamb export prices to remain elevated. In addition to the Iran war, our expectations for beef prices are driven by how quickly the US beef herd rebuilds and still-strong US consumer demand for protein. For lamb, prices are being driven by constrained production out of NZ and Australia, still weaker consumption in China, and price resistance in the UK and EU.
- Meanwhile, kiwifruit and apple export prices are set to remain stable to slightly softer, with limited upside as supply improves and some demand fatigue emerges at higher prices.
- Log export prices could firm slightly in the near term, supported by tighter supply, but upside is capped by weak Chinese construction demand.

Commodity prices – World and NZ dollar denominated



Commodity prices by category

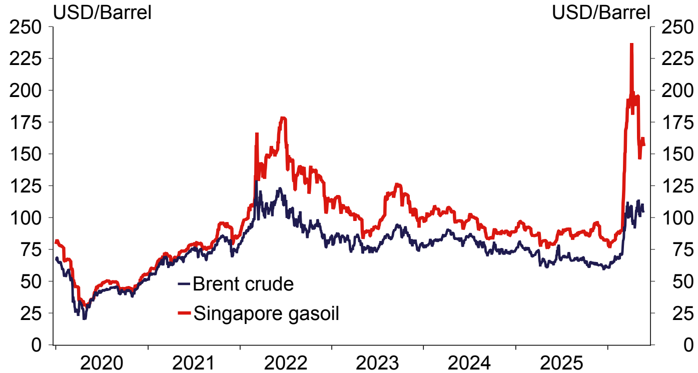


IMPACTS OF WAR IN IRAN

Evidence suggests that there is scope to pass on higher input costs.

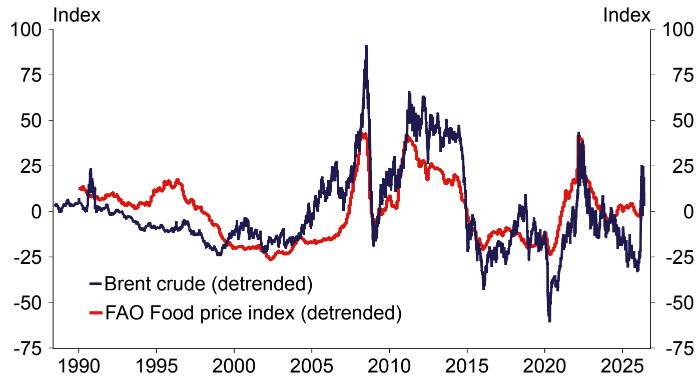
- The Iran war represents a major oil shock, reducing global GDP growth in 2026 as higher energy costs drive inflation and weaken demand. IMF forecasts have highlighted that the impact will grow significantly if the war is prolonged.
- While the hostilities have cooled for now, the durability of the ceasefire remains uncertain given the conflicting daily messages from the key players.
- New Zealand's agriculture sector is not isolated from these impacts. However, we think it is better placed to navigate the current crisis than most other sectors of the economy and relative to key international competitors.
- In part that's because people have to eat and so are less sensitive to changes in price. That should give farmers some room to pass on disruption-related rising input costs to downstream consumers in the form of higher prices.
- It also true that much of New Zealand agriculture is pasture based, and so less reliant on feed and fertilisers. That means it is less exposed than its offshore counterparts to higher input costs.
- That said, there are risks. Should the current standoff continue for a length of time, producers may have to divert agricultural products out of the Middle East into other markets where competition may be higher.

Crude oil and gasoil prices



Sources: Macrobond, SGX, Macrobond, Westpac

Global food vs Brent crude oil prices



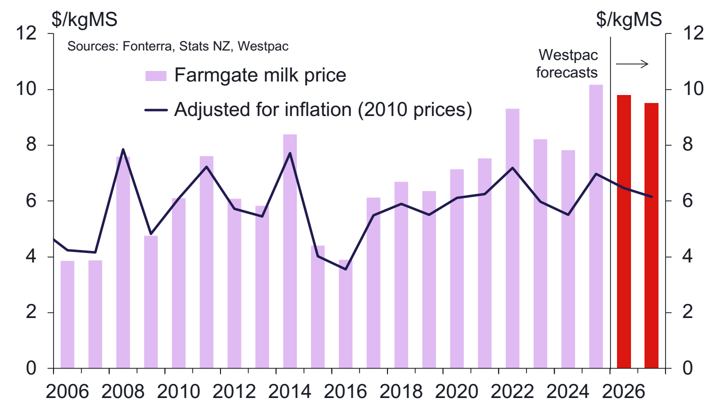
Sources: Macrobond, New York Fed, FAO, ICE, Westpac

DAIRY

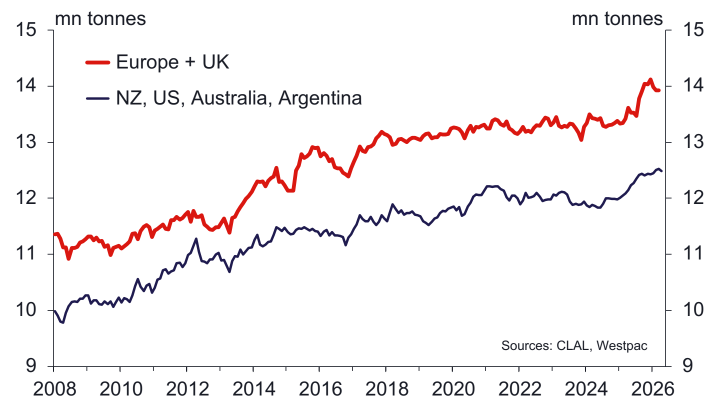
Dairy prices to remain elevated for the foreseeable future.

- World dairy prices have picked up again this year after late-2025 weakness, though momentum is uneven. Skim milk powder prices have seen the greatest gains as global demand has turned from fats and towards proteins.
- The global milk supply remains ample. Collections among the main exporting countries are still up about 3% on a year ago, driven by higher prices and decent margins.
- The Iran war is putting moderate upward pressure on dairy prices by increasing energy, feed, fertiliser, and freight costs, while disruptions to shipping are raising logistics costs. However, strong global milk production and existing inventories are limiting price spikes, resulting in volatile but generally firm dairy prices rather than a sustained surge.
- Looking forward, we think that in the near term prices are likely to remain elevated, due to still-firm global demand and geopolitical cost pressures. The outlook for 2027 is for prices to soften slightly as global production grows and begins to outpace global demand.
- We currently forecasting a farmgate milk price of $9.50/kg for the 2026/27 season, noting a particularly wide range of uncertainty at this early stage. That's also reflected in Fonterra's opening forecast of $9.75/kg within a range of $8.00 to $11.00. We maintain our forecast of $9.80/kg for the 2025/26 season, which is still slightly above the midpoint of Fonterra's revised forecast range.

Farmgate milk prices



Milk production by top 5 exporting regions

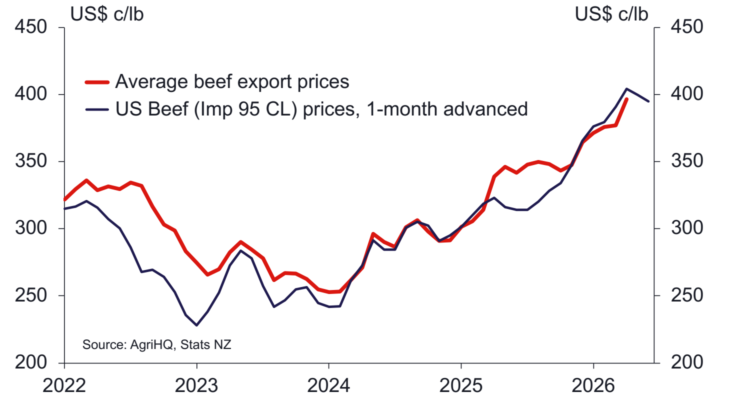


BEEF

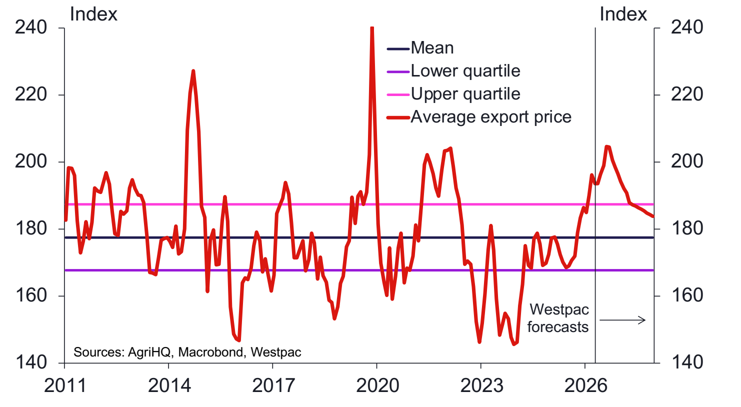
Demand supply fundamentals and geopolitical events to keep prices high.

- NZ beef export prices remain elevated, underpinned by tight global supply and high international pricing levels.
- The US continues to be the key driver, importing heavily due to its historically low cattle herd, which is keeping global beef markets tight and supporting NZ export returns. However, US indicator prices have declined slightly over the last couple of months.
- Supply remains constrained globally and slow to recover. Beef supply is structurally tight due to low herd numbers and long biological rebuild cycles, meaning any increase in production will take time and continue to support prices in the near term.
- Rising oil prices, transport costs, and input costs linked to the Iran war are flowing through the supply chain. It’s also disrupting trade flows and adding volatility: shipping delays, rerouting, war-risk surcharges, and occasional order cancellations are making markets more unpredictable and harder to operate in.
- Looking forward, prices are likely to stay elevated in the near term, but upside is capped and downside risks are building—especially if disruptions persist because of the Iran war and more product is diverted into key markets like the US, China, and Europe, where competition is increasing.

Average monthly beef export prices - nominal



Average monthly beef export prices - real



US TARIFF INVESTIGATION

Probable US investigation is the start of a legal pathway to raise tariffs.

- The US is soon expected to launch a Section 201 safeguard investigation into NZ (and Australian) lamb imports. This is a legal pathway that could lead to tariffs or quotas if imports are deemed to harm domestic producers.
- The push is coming from US sheep industry groups and politicians, citing rising imports and foreign supply making up a large share of US consumption.
- The investigation is partly a workaround to reintroduce tariffs after earlier US tariff measures were deemed illegal by a US Supreme Court ruling, making this more political than trade-rule based.
- Lamb exports into the US are currently subject to a circa 10% tariff and are directly at risk.
- NZ beef mostly enters the US under quota with a very low tariff (about 1%) and so is less exposed. However, given instability in the US policy environment, beef may not be immune if US trade policy shifts again.
- If the investigation finds "injury," the US could impose higher tariffs (potentially ~15–21%) or quotas, reducing NZ competitiveness in a key market.
- This creates downside risk to export returns for lamb (worth $600–$685m), although underlying US demand remains strong so the impact would likely be margin compression rather than demand destruction.

Investigation timeline

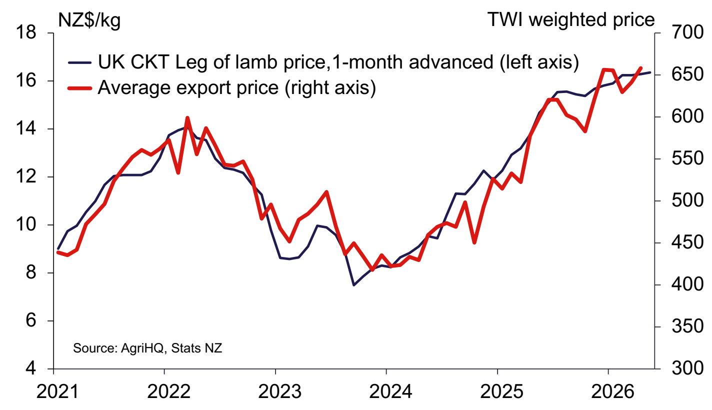
Phase	Timing
Industry lobbying begins	Mid-2025
Formal request lodged (ASI)	Oct 2025
Pre-investigation activity	Nov 2025 – early 2026
Policy trigger (tariff ruling overturned)	Feb 2026
Investigation likely to launch	Mid-2026 (expected)
Investigation process	About 4–6 months post-launch
Presidential decision	Shortly after
Potential measures	Up to 8 years

SHEEP MEAT

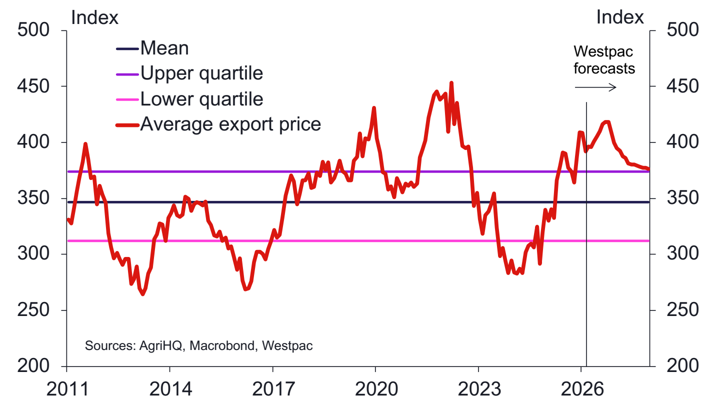
Lamb export prices to remain elevated despite some resistance.

- NZ lamb export prices are still sitting at high levels and have strengthened again in recent months after earlier volatility, reflecting tight market conditions rather than any sustained downturn.
- Demand from the US, UK, and EU continues to underpin lamb export prices, with these markets paying premium prices for product.
- That said, there is evidence of cyclical downtrading within sheep meat, with Chinese demand shifting from premium lamb towards lower-value alternatives (including mutton), as well as substitution into cheaper proteins such as pork.
- Meanwhile, declining sheep flocks, lower slaughter volumes, and slow rebuilding across NZ, Australia, and Europe are keeping global supply constrained and supporting high prices.
- The Iran war is adding cost support to prices, but is also generating volatility. Higher fuel, freight, and insurance costs are pushing export prices slightly higher, while shipping disruptions and delays are increasing uncertainty and making prices more uneven.
- A prolonged conflict between the US and Iran could reduce access to Middle East markets, forcing more lamb into the US, China, and Europe, increasing competition, amplifying demand fatigue, and gradually putting downward pressure on export prices.

Average monthly lamb export prices - nominal



Average monthly lamb export prices - real

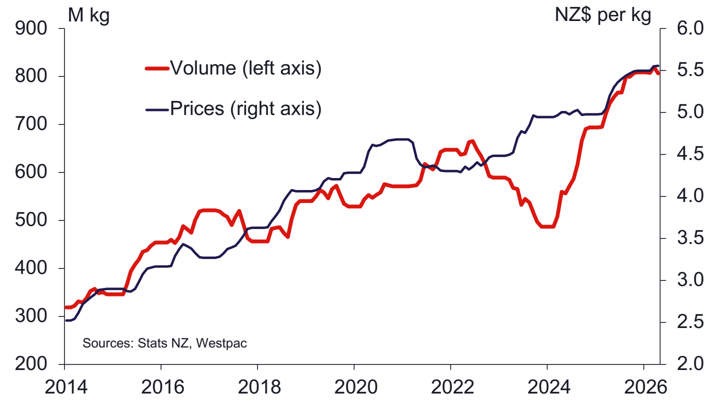


HORTICULTURE

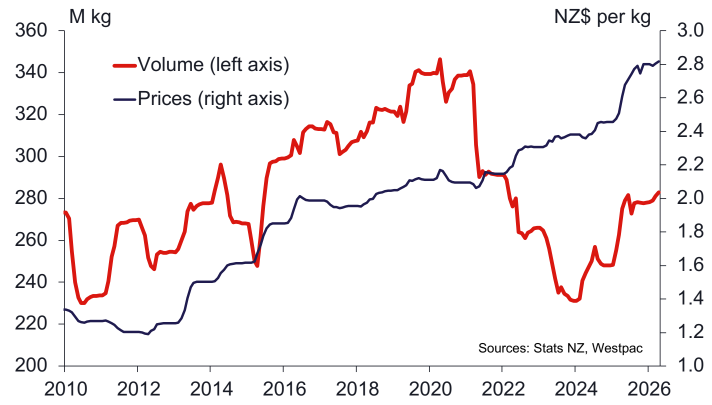
Prices to remain elevated, but largely moving sideways.

- NZ kiwifruit export prices remain firm but are starting to plateau as expanding global supply reduces tightness that supported earlier price gains.
- Market conditions reflect a balance between still-solid (but increasingly uneven) demand – particularly in Asia – rising production volumes, and elevated freight and input costs, which are putting pressure on margins.
- The outlook for the coming year is for prices to remain stable to slightly softer, with limited upside as supply improves and some demand fatigue emerges at higher prices. The Iran war is adding mild upward pressure on costs (fuel and shipping) and volatility, rather than materially lifting prices.
- Export prices for apples remain relatively firm, supported by strong demand in China and Asia, while other markets show greater price sensitivity and resistance at higher price points. Meanwhile, increased production and higher export volumes are helping to ease previously tight supply, putting mild downward pressure on prices.
- The Iran war is slightly negative for NZ apple export prices, with resulting higher freight costs and disruptions to shipping, squeezing margins and diverting apples to other markets.
- Looking forward, export prices are set to be stable to slightly softer, with margins pressured by higher input costs.

Kiwifruit – average export prices and volumes



Apples – average export prices and volumes



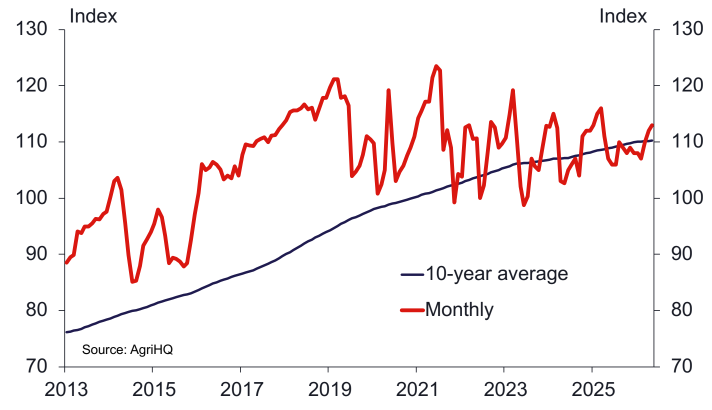
FORESTRY

Log export prices display inertia, with marginal gains expected in 2026.

- NZ log export prices have recovered modestly in 2026 after a weak period. They remain below previous peaks, reflecting cautious buying and moderating supply, with forest owners cutting harvest volumes due to weak prices and sharply higher costs.
- The Iran war is putting downward pressure on net export prices via sharp increases in fuel, shipping (freight up by about 30–40%) and logistics costs, which in turn is compressing margins.
- Port inventories sit at around normal levels of about 3m cm, with daily offtake at between 55k to 60k cm, indicating steady but not strong demand.
- Demand remains subdued overall due to China's ongoing property downturn, which continues to weigh on construction-related log use, although industrial and packaging demand continues to provide some support.
- India is an emerging secondary market, but demand there is inconsistent and seasonal (e.g. monsoon slowdowns) and not yet large enough to offset weakness in China.
- Log export prices should remain rangebound to slightly firmer in the near term, supported by tighter supply, but upside is capped by weak Chinese construction demand, fragile global growth and elevated cost pressures, exacerbated by events in the Middle East.

World forestry prices

Combined log price – monthly vs 10-year average

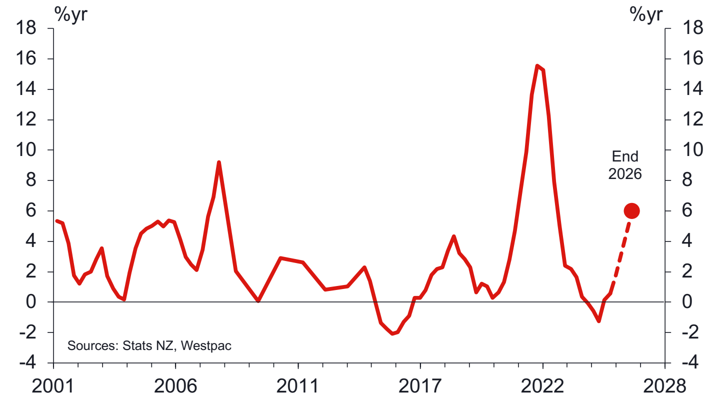


FARM INPUT EXPENSES

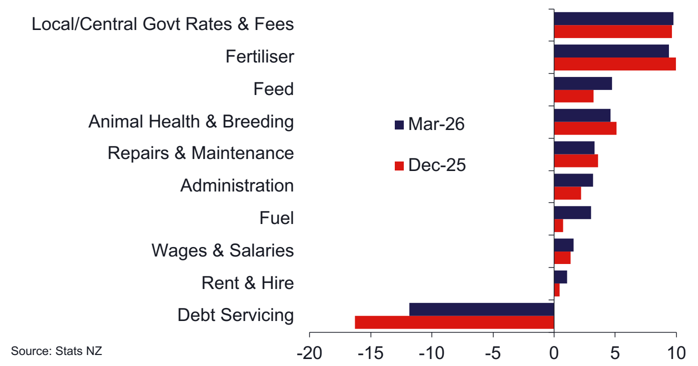
Rising farm input costs on the march and there is more to come.

- Farm input cost inflation picked up in the first quarter of 2026, with prices rising by almost 1.8% compared to the same period in 2025. While increases were evident across all farming categories, there were significant differences. For sheep, beef and dairy, for example, higher input costs were driven by the cost of livestock, in itself a function of elevated export prices.
- The initial impacts of the Iran war, which started in the last week of March, are also evident. Fuel prices (including diesel) ratcheted higher, reflecting immediate concerns over the availability of energy supplies. That has spilled into other input costs, including fertiliser, which rose by almost double digits across several farming categories, although impacts here are currently exaggerated by significant increases in previous quarters.
- Since then, ongoing uncertainty in global energy markets has kept crude oil prices at elevated levels. That has helped to keep refined product prices like diesel and fertilisers higher for longer.
- Furthermore, even if the war concludes soon, prices are likely to come off only gradually as supply chains align to a new post war reality, including the time taken to fully repair damaged infrastructure in the Middle East.
- As such, we maintain our view that farm input cost inflation will rise sharply this year to around 7%yr. Higher interest rates will contribute to this increase.

Farm input expenses



Input costs by expense type



FORECASTS

New Zealand commodity prices (end of period)

	Latest	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
NZ commodities index	**407**	**407**	**406**	**402**	**399**	**399**	**403**	**406**	**408**	**409**
Dairy price index	338	338	329	324	325	329	335	342	345	347
Whole milk powder USD/t	3,772	3,600	3,550	3,500	3,550	3,600	3,670	3,750	3,790	3,830
Skim milk powder USD/t	3,552	3,300	3,200	3,100	3,120	3,150	3,200	3,250	3,280	3,320
Lamb price index	658	655	677	650	632	622	621	620	617	612
Beef price index	400	407	427	413	404	398	398	397	396	395
Forestry price index	165	160	158	159	159	159	160	160	160	161

New Zealand commodity prices (annual averages)

	Levels				% change			
	2025	2026f	2027f	2028f	2025	2026f	2027f	2028f
NZ commodities index	**390**	**402**	**402**	**410**	**9.2**	**3.1**	**-0.2**	**2.0**
Dairy price index	348	330	333	348	9.7	-5.2	0.7	4.6
Whole milk powder USD/t	3902	3602	3617	3829	13.5	-7.7	0.4	5.9
Skim milk powder USD/t	2702	3192	3165	3319	0.7	18.1	-0.8	4.8
Lamb price index	587	658	626	609	27.0	12.1	-4.9	-2.7
Beef price index	337	408	400	394	19.1	20.8	-1.9	-1.4
Forestry price index	152	157	159	162	-4.9	3.4	1.7	1.4

Forecasts as at 29 May 2026.

Contact

Westpac Economics Team
westpac.co.nz/economics
economics@westpac.co.nz

Connect with us

Kelly Eckhold, Chief Economist
+64 9 348 9382 | +64 21 786 758
kelly.eckhold@westpac.co.nz

Satish Ranchhod, Senior Economist
+64 9 336 5668 | +64 21 710 852
satish.ranchhod@westpac.co.nz

Darren Gibbs, Senior Economist
+64 9 367 3368 | +64 21 794 292
darren.gibbs@westpac.co.nz

Michael Gordon, Senior Economist
+64 9 336 5670 | +64 21 749 506
michael.gordon@westpac.co.nz

Paul Clark, Industry Economist
+64 9 336 5656 | +64 21 713 704
paul.clark@westpac.co.nz

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Westpac Banking Corporation.

ECONOMIC BULLETIN

New Zealand Government Budget 2026.

28 May 2026 | **Kelly Eckhold**, Chief Economist | +64 9 348 9382 | +64 21 786 758 | kelly.eckhold@westpac.co.nz
Michael Gordon, Senior Economist | +64 9 336 5670 | +64 21 749 506 | michael.gordon@westpac.co.nz

Moving closer to the promised land of fiscal balance

- **Budget 2026 unexpectedly revealed a relatively robust fiscal outlook as the near-term impacts of the Iran war are offset by a tax-rich growth outlook from 2027/28.**
- **Following a small downward revision to the current year's forecast deficit, an OBEGALx deficit of $11.4bn is forecast in the 2026/27 year, up from $10.4bn in the HYEFU.**
- **The cumulative OBEGALx deficit in the four years to 2029/30 is around $7bn smaller than in the HYEFU, with a not so wafer-thin surplus of $2.6bn forecast for 2028/29 and $6.1bn for 2029/30.**
- **Spending is forecast to be under control reflecting tight operating allowances, while the revenue outlook benefits from the assumption of a tax-rich growth outlook.**
- **The bond program is much smaller than expected - $6 billion smaller over the forecast horizon with short term borrowings for the current year also cut $3 billion. Markets and credit ratings agencies should cheer this outcome.**
- **Subject to market conditions, NZDM expects to establish a syndication for a new May 2038 bond by the end of calendar 2026. Up to $1 billion of Inflation Indexed bonds are expected in '26/27.**
- **Net core Crown debt is forecast to increase from an estimated 42.4% of GDP in 2025/26 to a peak of 46.1% of GDP in 2027/28, before declining modestly in 2029/30.**
- **We don't expect the RBNZ will be fazed by the fiscal outlook. Government spending as a % of GDP is set to be solidly declining.**
- **There are possibly downside risks to the fiscal outlook given the tax-rich element of the outlook.**
- **Key policy initiatives announced for the first time today include a new prudential levy on a range of financial sector entities that is expected to raise $209 million over the forecast horizon.**
- **The Treasury will need to publish a pre-election update, likely in early October. Pre-election fiscal manifestos from the major parties will also appear by that time.**

In this note we review the key fiscal metrics and what these mean for the Government's borrowing programme; the economic forecasts on which these fiscal forecasts are based; and how today's information might be interpreted by the RBNZ. We also note some of the key policy announcements that were made (or confirmed) in Budget 2026.

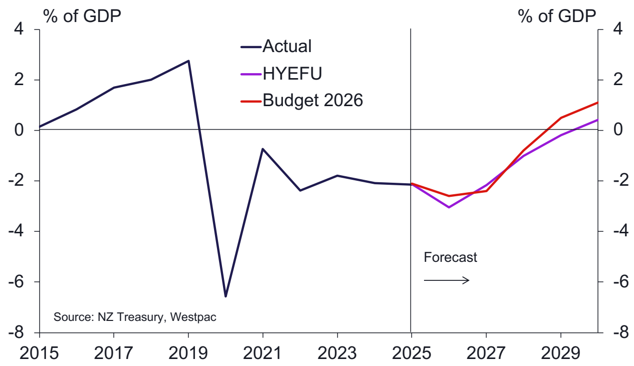
An earlier than expected return to surplus.

Table 1 sets out the key fiscal metrics in Budget 2026, comparing these to the forecasts made in the HYEFU and to our own recently updated forecasts.

An OBEGALx deficit of $11.9bn is now forecast for the current 2025/26 fiscal year, compared to $13.2bn in the HYEFU. That's largely due to lower-than-expected spending to date, as detailed in the fiscal accounts for the 9 months to March.

Moving forward, as announced prior to the Budget, the operating allowance for new operating spending in the coming fiscal year has been set at a very tight $2.1bn a year (albeit up from an even skinnier $1.3bn in Budget 2025). Thereafter, the operating allowance for future Budgets remains at $2.4bn a year.

Operating balance (OBEGALx), % of GDP



Given the deterioration in the near-term economic outlook, the Treasury forecasts an OBEGALx deficit of $11.4bn (2.4% of GDP) in 2026/27, compared to the $10.4bn deficit forecast in the HYEFU. Beyond this though, a set of relatively tax-rich economic forecasts and restrained spending growth drive a faster improvement in the operating balance compared to the HYEFU forecasts. Notably, the OBEGALx is projected to return to a surplus of $2.6bn (0.5% of GDP) in 2028/29, a year earlier than in the HYEFU projections (and a year earlier than we thought). The traditional OBEGAL measure (which doesn't exclude ACC costs) returns to surplus a year later.

The Budget forecasts of core Crown revenue are higher across every year compared to the HYEFU, reflecting a higher level of nominal GDP and hence a larger tax base in dollar terms. These revenue forecasts were broadly in line with what we expected.

The surprise relative to our forecasts is that the core Crown spending projections were largely unchanged from the HYEFU. New spending initiatives are front-loaded to some degree, with savings found in the later years. With faster growth in the nominal economy, this means that government spending as a share of GDP declines faster than previously expected. We think that spending will ultimately prove to be higher than this in the later years, as it will be difficult for future governments to maintain this degree of spending discipline for this long.

Table 1: Key Fiscal Metrics

	24/25	25/26f	26/27f	27/28f	28/29f	29/30f
Core Crown spending $bn						
Budget 2026	**142**	**147**	**155**	**159**	**163**	**168**
HYEFU	142	149	153	158	163	168
Westpac	142	148	155	161	169	176
Core Crown revenue $bn						
Budget 2026	**134**	**138**	**146**	**156**	**166**	**174**
HYEFU	134	137	145	153	162	171
Westpac	134	137	144	155	166	177
OBEGALx $bn*						
Budget 2026	**-9.3**	**-11.9**	**-11.4**	**-4.3**	**2.6**	**6.1**
HYEFU	-9.3	-13.9	-10.4	-5.1	-0.9	2.3
Westpac	-9.3	-13.2	-12.7	-7.6	-3.1	0.1
OBEGALx % of GDP*						
Budget 2026	**-2.1**	**-2.6**	**-2.4**	**-0.8**	**0.5**	**1.1**
HYEFU	-2.1	-3.0	-2.2	-1.0	-0.2	0.4
Westpac	-2.1	-2.9	-2.7	-1.5	-0.6	0.0
OBEGAL % of GDP*						
Budget 2026	**-3.2**	**-3.3**	**-3.0**	**-1.5**	**-0.1**	**0.5**
HYEFU	-3.2	-3.7	-2.7	-1.5	-0.6	0.0
Westpac	-3.2	-3.6	-3.2	-2.0	-1.0	-0.4
Net core Crown Debt (% of GDP)						
Budget 2026	**41.9**	**42.4**	**45.6**	**46.1**	**45.6**	**44.4**
HYEFU	41.8	43.3	46.0	46.9	46.9	46.1
Westpac	41.9	43.2	46.5	47.2	46.9	46.0

* ex minority interests, OBEGALx excludes ACC spending and revenues.

Source: NZ Treasury, Westpac

Table 2: NZ Government financing requirement ($bn)

	24/25	25/26f	26/27f	27/28f	28/29f	29/30f
Budget 2026	**42.6**	**35.0**	**34.0**	**32.0**	**30.0**	**28.0**
HYEFU	42.6	35.0	34.0	34.0	32.0	30.0
Difference	0.0	0.0	0.0	-2.0	-2.0	-2.0

Source: NZ Treasury

It is worth emphasising that the error bounds around any fiscal forecast are large, especially beyond the near term, as small differences in assumptions can quickly compound to drive vastly different outcomes. For example, the Treasury's analysis has shown that the historical 90% confidence interval around a five-year ahead forecast for revenue equates to a whopping ±$20bn.

On that score, as usual the Treasury also published some alternative scenarios to illustrate how the fiscal outlook might evolve if the economy turns out to be stronger or weaker than the baseline economic forecast (which we discuss later in this note). In the upside scenario, oil prices retreat faster and settle at a lower level than in the central forecasts, households look through the temporary shock and maintain spending levels by dissaving, and a stronger rebound in the terms of trade boosts business profits and investment. In this scenario, the OBEGALx improves at a quicker pace, but still doesn't return to surplus until 2028/29.

In the downside scenario the Middle East conflict is more protracted, household spending and the terms of trade are weaker, and higher inflation prompts an earlier tightening by the RBNZ. The result is a cumulative $17bn reduction in nominal GDP over the forecast period, leading to larger operating deficits in the next three years, though still returning to a narrow surplus in 2028/29.

Regarding capital spending, as the Prime Minister announced ahead of the Budget, the net allowance for new capital spending in 2026/27 was set at $5.7bn, up from the $3.5bn assumption used in the HYEFU. In subsequent years the allowance for new capital spending has been maintained at $3.5bn for Budget 2027 and Budget 2028, but has been increased to $5.0bn for Budget 2029. We have been expecting an increase in capital spending at some point, with the Government's Defence Capability Plan unlikely to be accommodated by the existing pool of as-yet unallocated spending. This is especially so given the pressures to invest elsewhere in the economy, including in education and transport infrastructure.

Forecast bond issuance unexpectedly reduced from 2028 onwards.

The relatively robust nominal growth outlook means that the Treasury sees a relatively "revenue rich" outlook from 2028 onwards. This has allowed the government to bring forward by one year when they anticipate a OBEGALx surplus and correspondingly lower borrowing requirements. (see Table 2). The forecast bond programme in 2026/27 is unchanged and reduced by $2 billion in 2027/28 onwards. Given upcoming maturities and repurchases associated with the winding down of the RBNZ's Large Scale Asset Purchase programme (LSAP), the revised bond programme implies a cumulative $46.5 billion of net bond issuance over the next four years.

Additionally, the relatively robust fiscal outlook is allowing a reduction in short term funding. The short-term financing program has been reduced by $3 billion for the 2026/27 year. The composition of short-term borrowing will reflect a minimum of $3 billion in ECP and $3 billion of NZ Treasury bills.

The NZDMO plans a syndication of a new May 2038 nominal bond before the end of the 2026 calendar year. Less than $1 billion of inflation indexed bonds are expected to be issued in the 2026/27 financial year.

Given the borrowing requirement, net core Crown debt is forecast to remain above the Government's long-term goal of 20-40% of GDP throughout the forecast period. However, the relatively robust fiscal projections, including the bringing forward of the return to surplus by a year means that net debt is not expected to peak as high as expected. Net debt now peaks at just over 46% of GDP and falls after the 2027/28 year. We anticipate credit ratings agencies would welcome these projections and may take more time before considering a downgrade of the New Zealand Sovereign credit rating.

Net core Crown debt, % of GDP

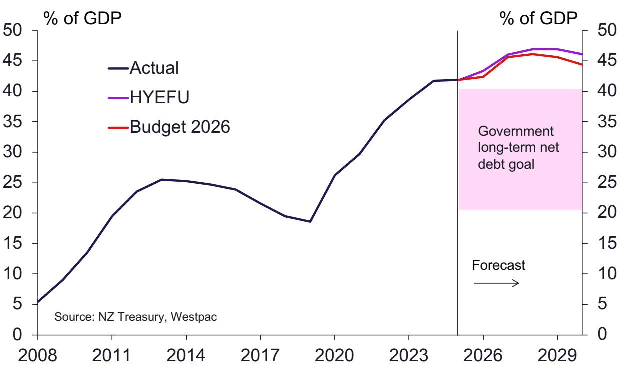


Table 3: Fiscal Impulse (% of nominal potential GDP)

	24/25	25/26f	26/27f	27/28f	28/29f	29/30f	Cumulative (25/26-29/30)
Budget 2026	**-0.34**	**0.11**	**1.07**	**-2.01**	**-1.31**	**-0.90**	**-3.04**
HYEFU	-0.35	1.32	-0.45	-1.82	-0.95	-0.86	-2.76
Difference	0.01	-1.21	1.52	-0.19	-0.36	-0.04	-0.28

Source: NZ Treasury

Budget unlikely to feature prominently in current RBNZ deliberations.

In judging the impact of fiscal policy, the RBNZ tends to focus on developments in Government spending as a share of GDP, which as noted is expected to decline over time. A more complete proxy of the first-round impact of fiscal policy on aggregate demand can be obtained from the Treasury's estimate of the Total Fiscal Impulse (TFI), which is set out in Table 3. The TFI is a cash-based measure of both fiscal outlays and revenues, that adjusts for some items that do not directly affect aggregate demand (such as defence spending on imported equipment). The Treasury's updated TFI estimates imply that fiscal policy had a smaller than previously expected positive impact on growth in 2025/26 that will unwind in the 2026/27 fiscal year. This reflects capital spending planned for 2026 which is now expected in the coming year. After that the Budget envisages that fiscal policy will have a contractionary impact on growth from 2027. We doubt these forecasts will change the RBNZ's views much given that government spending as a proportion of GDP is expected to decline.

Near-term economic forecasts downgraded as expected.

The key economic assumptions used by the Treasury to generate the baseline fiscal outlook are set out in Table 4. As the Minister of Finance signalled ahead of the Budget, the Iran conflict prompted a late re-write of what would have otherwise been a more favourable set of economic forecasts. Instead, the surge in world oil prices has led to a downgrade of the Treasury's GDP growth forecasts for the near term compared to the HYEFU, with a partial catch-up over the medium term once oil prices recede again. The unemployment rate is expected to peak at 5.5% this year and takes longer to decline than was assumed in the HYEFU.

While the level of real GDP is lower than previously assumed over the forecast horizon, the Treasury has upgraded its forecasts of nominal GDP – which is what matters more for their revenue projections. The Treasury assumes that the immediate spike in inflation will be only partially unwound in the future, i.e. there is a degree of second-round inflation that leaves the domestic price level permanently higher than before. That in turn leads to higher revenue from GST, corporate tax and income tax (aided by fiscal drag as more workers are dragged into higher income tax brackets).

As always, there is a range of risks around the economic assumptions that underpin the fiscal forecasts. The obvious one is the uncertainty around how the Iran conflict plays out, including the impact on oil prices and the effects on global prices and trading partner growth. The Treasury's oil price assumptions are based on spot and futures prices as of 21 April (when the central forecast was finalised), which imply that oil prices have passed their peak and will moderate to around $77/bbl by mid-2027. The current futures price track is higher than this, though it still implies a substantial fall in oil prices over the year ahead.

This slightly dated oil price assumption may explain the Treasury's relatively benign inflation forecasts compared to our own. Annual inflation is forecast to peak at 4.0% in the June quarter this year, easing back over the following quarters and reaching a temporary low of 1.6% in mid-2027 as fuel prices fall back. We're expecting both a higher peak in inflation in the near term and more lingering second-round effects (which actually gives us higher nominal GDP forecasts than the Treasury).

However, a different inflation outlook implies a different monetary policy response. The Budget assumes that the 90-day bank bill rate remains at just 2.8% in the June 2027 quarter, compared to around 2.5% today. This implies that RBNZ policy tightening begins almost a year later than in the RBNZ's own projections from yesterday's *Monetary Policy Statement*. Had the Treasury assumed an earlier tightening in line with the RBNZ's projections (and market expectations), both their real and nominal GDP forecasts would presumably be lower.

The Treasury's nominal GDP forecasts are also boosted a higher assumed path for the terms of trade, beyond the temporary spike in imported fuel prices. This reflects a combination of ongoing strength in export commodity prices, along with a lower assumed import price trend relative to the HYEFU. We think there's a risk that we could end up with more imported inflation than assumed – if the oil shock leads to a permanent lift in the domestic price level, it should presumably have a similar impact on the global price level.

Table 4: Key Economic Assumptions (June years)

	24/25	25/26f	26/27f	27/28f	28/29f	29/30f
Real GDP growth (ann. avg.)						
Budget 2026	**-1.1**	**1.2**	**2.3**	**3.2**	**2.7**	**2.5**
HYEFU	-1.1	1.7	3.4	2.6	2.5	2.5
Westpac	-1.1	1.2	1.8	3.2	3.7	3.2
Nominal GDP growth (ann. avg.)						
Budget 2026	**3.4**	**4.0**	**5.0**	**6.1**	**5.2**	**4.6**
HYEFU	3.8	4.2	5.4	4.9	4.8	4.7
Westpac	3.4	4.4	5.2	6.3	6.3	5.7
Unemployment (June qtr)						
Budget 2026	**5.2**	**5.5**	**5.0**	**4.5**	**4.4**	**4.3**
HYEFU	5.2	5.3	4.8	4.6	4.5	4.3
Westpac	5.2	5.4	5.3	4.6	4.2	4.0
CPI inflation (ann %)						
Budget 2026	**2.7**	**4.0**	**1.6**	**2.1**	**2.1**	**2.0**
HYEFU	2.7	2.4	2.2	2.1	2.0	2.0
Westpac	2.7	4.4	2.1	1.7	2.5	2.6
90-day rate (June qtr)						
Budget 2026	**3.4**	**2.5**	**2.8**	**3.1**	**3.3**	**3.3**
HYEFU	3.4	2.1	2.0	2.1	2.3	2.5
Westpac	3.4	2.5	4.0	4.5	4.1	4.1
10-yr bond rate (June qtr)						
Budget 2026	**4.6**	**4.6**	**4.5**	**4.5**	**4.5**	**4.5**
HYEFU	4.6	4.0	4.0	4.1	4.2	4.3
Westpac	4.6	4.9	5.1	5.1	5.1	5.1

Source: NZ Treasury, Westpac

Key Budget policy initiatives.

Finally, turning to the micro side of the Budget, which will be more important to many households and businesses, the Government announced the following policy initiatives:

- **Prudential levy on the financial industry**: The Government is implementing a new levy on deposit takers, insurers and financial market infrastructure providers. This is expected to raise $209m in the next four years.
- **Defence**: Around $2.3b to fund spending to increase defence force numbers, extend the life of the Anzac class frigates and HMNZS Canterbury.
- **Geopolitical risk management**: $156m for intelligence and security services, New Zealand's aid program in the Pacific ($110m) and $145m for MFAT's diplomatic network.
- **Fuel resiliency**: $150m is allocated to increase New Zealand's strategic fuel reserves and an additional $450m contingency in the event further fuel related support is required.
- **Roading infrastructure**: $400m for state highway resilience, $1.8bn capital contribution for the Cambridge to Piarere expressway.
- **Health**: $5.5b for the public health system. Bowel screening will now be available from ages 56 and higher plus hospital redevelopment in Tauranga, Hawkes Bay and Palmerston North.
- **Rail**: $1b for Kiwirail's network improvement program.
- **Education**: $1.6b for early education and schooling. $470m of capital spending is allocated to redevelop up to 10 schools and purchase land for new school sites in high growth areas. The final year of fees-free tertiary education is cut, as was announced previously, to help funding education investments in other areas as well as doubling the number of trade academy places.

Contact

Westpac Economics Team | **westpac.co.nz/economics** | economics@westpac.co.nz

Connect with us

Kelly Eckhold, Chief Economist | +64 9 348 9382 | +64 21 786 758 | kelly.eckhold@westpac.co.nz

Satish Ranchhod, Senior Economist | +64 9 336 5668 | +64 21 710 852 | satish.ranchhod@westpac.co.nz

Darren Gibbs, Senior Economist | +64 9 367 3368 | +64 21 794 292 | darren.gibbs@westpac.co.nz

Michael Gordon, Senior Economist | +64 9 336 5670 | +64 21 749 506 | michael.gordon@westpac.co.nz

Paul Clark, Industry Economist | +64 9 336 5656 | +64 21 713 704 | paul.clark@westpac.co.nz

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Westpac Banking Corporation.

28 May 2026

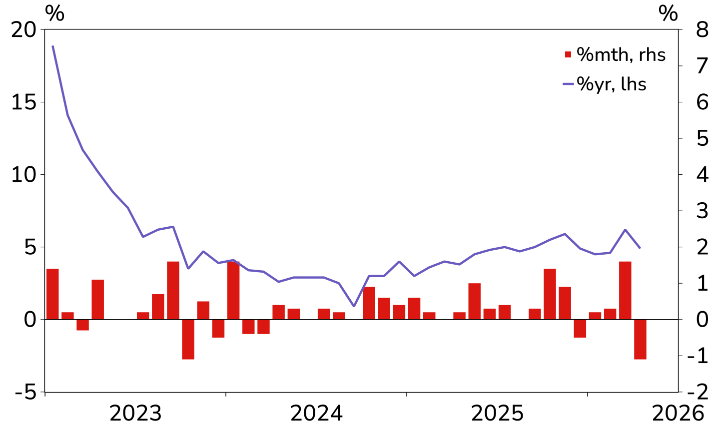
HOUSEHOLD SPENDING INDICATOR BULLETIN

Unwind of fuel-related spike

Key points

- Household spending fell –1.1%mth in April, unwinding most of the spike from March. This leaves the annual pace slightly above February's read, at 4.9%yr.
- Goods spending fell, but the decline in services spending was much larger. The bulk of the decline was centred on non-discretionary categories, though discretionary spending also fell.
- The main driver was an unwind in auto fuel-related spending. This mostly looks to be price-led, due to Government's halving of the fuel excise duty, with estimates of spending volumes picking up in the month.
- Higher jet fuel prices contributed to a fall in transport services spending also, with households scaling back travel plans and some airlines cancelling flights.
- The outlook for consumer spending remains gloomy, with consumer sentiment probing pandemic-era lows and discretionary card activity stalling.

Monthly Household Spending Indicator Growth



Source: ABS, Macrobond, Westpac Economics

April household spending indicator: –1.1%mth, 4.9%yr

Transport spend unwind, on fuel prices and air travel

Ryan Wells
Economist, Westpac Group
P: +61 401 423 628
E: ryan.wells@westpac.com.au

The monthly household spending indicator fell –1.1%mth in April, unwinding a large share of March's 1.6%mth gain. This pull-back was not as large as the market was expecting (–0.5%mth), but it was virtually spot on with Westpac's forecast for a –1.0%mth fall, based on evidence from our Westpac–DataX Card Tracker (see here). This brings annual growth back down to 4.9%yr, slightly above the rate from February.

By broad category, goods spending pulled back –0.4%mth following a 2.9%mth bounce in March. Meanwhile, services spending bore the brunt of the fall, having declined –1.9%mth after holding broadly flat in March. Non-discretionary spend also fell –1.7%mth, while discretionary spend dropped –0.8%.

Underscoring these broad strokes are a number of detailed moves. Most notably, transport spending fell –4.7%mth after a solid 5.4% gain in March. Much of this relates to an unwind in auto fuel spending by consumers, due to the Government's halving of the fuel excise duty from 1 April. Experimental estimates confirm this was a price-led decline, as monthly volumes of auto fuel spending increased 2.0%mth in April.

While this explains much of the fall in goods spending, higher jet fuel prices also contributed to a fall in transport services spending, with the ABS stating that "households scaled back travel in response to broader uncertainties and higher airfares", though this was partly offset by some refunds as "airlines cancelled routes during the month to keep services viable."

Across other categories, food spending retraced an outsized gain from March, falling –1.3%mth in April, with the ABS also noting a continuing "shift towards generic brands and cheaper products in supermarkets." Clothing and footwear also recorded a large fall (–2.2%mth). Moves were generally more modest elsewhere: small falls in recreation and culture (–0.2%mth), household furnishings (–0.2%), and modest gains in hospitality (+0.5%mth) and health (+0.5%mth).

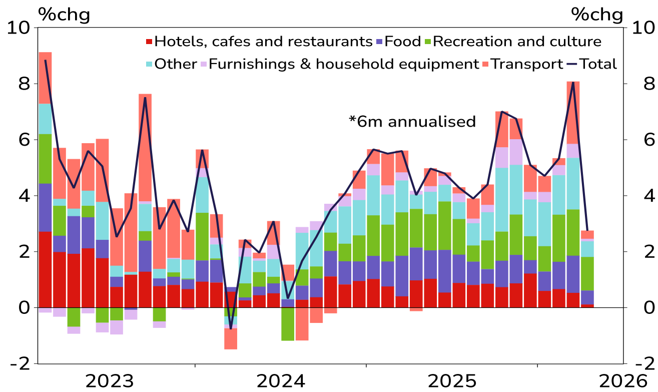
State outcomes were negative across the board, albeit with a usual degree of variation. The decline was led by WA (–1.9%mth), followed by Vic (–1.5%mth), SA (–1.2%mth), Qld (–1.0%mth) and NSW (–0.8%mth), with Tas bucking the wider trend and recording a small lift (+0.3%mth).

Looking ahead, the outlook for consumer spending remains gloomy. Consumer sentiment is deeply pessimistic, reminiscent of the scars left by the post-pandemic cost-of-living crisis (see here). Our **Westpac–DataX Card Tracker** also shows that monthly growth momentum in discretionary spend is stalling. This points to a risk of further moderation in household spending over the coming months.

Household spending indicator – Apr 2026

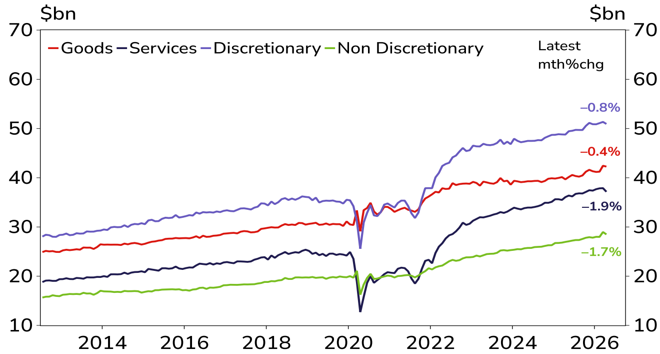
	$bn	% chg mth		% chg yr	
	Apr-26	Mar-26	Apr-26	Mar-26	Apr-26
sa	79.4	1.6	–1.1	6.2	4.9
trend	79.5	0.2	0.1	4.8	4.5

Source: ABS, Macrobond, Westpac Economics.



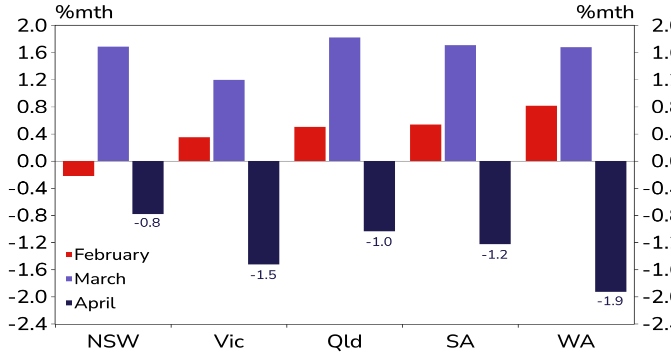
Source: ABS, Macrobond, Westpac Economics

Goods, services, discretionary & non-discret.



Source: ABS, Macrobond, Westpac Economics

Monthly household spending by state



Source: ABS, Macrobond, Westpac Economics

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Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ

westpaciq.com.au

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First Impressions: NZ retail trade, March quarter 2026

#retail #newzealand

By Darren Gibbs
Senior Economist NZ

09:30 May 22 2026

Share

NZ retail spending grew solidly in the March quarter, continuing the retail recovery that began in late 2024.

March quarter retail sales

Retail sales (volume of goods sold): +0.9% (Prev: +0.9%)

Westpac f/c: +0.2%, Market: +0.5%

Core retail sales (volume of goods sold): +1.0% (Prev: +1.4%)

Nominal retail sales: +2.2% (Prev: +1.4%)

Year to March

Volume of goods sold: +4.5%

Nominal sales: +6.1%

Consumer spending recovery remained intact pre-war

Today's official retail sales report pointed to a solid lift in consumer spending in the March quarter, maintaining the pace seen in the December quarter and continuing the retail sector recovery that began in late 2024.

Nominal spending rose by 2.2% over the quarter and is up 6.1% on the same time a year ago. Some of that growth is due to higher prices (notably the sharp lift in fuel prices during the March quarter). Stats NZ estimates that the volume of spending increased 0.9% over the quarter and was 4.5% higher than a year earlier.

Turning to the detail, the strong growth in tourist arrivals contributed to today's result, with the volume of spending on accommodation rising 6.1% over the quarter following a similar increase in the prior quarter. In addition, spending on food and beverage services increased 1.3% during the quarter. The largest contribution to growth came from a lift in supermarket and grocery stores, but this followed declines in each of the previous two quarters. Spending on footwear and apparel fell, as did spending on recreational goods. This may reflect early reaction to the Middle East conflict, although these falls do come after solid growth in the previous quarter.

Looking regionally, nominal data continues to point to stronger growth in the South Island – unsurprising given its greater exposure to the well-performing tourist and rural sectors. Spending in the South Island was 8.1% higher than a year earlier, led by a 12.3% increase in spending in the Otago region. By contrast, spending in the North Island increased 5.2%.

Outlook

Over the past two months the conflict in the Middle East has led to a sharp decline in consumer confidence and a squeeze on household discretionary incomes. Electronic transactions data released earlier this week pointed to a sharp pullback in spending in April, with spending at core store types declining for a second consecutive month. This is consistent with our view that the current quarter is likely to be a much tougher one for retailers – especially those selling discretionary items. And it is consistent with our view that the economy overall is likely to contract modestly during the quarter.

What happens over the second half of the year and beyond will depend on how the Middle East conflict evolves and how the RBNZ responds to the near-term spike in inflation. A prolonging of the conflict beyond the middle of this year – which we think would inevitably lead to new highs in energy prices – or an aggressive RBNZ response to perceived medium-term inflation risks, would weigh further on the retail sector. On the other hand, consumer confidence could rebound quickly if the conflict ends, even if energy prices remain high for a period, especially if greater certainty leads to a resumption in hiring.

Implications for GDP growth

We're forecasting GDP growth of 0.8% in the March quarter. Today's result was ahead of our expectations, although not enough to cause us to change our GDP forecast. We'll take a closer look at how GDP growth is shaping up over the next couple of weeks as additional data on March quarter activity is released.

Darren Gibbs, Senior Economist

P +64 9 367 3368

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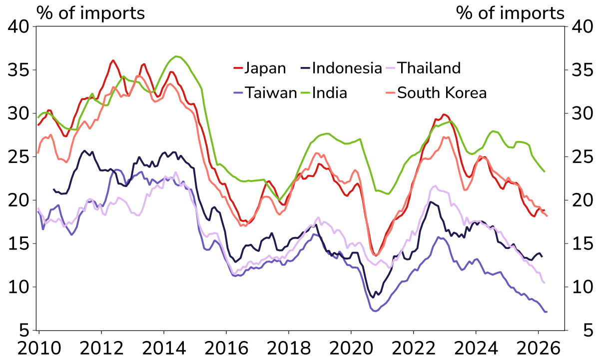
Mapping out Asia ...

Illiana Jain
Economist, Westpac Group
P: +61 403 908 032
E: illiana.jain@westpac.com.au

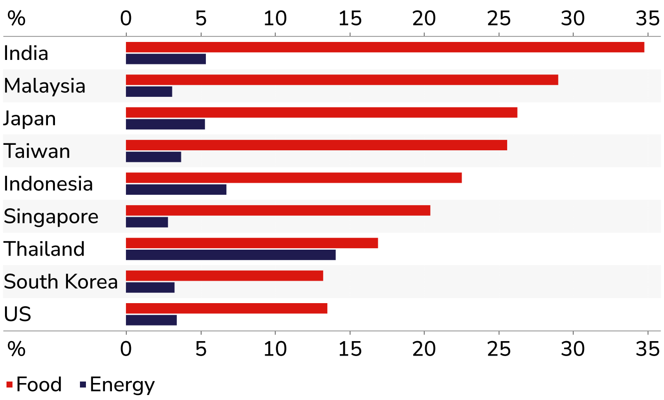
- The recent conflict in the Middle East represents a sizeable supply shock, particularly for energy and agriculture. Asia is disproportionately exposed given its reliance on Middle Eastern oil and LNG imports, alongside the importance of agriculture in the economy.
- Exposure varies across the region — India is the most reliant, with energy accounting for around a quarter of total imports, while economies like Taiwan are less affected.
- While energy's share of imports declined from its 2022 peak, this largely reflects the rising share of tech-related imports and not a meaningful reduction in foreign energy dependence.
- India's exposure has remained comparatively stable, consistent with its lower integration into the East Asian tech supply chain.

Energy as a share of imports



Source: MOTIR, KCS, MoC&I, MOF, BI, MOC, Macrobond, Westpac Economics

Asia's CPI basket carries a high share of food

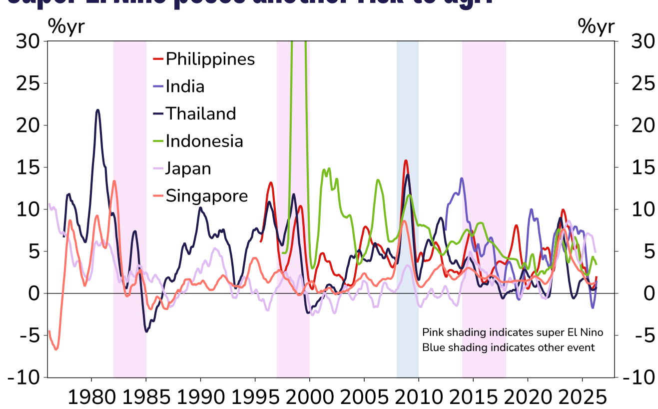


Source: MODS, SBJ, MoS&PI, BPS, DOSM, SingStat, DGBAS, BLS, BTEI, Macrobond, Westpac Economics

- Food and energy account for a materially larger share of the CPI across Asia relative to most developed economies.
- India is particularly exposed, with around 40% of the CPI basket comprised of food and energy, and an even higher share in rural areas.
- This raises the sensitivity of inflation to supply shocks and complicates the policy outlook.
- Rising food and energy prices will act as a real income shock, weighing on domestic demand.
- At the same time, central banks will find it difficult to ease policy — with some already tightening (Indonesia, Singapore) and others signalling hikes are likely (Thailand).
- As a result, financial conditions are expected to remain tight even as growth slows.

- Asia's agricultural sector faces a dual shock from higher input costs and adverse weather conditions.
- Rising oil prices are already feeding into higher fertiliser and diesel costs, lifting food production costs.
- The expected El Niño event will also likely bring drier conditions across Southeast Asia, reducing crop yields.
- Historically, similar events have led to sharp increases in food prices across both producing and importing economies.
- This creates a risk of sustained food inflation, reinforcing the broader real income squeeze.
- It also impacts a sector of the economy that employs a large share of the labour force and occupies a large share of spending.

Super El Nino poses another risk to agri

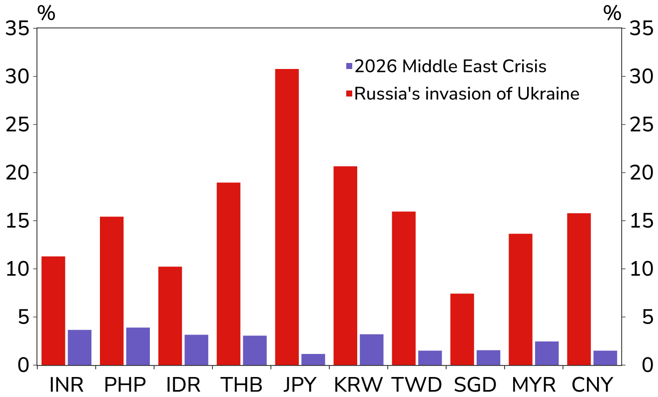


Source: MoS&PI, BTEI, Philippine Statistics Authority, BPS, SBJ, SingStat, MODS, Macrobond, Westpac Economics

... in charts

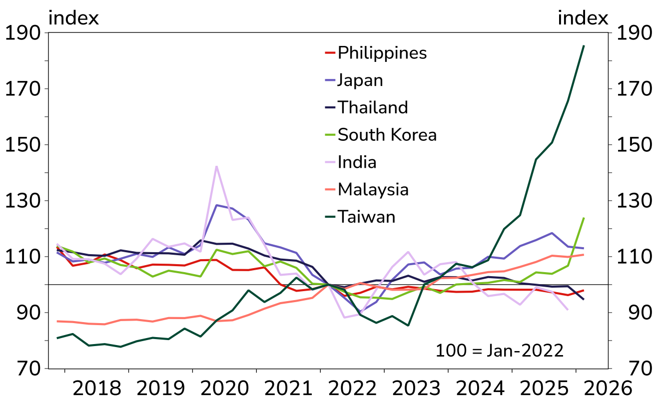
- Despite these uncertainties, Asian currencies have held up better than during Russia's invasion of Ukraine.
- This partly reflects the US dollar's retreat.
- Within the region, it reflects stability in the renminbi, supported by China's strong trade surplus and ongoing demand linked to green investment.
- Reports suggest Chinese authorities have actively managed the USD/CNY fixing to limit depreciation.
- By anchoring the renminbi, China has helped stabilise FX performance across the region and supported broader market confidence.

Trough to peak depreciation of Asian currencies



Source: Bloomberg, Macrobond, Westpac Economics

Terms of Trade Divide



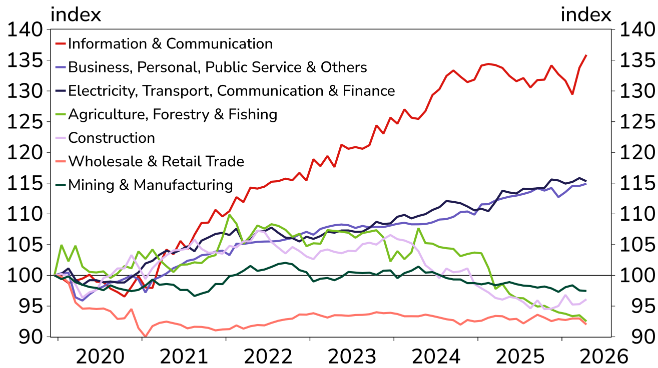
Source: Philippine Statistics Authority, MOF, BOT, BOK, DGoCI&S, NBS, DOSM, CME Group, Macrobond, Westpac Economics

- Economic performance is already diverging across Asia.
- Economies with favourable terms of trade — particularly energy exporters such as Malaysia or those leveraged to the tech cycle like Taiwan — are holding up relatively well.
- In contrast, energy-importing, services-oriented economies like India and the Philippines are more vulnerable to the shock.
- Strength in the tech cycle has helped offset the drag from higher energy costs in several economies, which is already evident in relative currency performance.
- Over time, this divergence is likely to become more apparent in growth outcomes and fiscal capacity.

- South Korea provides a clear example of how tech strength has masked broader weakness.
- Even prior to the current shock, growth was heavily concentrated in the tech sector.
- Labour market outcomes highlight this imbalance — employment growth has been concentrated in tech, while other sectors have seen limited gains or outright declines.
- This K-shaped dynamic, both in South Korea and across the region, increases concentration risk.
- Industry-specific shocks (e.g. disruptions to major tech firms) can increasingly translate into economy-wide impacts.
- Recent developments are therefore amplifying an existing structural vulnerability.

South Korea's two-speed labour market

Employment by Industry indexed to Dec-2019



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Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ
westpaciq.com.au

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Week beginning 25 May 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: What fiscal can learn from monetary.

The Week That Was: Consumers wonder what's next.

Focus on New Zealand: To hold or not to hold, that is the question.

For the week ahead:

Australia: Westpac-MI leading index, monthly CPI, Q1 construction work done, Q1 capex, private credit.

New Zealand: RBNZ policy decision, Budget 2026, ANZ business confidence, employment indicator.

Japan: Tokyo CPI, jobless rate.

China: Industrial profits.

Euro area: Consumer confidence, economic confidence.

United States: Consumer confidence, personal income and spending, house prices, Q1 GDP (second est.).

Information contained in this report current as at 22 May 2026.

What fiscal can learn from monetary

Luci Ellis
Chief Economist, Westpac Group

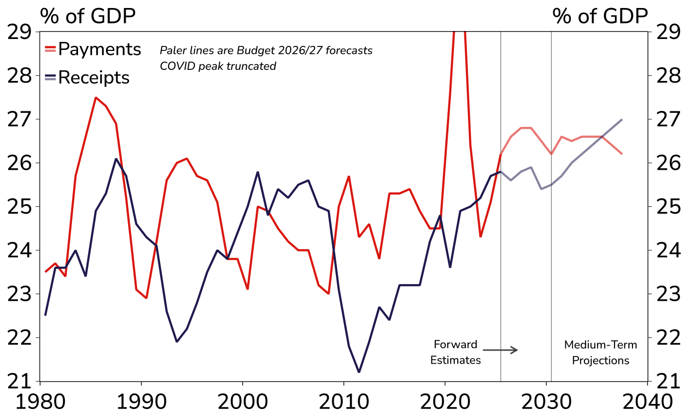
- **Much post-Budget focus is on who wins, who loses, and the micro-level incentives they face. Macroeconomic perspectives are mostly downplayed, partly out of a belief that fiscal policy is not suited for management of the business cycle.**
- **Even taking the allocation of responsibilities – monetary policy for the business cycle and fiscal policy for microeconomic incentives – as given, fiscal policy can learn from monetary policy.**
- **One example is the way institutional arrangements were designed to reduce the 'time-inconsistency problem' in monetary policy, the temptation to boost demand and inflation to lower unemployment. A similar problem applies to fiscal policy. Projections of future outcomes assume that bracket creep will boost tax revenue to a degree that no government will actually go through with when the time comes.**
- **Indexation of tax brackets can be viewed as a kind of commitment device to reduce this inconsistency. Care must be taken, however, to ensure that the countercyclical features of a progressive tax system are not lost. This points to another lesson from monetary policy: there are benefits to some degree of automation.**

This year's budget, with its focus on intergenerational distribution, will have significant effects on property and other asset markets, as well as on how many families manage their affairs. Even once they move beyond a pure winners-versus-losers framing, though, proponents of the changes and detractors alike are mostly thinking about fiscal policy like microeconomists. The emphasis is on efficiency and incentives across different activities and asset classes. Only rarely are macroeconomic perspectives, like the role of the fiscal system in managing the economic cycle, the focus.

The micro perspective stems from a deep-seated belief that fiscal policy cannot be used effectively to manage the macroeconomic cycle. Even though payments and other fiscal actions can affect demand immediately, the decision-making process is too slow, and prone to being politicised. And with many moving parts, a budget can be directed to other objectives. Best leave the macro side to monetary policy, goes the thinking. It has much faster decision-making cycles, and you can dedicate one instrument to one job.

Even if you take this allocation of responsibilities as given, though, there is plenty that fiscal policy can learn from monetary policy. One example is evident in the medium-term projections beyond the four-year 'forward estimates' horizon of the budget. These projections show a comforting upward trend in tax revenue as a share of GDP that closes the current deficit out in the 2030s. This is because the projections take current policy as given – including the tax brackets, which are fixed in dollar terms. There are some revenue measures as well, including the tax changes announced in last week's federal budget, but it is mostly bracket creep.

Federal Budget: Payments & Receipts



Source: Australian Department of the Treasury, Macrobond, Westpac Economics

The reality is that, by the time we get to the 2030s, future governments will have given some of that bracket creep back. They always do. The alternative is an ever-rising share of household income going to tax. This inconsistency between forecasts based on known policy and the outcomes that are likely to actually occur once we get there is analogous to the 'time-inconsistency problem' that is well known to analysts of monetary policy.

The 'inconsistency' is that monetary policymakers will always be tempted to 'cheat' on an inflation target, choosing a bit more inflation in the near term to get a bit less unemployment. Without some suitable institutional constraints, a central bank therefore cannot credibly commit to keep future inflation at the desired rate. Resolving this inconsistency is one of the reasons why independence of the central bank is seen as so important.

So too with fiscal policy. A government can project to close a fiscal deficit using the increasing revenue from bracket creep. But when the day comes, the temptation to moderate an ever-increasing tax burden is too great. Just as central banks cannot credibly pre-commit to hit inflation targets without independence, accountability or some contractual arrangement, governments cannot credibly commit to improving their finances via future bracket creep. (To be clear, budget deficits of the order of 1% of GDP are not a big deal in the scheme of things, especially compared with most other major economies. But if your ostensible aim is to eliminate that deficit eventually, projections that assume full bracket creep are not credible indications that you will get there.)

Proposals to index tax brackets in some way can been seen in this context as a kind of pre-commitment device, much like independence and inflation targets are for monetary policy. Instead of giving periodic tax cuts but pretending you will not, bracket indexation legislates the unwind of bracket creep in a more mechanical way. It also avoids the risk that the usual decision and implementation lags end up seeing ad-hoc bracket adjustments arrive when the economy is hot and tax cuts are least needed.

Of course, medium-term projections formulated on this basis will look more alarming than the recent run of budget papers. The gap is more appearance than substance, however. Perhaps, though, this will bring forward the hard conversations about the appropriate size of government and the share of government spending in GDP. This share took a noticeable step up in the late 2010s and again since the pandemic. Bracket creep enabled this expansion in government payments without needing to raise taxes explicitly.

Plans to rein in NDIS spending should help avoid a further ramp-up in payments and the fiscal sustainability issues that would ensue. As we noted on Budget night, though, executing on these plans is crucial but far from assured.

This points to another lesson that fiscal policy can learn from monetary policy: that while a hard-and-fast policy rule is too rigid and too simplistic, there are benefits to some degree of automaticity, of counter-cyclicality by design. A progressive tax system like Australia's embeds countercyclicality. When the economy is growing quickly, incomes rise. More of people's income is then taxed at their top marginal rate and more people get pushed into higher tax brackets. This raises the share of income going to tax. As long as the revenue windfall is not automatically recycled as higher government spending, this effect dampens demand automatically. Targeted welfare systems help on this front, too. For the record, Australia's system is widely regarded as more targeted than most developed countries' systems.

Indexation of tax brackets, like periodic tax cuts, reduces the drag from bracket creep but can lose that countercyclical feature depending on how it is implemented. For this reason, we have previously argued that fixed indexation at 2.5% – the mid-point of the RBA's inflation target – is in most cases preferable to CPI indexation. (This point also applies to calculation of capital gains tax, administered prices and some payments as well as income tax brackets.) That way, when the economy is strong and inflation is high, the tax system still leans against inflation somewhat. The central bank does not have to shoulder the burden of macroeconomic management alone.

The political nature of fiscal policy means there will always be some level of 'consistency problem'. But careful design, including automation of some settings, can help address this. That in turn means fiscal policy can be more usefully used as a macroeconomic management tool, without risking the credibility of its medium-term sustainability.

Cliff Notes: consumers wonder what's next

Elliot Clarke, Head of International Economics
Illiana Jain, Economist
Ryan Wells, Economist

In Australia this week, the Westpac-MI Consumer Sentiment Index clawed back only a quarter of April's collapse, rising 3.5% to 83.0. This leaves sentiment at a deeply pessimistic level, reminiscent of the scars inflicted by the post-pandemic cost-of-living shock. The halving of fuel excise provided some relief in May, facilitating an improvement in views around family finances – the 'last 12 months' and 'next 12 months' sub-indices rising 9.0% and 10.7% respectively. However, a third consecutive cash rate increase left 85% of consumers bracing for further increases in mortgage rates over the coming year. Adding in the uncertainty created by the seemingly open-ended Middle East conflict and anxiety over the tax changes proposed in the Budget, it is not surprising views on the economic outlook for one and five years hence sit at a combined three-and-a-half year low.

April's labour force survey also points to an imminent slowing in economic momentum. Employment fell 18.6k, abruptly halting the uptrend that commenced early this year. The participation rate nudged 0.1ppt lower to 66.7%, but the unemployment rate still rose 0.2ppts to 4.5%, the highest reading since the 'delta' COVID-19 outbreak of late-2021. Some of the surprise can be explained by 'abnormal' seasonality around Easter and noise in youth outcomes, but genuine weakness is also evident just as the shocks associated with the Middle East conflict and 2026's rate increases reverberate through the wider economy.

Aware of the volatility of labour data, like us the RBA will probably expect some degree of payback next month. This week's data will give the RBA cause to pause in June. But we continue to expect them to raise the cash rate in August and September as energy costs are passed through and given their desire to keep inflation expectations anchored. The cash rate is then likely to remain on hold until 2028, when a return to near-target inflation will allow a reversal of this year's rate hikes.

In the US, the minutes of the April FOMC meeting primarily focused on the outlook for inflation. There was a lengthy discussion of potential upside risks to inflation, with the Middle East conflict's direct and indirect effect on prices, US tariffs and the strength of AI infrastructure investment all commented on. In contrast, participants were sanguine on the labour market, assessing there to be balance between labour demand and supply and limited downside risks. GDP growth was also expected to be solid this year, the staff forecasting momentum to hold just above trend. On policy, members indicated that, if they see evidence of disinflation being back on track or the labour market weakening, easing could be considered. A "majority of participants highlighted, however, that some policy firming would likely become appropriate if inflation were to continue to run persistently above 2 percent".

Over in Europe, Euro Area CPI inflation met expectations in April, prices rising 1.0% in the month, lifting annual inflation from 2.6%yr to 3.0%yr. Core inflation was elevated in the month, but remained close to the 2.0%yr medium-term target on an annual basis. Gains were broad-based across the different categories, but transport contributed the most. UK annual CPI inflation meanwhile moderated from 3.3%yr in March to 2.8%yr in April as prices rose 0.7% in the month. The deceleration in inflation came from several discretionary goods categories including clothing and furniture. Core CPI inflation rose 2.5%yr in the month, down from 3.1%yr in March. Comments from Bank of England Governor Bailey noted the monetary policy committee has time to assess the impacts of the war, having already effectively tightened by removing the expectations of a cut set at the start of the year.

Also in the UK, employment rose by 148k over the three months to March while the unemployment rate eased to 5.0% for the same period. While on the surface this may paint a rosy picture, signs of labour market softening are starting to emerge. The unemployment rate for March rose to 5.5% and the number of payrolled employees fell 100k in April. Wages growth excluding volatile bonuses moderated from to 3.4%yr from 3.6%yr previously and, for the private sector only, underlying wage growth is a considerably more modest 3.0%yr.

"...give the RBA cause to pause in June."

Turning to Asia, China's partial indicators for April again highlighted a need for stimulus. Retail sales growth slowed sharply to 0.2%yr in April from 1.7%yr in March, a post-pandemic low, as reduced government subsidies weighed heavily on car and household appliance sales. Fixed asset investment fell 1.6%ytd driven by the private sector. Having improved in recent months, the decline in property investment accelerated again in April to -13.7%ytd. Industrial production growth also slowed from 5.7%yr to 4.1%yr in April, suggesting supply disruptions related to the Middle East are beginning to be felt. This is a risk for the entire Asian region for both activity and inflation, and a particular challenge for policy makers coming at a time of surging strength in tech-related production and investment.

Closing with the Middle East conflict. Iran has said the latest proposal from the US partly bridges the gap between the two sides, but comments from Supreme Leader Khamenei about keeping Tehran's uranium stockpile and a dispute over tolls in the Strait of Hormuz suggests a deal remains some way off. President Trump also said he opposes efforts by Iran and Oman to establish some form of permanent toll system for the Strait of Hormuz: "We want it open, we want it free, we don't want tolls".

To hold or not to hold, that is the question

Kelly Eckhold
Chief Economist NZ

Next week's RBNZ Monetary Policy Statement (Wednesday 27 May) is shaping up as one that will likely deliver more signal than action. The most likely outcome is an unchanged Official Cash Rate (OCR) at 2.25%, but the meeting is 'live': watch for whether the decision goes to a vote (and if so, how close it looks); how far the Bank lifts its near-term inflation track in response to higher energy costs; how much it downgrades the 2026 growth outlook as the Iran war weighs on confidence; and – above all – what the updated OCR track implies for the timing and pace of a return towards neutral policy settings. The press conference and Summary Record of Meeting will matter as much as the headline decision given the difficult balance the RBNZ must strike between a materially higher inflation track and a weakening real economy.

The RBNZ is 'skewered' between high inflation and weak growth, which will leave the MPC wriggling on the hook while debating what to do next week. The inflation outlook has shifted decisively higher, driven primarily by the surge in refined fuel prices associated with the Iran war. Headline inflation is expected to move above 4% and remain elevated for much, if not all, of 2026. While the RBNZ may continue to emphasise its intention to look through the first-round effects of such a supply-side shock, as is conventional, the persistence of above-target inflation raises clear risks around expectations and pricing behaviour. At the same time, the growth backdrop has weakened materially. The war has added a layer of uncertainty that is weighing on both household and business sentiment, undermining spending and investment decisions, and delaying the continuation of the economic recovery that had been widely anticipated earlier in the year. This combination – higher inflation but weaker activity – places the RBNZ in a challenging position and will drive careful calibration of both policy and communication.

Against that backdrop, the most coherent baseline that is consistent with the RBNZ's past rhetoric seems for the OCR to remain on hold in May, but for the Bank to deliver a materially more hawkish set of projections compared to the February Monetary Policy Statement. The rationale for not tightening immediately is not that inflation risks are benign, but rather that it may still be premature to conclude that a rate rise is required to secure the medium-term inflation objective. The Monetary Policy Committee is likely to place weight on the current level of uncertainty, the limited evidence so far on second-round inflation effects, and the risk that policy settings may already be more restrictive in effect than the nominal OCR suggests, given tighter financial conditions and weaker confidence. The most dovish on the MPC could argue that a premature increase in the OCR could prove counterproductive if it were subsequently reversed as the full extent of the growth slowdown becomes evident. Most though are more likely to accept that interest rates will rise in 2026, but that more information is required to fully justify what will be a very unpopular move – especially in an election year. We think a vote will be required to break the deadlock and will thus provide some revealing (and well overdue) information on individual MPC members' views.

The lack of hard data on inflation persistence may prove particularly important in the MPC's calculations. And certainly, the Governor's previous comments seem to emphasise the need to see at least some evidence before moving. Core inflation remained within the target band in the March quarter, but there is relatively little new information on how it is evolving in the wake of the shock. Many of the channels through which second-round effects might emerge – particularly in services prices – are only observed with a lag, meaning that the June quarter CPI will likely be the first meaningful test of whether inflation pressures are broadening. Until that evidence is available, a cautious approach to policy adjustment will seem defensible to those more cautious MPC members. More broadly, the Bank may judge that waiting allows it to better understand the interaction between higher inflation and weaker demand, and to assess whether the expected increase in spare capacity will offset some of the upward pressure on prices over time.

However, even if the OCR is left unchanged, the RBNZ's forecast updates are likely to reflect a significant shift in the economic outlook. Growth forecasts for 2026 are expected to be revised down materially, with GDP expansion now seen closer to 1.8–2.0% rather than the 2.8% envisaged in February. The labour market outlook is also likely to soften, with the anticipated decline in the unemployment rate deferred so that it potentially ends the year in the mid-5% range. These changes imply a greater degree of slack in the economy than previously assumed, which in normal circumstances would help to contain inflation pressures over the medium term. Nevertheless, the near-term inflation profile is expected to be considerably higher, as the direct and indirect impacts of energy costs flow through to a wide range of prices.

This divergence between short-term inflation and medium-term capacity pressures is likely to be reflected most clearly in the projected path of the OCR. The Bank is expected to signal a higher endpoint for the tightening cycle, with the terminal

OCR forecast rising modestly to around 3.2%. At the same time, the near-term path is likely to shift up more noticeably, with the December 2026 projection increasing to around 2.8%. Such a move would indicate an expectation of two and perhaps three rate increases in 2026, even if the exact timing remains conditional on incoming data. The implications for the July meeting will be a particular focus, although any signal may be partly obscured by the smoothing inherent in the forecast profile. As a result, greater clarity will likely come from the qualitative commentary rather than the numerical projections alone.

The central policy debate within the Committee will be one about timing rather than direction. There is little doubt that tightening is likely to be required over the medium term given the shift in the inflation outlook. The question is whether to begin that process immediately or to wait for more conclusive evidence on inflation persistence and the depth of the growth slowdown. Those favouring a delay are likely to emphasise the downside risks to activity, the limited information currently available on second-round effects, and the possibility that financial conditions have already tightened sufficiently to restrain demand. They may also point to the uncertainty surrounding the duration of the Iran war and the path of energy prices, noting that a quicker resolution could materially reduce inflation pressures.

By contrast, the case for an earlier move rests on the argument that the inflation outlook has changed so significantly that policy should begin adjusting sooner rather than later. Proponents of this view are likely to emphasise the risks to inflation expectations, particularly given the persistence of above-target inflation in recent years. Survey measures suggest that businesses are facing broad cost pressures and are increasingly inclined to raise prices, while households appear to be incorporating higher inflation into their expectations. Even if weak demand limits immediate price increases, there is a risk that pricing behaviour could become more entrenched once activity recovers. From this perspective, moving the OCR closer to neutral sooner could help contain these risks and provide greater flexibility in the future.

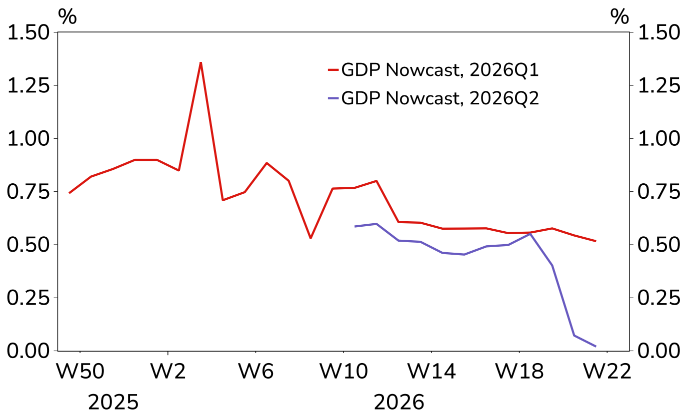
Financial considerations reinforce this argument. Real interest rates appear low in the context of rising inflation and inflation expectations and might suggest policy is too accommodative. In addition, the exchange rate has softened relative to earlier assumptions, which has likely contributed to recent inflation outcomes, and could drive more persistent inflation if New Zealand real interest rates remain too low for too long. Global central banking peers have shifted to a less accommodative outlook and either raised policy rates (Australia, Norway), shifted to a tightening bias (Canada, Euro area, Japan) or remained more neutral but with interest rates close to neutral settings (the US and UK). If NZ interest rates remain low relative to both estimates of the neutral OCR and foreign comparators the RBNZ could invite further currency depreciation and a larger inflation headache.

These considerations point to a more finely balanced decision than market pricing suggests for the May meeting, but one in which the most likely outcome is still to hold the OCR steady while clearly signalling that increases are coming. An unchanged rate combined with a higher projected path would effectively communicate that policy is on a tightening trajectory, even if the starting point is deferred.

Alternative outcomes remain very plausible. A more dovish scenario would involve little change in the Bank's language and only a modest adjustment to the OCR track, implicitly pushing out the timing of the first hike. A more hawkish outcome would see an immediate increase in the OCR and a stronger signal of follow-on moves, consistent with a desire to return to neutral more quickly.

The bottom line though is that the RBNZ's output gap focused framework, the absence of hard data on second-round inflation impacts, and the likely reliance on assumptions that will imply a significant fall in energy prices over the next year means we expect the OCR to remain unchanged next Wednesday. Unless they change their minds! I would support a tightening in May as with the benefit of hindsight the OCR probably shouldn't have been cut below 3% in the second half of 2025.

RBNZ Real GDP Nowcast



Source: RBNZ, Macrobond, Westpac Economics

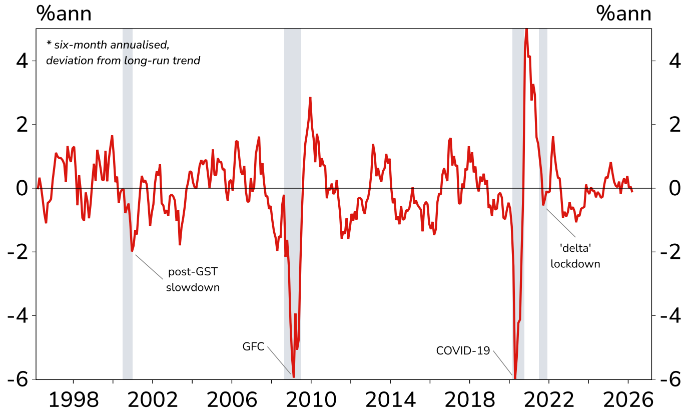
AUS: Apr Westpac-MI Leading Index (%6mth ann'd)

May 27, Last: –0.13

The Leading Index growth rate declined to –0.13% in March. While the growth pulse was not overly weak, March was the first below-trend read since August last year and, prior to that, since the extended period of weakness during the 'cost-of-living' crisis of 2022–2024. The economy lost momentum over the first few months of the year with more weakness likely to emerge through the middle of the year.

Component-wise, the Apr read will include partial rebounds in equity markets (the S&P/ASX200 up 2.2% vs –7.8% last month) and consumer sentiment (Westpac-MI Consumer Expectations Index up 2.3% vs –10.4% last month) and a solid gain in total hours worked (+0.8%) but some softening in commodity prices (down –0.8% in AUD terms), a further narrowing in the yield spread and a pull-back in dwelling approvals which rose sharply last month.

Westpac-MI Leading Index



Source: Westpac-MI, Macrobond

AUS: Apr Monthly CPI (%yr)

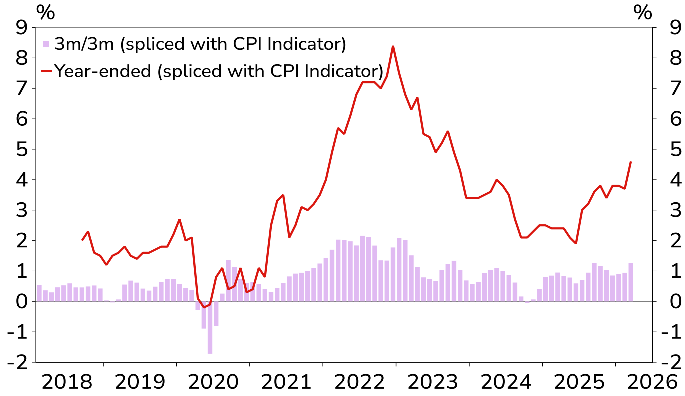
May 27, Last: 4.6, Westpac f/c: 4.8
Mkt f/c: 4.4, Range: 3.9 to 4.8

While March showed limited spillovers from the Middle East conflict beyond fuel, early signs of broader cost pass-through mean April will be key in assessing whether inflation pressures are widening.

Headline CPI is expected to rise 0.9%mth in April, lifting annual inflation to 4.8%yr. The increase is driven by holiday travel and clothing & footwear, partly offset by a decline in transport costs due to the fuel excise halving and free public transport in some states.

The monthly trimmed mean is forecast at 0.4%mth, taking the annual pace to 3.5%yr. For the full preview, see here.

Monthly CPI inflation (s.a.)



Source: ABS, Macrobond, Westpac Economics

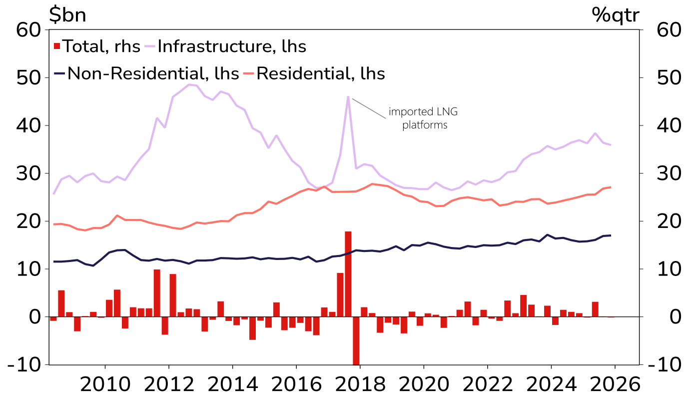
AUS: Q1 Construction Work Done (%qtr)

May 27, Last: –0.1, Westpac f/c: 1.0
Mkt f/c: 10.8, Range: 0.0 to 2.0

Construction activity declined 0.1% in Q4, though remained 3.0% higher over the year. As expected, the weakness in the headline number was driven by declines in public infrastructure work, reflecting the completion of major transport and electricity projects. This was partly offset by solid private sector activity, with private residential construction up 7.7%yr and new commercial building surging 12.5%yr.

We expect a similar dynamic in Q1 2026. Public infrastructure work is likely to stabilise after falling in three of the past four quarters. Private activity should remain firm, supported by residential construction, commercial projects and energy infrastructure. A lift in commencements for data centres and short-term accommodation suggests activity is likely to be concentrated in these areas in the near term.

Public works to stabilise, private stays firm



Source: ABS, Macrobond, Westpac Economics

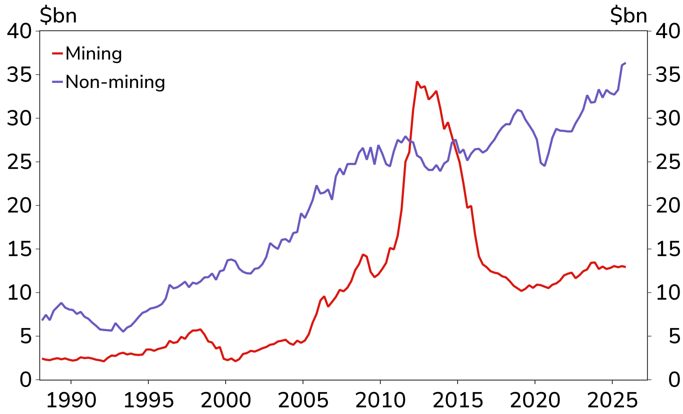
AUS: Q1 Private CAPEX (%qtr)

May 28, Last: 0.4, Westpac f/c: 4.0
Mkt f/c: 1.0, Range: 0.0 to 4.0

Private capex grew by a modest 0.4%qtr in Q4 2025, with weakness in data centre-related equipment weighing on the headline. We expect capex growth to accelerate in Q1 as data centre construction and fit-outs progress. Supporting this, data centre-related equipment imports surged 300% in March, while non-residential commercial building approvals and commencements remain elevated. This backdrop echoes Q3 2025, when capex grew 6.4%qtr. With data centres set to dominate, we expect real capex growth of 4.0%qtr in Q1 2026.

Est 5 for 2025/26 capex plans, after our adjustment, is consistent with robust 9.0%yr nominal and 7.01%yr real growth. With the capex survey in the field amid the Middle East conflict, we see material downside risk to our expectation for Est 6 unadjusted plans of $204bn.

Data-centres to re-emerge as a key driver



Source: ABS, Macrobond, Westpac Economics

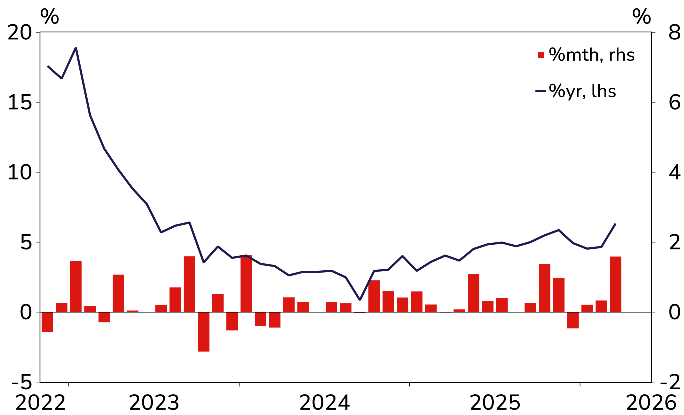
AUS: Apr Household Spending Indicator (%mth)

May 28, Last: 1.6, Westpac f/c: –1.0
Mkt f/c: –0.4, Range: –1.4 to 0.3

The Household Spending Indicator rose 1.6%mth in March, the strongest monthly gain since January 2024 lifting annual growth to 6.3%yr. The main driver was a spike in fuel spend, the wider transport category posting a strong 5.1% rise in the gain. Excluding transport, household spending increased a more moderate 0.9%mth.

April is expected to show a partial retracement with a 1% decline overall. Fuel is again the prime mover with the temporary halving in fuel excise tax and waiving of GST reducing fuel prices sharply in April. Our **Westpac-DataX Card Tracker** showed a clear pull back with some softening in discretionary spend late in the month. On balance we expect the ABS measure, which also draws on vehicle sales data, to show a 1% decline in the month.

Monthly household spending indicator



Source: ABS, Macrobond, Westpac Economics

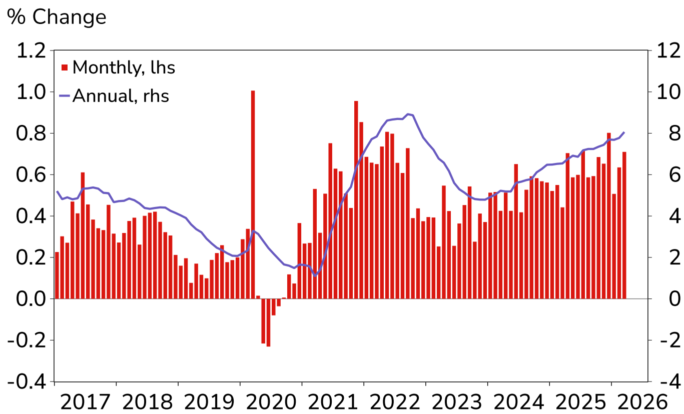
AUS: Apr Private Sector Credit (%mth)

May 29, Last: 0.7 Westpac f/c: 0.6
Mkt f/c: 0.6, Range: 0.5 to 0.7

Private sector credit growth surprised to the upside in March, rising to 0.7%mth, with all major components – housing, personal and business credit – showing strength on a month-on-month basis.

We expect headline credit growth to tick only slightly lower in April, to 0.6%mth. New housing finance approvals declined in Q1, while consumer and business sentiment took a notable hit in recent months from the energy price shock driven by the war in the Middle East. Given the usual lags, it will take time for these changes to feed through to credit growth. And given that credit growth has so far been very resilient to changes in the interest rate outlook and to RBA cash rate hikes, we do not expect an abrupt slowing in credit growth this time. However, we will be looking for signs across all major components that sentiment is beginning to shift.

Private Sector Credit Growth



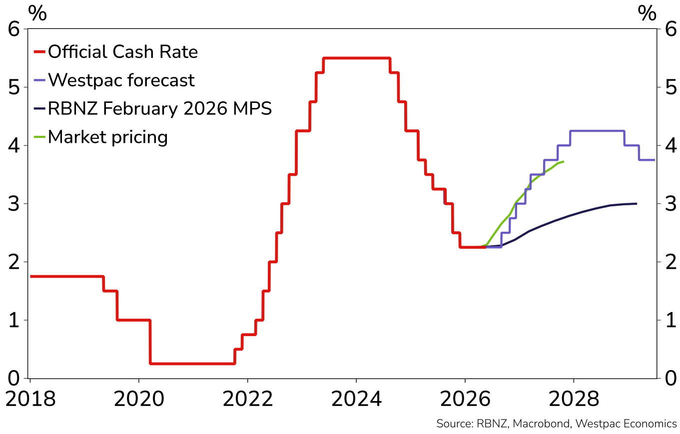
Source: RBA, Macrobond, Westpac Economics

NZ: RBNZ May Monetary Policy Statement (%)

May 27, Last: 2.25, Westpac f/c: 2.25
Market f/c: 2.25, Range: 2.25 to 2.25

We expect the RBNZ to leave the OCR at 2.25% at their May review, amid a challenging economic environment marked by rising inflation and weakening growth. Despite the challenges presented by the Middle East conflict, the RBNZ will acknowledge that there is a looming need to start removing monetary stimulus. Indeed, we think that some MPC members may see a strong case for starting that process as early as this month. Therefore, a vote is likely to be required to reach a decision at this meeting. For more details see our MPS preview bulletin.

RBNZ Official Cash Rate

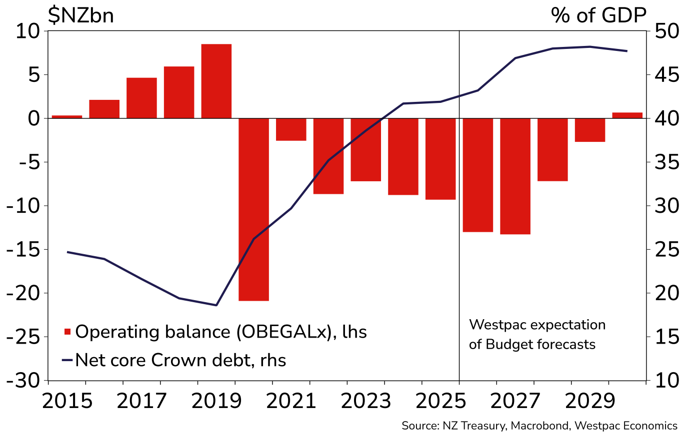


NZ: Budget 2026

May 28

Budget 2026 will be set against the background of the Middle East conflict. Whereas a favourable revision to the fiscal outlook had seemed likely prior to the conflict, the Government now faces the prospect of higher welfare spending and debt financing costs and a weaker near-term outlook for tax revenue. So while the Government has reduced the operating allowance for new discretionary spending at this Budget, we expect that the Treasury will forecast a $7-9bn increase in the four-year borrowing requirement. We still expect the Treasury to forecast an OBEGALx surplus in 2029/30, with a rebound in the economy likely to be forecast once the conflict is assumed to end. For more details see our Budget preview bulletin.

Operating balance & net core Crown debt

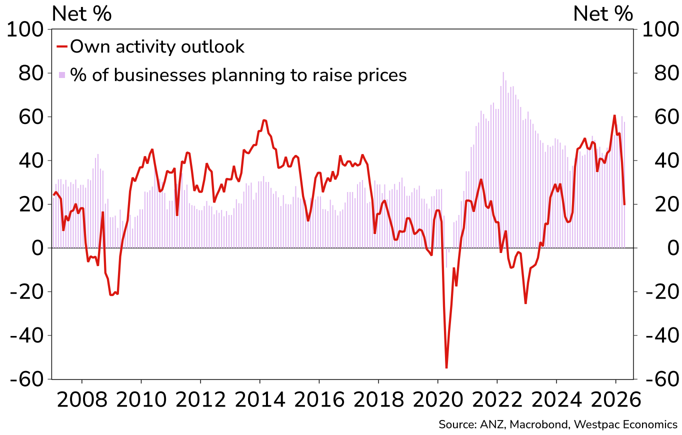


NZ: May ANZ Business Confidence (index)

May 29, Last: -10.6

Business confidence took the full brunt of the Middle East conflict in the April survey, with general sentiment turning net negative for the first time since mid-2023. Measures of firms' own activity saw less dramatic moves, but were still down significantly from pre-war levels. We'd expect a modest rebound in confidence in the May survey, with hostilities cooling since the early April ceasefire and fuel prices having eased from their highs. The greater focus is likely to be on the inflation measures though, with the RBNZ watching for any second-round effects on pricing intentions and wage growth.

Business confidence down sharply since Iran war



What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 25							
Tue 26							
US	Mar	FHFA House Prices	%mth	0.0	0.1	–	Price momentum should keep cooling as affordability...
	Mar	S&P/Cs Home Price Index	%mth	–0.05	0.1	–	.. and listings improve slightly.
	Apr	Chicago Fed Activity Index	%mth	–0.2	–	–	Tariff and energy shock add risk to the economy.
	May	CB Consumer Confidence	index	92.8	91.5	–	Job security signals remain the key swing factor.
	May	Dallas Fed Manufacturing Index	index	–2.3	–	–	Headwinds ahead with geopolitical shocks.
Wed 27							
Aus		RBA Speak	–	–	–	–	RBA MPB member Carolyn Hewson scheduled to speak.
	Apr	Monthly CPI Indicator	%ann	4.6	4.4	4.8	Keenly watched for any signs of broader pass-through.
	Q1	Construction Work Done	%qtr	–0.1	0.8	1.0	Public construction to stabilise; data centre activity strong.
NZ		RBNZ Policy Decision	%	2.25	2.25	2.25	Decision likely to be close-run - we expect a split vote.
Chn	Apr	Industrial Profits	%ann	15.8	–	–	Margin pressure from weak pricing power and excess capacity.
US	May	Richmond Fed Manufacturing Index	index	3.0	–	–	Orders may soften under trade uncertainty.
Thu 28							
Aus	Q1	Private New Capital Expenditure	%qtr	0.4	1.0	4.0	Growth to pick-up from data centre construction and fit-outs.
	Apr	Household Spending Indicator	%mth	1.6	–0.4	–1.0	Temporary halving in fuel excise will dent spending.
NZ	Apr	Monthly Employment Indicator	%mth	0.3	–	0.2	Jobs market was picking up prior to the Iran conflict.
		Budget 2026	–	–	–	–	Fiscal strategy unchanged, but more debt near term.
Eur	May	Economic Confidence	index	93.0	92.3	–	Confidence is likely to hinge on energy costs and external...
	May	Consumer Confidence	index	–19.0	–	–	...demand with consumers feeling the squeeze on real income.
US	Apr	Personal Income	%mth	0.6	0.4	–	Income growth will be key for consumption resilience...
	Apr	Personal Spending	%mth	0.9	0.5	–	... discretionary categories may fade first if confidence dips
	Apr	PCE Deflator	%mth	0.7	0.5	–	On the look out for stickiness in goods and services amid...
	Apr	Core PCE Deflator	%mth	0.3	0.3	–	... tariff-related cost pass-through.
		Initial Jobless Claims	000s	209	213	–	Still consistent with a stable labour market.
	Q1	GDP	%ann'd	2.0	2.1	–	Second estimate.
	Apr	New Home Sales	%mth	7.4	–3.9	–	Builder activity offsets resale supply constraints
Fri 29							
Aus	Apr	Private Sector Credit	%mth	0.7	0.6	0.6	So far resilient to changes in interest rates and expectations.
NZ	May	ANZ Consumer Confidence	index	80.3	–	–	Confidence down sharply in April on Iran conflict, though...
	May	ANZ Business Confidence	index	–10.6	–	–	...fuel prices have edged off their highs since the ceasefire.
Jpn	May	Tokyo CPI	%ann	1.5	1.6	–	Energy prices to take over from easing food prices.
	Apr	Jobless Rate	%	2.7	2.7	–	Labour market remains structurally tight.
	Apr	Industrial Production	%mth	–0.4	–0.6	–	Continued strength in AI-related tech will support growth.
US	Apr	Wholesale Inventories	%mth	1.3	–	–	Inventory dynamics will signal whether demand is slowing.
	May	Chicago PMI	index	49.2	51.2	–	Prices are a key watchpoint for cost pressures.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (22 May)	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
Cash	4.35	4.35	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.43	4.55	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.55	4.75	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.54	4.75	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	4.93	5.00	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	36	65	65	60	55	50	40	30	20	15
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.57	4.35	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75
New Zealand										
Cash	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25
90 Day Bill	2.63	2.50	2.95	3.40	3.75	4.00	4.25	4.45	4.45	4.45
2 Year Swap	3.57	3.75	4.05	4.30	4.40	4.40	4.40	4.35	4.30	4.25
10 Year Bond	4.69	4.85	4.95	5.00	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	12	50	55	55	55	55	50	45	40	35

Exchange rate forecasts

	Latest (22 May)	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
AUD/USD	0.7144	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5876	0.59	0.59	0.62	0.64	0.66	0.67	0.67	0.67	0.67
USD/JPY	159.08	157	156	154	152	150	148	146	144	142
EUR/USD	1.1616	1.18	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3430	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.7987	6.80	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.2159	1.22	1.22	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026				2027		Calendar years			
% change	**Q3**	**Q4**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**2025**	**2026f**	**2027f**	**2028f**
GDP %qtr	0.5	0.8	0.5	0.2	0.1	0.2	0.3	0.4	–	–	–	–
%yr end	2.1	2.6	2.6	1.9	1.6	1.0	0.9	1.1	2.6	1.0	1.6	2.8
Unemployment rate % *	4.3	4.3	4.2	4.4	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.0	3.4
Headline CPI %qtr	1.3	0.6	1.4	1.5	1.4	0.5	0.6	0.6	–	–	–	–
%yr end	3.2	3.6	4.1	4.9	5.0	4.9	4.1	3.2	3.6	4.9	2.5	2.2
Trimmed Mean CPI %qtr	1.0	0.9	0.8	1.1	1.1	1.0	0.8	0.7	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	4.0	3.6	3.4	4.0	3.0	2.4

* Quarter–average.

New Zealand economic forecasts

	2025		2026				2027		Calendar years			
% Change	**Q3**	**Q4**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**2025**	**2026f**	**2027f**	**2028f**
GDP %qtr	0.9	0.2	0.8	–0.3	0.4	0.6	1.1	0.6	–	–	–	–
Annual avg change	–0.6	0.2	0.6	1.2	1.3	1.3	1.6	1.8	0.2	1.3	2.7	3.4
Unemployment rate %	5.3	5.4	5.3	5.4	5.5	5.6	5.5	5.3	5.4	5.6	4.9	4.4
CPI %qtr	1.0	0.6	0.9	1.8	1.2	0.4	0.5	0.0	–	–	–	–
Annual change	3.0	3.1	3.1	4.4	4.5	4.4	4.0	2.1	3.1	4.4	1.6	2.1

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ

westpaciq.com.au

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Week beginning 18 May 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: Budget delivers downpayment on reform agenda.

The Week That Was: Beyond the horizon.

Focus on New Zealand: Under the pump.

For the week ahead:

Australia: Westpac-MI Consumer Sentiment, RBA minutes, labour force survey.

New Zealand: Q1 real retail sales, Q1 PPI, trade balance, retail card spending.

Japan: Q1 GDP, CPI.

China: retail sales, industrial production, fixed asset investment.

Euro area: CPI, consumer confidence.

United Kingdom: CPI, unemployment rate, retail sales, consumer sentiment.

United States: FOMC minutes, regional manufacturing surveys, housing starts, UoM consumer sentiment.

Global: S&P Global PMIs.

Information contained in this report current as at 15 May 2026.

Budget delivers downpayment on reform agenda

Luci Ellis
Chief Economist, Westpac Group

The seeds for this Budget were planted in late last year, when the government convened a series of economic reform roundtables. Since then, it has consistently framed reform as central to lifting productivity and increasing the economy's speed limit. It has also focused on intergenerational equity and ensuring more Australians can enter the housing market.

The Middle East conflict has, if anything, accelerated that agenda. It has broadened from a productivity focus to encompass energy and fuel security, reinforcing economic resilience as a core policy objective.

Swathe of reforms adds up to material total

Measures to boost housing supply and level the playing field are meaningful, particularly on tax settings. Concessional capital gains tax (CGT) has long been recognised as encouraging leveraged investment in rental properties, particularly in the way it interacts with negative gearing. Reforming this part of the tax system had previously been considered too controversial. Despite that, this year's budget tackles both CGT and negative gearing, as well as taxation of trusts, and does so in a way that still encourages new construction.

The Budget papers anticipate that these reforms will enable an additional 75,000 Australians to buy their own home over the next decade and support the construction of up to 30,000 new homes over the same period; this is modest relative to the roughly 11 million dwellings in Australia, with more than 160,000 added each year. The grandfathering of existing holdings means that the implications for the housing market will be drawn out. In the short term, the interest rate environment will be a more consequential influence.

The government has also progressed its productivity reform agenda. Announced measures address the myriad of little things that hold the economy back, rather than a few headline-grabbers. Importantly, and appropriately, the government did not claim the tax reforms as productivity measures. The net impact of the productivity measures adds up to potentially significant change. Red-tape reductions and harmonisation of regulation across states and territories feature prominently, including national licencing of key occupations; this follows previous efforts to create an automatic mutual recognition regime, which Queensland did not sign up to. The Budget also announces funding to support previously announced reforms, for example streamlining environmental assessments.

A range of other small measures complement the productivity agenda by encouraging new businesses. These include reforms to R&D tax incentives, loss carry-back for small businesses and refunds of tax losses for early-stage start-up firms. While it received less coverage on budget night, the savings mooted in the NDIS also add up to a significant reform, if they can be realised.

Most of the tax and productivity measures will have a slow-burn impact on the economy. Fuel security is a shorter-term priority, which the government has address with a range of initiatives to secure fuel supply and increase local inventory holdings. Here, too, though, there are longer-term measures working in the same direction. These include making the tax breaks for EVs permanent and regulatory measures and funding for charging infrastructure to encourage electrification of other parts of the transport system.

Do the measures take pressure off demand?

This year's budget occurs in the context of an economy that was already contending with high inflation. Boosting demand further would have made the RBA's inflation-control task even harder. The budget does have a positive fiscal impact – the headline deficit increases across years in FY2026 and FY2027 – but it is moderate. Expressed as a per cent to GDP, the underlying cash deficit is flat at 1.0% between FY2026 and FY2029, before narrowing to 0.7% in FY2030. Estimates of the structural deficit show gradual improvement both in the forward estimates and through the medium-term forecasts.

This bottom-line result stems from the fact that the policy decisions are adding to the underlying cash deficit by considerably less than the economic environment is reducing it. In the short run, the cycle is helping the budget bottom line. Revenues have increased relative to the expectations at MYEFO as higher energy and other commodity prices have boosted corporate tax revenue. FY2026 and FY2027 also see positive parameter variations, dominated by higher receipts.

Further out in the forward estimates, policy decisions are expected to reduce spending relative to the MYEFO projections. The principal save comes from recently announced reforms to the NDIS. By contrast, spending continues to rise across health, education and childcare, with limited evidence of system-wide review into whether outcomes are improving in line with resources or whether NDIS-style savings can be achieved.

Cliff Notes: beyond the horizon

Elliot Clarke, Head of International Economics
Illiana Jain, Economist
Ryan Wells, Economist

The 2026/27 Federal Budget was the main event in Australia this week. Our bulletin provides a detailed view of the Government's fiscal position, policy measures and economic expectations over the forward estimates. Compared to the projections from MYEFO, the budget bottom line has improved owing to commodity price windfalls, with the deficit now expected to hold steady around 1.0% of GDP. Larger improvements in the Government's finances are anticipated in the outer years as the Government's major saving measures deliver. Of particular note is the clamp-down on NDIS spending announced in April, which is expected to relieve budget pressure from payment cost inflation and help keep Federal net debt low versus other OECD countries.

The tax reform proposed in the Budget was also consequential and broad-based, impacting negative gearing, the capital gains tax discount and discretionary trusts. Our conversation with Chief Economist Luci Ellis explores these proposed changes and the other key measures for households. Budget night also saw a number of initiatives put forward for business and SMEs, alongside a range of reforms that should help foster productivity growth in the long run. While meaningful, these measures are not expected to materially add or detract from the fiscal impulse over the next couple of years, thereby having little impact on the RBA's policy calculus.

Our Q1 Westpac-DataX Consumer Panel meanwhile showed that consumers are having to reduce savings and discretionary consumption to absorb the spike in fuel and electricity prices (the latter now due to the roll-off of government rebates). Mortgage holders are well placed in aggregate to weather the shock from the Middle East and interest rate rises; but the distribution of buffers is varied, leaving some more exposed. Wages growth remains robust and is only slowing gradually, offering support to consumer demand without posing an immediate threat to inflation. That said, the pass-through of non-labour input cost inflation was a key message in this week's NAB business survey, giving the RBA cause to remain cautious of inflation's potential persistence.

Last Friday in the US, nonfarm payrolls beat expectations, rising 115k in April with only a small -16k revision to the previous two months. This left the three-month average at 48k, consistent with labour demand and supply being in balance. The unemployment rate remained steady at 4.3% as the participation rate edged down 0.1ppts. On a multi-month view, the labour market can be characterised as a 'low hire, low fire' environment, a sentiment echoed by FOMC member Schmid this week. This backdrop should result in moderate wage growth over the coming year.

The April CPI then came in as expected at 0.6%, 3.8%yr. The headline outcome reflected a further 5.4% gain for gasoline prices after March's 21.2% surge. An outsized 0.6% increase in the shelter component was also observed, reportedly biased up by a delayed sample reset following the government shutdown late last year. Abstracting from these two effects, underlying inflation was modest in the month. Energy was also a major contributor to import prices in April, up 1.9% (0.7% ex-petroleum) to be 4.2% higher over the year. Seeing as the US is an energy product exporter, export prices have also strengthened of late, up 3.3% in April to be up 8.8%yr. US consumers look to be weathering the surge in energy prices well so far, headline and control group retail sales up 0.5% in April, a solid gain.

> **"Tax refunds have supported spending of late, and established households continue to benefit from fixed interest rates and wealth gains"**

China's price data was also stronger than expected in April because of energy prices. Consumer inflation lifted to 1.2%yr, while producer prices were up 2.8%yr. Producer price gains were concentrated in the most energy-intensive sectors such as metals, while sectors more vulnerable to excess capacity saw price declines. While recent data has been encouraging for China's deflationary cycle, it is worth noting that it's the supply-side driving the outcomes, not demand. Further fiscal support will be required to sustainably lift China out of deflation.

Of course, the main event in China this week was not a data release but instead the meeting between President Xi and President Trump. While limited in terms of the detail, the outcomes were productive. The US has reportedly agreed to reduce its controls over China's access to technology; and in return, China will buy more commodities from the US. A "Board of Trade" is also to be set up to allow trade disputes to be resolved through bilateral negotiation. President Trump also reportedly emphasised the need for China to help bring the conflict in the Middle East to an end and re-open the Strait of Hormuz. Whether progress is seen on that front is an open question. President XI has been invited to Washington in September to continue in-person discussions.

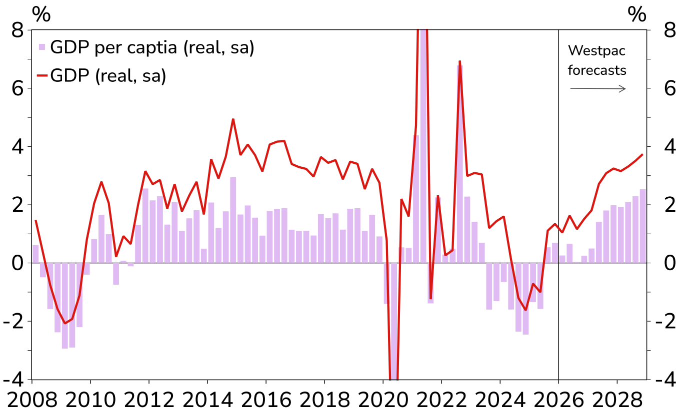
Under the pump

Kelly Eckhold
Chief Economist NZ

The New Zealand economy has entered a far more challenging phase than expected earlier in the year. Momentum that had been building through late-2025 and early-2026 has been disrupted by the Iran conflict, which has delivered a sharp energy price shock, lifted inflation pressures and renewed uncertainty for households, businesses and policymakers alike. While a recession is not our central expectation, the outlook now points to another year of subdued growth, elevated inflation and a delicate balancing act for monetary and fiscal policy.

At the heart of the shift in outlook is the surge in global oil and refined fuel prices following the prolonged disruption in the Middle East. Real petrol and diesel prices in New Zealand are at multi-decade highs. Even if the conflict were to ease suddenly, damage to infrastructure and strained refinery capacity mean fuel costs are likely to remain elevated for some time. The result is a broad-based cost shock that is filtering through transport, production and distribution channels, weighing on spending power and lifting inflation well above comfortable levels. That said, this week's selected prices data for April showed weaker inflation pressures than we had pencilled in. Hence there is some modest downside risks to our June quarter CPI pick of 4.4% y/y. Food and fuel prices didn't rise by quite as much as anticipated.

Total and per capita GDP growth



Source: Stats NZ, Macrobond, Westpac Economics

Economic growth has slowed as these pressures intensify. We now expect GDP growth of around 1.5% over 2026, a disappointing outcome given the more optimistic view we held in early 2026. Higher living costs are eroding real household incomes, while uncertainty is encouraging both households and firms to delay discretionary spending and investment decisions. The services sector, retail trade and hospitality are bearing the brunt of this adjustment, reflecting their sensitivity to household budgets. Tourism, which had been recovering strongly, is also expected to pause as higher airfares and global uncertainty dampen long-haul travel demand.

This week's manufacturing PMI survey showed a modest pull back of the aggregate index to around 50.5 and a sharper decline in the new orders component to 48.2. On balance, these results look broadly consistent with our view that we will see a small decline in GDP in the June quarter. Early days on that assessment though.

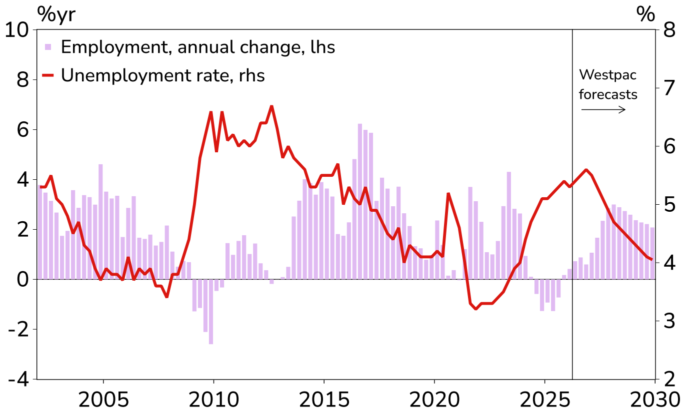
Households are facing a renewed squeeze on finances. Fuel prices have risen by more than 30% since the conflict began, compounding earlier increases in essentials such as food, electricity and insurance. At the same time, the labour market remains soft. Unemployment, while dipping marginally in early-2026, is expected to rise again to around 5.6% as firms respond cautiously to weaker demand and higher costs. Wage growth will hopefully remain muted relative to inflation but will limit households' ability to absorb the shock.

Interest rate dynamics add another layer of strain. Over the past two years many borrowers benefited from falling mortgage rates, but that easing phase is ending. Mortgage rates have begun to edge higher again, meaning households refixing loans will see smaller reductions in repayments, and eventually gradual increases. Together, higher living costs, a soft jobs market and less interest-rate relief point to a sharp slowdown in household spending through the remainder of this year, before conditions gradually improve as cost pressures ease.

The labour market story is one of fragility rather than collapse. Prior to the Iran conflict, signs were emerging that employment growth was stabilising. However, hiring intentions have since weakened as firms grapple with higher input costs and uncertain demand. We now expect to see little employment growth in 2026, with unemployment peaking later this year. While there may be isolated pockets of skill shortages, overall labour market slack will restrain wage bargaining power, preventing a rapid acceleration in wage inflation despite rising living costs. Right now, we see few signs of a discontinuous labour market reaction to the war. Weekly filled jobs trends are tracking typical seasonal patterns while job advertisements for April fell just 1.7%.

Housing, which had shown tentative signs of recovery early in the year, has been knocked off course. Low interest rates,

Unemployment rate and annual employment growth



Source: Stats NZ, Macrobond, Westpac Economics

improving confidence and a stabilising labour market had supported modest house price gains in the first quarter. These supports have largely evaporated. We now expect flat to slightly declining house prices over 2026 as confidence weakens and the prospect of higher interest rates re-emerges. Strong net migration will provide some underlying demand, but it is unlikely to offset the broader drag from weaker incomes and sentiment. Data this week confirmed that view with a 0.4% fall in house prices in April – albeit with a small fall in the average time to sell a home.

In the construction sector, recent momentum is unlikely to be sustained. Residential building activity is set to lift modestly in the near term as earlier consent approvals translate into work on the ground. However, rising fuel and materials costs, higher financing costs and elevated uncertainty are expected to curb new project initiation as we move into 2027. Commercial construction remains subdued, with office and industrial projects holding steady but little evidence of renewed expansion, particularly in retail and hospitality-related developments.

Business investment decisions are being deferred rather than abandoned. Surveys suggest firms have become more cautious, scaling back near-term capital expenditure plans while uncertainty around the conflict persists. Encouragingly, capital imports were strong in early-2026, indicating that momentum had been building prior to the shock. Over time, postponed investment — particularly in areas such as IT and software linked to the AI investment cycle — is likely to resume once conditions stabilise and confidence returns.

As we set out in more detail in our preview of Budget 2026 this week, the fiscal outlook has also been impacted by the Middle East conflict. Higher inflation and interest rates are set to place upward pressure on government spending, particularly on social assistance and debt servicing, while weaker economic activity is weighing on revenue growth. As a result, the Treasury is likely to forecast a further lift the Government's borrowing requirement in Budget 2026 (perhaps $7-9bn across the four-year forecast horizon). While an operating surplus in the final year of the forecast period remains possible, achieving it will require sustained fiscal discipline. Even greater discipline will be required if the Government is to achieve its goal of a surplus a year earlier in 2028/29. And credible progress towards fiscal consolidation will be required if Moody's and Fitch are to remove the negative outlook that they have placed on New Zealand's sovereign credit rating.

The primary sector remains a relative bright spot. Export commodity prices are expected to stay elevated, supported by strong global protein demand and a supportive exchange rate. Higher energy, fertiliser and feed costs will squeeze margins in the near term, but prolonged price pressures offshore increase the likelihood of these costs being passed through to export prices. Dairy incomes are expected to remain resilient, helping to support rural regions and partially offset weakness elsewhere in the economy.

New Zealand's balance of payments looks set to deteriorate temporarily as higher fuel prices lift the import bill. At the same time, services exports — especially tourism — are set to slow. We expect the current account deficit to widen in the near term before narrowing again in 2027 as energy prices ease and tourism activity recovers.

Inflation is the central challenge. Headline inflation is expected to rise into the mid-4% range and remain above 3% until mid-2027. The energy price shock has spilled into a much broader range of costs, and ongoing increases in administered prices are reinforcing underlying inflation pressures. While economic slack should limit the extent of second-round effects, the risk remains that businesses begin to embed higher inflation expectations into pricing behaviour.

For monetary policy, this environment presents an uncomfortable trade-off. The 2.25% OCR was set assuming a much more benign inflation outlook. The OCR now looks too low given the scale of the coming cost and inflation shock. We expect the Reserve Bank to begin lifting the OCR to 3% and more neutral levels, most likely from September, but with the potential for a start as early as this month given it seems clear the key question is when not if the OCR needs to rise. How far and how fast the OCR ultimately rises will depend critically on the duration of the conflict and the persistence of inflation pressures.

Overall, the economy is navigating rocky waters. Growth is subdued, inflation is uncomfortably high, and confidence has taken a hit. However, there are grounds for cautious optimism once energy prices ease and uncertainty recede.

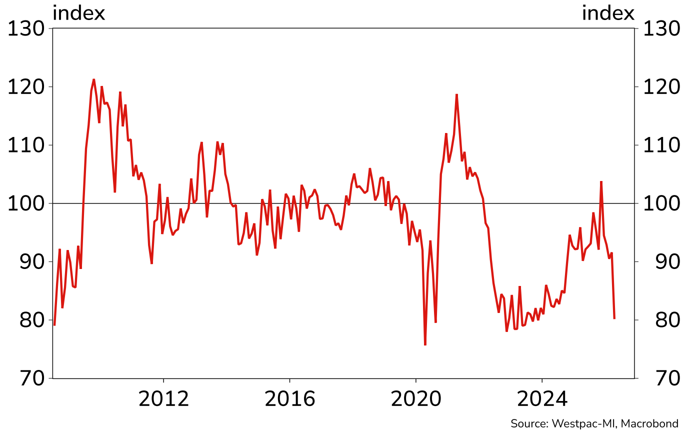
AUS: May Westpac-MI Consumer Sentiment (index)

May 19, Last: 80.1

Consumer sentiment fell heavily in April, declining 12.5% to 80.1 from 91.6 in March. Consumers are being hit by another ‘cost of living’ shock as a spike in fuel prices combines with rising interest rates. The April sentiment drop was the biggest monthly decline since COVID. At 80, the Index is back near historical lows, albeit above the extremes seen during the pandemic and the recessions of the early 1990s and 1980s.

The May survey is in the field over the week ending May 16. It will capture reactions to the Federal budget and the RBA’s latest 25bp rate increase. Local fuel prices have declined materially (~30 ¢ /litre since the April survey) due to the temporary halving of fuel excise tax and waiving of GST. This is despite no meaningful progress towards restoring supply out of the Middle East. Housing-related sentiment will be of particular interest given the major tax changes in the budget.

Consumer Sentiment Index



AUS: Apr Labour Force – Employment Change (000s)

May 21, Last: 14.9, Westpac f/c: 10.0
Market f/c: 17.5, Range: 10.0 to 28.0

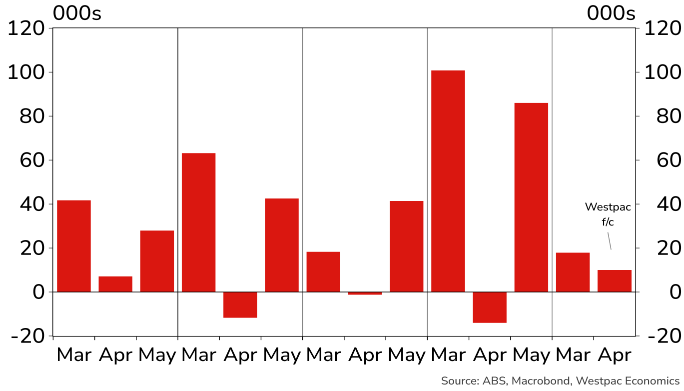
The March Labour Force Survey (LFS) showed that the overall labour market was in decent shape. Employment grew by +17.9k in March, lifting the annual growth pace up to 1.5%yr on a three-month average basis.

While it is still too early to detect any material shifts in the labour market stemming from the Middle East conflict or recent interest rate rises, we have pencilled in only a modest lift in employment for April, up 10k.

This captures some downside risk associated with the timing of the survey and Easter holidays. Our preview walks through this in more depth, but in short, this month's survey completely overlaps both Good Friday and Easter Monday – a 'seasonal abnormality' that could over-emphasise seasonal weakness.

Employment Change in 'Full Overlap' Years

Years April LFS Covers Good Friday & Easter Monday



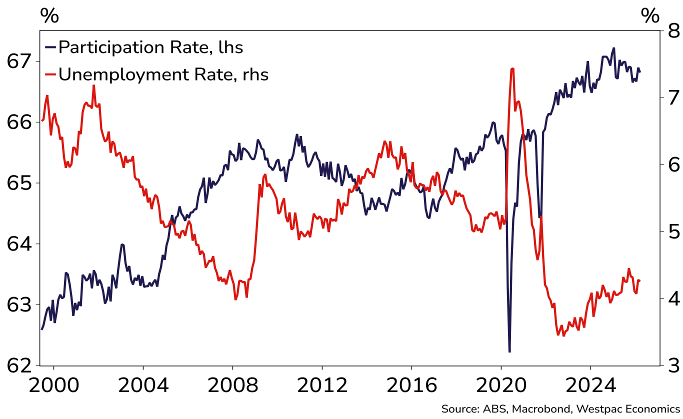
AUS: Apr Labour Force – Unemployment Rate (%)

May 21, Last: 4.3, Westpac f/c: 4.3
Market f/c: 4.3, Range: 4.2 to 4.4

Last month's labour market data challenged the RBA’s earlier assessment that “the labour market has tightened a little recently”. The fall in the unemployment rate to 4.1% around the turn of the year proved temporary, as it lifted back to 4.3% in February and held at that level in March.

For April, we think the participation rate and unemployment rate will hold steady at 66.8% and 4.3% respectively. As far as the RBA is concerned, the most immediate and pressing concern is inflation, so this round of labour market data (given there is no major surprise) is unlikely to shift the policy calculus materially.

Unemployment and participation rates



AUS: Q1 Westpac Now (%qtr)

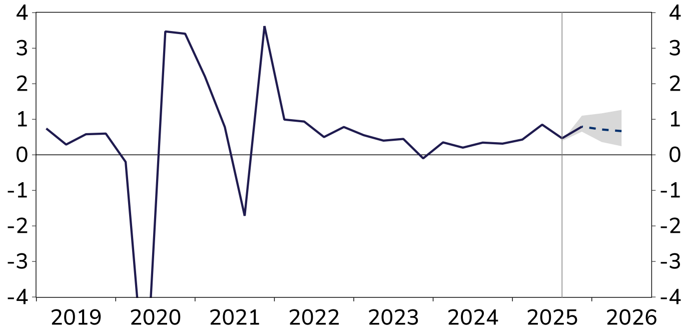
May 22, Last: 0.6

Westpac-Now points to moderating GDP growth of around 0.6%qtr in Q1 2026 (range: 0.55–0.75%qtr). The second estimate showed that monthly activity levels edged lower in March after moving sideways through January and February. Overall, activity was flat across the March quarter, ending an upswing that began in May 2025, even before the recent tightening in monetary policy could take effect.

We expect our final estimate for Q1 2026 to continue to suggest that activity eased into the first half of 2026. The sharp falls in consumer and business confidence that were largely looked through in our second estimate are likely to weigh on the growth impulse going forward.

Quarterly GDP Growth*

Quarterly % growth. Axis truncated for covid.



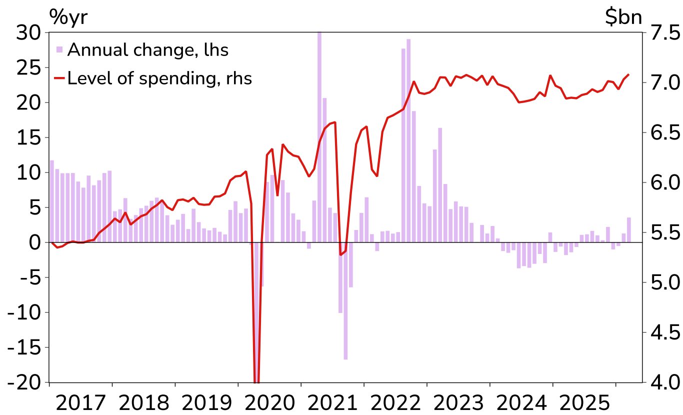
Source: ABS, Macrobond, Westpac Economics
*Dotted line show Westpac-Now central estimates. Quarter ahead (or Q4 2025) relies on actual Westpac-MAI to January 2026. Beyond the quarter ahead, estimates rely on projections of the Westpac-MAI generated using internal model dynamics. Confidence intervals reflect empirical out of sample forecasting errors.

NZ: Apr Retail Card Spending (%mth)

May 19, Last: 0.7, Westpac f/c: 1.2

We expect the April spending update will show that nominal retail spending was up 1.2% over the past month. That's mainly due to the 15% rise in fuel costs over the past month, along with increased spending on groceries. However, spending in discretionary areas like apparel and hospitality is expected to be more muted. The fuel price spike is squeezing households' purchasing power, and households are winding back their discretionary spending. Of note, travel related spending (like airfares) has fallen sharply. However, much of that spending is not included in 'retail' spending categories. It is, however, captured in the 'total' spending category, which we expect will be down around 2% this month.

NZ retail card spending



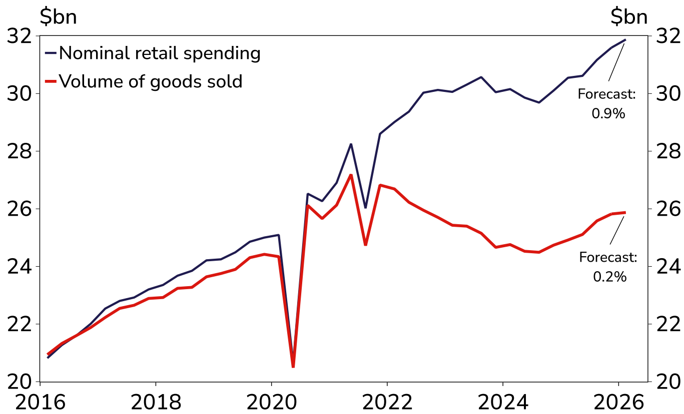
Source: Stats NZ, Macrobond, Westpac Economics

NZ: Q1 Retail Trade Survey (%qtr)

May 22, Volumes, Last: 0.9, Westpac f/c: 0.2

The March quarter is expected to see a muted 0.2% rise in real retail sales. The latter part of March saw fuel prices rising sharply, and that has been a drag on spending. But we've also seen price rises in other areas like food. As a result, we expect a firmer 0.9% rise in nominal spending. One key area of uncertainty is vehicle spending, which can be lumpy on a quarter-to-quarter basis. Distributors reported a lift in sales of EVs late in the month, though we expect that will be balanced out by lower sales for combustion engine vehicles.

Retail spending



Source: Stats NZ, Macrobond, Westpac Economics

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 18							
NZ	Apr	BusinessNZ PSI	index	46	–	–	Has been soft, even prior to the Iran conflict.
Chn	Apr	Retail Sales	ytd %yr	2.4	–	–	Tentative signs of a stabilisation in consumer demand but ...
	Apr	Industrial Production	ytd %yr	6.1	–	–	... trade's contribution to growth has further to run as ...
	Apr	Fixed Asset Investment	ytd %yr	1.7	1.7	–	... green technology demand accelerates in light of US–Iran.
Tue 19							
Aus		RBA Assist' Governor (Economic)	–	–	–	–	Hunter speaking at Bloomberg Forum, 9:30am AEST.
	May	RBA Minutes	–	–	–	–	To provide more colour on the Board's deliberations.
	May	Westpac–MI Consumer Sentiment	index	80.1	–	–	Will provide a read post Federal budget and 25bp rate hike.
NZ	Apr	Retail Card Spending	%mth	0.7	–	1.2	Increased spending on essentials.
Jpn	Q1	GDP	%qtr	0.3	0.4	–	Heading into the global energy shock with GDP near–stagnant.
UK	Mar	ILO Unemployment Rate	%	4.9	4.9	–	Dip in unemployment rate may prove short–lived.
US	Apr	Pending Home Sales	%mth	1.5	1.6	–	Early guide to established home sales, which is low and stable.
Wed 20							
Eur	Apr	CPI	%ann	3.0	3.0	–	Final estimate to provide full component detail.
UK	Apr	CPI	%ann	3.3	3.0	–	Inflation centred on fuel; core inflation broadly stable, for now.
US	Apr	FOMC Meeting Minutes	–	–	–	–	More colour on the balanced baseline and risk outlook.
		Fedspeak	–	–	–	–	Paulson.
Thu 21							
Aus	Apr	Employment Change	000s	17.9	17.5	10	Still too early to see weakness from Middle East or recent ...
	Apr	Unemployment Rate	%	4.3	4.3	4.3	... rate rises, but April 'abnormal seasonality' could surprise.
NZ	Apr	Trade Balance	$mn	698	–	845	A seasonal surplus, weighed down by higher fuel imports.
Jpn	May	S&P Global Manufacturing PMI	index	55.1	–	–	Pull–forward of output and new orders before conflict impacts ...
	May	S&P Global Services PMI	index	51.0	–	–	... services activity is delicately positioned.
Eur	May	S&P Global Manufacturing PMI	index	52.2	51.5	–	European manufacturing resilient for similar reasons ...
	May	S&P Global Services PMI	index	47.6	48.0	–	... but the gap lower in services is a concerning signal.
	May	Consumer Confidence	index	–20.6	–20.0	–	Starting to probe pandemic–era lows as inflation lifts.
UK	May	S&P Global Manufacturing PMI	index	53.7	53.1	–	Orders brought forward to get ahead of price lifts ...
	May	S&P Global Services PMI	index	52.7	51.8	–	... but firmer services activity certainly a welcome sign.
US		Initial Jobless Claims	000s	211	–	–	Still at a very low level versus history.
	May	Phily Fed Manufacturing	index	26.7	15.0	–	Phily's momentum is enviable, but is at clear risk of easing ...
	May	Kansas City Fed Manufacturing	index	10	–	–	... as headwinds start to materialise across the nation.
	Apr	Housing Starts	%mth	10.8	–5.5	–	Sense of caution underlies the monthly volatile data as ...
	Apr	Building Permits	%mth	–11.4	2.7	–	... permit issuance slows amid high new home inventory.
	May	S&P Global Manufacturing PMI	index	54.5	53.6	–	Industry remains on a solid footing, like the ISM, but ...
	May	S&P Global Services PMI	index	51.0	51.3	–	... momentum in services at risk if consumer weakens.
Fri 22							
Aus	Q1	Westpac-Now	%qtr	0.6	–	0.6	Final estimate will provide a near complete read on Q1 activity.
NZ	Q1	Real Retail Sales	%qtr	0.9	0.5	0.2	Price rises weighing on volumes growth.
Jpn	Apr	CPI	%ann	1.5	1.6	–	Focus is on trend excl. food and energy for now.
Ger	May	IFO Business Climate Survey	index	84.4	84.6	–	Will souring expectations bleed into current situation view?
UK	May	GfK Consumer Sentiment	index	–25	–27	–	Falling, but not 'collapsing' like in some other countries ...
	Apr	Retail Sales	%mth	0.7	–	–	... aiding growth in retail sales, even after excluding petrol.
US	May	Uni. Of Michigan Sentiment	index	48.2	48.2	–	Final estimate will provide full reaction to recent updates.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (15 May)	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
Cash	4.35	4.35	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.44	4.55	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.64	4.75	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.63	4.75	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	4.96	5.00	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	57	65	65	60	55	50	40	30	20	15
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.39	4.35	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75
New Zealand										
Cash	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25
90 Day Bill	2.66	2.50	2.95	3.40	3.75	4.00	4.25	4.45	4.45	4.45
2 Year Swap	3.61	3.75	4.05	4.30	4.40	4.40	4.40	4.35	4.30	4.25
10 Year Bond	4.72	4.85	4.95	5.00	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	23	50	55	55	55	55	50	45	40	35

Exchange rate forecasts

	Latest (15 May)	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
AUD/USD	0.7171	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5905	0.59	0.59	0.62	0.64	0.66	0.67	0.67	0.67	0.67
USD/JPY	158.55	157	156	154	152	150	148	146	144	142
EUR/USD	1.1646	1.18	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3354	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.7999	6.80	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.2217	1.22	1.22	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026				2027		Calendar years			
% change	**Q3**	**Q4**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**2025**	**2026f**	**2027f**	**2028f**
GDP %qtr	0.5	0.8	0.5	0.2	0.1	0.2	0.3	0.4	–	–	–	–
%yr end	2.1	2.6	2.6	1.9	1.6	1.0	0.9	1.1	2.6	1.0	1.6	2.8
Unemployment rate % *	4.3	4.3	4.2	4.4	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.0	3.4
Headline CPI %qtr	1.3	0.6	1.4	1.5	1.4	0.5	0.6	0.6	–	–	–	–
%yr end	3.2	3.6	4.1	4.9	5.0	4.9	4.1	3.2	3.6	4.9	2.5	2.2
Trimmed Mean CPI %qtr	1.0	0.9	0.8	1.1	1.1	1.0	0.8	0.7	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	4.0	3.6	3.4	4.0	3.0	2.4

* Quarter–average.

New Zealand economic forecasts

	2025		2026				2027		Calendar years			
% Change	**Q3**	**Q4**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**2025**	**2026f**	**2027f**	**2028f**
GDP %qtr	0.9	0.2	0.8	–0.3	0.4	0.6	1.1	0.6	–	–	–	–
Annual avg change	–0.6	0.2	0.6	1.2	1.3	1.3	1.6	1.8	0.2	1.3	2.7	3.4
Unemployment rate %	5.3	5.4	5.3	5.4	5.5	5.6	5.5	5.3	5.4	5.6	4.9	4.4
CPI %qtr	1.0	0.6	0.9	1.8	1.2	0.4	0.5	0.0	–	–	–	–
Annual change	3.0	3.1	3.1	4.4	4.5	4.4	4.0	2.1	3.1	4.4	1.6	2.1

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

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